HDFC Asset Management Company Ltd. (HDFCAMC)

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HDFC Asset Management Company Limited
A Joint Venture with abrdn Inve stment Management Limited
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National Stock Exchange of India Limited
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Kind Attn: Head – Listing Department BSE Limited
Sir PJ Towers, Dalal Street, Mumbai – 400001.
Kind Attn: Sr. General Manager – DCS Listing
Department

Dear Sir/Madam,

Sub: Transcript of Earnings Call

Please find enclosed herewith transcript of Earnings Call for t he quarter & year ended March 31, 2023, conducted after the meeting of the Board of Directors on April 25, 2023 which can also be accessed on the website of the Company at: https://www.hdfcfund.com/about-us/ financial/shareholders-presen tation

Kindly take the same on records.

Thanking you,

Yours faithfully,
For HDFC Asset Management Company Limited

Sylvia Furtado
Company Secretary Encl: a/a

"HDFC Asset Management Company Ltd. Q4 FY23
Earnings Conference Call "

April 25, 2023

MANAGEMENT : MR. NAVNEET MUNOT – MANAGING DIRECTOR
MR. NAOZAD SIRWALLA – CHIEF FINANCIAL OFFICER
MR. SIMAL KANUGA – CHIEF INVESTOR RELATIONS
OFFICER

Moderator: Ladies and gentlemen, good day , and welcome to Q4 FY '23 Earnings Conference Call of HDFC Asset Management Company Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
From the management team , we have with us Mr. Navneet Munot – Managing Director; Mr. Naozad Sirwalla – Chief Financial Officer; and Mr. Simal Kanuga – Chief Investor Relations Officer .
I now hand the conference over to Mr. Simal Kanuga who will give us a brief , following which we will proceed with the Q&A session . Thank you, and over to you, sir.
Simal Kanuga: Thanks, Neerav, and good evening everyone .
Let me start with data on the industry :
QAAUM for quarter ended March 23 was Rs.40.5 Trillion a 6% growth on YOY basis.
The net flows during the year in equity -oriented funds added up to Rs.1801 billion of which Rs. 1618 billion was in actively managed equity -oriented funds and balance Rs. 184 billion in equity -oriented index funds. So, if one looks at net flows, index funds constituted 10% - the number for gross flows though would be materially lower.
One more data point on actively managed equity oriented funds which might be of interest is f lows via NFOs. During the year, Industry collected approximately Rs. 342 billion via active equity NFOs ie nearly 21% of net flows into actively managed equity -oriented funds during the year. The corresponding number for FY 22 was approximately Rs. 748

billion, which was nearly 34% of the net flows into actively managed equity -oriented funds during the previous financial year.
SIP flows continued their growth trajectory and came in at Rs. 143 billion for the month of March 2023 vs 123 billion a year ago.
SIP flows for FY23 clocked Rs. 1.56 trillion, nearly 35% of the industry's gross active equity flows, the comparable number in FY22 was Rs. 1.25 trillion and nearly 23% of industry's gross active equity flows.
In terms of QAAUM, actively managed equity -oriented funds stood at Rs 19.38 trillion and equity -oriented index funds stood at Rs. 0.52 trillion.
Now let's talk of debt funds – during the year, debt funds including debt index funds and debt ETFs saw outflow of Rs. 582 billion. If one eliminates flow s into debt index funds and ETFs, the number is much higher ie. outflow of Rs. 1,569 billion.
Liquid fund QAAUM grew by 8% YOY adding Rs 0.42 trillion. Net outflows during the year were to the tune of Rs 510 billion.
Others which includes ETFs, Arbitra ge and FOF –investing overseas grew by 13% on YoY ,
Industry recorded 37.7 million unique investors at the end of the fiscal year. Individual investors contribution came in at 58% of the monthly average AUM for March 2023 and the folio count for individual investors increased to 145 million from 129 million a year ago.
Now we move to us,
We closed the quarter with a quarterly average AUM of Rs. 4,498 billion, a growth of 4% YOY. Our market share in Quarterly Average AUM was at 11.1% and the same excluding ET Fs was at 12.5%.

Our actively managed equity -oriented market share based on quarterly average AUM is 12.0% and 11.9% on closing basis. We have seen some

uptick in recent past.
Our market share for quarterly average debt AUM including debt index funds was 13.3%.
Our quarterly average Liquid AUM market share stood at 13.1%.
Our asset mix, further shifted towards equity and it now accounts for 54.4% of our QAAUM, relatively

better than the industry.
We recorded 6.6 million unique investors at th e end of the quarter ended March 2023
For the quarter ie January to March 2023, we processed 13.14 million systematic transactions totaling Rs. 50.4 billion compared to 12.02 million transactions totaling Rs. 45.2 billion in the quarter ended December 2022 . It is important to look at quarterly data here as February is a shorter month and we tend to see some overflows from February to March. For month of March 23, we processed 4.53 million systematic transactions adding up to Rs.17.1 billion. The number f or March 22 was Rs.12.3 billion.
In continuation of our commitment to expand product portfolio, we launched 2 equity oriented thematic/sectoral funds, 1 long duration debt fund which saw healthy interest especially in end of March and range of passive strategies both across equity and fixed income side during the year that went by.
We announced first close of our HDFC AMC Select AIF FOF on 31st March with commitments adding up to Rs.400 Crores. The number is definitely encouraging especially i n current market conditions. We will continue to raise further capital in this fund and have some healthy pipeline in place.

Now moving to financials,
We closed the quarter with a profit after tax of Rs. 3,761 million, a YOY growth of 9%. Total revenue grew by 10% to Rs 6,378 million, while operating revenue grew by 5%
We ended FY23 with a profit after tax of Rs 14,239 million a YOY growth of 2%. Total revenues grew by 2%, while the operating revenue also increased by 2% YOY.
On the employee cost front, it has stood flat at Rs.3,127 million as against Rs.3,122 million in the previous year. If we consider the number excluding non -cash charge on account of ESOP, it stood at Rs.2,726 million as against Rs.2,489 million in the pre vious year, a YOY increase of 9.5%.
In terms of other expenses, we have seen an increase of 18% or in absolute terms Rs 348 million. This can be principally attributed to expenses that we have incurred for our business promotion, travel, digital assets & IT infrastructure, amongst others.
Our operating profit margin as a basis point of AUM stood at 35 basis points for year ended March 31, 2023 with operating revenue margin at 49 basis points.
The Board earlier today has recommended dividend of Rs. 48 pe r share against Rs.42 per share translating into a dividend payout ratio of 72% as against 64% last year. This is of course subject to shareholders approval.
We would like to highlight and you might have seen in our exchange release that the Nomination an d Remuneration committee of the board has approved an ESOP plan whereby 1.05 million shares will be offered to eligible employees at closing price as of yesterday.

Thank You for your time and patient hearing. Navneet, Naozad and I are available for tak ing questions now.
Moderator: Thank you very much. We will now begin the question -and-answer session . The first question is from the line of Swarnabh Mukherjee from

B&K Securities. Please go ahead .
Swarnabh Mukherjee: Thank you for the opportunit y, sir. I have three questions . So, sir, my first question is regarding the yield . So, for the first nine months , we were around 50 basis points plus in terms of the yield , and this time we see a slight compression in there . So, just wanted to understand this will be entirely a function of product mix or any kind of impact of the debt mutual fund related taxes and things that has happened or anything else to read into this or maybe something like more incremental flows in the Balanced Advantage Fund and whether the re could be any impact of that? That is the first question .
The second question is in terms of the trade receiva

bles , so th e trade receivable numbers have remained around 180 crores in first half and also now the balance sheet that has been released . This number was about half of , close to half of that in the previous year . So, how, what should I read into this ? Why has this number increased ?
And thirdly related to the ESOP plan that you have mentioned . So, if you could give some guidance on what c ould be the charge on P&L over the next couple of years ?
Navneet Munot: So, the first question on this quarter's margin , so, firstly , this quarter was 90 days as against 92 days for the December quarter . So, revenue per day of December quarter was 6.08 cr ores. So, two less days this quarter would mean a loss in revenue of little over 12 crores , and we have had some year -end adjustment for unabsorbed cost of B30 which was debited during the qua rter at fund level . I think this explains the

difference broadly . And as you rightly mentioned , also maybe product mix etc., but largely this explains it.
Swarnabh Mukherjee: Sir, if I could follow up on that , you know , unabsorbed costs , if you could give a little bit more color on that related to the B30 that you mentioned ?
Navneet Munot: So, you're talking about the cost or margin?
Swarnabh Mukherjee: So, in the mar gin since there is some impact from the B30 related assets , right , if you could just highlight on that?
Navneet Munot: That's just one basis point on overall basis .
Simal Kanuga: Swarnabh , it's an accounting thing . So, basically whatever we have spent on B30 , that needs to be absorbed within the year . So, some bit of year end adjustment and over and abo ve that the 12 crore s that Navneet mentioned kind of takes care of your question .
Swarnabh Mukherjee: So, fair to assume that next year with mix stabilizing, we can maybe go back to what we were seeing in the first nine months ?
Simal Kanuga: Guidance is something that we have stayed away from . So, don't w ant to make any guess on what exactly the next year would look like . Having said that , maybe Navneet you would want to expand on ?
Navneet Munot: On the overall margin side , we have discuss ed in pa st and the commission we pay on the book is lower than th e commission on flows . So, new flows will result in some level of dilution . Pace of dilution was like quite rapid in the financial year of March '22 because the gross flows as percent age of beginning of the year AUM was 45% approx. and i n the current year the same is somewhere in early 20s . It also depends on the AUM of individual strategies . So, growth in A UM also leads to some level of dilution , but finally the way I look at it is growth in AUM and

change in asse t mix over a period of ti me will determine profits of our business , and that is our focus area.
Swarnabh Mukherjee: If you could a nswer the question related to the trade receivables and the ESOP costs?
Naozad Sirwalla : So, trade receivables, there was just a change in the periodi city of payment. It is the payment cycles from the mutual fund, the fees we receive in the AMC. So, this gets paid immediately after the month end .

So, that was a one -time change . It will sort of continue now going forward , but in the subsequent year, you receive that money . So, that's not an issue .

On your question on costing for the new stock option , based on the Black -Scholes model , the estimated cost , that is a non -cash charge which will be debited to the P&L account over the next three years , due to this new ESOP program , would be around between 55 to 60 crores . Of this 55 to 60 crores , approximately 55% would be accounted for in this financial year , around 30% in the following financial year, and the balance will be in the year thereafter . Ove

r and a bove this, we will have a debit of around 18 crores from the existing ESOP s already issued , which were going through our P&L. Hope that answers the question .

Moderator: Thank you. The next question is from the line of Kunal Thanvi from Banyan Tree Advisors . Please go ahead .

Kunal Thanvi: Thank you for the opportunity . Sir, I had two questions . One was on SEBI Chairman recently did the press conference , and they kind of , you know , gave out the thought process of the regulatory in terms of TER . And the basic understanding is that the regulator wants to move from say scheme -based TER to asset class -based TER. So, wanted to understand your thoughts on the same ? You know , how does it impact AMC s and specifically large AMC s, which have got very high equity

book to start with and we being in the top three ? So, that was my first question .

Navneet Munot : So, Kunal, firstly regulator has of course laid down their thought process . Having said that , through the industry forum we are engaged and looking at al l implications . We as an organization have decided to put on our thinking hats once the regulations are formally out . SEBI Chairperson did give an overview of their thought process in the post SEBI Board meeting press conference that you would have heard . She did mention that they will do the necessary in consultation with the industry . I am sure you will agree that SEBI 's overarching objective is investor protection and market regulations coupled with market development . So, I would say regulations are g iven. As an organization , we need to make it sure that we do what is fair for our stakeholders .

Kunal Thanvi: Sure. So, basically now like when , you know , if at all that regulation was to co me in , then that is the time when we will try to think how the thi ngs will work ? Because the reason I asked this question is from a value chain perspective , you know , how does the thing everything flows if those kind of regulations w ere to come up , because it in a way disrupt the entire value chain , right ?

Navneet Munot : So, as of now there is nothing beyond what I have already stated that I can expand on at this point in time , and I hope you appreciate the same .

Kunal Thanvi: Sure. Makes sense . The second question was on the LTCG introduction for the long -term debt mutual funds . Can you help us understand how does that impact the industry and HDFC AMC , and what was our expo sure to specific 3 year and above debt funds ?

Navneet Munot : Yes. So, the finance bill has proposed an amendment in the income tax laws effective April 1, '23, thereby investments in a specified de bt mutual funds where equity exposure is not more than 35% of total corpus in domestic equity shares , that will be treated as short -term

capital asset, and the proposed amendment will have the impact of on e, fresh investments made on or after April 1, '23 will not get benefit of cost indexation and concessional long -term capital gain tax rates . Gains will be treated as short -term capital gains by default and taxed at the slab rate irrespective of the holdin g period . There will be no impact on investment s that have been made up to March 31 , '23.

As much as we would have liked the tax advantage to continue , given

the policymakers ' view on the development of the debt market,
particularly the corporate bond market , debt mutual funds still do have
some inherent benefits , which , in my opinion , will continue to make
them a preferred alternative .
One, that tax gets triggered only on redemption in case of de bt mutual
funds . Second , I mean , there is no prepayment penalty or liquidity
related challenges . I think that debt funds offer good liquidity . Thirdly,
the flexibility in terms of par

t redemption, moving across rate or credit
curve , I think transparency on all of that and also the flexibility that you
get in debt funds , and diversified portfolio of securities with outstanding
long-term track record in the industry level . So, for all the news of
securities going b ad, the total equivalent of NPA from the de bt MF
industry has been negligible .
So, we still think that there is hope for growth , but I must repeat what I
said earlier that as an industry , we would have liked the tax advantage
to continue because I think we were contributing , and we have
tremendous potential to contribute to the development of the debt
market, particularly the corporate bond market.
Kunal Thanvi: Sure. And in terms of , you know , the share of corporate and retail in the
three years and above , what would be that m ix for the industry or for us ,
if you can sh are that?

Simal Kanuga: So, Kunal , there is no number which basically is like in that form , right?
So, we do have in our presentation the breakup between the corporate
and retail investors or individual investors as we put them across . But I
think there are lots of corporates who stay for long. There are lots of
individuals who might use it for a shorter period and like we do have
corporates who do tend to stay for very long even in ultra short and those
kind of funds .
Kunal Thanvi: Sure. I understand .
Moderator: Thank you. The next question is from the line of Devesh Agarwal from
IIFL Securities . Please go ahead .
Devesh Agarwal: Thank you, sir, for the opportunity . So, firstly, I wanted to ask , although
we are seeing a good market share ga ins on the equity side as well as on
the SIP side, but somewhere they are getting offset by the loss in the
market share on the debt segment . So, can you give me some sense as to
why are we losing a market share on the de bt side? What are the
challenges for us out there ?
Navneet Munot : So, our m arket share in debt on QAA UM for March '23 stood at 13.3. If
we look at market share excluding debt index funds , this will stand at
14.6% or so . I must mention we were a little late to launch debt index
funds as we were waiting for some clarity in regulation and got off the
ground once that was clear . So, the delay in launching debt index funds
did hurt us , though we were able to catch up to an extent . Other than
debt index fund , in most of the other categories , market share would
have been stabl e to better .
Devesh Agarwal: Understood. And so on a f ull-year basis , could you share the AMC
yields and the gross TER s for the three key asset classes , that is equity ,
debt and liquid ?
Simal Kanuga : 70 odd basis points is on equity side. 27 odd basis points on debt and
around 12, 13 basis on liquid.

Devesh Agarwal: Right. A nd Simal, what would be the TER numbers for the same
segments ?
Simal Kanuga: I don't have a weighted average TER available off hand. I'll give it to
you. We'll send it across to you .
Devesh Agarwal: Sure. And lastly , if we see the Op Ex for FY '23, that's roughly 14 basis
point . So, do you see there is any scope for any improvement on the cost
side, especially given that now again on the ESOP expense , there will

be some almost 25 , 30 crore hit for FY '24? So, still but the growth that
we saw on other expenses in FY '23, you think those would be continue
or there would be some moderation in that and on overall basis , this 14-
basis point can come down to 13 or something ?
Simal Kanuga: Devesh, I think Naozad will expand on this , but just one point here . See,
there will be no incremental 25 crores , because what Naozad mentioned ,
the total cost is 50 o dd. Of that, first year would be whatever 55 odd
percent, and then what we have from the previou s one , but

in the current
year, that is March of '23, we had a non -cash expenditure of 40 crores
anyway hitting the book . So, the delta would be much lower than the
number that you are mentioning , but Naozad can further expand on cost .
Naozad Sirwalla: So, I think if we go through the cost , Devesh, on the employee cost side ,
if we take out the non -case expenditure i.e., ESOP cost, the employee
cost for last three years C AGR is about 8%, and Y-o-Y was 9.5 %. You
come to other expenses . The CAGR for that ov er the past three years is
around 6%.
Now let's just try and look at it from an absolute number point of view .
Our other expenses are 1 ,954 million in March '20, and for the current
year, they we re 2,326 million . So, that's an absolute increase of 372
million over three years .
So, we have spent 37 crores extra over a three -year period . And of the
37 crores that I am referring to , 10 crores actually has gone up due to

CSR expenditure. So, if we exclude CSR expense , we have spent 27
crore extra over the last three years , a CAGR of less than 5%.
On a Y-o-Y basis , the increase in cost was attributed to business
development, NFO spend, IT and digital infra spend, and marketing . So,
needless to say we have been and we will be prudent when it comes to
expenses , but at the same time , we were not abs tain from investing into
the business for future .
On your 14-basis point question , I think some of the heavy lifting that
we have done on the IT and digital side has gone through this year . I
think we don't give guidance on that , but we would believe that we
should be able to at least maintain the 14 basis points going forward.
Moderator: Thank you. The next question is from the line of Pujan Shah from
Congruence Advisers. Please go ahead .
Pujan Shah: First question will be on the let's suppose so if we compare Y-o-Y, the
industry has g rown over all of 6%. Overall our revenue has gone over
2%. Now as we have reached on every pin code s and almost every like
we have penetrated all across India , so w hat are the strategic initiatives
we are taking to get a better trajectory growth coming years ahead for
HDFC AMC and better revenue growth model for that ?
Navneet Munot : Aside from the debt side because of the Debt Index Fund , I think our
equity market sh are has been inching up , which is a h eartening feature .
Our SIP market share or the systematic transactions that we disc lose
which includes SIP and STP, that market share has been inching up . And
as you rightly mentioned , I think we have a large platform p resence
across 228 our own branches and a large distribution network and trying
to make the most of it . Our performance has improved . Product
approvals from different distributors or advisors has been improving ,
and we have been investing in on our digital assets , on marketing , on
various other initiatives and which have started paying fruits .

Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus
Securities. Please go ahead .
Lalit Deo: Good evening , sir. Thank you for the oppor tunity . So, sir, I have two
questions. So, firstly on the improvement in the performances of major
equity schemes. So, we are seeing like in major schemes we are back to
like quartile 1 and 2. Sir, now in terms of the flows , so like how has it ,

how has the market share improved across different channels like the
direct channel or a distribut or led c hannel ? Any comment on the same
qualitatively for that?
Navneet Munot: You are absolutely right . I think our performance across most of the
categories is top tie r, and I think our investment team is being
complemented for sticking to their beliefs despite living through periods
of underperformance , and I am sure

you appreciate that this is easier said
than done . We have been working on increasing our systematic
transaction book and have seen decent results , which I also spoke earlier .
It has been showing results in various numbers .
I think if you look at our number of unique investors , that have grown
to 6.6 million , and that's an increase from 6.3 million in the previous
quarter . Across the industry , the number of unique investors has
increased to 37.7 million , up from 36.7 . So, during this quarter , nearly
one-third of new unique investors chose HDFC Mutual Funds.
Systematic transactions , Simal talked about e arlier , has increased from
12.3 billion in March '22 to 17.1 billion in March '23. Systematic for us
will include both SIP and STP . Of course , we also had a couple of new
thematic funds business cycle and M NC fund during the year , but I think
most of our s trategies which have a good long -term track record and
have shown very strong performance recently . They are clearly resulting
in increasing market share .

And it's across channel . So, I think your question was on channel . So, I
think whether you look at direct , you look at national distributors, you
look at our MFD s, look at other banks, I think almost across all channel
partners , we are seeing improving trend.
Lalit Deo: Also , like one more thing is, sir, at this point of time, since we are seeing
some performance improvement also, and now with change in control
of the promoter also like from HDFC Limited to HDFC Bank, so do we
see that the share of yours which is coming from HDFC Bank to HDFC
AMC should increase over the period of time because of our
performance improvement also? Like how do you see that potential over
the next year for the mutual fund?
Navneet Munot: So, I mentioned earlier we are definitely excited about the opportunity
and look forward to working closely with HDFC Bank on the
distribu tion front and given that we have top quality products across
asset classes , we are confident of further wallet share from HDFC Bank.
Moderator: Thank you. The next question is from the line of Prayesh Jain from
Motilal Oswal Financial Services. Please go ahead.
Prayesh Jain: Sir, firstly , do you think that there is a market for hybrids between , you
know , having 35 % to 65 % equity now that they have as they still
continue to enjoy the ind exation benefits ?
Navneet Munot : I think funds will have to get sold o n their merits . I don't think just
because of the tax treatment , there would be a certain category which I
think the industry would like to push . I think we have products for all
investors ' needs , and I am sure different investors depending on their
needs , their time horizon, their liquidity preference return expectations ,
and the risk appetite , they would choose different products .
Prayesh Jain: And secondly on the cost front, if I look at sequentially from Q3 to Q4 ,
there is a good decline in the other expenses or overheads . So, how
should we read that ? Is there anything specific that you would like to

highlight out there ? And whether this is sustainable run rate what we
have seen in Q4 ?
Naozad Sirwalla : You should not be tracking quarter -on-quarter, but effectively in the last
quarter , we had lesser NFO s, business development expenses slightly
lower . Certain CSR spen d was in Q3 versus Q4 . So, that's the primary
reason for the drop from 66 crores to 58 crore s. You should see our year -

on-year expenses , I mean, not every quarter.
Prayesh Jain: And you know the other part of the SEBI's discussions was on the broking charges that the AMC s pay. Could you highlight as to what are the brok ing charges as a percent age or bps of equity AUM that we would have paid in FY '23?
Navneet Muno

t : No, I don't think I can discuss that .
Prayesh Jain: Okay, and whatever commentary has been around it to be included in the TERs, do you think that would impact us in what ways ?
Navneet Munot : If brokerage is included in TER, it will definitely be a regime change , and I think yes, all of us will have to deal with it accordingly . We will do what is in the best interests of our unit holders and other stakeholders . So, I think it will be prudent to strategize on the same once we know of exact regulation.
Moderator: Thank you. Next question is from the line of Dipanjan Ghosh from Cit i. Please go ahead .
Dipanjan Ghosh: Good evening . Just two questions from my side . One, you know, just going back to the yields, you mentioned it was a factor of unabsorbed cost and accounting impact on B30 and second was , you know , bearing that less days, it was also some product mix change. So, if you can just kind of qualitatively give some understa nding of the B30 impact ? And also, you know , what would be , or if maybe quantify the impact of the product mix change during the quarter ?

Second, you know , on the expense part , again , going back , given that you are focusing on rolling out your non -mutual fund strategy and also kind of spending on the tech side , and how do you kind of intend to maintain the current cost ratio , if you can give some color on that ?
Simal Kanuga: I think first point as you understand , right , how the B30 accounting works . So, basically , the B30 spend is accounted for , and then over a 12 - month period , it gets amortized . Now if you are not able to do it as per the SEBI formula , there is a formula saying that what percent age of sales is happening from B30 so on and so forth . The balance need s to be absorbed in the TER. So, there are some adjustment in reference to that . So, that was the B30 thing that we refer to , Dipanjan.
Dipanjan Ghosh: Sure. On the expense side.
Naozad Sirwalla : So, expense, I think we have mentioned that some of the spend s have already gone through this year . Some of it will continue going forward . So, I don't know exactly what you are looking for because we don't necessarily give forward -looking guidance .
Dipanjan Ghosh: I just wanted to understand , you know , what will be the incremental quantum of spends on the, the cost of rolling or the non -mutual fund strategy , and i f that will be material to your overall P&L?
Simal Kanuga: It will be minimal , and I think most of that in terms of setting up of our AIF and the related costs in reference to legal, accounting , tax, all of it has already been taken care of . So, we don't anticipate anything material from on that for sure .
Dipanjan Ghosh: Sure. And just maybe one question , if I can flip in . Your product pipe line for FY '24, I mean , just wanted to get some understanding . Will there be any NFO spends that, you know , kind of on the equity side that can come up?

Simal Kanuga: So, we will be doing few NFO s, not many . And I think if you kind of recall , right , I just kind of referred to that NFO as a percent age of the net sales number in FY '23 has been at a pace lower than as compared to FY '22. Most of the standard categories we already t icked the box . Even in terms of sectoral and thematic , we have been able to expand our product portfolio . On the passive side , we have kind of done sleuth of products both on the ETF as well as on the index platform . We don't expect many more NFO s to see the light of the day during the course in terms of high

spending kind of NFOs. We will continue to expand our portfolio on the sectoral thematic side .
Navneet Munot: In the core categories, I think our product book is almost full . I think we have mentioned earlier we had

eight NFO s in FY '22. We had like 25 including a lot of p assive funds in FY '23. Yes, there would be a few sector thematic funds here and there , but I think our product portfolio is almost full . We have absolutely Best in Class when it comes to active , absolutely Best in Class when it comes to passive on the product side .
Moderator: Thank you. The next question is from the line of Srinath V from Bellwether Capital. Please go ahead .
Srinath V: Just wanted to find out , you know, what was the equity yield contraction year-on-year? 70 bps was the number for the cu rrent year , but what was the kind of equity yield contraction ?
Simal Kanuga: See, actually difficult to kind of look at it . In any way , it will not tell you anything for future . That's what we can tell you because what happens is whenever there is a contra ction in yield due to increase d AUM , that tends to have a follow -on effect over a period of time whereby that kind of neutralizes itself .
Srinath V: More not from the future , but largely want to reconcile the current numbers . If you actually see the yields reported for the year have not changed much , but because of the mix change , you know, we are not

able to see how yields are moving to reconcile the gap between asset growth and revenue growth .
Simal Kanuga: I think we have moved from the mid -70s to early 70s for the weighted average AUM of the year .
Srinath V: Okay. That's for equity, right ?
Simal Kanuga: Yes.
Srinath V: Perfect. And given the kind of gross flows you guys have had , especially because of the share again in the last 12 months , would it be kind of fair to assume that large part of this repricing where our back book had significantly lower payouts , it's kind of either , you know, we are like halfway done or we are largely done ? How do you see this , you know, book repricing because if now like 70% of the assets we hold are assets that are like , you know, two, three years old , then the repricing should be largely done , right ?
Navneet Munot : So, we have mentioned this earlier , this is dependent on multiple variables and difficult to predict . It depends on what part of AUM is going out , more recent high-cost AUM or the older AUM. And we also have to factor in the mark -to-market impact . So, mark -to-market impact versus flows . So, gross sales as percent age of outstanding AUM also guides the spe ed of dilution . So, we have been asked this many a times, but honestly , we ourselves find it difficult to put a precise number . The endeavor is always to have better retention of the existing assets , at the same time , continue to get higher share of the gr oss flows .
Srinath V: Got it. Navneet, any views on stock buyback given that we are now going to see an equity dilution coming in in a business like ours which , you know, ideally needs no capital? Wanted to understand what is your broad take on buybacks, as well as do we need any specific SEBI approval over and above what any other normal company would need to do a buyback ?

Navneet Munot: So, I mean , I mentioned earlier on the overall payout ratio or the usage of capital is something that we keep discussing in the Board. Th is time you would have seen we have an enhanced our payout ratio . Have we discussed this specifically buybacks not really , but yes, I mean all options are always open .
Srinath V: And the last one is , would it be possible to quantify the brokerage payout in value terms because , you know, as we try to assess what is the likely

risk that we are going to face? So, I am not asking you what the law will be or how you will deal with , but would it be possible just to disclose the value number so that at least we can figure out what is the value at risk?

Navneet Munot:

I think it will be prudent to think over the same once we know of exact regulation . There is no point speculating at this point in time.

Moderator: Thank you. Next question is from the line of Kunal Thanvi from Banyan Tree Advisors. Please go ahead.

Kunal Thanvi: Thanks for the follow -up. Can you help me with , you know, what is our yield for the new flows that we are getting ? Do you see any improvemen t in the competitive intensity in this quarter ? And like are we seeing some improvement in the new yield for the new flows that we are getting ? That is question number one .

Second is, you know, from a longer -term perspective , if you can help us understand the remuneration , you know, policy for the company , because we ha ve seen like ESOP s coming back . How does one , you know, kind of equate between the variable fee and ESOP with ESOPs coming in like , and also at what level will be giving the ESOP s? Will it be company -wide ? And you know, what would be the impact on the variable salaries that we see in one of the quarters during the financial? Will that kind of subside because of the ESOP? How should one look at it?

Navneet Munot: Sure. So, on the , your first question on the commission payout trend, I think we have been saying for past couple of quarters that things are getting better . If you observe the direct plan TER of recently concluded NFOs, they are much healthier than say NFO s launched say a year back , and even non -NFO flows are coming in at better margins. In fact, actually , I have mentioned this earlier , that a low direct plan TER due to high commission hurts distribution fraternity in medium to longer term more than anyone else since customers may opt for direct plan if the difference is materially large , and most of the distribution partners do understand and appreciate the same .

Your second question on the ESOP side. So, as Simal mentioned in the opening remarks , our NRC has approve d a grant of 10.5 lakh ESOPs to the eligible employees . You would appreciate HDFC Group has been a strong believer in culture of shared ownership and align interests , and we believe by giving employees a stake in the company , they become more invested in t he success and are further motivated to work towards achieving the shared goals .

People are our biggest asset . This business is all about people. On distribution and other things that you ask for , so we have engaged services of a Big Four firm for advisi ng us on this . This is broad -based covering more than 50% of our people . Dilution is less than 0.5% over a three -year vesting period . And I think Naozad has already mentioned the financial impact and accounting impact of this, right.

Kunal Thanvi: Sure. The reason I was asking this was , of course , our industry is people based and , you know, once we issue ESOP to 50% more of the employees , does it mean that there will be the variable payouts that we make because of the performance links ? Will that ki nd of smoothen up or that continue to be the way it has been over the period of time?

Navneet Munot: I mean , we consider all of that in the NRC and of course in the management team , when we look at the fixed pay , variable , and then of

course the ownership through the ESOP plans . And I think Naozad mentioned earlier that if you look at a three -year CAGR, it's been like single digits .

Kunal Thanvi: And last question if I can squeeze in is on , Naozad mentioned that , you know, we strive to maintain 14 bps in the total cost that we have , right?

Now when we look at our business on the way things have been moving , it is probably very apparent that the yields would kind of come off, and since it's an operating leverage business , one would believe that the

cost per AUM could kind of also c ome down and hence the falling yields could get subsided by that . So, can you throw some light on how do we think about our cost structure not from a year perspective like five years respective in terms of , you know, in relatio n with the AUM growth ? Because given the fact that our TER will kind of come down with this increase in size . Cost as a percent age will decide what kind of profit growth we as a company will achieve in next four or five or maybe 10 years from now .

Naozad S irwalla : So, I think if you take it over a long-term period and operating leverage , as you right ly said, is a focus for everyone . So, if you say that over a 3, 5, 10-year period , our endeavor would be that our costs grew at a slower pace than the AUM, and by that mathematically the basis point should come down , right . So, that obviously is the endeavor for our business.

Moderator: Thank you. The next question is from the line of Abhijeet from Kotak Mahindra . Please go ahead .

Abhijeet: First is a broad industry question . I think there was another guideline that SEBI put out around the responsibility of mutual fund trusts versus the AMC Boards. So, anything to read there because it seems like SEBI probably wants to give more strategic decisions to that tr ust rather than the AMC Boards? So, does that change things in a material way in the way the business runs in terms of how performance is looked at , in terms of how fees are charged ?

Navneet Munot: I think both the Trustee Board as well as the AMC Board look at all of these things . The performance is closely tracked . The fund performance I am talking about and all the other things related to risk management , compliance , and a variety of other things . Of course , as I mentioned earlier SEBI's overarching ob jectives have been market regulation , investor protection , and they keep doing lots of things to ensure that the industry performs well , take care of the unit holders to the best of our ability over a period of time .

Abhijeet: No, what I meant is generally in terms of being able to let's say make more day -to-day decisions around let's say what fees are to be charged , how to ensure better performance , if that requires any changes anywhere in the business , on all those aspects , do you see anything materially changed in the way the business is run today ?

Navneet Munot: No.

Abhijeet: Got it. Second one, again on fees. Again, just a broad question . Amongst the industry , is there an industry view on whether the industry is sort of making more money than what is d esirable or what is justified? And I mean, of course, I may not have put that question in the right way, but is there a consensus in terms of , you know, what's the right level of profitability across different buckets of AUM sizes that the industry operates in today ? And how are you sort of putting it across to the regulator ?

Navneet Munot: So, if I remember correctly the combined PAT, the aggregate PAT of the industry was around 8 ,000 crores , and we are managing 40 lakh crore s. So, that's 20 basis p oints . But that profit would also include other income , and so if you adjust for that , operating level would be around 6,500, 6,700 odd crores for the industry . On a 40-lakh crore , that's how much ? 16 to 17 basis points. Up to you . I mean , when you compare with let's say the business we run , whether 16 , 17 basis points , is this too much to us ? Not really .

Abhijeet: In terms of a follow -up, it's clearly like the larger guys including HDFC do have the benefit of the profitable back book , but would it be fair to

assume that the regulator would not look at it in a very negative way
compared to where the rest of the industry is bec

ause, I mean , just in
terms of how the fees would be arrived at ?
Navneet Munot : You would appreciate the hard work that would have been put over two decades to build that book and to get to this profitability . It's not easy to serve millions of investors , creating long -term, you know, wealth for them , tens of thousands of distribution partners across the country , I mean , across 228 phy sical locations s erving like close to 99 % of pin codes, delivering the performance that we have delivered over two decades plus , I mean , if you look into that , you will have to see the profit number in that context .
Moderator: Thank you. Next question is from the line of Sahej Mittal from HDFC Securities . Please go ahead.
Sahej Mittal: Good evening and thanks for the opportunity . So, first is on the ne t yields on non -NFO business , the non -NFO flows which are coming to you . So, if in the current quarter you are getting say , for example , 60 bps hypothetically on your equity AUM , so what was this number for non - NFO equity flows for the last quarter versus year -over-year? That is first.
And the second is that given that the industry is going hard o n the asset manager , so what is your view that , you know, are they also given the kind of commission payouts which happen in the industry right now , so is the regulator even looking at these , at the profitability of these distributors and the kind of back book which they have ? Those are my two questions .
Navneet Munot: So, on the commissions on the incremental flows, I think we have answered that. I think the environment is improving a bit, whether you

look at the NFO s or the non -NFOs flow in the industry . The second question was on , I missed that.
Sahej Mittal: Distributor, the regulator going or how is the regulator looking at the commission payouts for distributors ?
Simal Kanuga : Actually, the chairperson ha d kind of clearly stated , right , let the indust ry decide on how they want to manage that . So, our limited understanding suggests that regulator will not kind of get to that level of discussion . At least that's what the chairperson stated at the press conference .
Sahej Mittal: Right, and sequentially on the non -NFO flows in the equity segment , there is no d ip in net realizations . Is it fair to assume?
Simal Kanuga: Commissions have gone down . See, net realization will be a different story because what tends to happen is if th e AUM crosses that 5 ,000 crore s multiplier , you will see a dip in the revenue , but if you are looking at di p in commission , over a period of last 12 months , as Navneet mentioned , we have seen numbers get marginally better from where they were .
Moderator: Thank you. Next question i s from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Thanks again . Just on the AI F thing , you know, you mentioned that you have raised 400 c rores of commitment . What are the other plans with regards to , you know, new launches over the next one or two years ?
Simal Kanuga : So, Prayesh, this is our first one . So, I think as of now we are focused on this one . Maybe over a period of time , we will kind of further expand our product portfolio when it comes to AI Fs. But I think as of n ow we want to focus on building this one to the level next .

Prayesh Jain: And this is another question similar to one , you know, it's about earlier possibly . But , you know, if I look at your ROE s that have come down from 35 %, 36% range to now 25 %, how shou ld we look at this , you know, from the profitability of A MC say , two years , three years down

the line ? Do we think that , you know, this could say trend upwards in
some form going ahead in any way ? Because it doesn't seem appears to

be the way the regulatory moves are kind of , you know, coming across ,
it doesn't seem that the profitability in terms of ROEs could really trend
on the higher side .
Naozad Sirwalla : See, ROE is driven by the base effect for us given that we have a large
balance sheet . So, of course , as we increase our payouts as we have been
doing i t structur ally in the last two, three years , but ROE impact will be
there just because of the bas e effect largely for us.
Prayesh Jain: So, you know, because the margins have also gone down a nd that would
have also played out , so it was more from that perspective. I understand
the balance sheet size has gone up but , you know, it was more from a
margin perspective if you look at , they have kind of come off. So, you
know, from a longer -term perspective , do we see that returning anytime
soon ?
Naozad Sirwalla : Margins have been around 35 basis points. So, have been over the last
several quarters 35, 36 basis points.
Simal Kanuga: Actually, Prayesh, see profits have grown . So, basically , if you are
looking at ROE, means we definitely appreciate your question on
margins having gone down . Yes, that has been the case , right ? And I
think Navneet did make a mention that our margins are kind of govern ed
because of the book being at a different price a nd the flows being at a
price higher than the cost of the book . So, yes, margins are going down ,
but that would not have any kind of direct impact . So, ROE is profit
divided by the net worth, and out there we are sitting on slight bit of an
extra cash .

See, the way we see it is we are an infinite ROE business , theoretically
in a sense. Today, apart from what is required by regulation in terms of
the skin in the game circular and the minimal net worth criteria of 50
crores , everything balance is sitting o n our balance sheet . If that is not
there , then, of course , our ROE will look very , very different .
But yes, with you on the margin side . I think our business has undergone
bit of pressure on the margin side over the last few years . On the
regulatory fun d, we honestly don't know what's going to really play out .
Having said that , if you re wind yourself to 2019 , right , I think we did
see a regulatory change and pos t that we have been able to kind of tackle
things as it is . So, I think , let us see how this c omes up and we will decide
then after .
Moderator: Thank you. The next question is from the line of Atul Mehra from
Motilal Oswal Asset Management. Please go ahead .
Atul Mehra: Good evening , and thanks for the opportunity . There is one question in
terms of like typically the way we see it is on the mutual fund business ,
the regulatory issues like we discussed on the call are generally
increasing in terms of fee pressure and so on . So, while in terms of it
might not contribute very much in the near term , but would you want to
from a medium to long -term perspective incubate a private equity
venture capital business w here the long -term value that we can de rive is
much higher al though near term obviously will not mov e the needle
given how large our public market business is , but the profitability and
the scope there could be much larger when you look at it from a long -
term perspective ? So, any thoughts on these two businesses ?
Navneet Munot: You shouldn't look at a business from more regulated or less regulated .
In fact, the regulation on alternative , as you will be aware , is also
changing . I mentioned earlier , I wouldn't comment much on the
regulation side , but we remain committed that over a period of time ,
there are tremendous opportunities in this business .

Our mission is , I have repeated it several times , to be the wealth creator for every Indian , and that

includes , SIP of Rs. 100, Rs. 200, Rs. 500 per month , somebody w ho w as contributing that, to serving the ultra HNIs and family offices and institutions wh o are looking at maybe other kinds of solutions .

Within the asset management business , we are building capabilities across the Board. We have been best-in-class , I mean , in terms of our product range on the active side. We have significantly expanded on the passive side . So, as that market grows , we are absolutely ready to capture that, and all the alternatives, as you mentioned , the first product on the fund of fund is being launched .

So far, I think we are pretty happy with what we have done on both sides , building capability on the investment side as well as our reach to the investors . I think over 200 investors have participated in our first close . I mean, that's very , very heartening . And over a period of time , we would like to build that . So, we've launched two strategies on PM S, and over a period of time , there will be opportunities on that side.

On our subsidiary on the Gift City, I think another quarter or two once we start , once that 's fully set up , we will look at launching products both for global investors who want to invest in India and at a later stage even providing opportunities for domestic investors through the LRS route to invest globally .

So, I mean , we want to capture every possible opportunity on the asset management side , and I don't think the lens through which we will look at is like what is more regulated and what is less regulated . We really appreciate I think the way regulators have played their role in India . I think tremendous credit to them for the market development over the years .

I think Indian capital markets , I am sure you would agree , are one of the most , I would say , robust , I think one of the most liquid and transparent markets , and over a period of t ime, transparency really helps in building trust among the investors , all kinds of investors .

So, whatever regulator does , I have mentioned it earlier , even at the cost of repeating apart from market regulation and investor protection , they also have an objective of market development , and we are all hopeful as an industry , we engage with the regulator , with other market participants on how do we grow together for the betterment of investors and , of course , for the growth of the economy over a period of t ime.

Moderator: Thank you. The next question is from the line of Gaurav Jani from Prabhudas Lilladher. Please go ahead .

Gaurav Jani: Thank you for taking my questions . Just wanted to understand from a mix perspective , you know , in terms of equity direct to indirect , are we material ly different from the industry ?

Navneet Munot: Our equity mix is better than the industry . I think on the closing A UM, the equity was 56 % of the total assets . On average , it was 54 % of total assets . Industry would be 49 %, yes, it is better than the industry .

Gaurav Jani: No, so I me ant actually the direct contribution in equities versus the industry . So, that will be about 80 /20 right , I mean 20 direct and 80 indirect so .

Navneet Munot: Oh, on the management fee is same in bot h direct as well as in the distribution plan .

Moderator: Thank you. Ladies and gentlemen , that was the last question . Thank you very much . On behalf of HDFC Asset Management Company Limited , that concludes this conference . Thank you for joining us . You may now disconnect your lines .

Call: Jul 2023

HDFC Asset Management Company Limited
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Ref/No/HDFCAMC/SE/2023-24/52 Date – July 27, 2023
National Stock Exchange of India Limited
Exchange Plaza, Plot C/1, Block G, Bandra Kurla Complex, Bandra (East) Mumbai – 400051.
Kind Attn: Head – Listing Department BSE Limited
Sir PJ Towers, Dalal Street, Mumbai – 400001.
Kind Attn: Sr. General Manager – DCS Listing
Department

Dear Sir/Madam,

Sub: Transcript of Earnings Call

Please find enclosed herewith transcript of Earnings Call for t he quarter ended June 30, 2023, conducted after the meeting of the Board of Directors on July 24, 2023 wh ich can also be accessed on the website of the Company at: https://www.hdfcfund.com/about-us/ financial/shareholders-presen tation

Kindly take the same on records.

Thanking you,

Yours faithfully,
For HDFC Asset Management Company Limited

Sylvia Furtado
Company Secretary Encl: a/a

"HDFC Asset Management Company Limited
Q1 FY '24 Earnings Conference Call"
July 24, 202 3

MANAGEMENT : MR. NAVNEET MUNOT – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. NAOZAD SIRWALLA – CHIEF FINANCIAL OFFICE R
MR. SIMAL KANUGA – CHIEF INVESTOR RELATIONS OFFICER

Moderator : Ladies and gentlemen, good day, and welcome to Q1 FY '24 Earnings Conference Call of HDFC Asset Management Company Limited. As a reminder, all participant lines will be in the listen -only mod e and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone

phone. Please note that this confer ence is being recorded.
From the management team, we have with us Mr. Navneet Munot , Mr. Naozad Sirwalla; and Mr. Simal Kanuga . I now hand this conference call over to Mr. Simal Kanuga , who will give us a brief , following which, we will proceed with the Q&A session. Thank you, and over to you, Mr. Kanuga.
Simal Kanuga : Thank you Neerav and good evening everyone.
We'll start with the data for the industry ,
The Quarterly Average Assets Under Management for quarter ending June 2023 reached Rs. 43.1 trilli on, a growth of 14% year -on-year.
Quarterly Average AUM for actively managed equity -oriented funds stood at Rs. 20.6 trillion, while equity -oriented index funds stood at Rs. 0.6 trillion.
The net flows into equity -oriented funds amounted to Rs. 198 billio n for the quarter ending June 2023. The break -up of this number is Rs. 172 billion in actively managed equity -oriented funds, while the remaining Rs. 26 billion came into equity -oriented index funds - approximately 13% of the net flows.
SIPs continued thei r journey, reaching flows of Rs. 147 billion in June 2023, compared to Rs. 123 billion in the same month of the previous year. Over the quarter, SIP flows totaled Rs. 432 billion, which accounted for nearly 37% of the industry's gross active equity flows.

Shifting focus to debt funds, inflows into debt funds remained strong even post the tax changes introduced in March. The quarter saw net flows into debt -oriented funds, including debt index funds and debt ETFs, amounting to Rs. 642 billion. QAAUM of debt funds grew by 6% YoY to reach approximately Rs. 10 trillion. The QAAUM for liquid funds grew by 7% YoY.
The category of "Others," which includes ETFs, Arbitrage, and Funds of Funds inves

ting overseas, experienced a 15% growth YoY.
We no w move to us ,
Our company concluded the quarter with a Quarterly Average Assets Under Management of Rs. 4,857 billion, with equity -oriented constituting 54.2%, relatively better than the industry in this regard.
Our unique investor base grew to 7 .1 million unique investors at the end of the quarter ending June 2023, a share of 18%.
Our market share in terms of QAAUM reached 11.3%, and excluding ETFs, it stood at 12.6%. Our market share for actively managed equity -oriented funds based on QAAUM was 12.1% and 12.2% on a closing basis.
In debt funds, our market share for quarterly average AUM, including debt index funds, amounted to 13.2%, while, our market share for quarterly average Liquid AUM stood at 13.7%.
During the month of June 2023, we proces sed 5.03 million systematic transactions, amounting to Rs. 18.9 billion. For comparison, the corresponding figure in March 2023 was Rs. 17.1 billion and the number for June 2 022 was Rs 12.8 billion.
Continuing our commitment to meet the diverse needs of our customers, we expanded our product portfolio by launching an equity - oriented thematic/sectoral fund ie HDFC Defence fund. The new offering garnered healthy interest and further enriched our range of

investment strategies. Furthermore, we have continued to broaden our selection of passive strategies, reinforcing our dedication to be a one - stop shop for investment needs.
Now moving to financials,
We closed the quarter with a total revenue of Rs. 7,325 million and profit after tax of Rs. 4,775 million.

Our re venue from operations came in at Rs. 5,745 million, a growth of 10% YoY and other income came in at Rs. 1,580 million.
It would be important to spend a minute on other income. Firstly, we have investments of over Rs.3 billion in equity oriented mutual fu nds – this is to comply with the skin in the game circular. We experienced healthy mark to market growth on this part of the portfolio during the quarter. Also, we experienced a mark to market growth on our fixed income investments due to downward moveme nt of interest rates.
On the employee cost front, it grew by 7% to Rs. 838 million as against Rs. 780 million in the corresponding quarter previous year. If we consider the number excluding non -cash charge on account of ESOP, it stood at Rs. 728 million as against Rs. 677 million in the previous year, a YOY increase of 8%.
In terms of other expenses, we have seen an increase of 17% year on year, this can be principally attributed to expenses that we have incurred for our general business -related expenses and technology spends.
Consequently, our profit after tax grew by 52% year on year and 27% quarter on quarter. As you would have noticed, the effective tax rate is lower, primarily due to decrease in deferred tax charge for the current quarter, mainly at tributed to holding period of certain investments, transitioning from short -term to long -term.

Our operating profit margin as a basis point of AUM stood at 34 basis points for quarter ended June 30, 2023 with operating revenue margin at 47 basis points.
Thank You for your time and patient hearing. Navneet, Naozad and I are available for taking questions now.
Mod erator : Thank you very much. The first question is from the line of Swarnabh Mukherjee from B&K Securities.
Swarnabh Mukherjee :So, my first questi on is on the yields. So just wanted to understand in terms of the new flows that are coming in, how are the yield levels, so is this similar to what you have been mentioning in the prior quarters? Or has there been a compression from that, if you could hig hlight the same? And also, how was the experience in terms of yields for the NFO that we did during the quarter. So tha

t is the first question.
Secondly, I also wanted to understand that in terms of gross flows, how are we seeing the market share develop. I think in terms of SIPs, we do see that the market share is curbing up in terms of flows. But overall, how are you seeing the number? And lastly, on the other expense side, wanted to understand that the slight increase in other expenses sequentially, is t his pertaining to NFOs or is this the kind of run rate that we should expect to see going ahead in the years.
Navneet Munot : So, the first question on the margin on the new flows. I think we mentioned last time that we are seeing some bit of rationalizati on in brokerages in market . The pressure that a huge number of NFOs created last year and year before last, that seems to be settling now. You would have seen the direct plan TER s for our recently launched NFOs - HDFC MNC Fund and re cently the HDFC Defence Fund and also the overall numbers. That was the one , second on how the ma rket share has been shaping up.

You mentioned about the SIP flows and we disclose the systematic transaction flows, which include both SIPs and STPs , that ha s seen a healthy growth . In terms of incremental share in new folios - net new addition of new PAN, we have got a very high market share . Market share on equity across all channels, inclu ding distributors, banks, mutual fund distributors, fintechs, di rect across all channels, we have been seeing our market share improving.

Swarnabh Mukherjee :Right, sir. Sir, just a follow -up on the first one. So, the slight softening in terms of the yields that we have seen this quarter. This is -- there is no incremental levers, right? So, it is more -- I mean, entirely due to the levers that you have mentioned previously in terms of product mix and slightly lower yields in the new flows.
Navneet Munot : Sure. So, let's talk about the overall margin. The n umber for this quarter is 47 basis points on quarterly average AUM. The operating revenue for March 23 was Rs 5,409 million, and th e quarterly average AUM was Rs 4,498 billion. The resultant operating revenue margin was around 48 basis points. So, net-net d ecrease of around a basis point. Some of you might have looked at our last full year number of 49 basis points and hence, the fall might have looked more than what one would have estimated. So , let me expand on the margin.
When we are referring to margins, it is predominantly about our equity -oriented AUM . We have mentioned it in the past and continue to say that our book margin is higher than flow margin and would lead to margin dilution with every new rupee flowing in. The impact does get further magnifi ed when the existing low -cost AUM moves out. This is structural. Of course, the pace of dilution has slowed down meaningfully, which I mentioned earlier, due to rationalization of brokerages that has happened in market.
Secondly, the TER formula does clear ly entail fall in TER with increase in AUM. To make it easier to understand I have pulled -out data for our schemes in terms of AUM and the TER, the TER is

regular plan TER and is completed based on SEBI's formula. So, this is gross TER number, so no imp act fr om distribution costs, et c. So, say, if I take HDFC Balanced Advantage Fund, for example , the AUM was approximately Rs 52,000 crores, and the TER as on 31st March was 1.5%. The AUM moved to ove r Rs 57,000 crores, which is a combination of mark -to-market gain as well as the fresh flows as on 30th June and the TER fell to 1.47%. So, 3 basis points fall on entire AUM due to change in the AUM.
And this fall is what, if you remember, even SEBI's Chai rperson referred to in our last Board meeting interview, that the economies of scale are being passed out to investors. As we sa

w a rapid increase in the AUM during the quarter, the same is the case with a couple of our other larger schemes too. So that's just to explain the impact of ris e in AUM and consequent impact on the TER and the second was on the flow side. I mean, the newer flows are coming at a lower margin than the margin that we have on the book.
But let me make this point very clearly that from o ur perspective, think about it. The example that I gave a Balanced Advantage Fund, Rs 57,000 -odd crores into 1.47% gives us higher revenue as compared to Rs 52,000 -odd crores at 1.5%. So clearly, I mean, a higher AUM while will lead to a margin dilution gi ven the formula, but for us, it's higher absolute profit.
Now I'm sure somebody may ask a follow -up question then why don't you cut the commission on the book every time this happens. So easier said than done. Also, market movement of 5%, 10% can make this swing one way or other and is not practical. I hope that answers your questions.
Swarnabh Mukherjee :Yes, very clear. Sir, lastly, on the cost side, so the other expenses, there has been a slight increase. I wanted to understand whether th is is something that we should expect or this a certain one -off in terms of maybe additional expenses for the NFO.

Naoza d Sirwalla : Are you talking of sequential quarter from March 2 023 to June 2023 ?
Swarnabh Mukherjee :Sequential.

Naoza d Sirwalla : That's like Rs 4 crores , around 5-odd percent. Some of it is actually because of some CSR expenses, but I would assume that a 5% increase - absolute amount of Rs 4 crores should be a sort of normal that we expected over the year, right?
Moderator : Next question is fro m the line of Dipanjan Ghosh from Citi.
Dipanjan Ghosh : Just two questions. First, on your SIP book, now your SIP flow market share has increased considerably. But if I look at the AUM market share, that continues to remain broadly flattish. So h ow should one read into that? Second, on the yield part, you mentioned that there has been some rationalization on payout, but just wanted to get some sense of what will still be the delta on equities between fresh versus existing book. Just give some colour on that because that will give us some colour on incremental trajectory as the flow market share improved. And lastly, maybe I will just get in one question on the cost side. You have added a couple of fresh employees during the quarter. So, I just want ed to get something of whether the fully diluted cost base captures it as a whole? Or should we see some amount of upward pressure on that going into 2Q or 3Q?
Simal Kanuga : The SIP AUM that is outstanding is Rs 7.9 trillion if you look at for industry as a whole, right? So, for a delta to occur via increasing flows in terms of market share that you are referring to, will take some time to get really reflected, right? You've seen a substantial increase in our systematic transaction book on a Y -o-Y basis. But flow is translating into AUM and gain on market share tends to happen with a bit of lag. Does that help?
Dipanjan Ghosh : Sure, on the other two questions.

Simal Kanuga : Yes. So that was the first thing. Second thing you referred to is the last point you made a mention about is increase in the number of employees. That's what you referred to?
Dipanjan Ghosh : Yes, yes.
Navneet Munot : That' s from 1,280 to 1,320 or so. It's not a substantial increase and mostly in sales, client services, I think some of the support staff in digital, etc .
Simal Kanuga : This would be the junior to mid-level kind of employees. So, you will not see this changing delta in terms of cost of people.
Dipanjan Ghosh : Got it. And lastly, on your fresh versus blended flows on equity, and this question was asked by the other particip

ants. But I can give some colour on what will still be the delta between the two so that we can get some idea of how much more drag can be there just because of the organic shift from flows to AUM?
Simal Kanuga : Dipanjan, you really don't get to that number. Having said that, I think Navneet did refer to some of the di rect plans of the newly launched NFOs. So, if you look at what we did in the M NC fund, if you look at what we have done in the Defence fund, you can even look at our Noncyclical consumption fund, which closed very recently. All these are running at a direc t plan anywhere between 90 to 110 basis points. Having said that, we definitely don't have that kind of margin luxury when it comes to our bigger funds, right? Because you need to well placed in the market in terms of competition. So, keepi ng that in perspective, I think you can get a broader idea. So, if our book margin is in terms of the late 60s, the flow margin is at a healthy discount to that number.
Moderator : Next question is from the line of Lalit Deo from Equirus Securities.

Lalit D eo: Yes. Sir. I just have two questions. So firstly, like for the promoter change s to HDFC Bank. So, like what are the initial changes which we have done in terms of the distribution or like in the strategy formulation in terms of transferring to the custom ers of HDFC Bank?

Navneet Munot : So, on the merger, we have a very optimistic view of this opportunity.
As you know, bank is a formidable distribution machine, and we will put in enough and more effort to capitalize on it. We already are deeply involved with them across all levels, but alignment of interest can definitely be a big tailwind for us. We are seeing material improvement in the engagement, and we'll continue to work on strengthening it further.
While HDFC Bank is committed to maintaining an open arc hitecture approach as a distributor , but given our range of products across various asset classes and brand familiarity, we are confident in gaining a share of HDFC Bank's customer base. And as you are aware, bank has been expanding rapidly in terms of bran ch expansion and the number of clients that they have, there is a lot of opportunity for us to leverage on that. The kind of support and welcome we have got from them is absolutely overwhelming.
Lalit Deo : Sure, sir. And sir, also like you mentione d that we have been seeing improvement in our market share across channels. So just wanted to understand like in terms of big national distributors or the smaller distributors, could you quantify as compared to like over the last 1 years, how is it -- how much it has improved? And whether it is better. And in terms of like the AUM market share, how much is the difference over there?
Navneet Munot : So, I mean we disclosed at the stock level, but all I can tell you is that across all channels, when yo u look at the equity inflows, MFDs contribute a little over 30%, then NDs contribute a little over 20%. Banks would be around 20 -odd percent. Direct would be 16 -odd percent, fintech would be around 9% or so. And across all channels,

our market s hare has improved quarter -on-quarter as well as year -on-year.
Lalit Deo : Sure sir. And sir, lastly, like any product pipeline which we are having right now in terms of like in equity as well as it in passive funds or in the alternate segment as well.
Navne et Munot : I think now with all the NFOs we have done in the last couple of years, we have an absolutely best -in-class product range. There is one NFO which we'll have now is the transportation and logistics fund. And the other fund, which, in f act, I will take this opportunity to make a passionate appeal through everybody to look at our cancer cure fund for a different reason.
But from

an incremental product range, I think we are more or less full on the product side when it comes to equity as well as fixed income. On the passive side, where we have done lots of products over the last 2 years, idea would be to grow all of those products over a period of time. Little bit here and there. There could be some sector fund or a thematic f und here and there. But I think more or less, we believe we have an absolutely best -in-class product range.
Moderator : Next question is from the line of Prayesh Jain from Motilal Oswal.
Prayesh Jain : Just a few questions from my side. Firstly, when you tal k about the yield, you mentioned about stock versus flow. Is it fair to assume that a good lion's portion or you can say, 80%, 85% of the book would have churned by now from old to new ? That would be my first question.
Navneet Munot : What percentage of book would have got churned by now ? So, we don't give those number s. I mean earlier also, you would remember, people have asked about like when will your entire book be reprice d. So, this is dependent on multiple variables and is difficult to predic t. I think it will depend on what part of AUM is going out? Is it more recent high -cost AUM or the older AUM ?

And we also have to factor in the mark -to-market impact, different funds have different vintage of money. Gross sales as a percentag e of outstanding AUM will also guide the speed of dilution. And when the AUM grows multiple times from where it is today, the impact of old AUM on the margin will get fairly diluted. But yes, long way to go is what I would say.

Prayesh Jain : Okay. Got that . And could you talk us about or talk something about the customer behaviour today on the equity side right now given that the markets are at new highs. And do you think that redemption pressure is that can be expected because generally on up cycles, we've seen that happening. And even the SIP flow for the month of June was flattish compared to the previous month, and there are some statistics which kind of reflect that the net flows have been declining on the SIP side. So, could you throw some light as to what's the customer behaviour on the ground today?

Navneet Munot : I think over the last couple of years, we have seen Indian investors becoming very mature . You have seen during times of stress in market when valuations are lower, entry opportunities bet ter, you have seen flows increasing. And whenever market has t ouched a new high, our valuation running a little higher, you have seen a little slowdown in the flows.

But amidst all this, the most heartening feature is the continuous increase in the SIP flows. So even in the month or last 2 months when you talked about slowdown in overall flows, the SIP book has continuously been increasing for the industry. Number of accounts are increasing the overall amount in the SIP flow has been increasing. And tha t's the most interesting feature. And I think that is a behavioural aspect that we that we really kind of get very enthused about. And as a house, if you ask me, what is our number one priority for our entire organization. Each and every one of us are ful ly determined to make the most of it. All of us have been working very

hard to keep enhancing our systematic transaction s book because we think that that's the best way of garnering flows and building an order book for the future, and this is very good for the investors also to create their wealth.

Prayesh Jain : Just a couple of more questions. Firstly, on the debt side, post this taxation implication, what has been the behaviour of the customers? And how do you see the debt segment kind of behaving in the say, next couple of years? That last question would on the ETF side as to how do you think , no

w you've launched a variety of products, but what efforts or what strategies would you kind of implement to increase of v olumes on the exchanges? Because that becomes a critical element for the ETF portfolio to really grow and those would be last two questions?

Navneet Munot: So, on the debt side, very interestingly, after several quarters of witnessing outflows, as an industry , we have seen positive flows in the last quarter more at the front end of the curve in products like ultra short, money market and in those kinds of funds , not so much at the long end . Maybe at some stage where p eople have more confidence about downward movement in interest rates, there could be more money into the longer -dated duration funds. But as you are aware, in the last couple of days of March, post the announcement of changes in the taxation, the industry witnessed good flows in the long -term bond funds also, particularly in bond index funds. There was a question on the flows on the debt side, right?

Prayesh Jain: Yes. So, you mentioned that in the near term , you expect the uptrend in the longer duration. Would that translate into better yields as well?

Navneet Munot: Are you saying for us from a margin perspective, if more money comes into credit funds or long -duration funds?

Prayesh Jain: Yes.

Navneet Munot: That's margin accretive. For us, I mean, I think maybe in a different manner, I would like to repeat this. See, for us, there are two ways to look at it. One is, we get hyper -focused on blended margins. And the other way to look at it for us, we are an ass et manager. Our mission is to be the we alth creator for every Indian. Every money that comes in adds to the absolute profits. So, let's say, I mean, the bond index fund as a category becomes more popular, and we get lot of flows where the margins may be slig htly lower than credit fund. The margin at the blended level in fixed income will look a little lower, but for us its good because it enhances our overall absolute revenue and absolute profits.
Prayesh Jain: Sure. And my question on the ETF, sir?
Navneet Munot : We have launched a large number of products. Some of them have got good amount of flows in last couple of months. You can see that our Bank fund, IT ETF , Private bank ETF, so on and so forth. And we have put a dedicated lead and hired a couple of people to focus on growing that part of our business.
Prayesh Jain: But sir – Navneet how do you sca le up volumes on the exchanges?
Navneet Munot: So as of now, the money that has come into some of the ETF s is from direct customers, we are doing the unit creation at our end. At the same time, we are also focused on enhancing our secondary market volumes and engaging with the market makers and looking at every possible way that we get a higher share in the secondary market volumes also.
Prayesh Jain: Alright. Thank you. All the best.
Moderator : Thank you. Next question is from the line of Viraj from Banyan Tree Advisors. Please go ahead.
Viraj: So, on the distribution part -- sir in the presentation, I see that we had like the same quarter last year, we had around 80,000 -plus distributor

partners while in this presentation, we see it's reduced to 75,000, so anything to read in there?
Simal Kanuga: No, nothing actually, Viraj. It is basically just some of these over a period merged into some of the other entities, some have moved to platform, so on and so forth.
Viraj: Okay. Got it. And so, the PMS and SMA AUM has fallen for us since the last year, so what is happening over there?
Simal Ka nuga: So, I think that was what we disclosed. I think a couple of quarters back, we had a large global mandate where the client decided to take money off the table from their allocation to India

long only. And that's the reason which kind of has resulted in this change. If you look at on last couple of quarters, the numbers have been in line. So, this happened I think, if I'm not mistaken, sometime in quarter ended September of '22 .
Viraj: Okay. Got it. And one more thing on the commission structure basically. So, for a mutual fund distributor in terms of percentage of AUM, it remains the same for them, while the TER will fall for us, is that right, understanding right?
Simal Kan uga: I think there is no one line answer to this. In sense, it is different for a different set of distributors. Also, even within the same distributor , you might see kind of ebbing out over a period of time. So, first three -year commissions can be differe nt, and the fourth -year number might look different. So, depends on product, depends on distributors, so on and so forth.
Viraj: Okay. So, for even for equity, we don't have a single -line answer for this or how is this?
Simal Kanuga: You're right. We don't have a single line thing on this.

Moderator: Thank you. Next question is from the line of Srinath V from

Bellwethe r Capital. Please go ahead.
Srinath V: Just wanted to find out the blended equity yields for the quarter I think last quarter was around 70bps . So, where are we in Q1 for our equity schemes?
Naozad Sirwalla: So, Q1 would be around late 60s for equity.
Srinath V : Again, in late 60s, is it like -- so since it's 0.7 for easy calculation, would it be like 0.68 or 0.65 some broad range.
Simal Kanuga : You can budget that in 68, 69 kind of a number. You would have to be aware that this would keep changing depending on how the AUM also moves , right? What Navneet referred to when he explain ed the whole margin thing, where he mentioned that if the AUM increases very rapidly, you might see this going down faster because of the way the SEBI TER formula works.
Srinath V: Yes, yes fair. Just wanted a number so that it would be easier to calculate how yields are moving. Thanks a lot. I will get back in the queue.
Naozad Sirwalla: Thank you.
Moderator: The next question is from the line of Sahej Mittal from 3P Investment Managers. Please go ahead.
Sahej Mittal: Sir, just one question from my side. What would be HDFC AMC's share in equity flows being generated at HDFC Bank?
Simal Kanuga: Sahej, we don't comment on the flow data. We have commented on the AUM data, right?
Navneet Munot : Which is around 5.5% for the overall AUM and a little over 8% on equity AU M currently on the stock.

Sahej Mittal: Right. No, sorry.
Navneet Munot : For their flows sorry this is...
Sahej Mittal : This is for their flow I'm asking, yes, yes. So, for the overall flows being generated at HDFC Bank, what would be our shares?
Navneet Munot : Yes, that will be in t he handle of 30.
Sahej Mittal: Okay got it. Thanks, and all the best.
Moderator : Thank you. Next question is from t he line of Amit Jain from Axis Capital. Please go ahead.
Amit Jain: Just wanted to check that you said that in the other income, there was a component of MTM. So, is it possible to quantify that?
Naozad Sirwalla : So largely, the Rs 158 crores other income, is largely all MTM, it's a function between equity and debt. Since the skin in the game circular has come into play, we have a sizable amount of our investments in equity mutual funds, and they have given returns in line with the market and based on our fund returns and the debt is largely as we explained due to the interest rate movement.
Amit Jain: And sir, in that case, sir, how should we look at this income for the remaining part of the year? I mean, is it going to be in this bal lpark range, or any guidance would you want to give?
Naozad Sirwalla: It is tot

ally market linked. I mean whatever the market will perform on the equity side, the equity funds will perform accordingly. And the debt investments in mutual fu nds will go in lines in with interest rate movement . So, you guys can predict based on how markets move.
Amit Jain: Got it sir. Thank sir. Thank you so much.
Moderator: Thank you. Next question is from the line of Madhukar Ladha from Nuvama Wealth Mana gement.

Madhukar Ladha: Hi, good evening. Congratulations on a good set of numbers. And more importantly, I think operationally, things are looking better every quarter for the company. So, couple of questions. One, with these changes in the taxatio n on the debt side, how do you expect investor behaviour to change? And maybe you can talk a little bit about corporate HNI and retail investors. And over the longer -term perspective versus pre this change in tax regime and now in this new tax regime, what sort of impact could it potentially have? I know it's not very easily quantifiable, but I would like to get some sense from you on this?

Navneet Munot : Madhukar, first of all, thank you for your compliments. I think the team is working very hard. And I'll pass on that to the entire team at our end.

So, as I told you earlier that interestingly, in quarter ending June, industry had positive flows - large positive flows in funds like ultra short -term fund, money market fund, etc . And a lot of investors may have wanted to kind of like take advantage of declining interest rates at the front end of the curve which is different than what we have seen in the pr evious 8 to 10 quarters.

While as an industry, we would have liked the tax advantage to continue , but I still believe that debt mutual funds have a lot of benefits. And in my opinion, it will continue to make them a preferred alternative b oth for institutional investors as well as retail investors. You don't have liquidity related challenges. I think the debt mutual funds provide good liquidity; the tax gets triggered only on redemption. So still, there is some tax advantage there, who have flexibility in terms of part redemption, and you can also move across interest rate and credit curve in debt funds. And I mean a diversified portfolio of securities, where industry has delivered a very good track record for a long period of time. I think still there is a lot of potential for the industry to grow that segment of the market.

Even on the equity side, it took a long time for the industry to convince people that in the long run you get very good returns if you can stomach much some volatility. So, it took like 25 years for the industry to reach, let's say, the first Rs 5,000 to Rs 6,000 crores of SIP book. And then the next Rs 5,000 crores would have got added in a few quarters.

I think it's on the fixed income si de as an industry, the work is cut out for us. If you look at the size of opportunity, I mean, if the bank deposits are Rs 180 lakh crores and when we compare that with mutual fund debt plus liquid AUM, it would be around Rs 15 lakh crores. The debt and liquid AUM as a percentage of bank deposits has actually fallen in the last 5 years or 6 years , if you compare with 2016, 2017 versus now. Of course, I think in the last two years or three years, maybe the movement in interest ra te and some of the credit events, also played a role in this.

But as an industry, what we have done on the equity side, if we do something similar on the fixed income side, and we're just talking about the inherent benefits of debt mutual fund as an investing vehicle, there is a lot of scope for us to grow in that space as well. And particularly for us, in HDFC, given our brand and pedigree, there is a bigger opportunity for us as and when that segment starts growing faster.

Madhukar Ladha: Thank you, sir for the answers. And all the best.

Moderator: Thank you. Next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: Hi, good evening. So, when you look at your net flows in the context of excellent alpha generation that has happened, what is your feedback or comfort around flows that you've been able to gather either on an absolute basis or relative to industry? Some broad thoughts would help.

Navneet Munot: You are asking from a deployment p erspective?

Abhijeet Sakhare: No, from your ability to gather assets in the market in terms of the strong fund performance. Whether based on your expectations, maybe four quarters, six quarters back, whether the incremental flow market share is spanning o ut as per expectations or if there's anything that you would like to kind of share on that regard?

Navneet Munot: Yes, in fact, it's improved substantially relative to where we were. Of course, we always want a higher and higher share. So, we don't feel satisfied with any number given the pedigree we have, given the platform we have, and you talked about the performance, which is absolutely best -in-class and the prod uct suite that we have built. So of course, our expectations would be higher. But if you look a t the numbers in terms of our increase in share across channels . Also, the percentage of new inves tors that we have been able to garner in this quarter, the percentage of new volumes that have got created in the industry, the share i n systematic transactions, all of that are like very heartening to us. But of course, our hunger is always much higher than , whatever we get, we remain hungry for more.

Abhijeet Sakhare: I'm just speaking, is there a possibility or need for some recalibr ation on pay -out across any of the large channels. Looking at some data, which we can see from outside, it does appear that HDFC AMC is sort of at the lower end of the band, in terms of pay -out ratios. And in fact, some of the distribution channels even ask for higher pay -outs in the first year or second year. So, I'm just thinking, whether in terms of the rules of the game, is there a need to be a little more aggressive on pay - out or at the current level itself, you're kind of happy or satisfied with the flo ws that you're able to gather?

Navneet Munot: Some of your peers are asking questions on margin . But, if we look at from a holistic perspective for us, market share is important. We want to garner as much share of the flows as possible. At the same time, profitability is very important to us. I've mentioned those three words

several times in previous calls. Being part of HDFC Group, what is important for us is to build a business that has scale, that h as quality and that has profitability, not one at the cost of other . We constantly look at on all three parameters, and that's how, we build our business. There were times, last year and year before last, on several calls , we would have mentioned that, gi ven the competitive intensity, we had to increase our pay -out particularly, when we were launching a lot of products in the NFOs to garner our share . And now in the last few months, when that competitive intensity has come do wn, you can clearly see better margins on some of the NFOs that we have launched in the last few months. So, we keep calibrating all the time, idea is to have a healthy growth and look at the interest of all stakeholders. For us, our partn ers are very, very important. They bring like on more than 3/4 of our business. They are our face to the investors, and we ensure that, they make good margins at the same time we ensure that, we have a very healthy margin on every rupee that

we gather.

Simal Kanuga: Abhijeet, if I can just expand on that, see, there is not a direct correlation between paying higher brokerages and getting higher market share. So, one of our larger funds, where we pay the least possible brokerage is seeing healthiest of the flows. So that kind of proves the point. And I'm not talking about one AMC versus other within the HDFC AMC scheme offering s.

Abhijeet Sakhare: Got it. Thanks a lot.

Moderator: Thank you. Next question is from the line of Anirudh Agarwal from ValueQuest Investmen t Advisors. Please go ahead.

Anirudh Agarwal: Thank you for the opportunity. First question was slightly over the medium term. So, there is going to be a structural pressure on yields like you've been discussing. So, what kind of delta do you think, you will see between the AUM growth rate versus our top line and bottom - line growth over the next three years, four years in your estimate?

Navneet Munot: I've mentioned earlier, because it depends on a variety of factors , our asset mix between equity and fixed income and within equity also a different kind of product s. The growth that you see from mark -to market versus flows , flows in e xisting products versus newer products. So, there are lots of variables there and difficult to, I would say, predict that. Naozad, would you have?

Naozad Sirwalla: No, I think as Navneet rightly mentioned, there are various set of factors that will determine our sort of top line growth and then in turn, the operating profit growth, right? So, it's difficult to put a number on it or a trajectory on to it.

Anirudh Agarwal: Right. Okay. The other thing is like giving the regulators focus also now on getting the benefits of better economical scale passed on to customers, will be see significant operating leverage benefits playing out with this kind of growth? Or do you think, a lot of that will have to get passed on in some form or the other?

Navneet Munot: You're asking about the SEBI TER regulation?

Anirudh Agarwal: Yes. Not just on a regulatory perspectiv e, but even in general, supposing top line growth at 15% for the next few years, do you see bottom line growth significantly outpacing that or a lot of the operating leverage benefits will in some form or the other get passed on to customers or the channel also?

Simal Kanuga : No, I think some part of the operating leverage will get passed out to the investor, and that is, the regulator 's clearly stated mandate. Having said that, of course, our business the way it functions is the cost growth is not direct ly correlated to the growth in AUM and thereby some bit of operating leverage advantage will also fall in our favour.

Anirudh Agarwal: Right. So just final question on the competitive side. So, there are a lot of new players essentially that are either tha t have either entered the industry or you're looking to enter the industry, any changes on the ground that you're seeing in terms of competitive intent ?

Navneet Munot: At any point in time, there have been many competitors. If I remember correctly, out license number was 44 or so, when got setup 23 years, 24 year back. We were the 26th AMC at that particular point in time and some people were thinking that a lot of multinationals who have a lot of global experience would end up doing very we ll. Before that, in early '90s, if you remember, some of the public sector bank sponsored asset managers were doing very well because of the distribution franchise.

At different points in time, people thought that competition could be from that particular space. Given the huge opportunity of growth , financialization of savings is at such an early stage in India. All said and done, we talk about the highest ever AUM and the growth in the i

ndustry over the last couple of years, SIPs, etc , the fact is that we are only 3.8 crores unique investors. So, we haven't really touch ed the surface.

Even if I compare with people, who have passport or filing income tax returns or doing foreign travel or own a four -wheeler. With all of that, the total add ressable market is substantially higher. And I'm sure, people would be eyeing this space. It's a very beautiful business from a long-term profitability perspective. So, this will invite a lot of players. Having said that, I think that the way we have buil t in terms of our people, our processes, our product range, our presence, both physical as well as digital , the partnerships that we have built, the platform that we have built and on top of that, if I can add two more, the passion with which we are workin g and the deep sense of purpose that we have put for ourselves to be the wealth creator for every Indian, we believe, we will continue to do well.

Anirudh Agarwal: Right. Got it. Thanks for that. And all the best.
Navneet Munot: Thank you.
Moderator: Thank you. Next question is from the line of Mohit from BOB Capital Markets. Please go ahead.
Mohit: Thanks for the opportunity. Just 1 question. Seeing the bank share in the distribution stands stable at 10.5%. Now if you see anything pre - 2019, this number used to be 13%, 14%, now with bank as a parent. Do you think the share will g o up in the future?
Navneet Munot: That's what our expectation is. But at the same time, we want to grow across all channels. One of our stronghold s has been the MFDs, Mutual Fund Distributors we will continue to grow there . With the national distributors , we enjoy a very good relationship , we work very hard with them . With all the other banks, we continue to work with them . The fintech channel - which has been bringing newer SIPs , we continue to engage more with them. So, we'll continue to grow all of that. But of course, over the next several quarters, a lot of our focus will also be on, how do we make the most of the opportunity that has opened up with the merger. Given the network of HDFC Bank and the pace at which they have been expanding, we believe t here is tremendous opportunity for us to grow together.
Mohit: Okay, sir. Thanks, and wish you all the best.
Moderator: Thank you. Next question is from the line of Sarath Jutur from Zen Wealth Management. Please all ahead.
Sarath Jutur: Thank for taking m y question. It was interesting to listen that, the competitive intensity has reduced off late. Can you please elaborate and...
Navneet Munot: On the brokerage side, you are saying?
Sarath Jutur: Yes, exactly.

Navneet M unot: This industry has always been competitive, will always be, I think, yes. That was in the context of brokerages, yes.
Sarath Jutur: Okay. That's fine. Actually, it was answered in the last question and my question was answered in the last question. Th anks. Thank you very much.
Moderator: Thank you. As there are no further questions, I now hand the conference over to Mr. Navneet Munot for closing comments.
Navneet Munot: So, thank you all for joining this conference call today. We are enthused by the po tential growth our industry has to offer. Thank you once again, and look forward to speaking with you all again next quarter.
Moderator: Thank you very much. On behalf of HDFC Asset Management Company Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

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HDFC Asset Management Company Limited
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Ref/No/HDFCAMC/SE/2023 -24/72 Date – October 18, 2023
National Stock Exchange of India Limited
Exchange Plaza, Plot C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400051.

Kind Attn: Head – Listing Department BSE Limited
Sir PJ Towers,
Dalal Street,
Mumbai – 400001.

Kind Attn: Sr. General Manager – DCS Listing
Department

Dear Sir/Madam ,

Sub: Transcript of Earnings Call
Please find enclosed herewith transcript of Earnings Call for the quarter and half year ended September 30, 2023, conducted after the meeting of the Board of Directors on October 12, 2023 which can also be accessed on the website of the Company at: https://www.hdfcfund.com/about -us/financial/shareholders- presentation

Kindly take the same on records.

Thanking you,

Yours faithfully,
For HDFC Asset Management Company Limited

Sylvia Furtado
Company Secretary

Encl: a/a

“HDFC Asset Management Company Limited
Q2 FY’24 Earnings Conference Call”
October 12, 202 3

MANAGEMENT : MR. NAVNEET MUNOT – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. NAOZAD SIRWALLA – CHIEF FINANCIAL OFFICE R
MR. SIMAL KANUGA –CHIEF INVESTOR RELATIONS

OFFICER

Moderator : Ladies and gentlemen, good day, and welcome to Q2 FY '24 Earnings Conference Call of HDFC Asset Management Company Limited. As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this confer ence is being recorded. From the management team, we have Mr. Navneet Munot, Mr. Naozad Sirwalla and Mr. Simal Kanuga. I now hand the conference to Mr. Simal Kanuga. Thank you and over to you sir.
Simal Kanuga: Thank you. Good evening, and thank you for jo ining us today. Before we dive into specifics, we would like to highlight a change in reference to some of the data points in our presentation. As against our usual schedule, our results have been advanced by a week or two. The change was made to ensure sy nchronization with the quarterly results reporting of HDFC Bank. It is important to note that as of now, not all the necessary industry data for September is made available. In instances where September data is still pending, we have s ubstituted it with Au gust data. We have done this to present the most accurate and timely information possible. We'll refresh our presentation in the forthcoming days once necessary data for the month of September is released and the same will be made available on stock exchan ges as well as our website.
Let us start with some industry level information.
The quarterly average assets under management continued its impressive growth, reaching INR47 trillion, marking a 20% Y -o-Y increase.
Actively managed equity -oriented funds are getting nearer to the 50% mark of the total AUM with QAAUM of INR23.1 trillion, a notable uptick of INR18.4 trillion recorded a year ago, signifying 26% Y -o-Y

growth. During the same period, the NIFTY 50 price return was 15% and the NIFTY 500 price ret urn was 17%. This indicates that the industry growth outpaced the benchmark indices and attracted significant inflows.

Debt f

unds displayed healthy interest with QAAUM surging to INR10.3 trillion in the quarter ending September '23, up from INR8.8 trillio n in quarter ending March '23.
B30 MAAUM category continues to exhibit a healthy growth rate. This highlights the high level of acceptance of mutual funds even in B30 markets. The share of B30 in the overall MAAUM and equity MAAUM remained steady at 17% a nd 27% respectively. Systematic investment plan continued their upward trend, recording close of INR160 billion in September 2023, a notable increase compared to INR130 billion in corresponding month of the previous year. Over the quarter, SIP flows totale d to INR471 billion, constituting 27% of industry's total gross equity flows.
Now we'll move to our company's performance.
Our quarterly average AUM crossed INR5 trillion for the first time and reached INR5.25 trillion, a growth of 22% Y -o-Y. Our market share

demonstrated positive momentum with overall QAAUM market share of 11.2% and when we exclude ETF s, the number is 12.5%. Our actively managed equity -oriented funds AUM based on closing basis crossed the figurative milestone of INR3 trillion and saw an increase of 40% Y -o-Y as against 28% for the industry, resulting in increased market share. Our quarterly average AUM for debt funds moved to INR1.37 trillion, up from INR1.18 trillion in March '23, a growth of 16% or INR0.19 trillion.
Our quarterly avera ge asset mix continued its tilt towards equity with equity -oriented funds now constituting 58% of our AUM, significantly

higher than that of industry at 51%. Furthermore, even in terms of customer profile, we have remarkably higher tilt as compared to that of the industry in favor of individual investors. As for August '23, individual investors MAAUM accounted for 68% of our total monthly average AUM, higher than the industry average of 58%.

Our unique investor base continues to expand, reaching 7.9 millio n unique investors at the end of September '23 as against 40.4 million for the industry. This suggests that nearly one out of every five investors have repose d their faith in HDFC Mutual Fund. Over the last one year, industry did add 4.4 million unique inv estors. During the same period, we added 1.8 million unique investors. In September '23, we processed 5.86 million systematic transactions, amounting to INR22.4 billion.
For sake of comparison, the corresponding amount in June was INR18.9 billion and for S eptember '22 was INR14.3 billion. We have seen a growth of over 50% on a Y -o-Y basis.

We have further expanded our product portfolio, especially in the sectoral thematic space. During the quarter, we launched non -cyclical consumer fund, transportation & logistics fund, technology fund and pharma & healthcare fund. We also launched the NIFTY 1 D Rate Liquid ETF.
Our wholly owned subsidiary in GIFT City has secured all necessary approvals and licenses. We have filed documents and plan is to launch first set of funds during the current quarter, subject to necessary regulatory approvals.

Finally, moving to financials.
Our second quarter revenue growth from operations came in at INR6.43 billion, reflecting 18% Y -o-Y growth, while other income amounted to INR1. 22 billion as we did experience a healthy mark -to-

market growth on our investment portfolio during the quarter. Our operating profit for the second quarter came in at INR4.67 billion, a growth of 20% Y -o-Y. Operating margin for the first six months increas ed to 35 basis points as compared to 34 basis points in the first quarter of the current fiscal. The effective tax rate has rationalized in this quarter. Last quarter, many of you would remember, it was lower, primarily due to increase in deferred tax char ge attributed to holding

period of certain investments, transitioning from short -term to long - term.

Thank you. Navneet, Naozad and I are very much available to take questions. N eerav, I think we can open up for questions.
Mod erator: The first question is from the line of Sandeep Agarwal from Naredi Investments. Please go ahead.
Sandeep Agarwal: Thank you for the opportunity. My question is regarding SIP flow, it's approx INR16,000 crores and increased by 36% year -on-year basis.
And sir, HDFC SIP flow is i ncreased by 56% year -on-year basis. So ,

any specific reason you want to share for this higher growth?
Navneet Munot: So overall, I think it's been helped by a variety of reasons, including the improvement in performance, products getting approved across al l wealth managers, our focus on each and every channel, be it the mutual fund distributors, RIA, fintechs, banks, and of course, HDFC Bank. I think it's been quite helped by a variety of other initiatives, be it on the marketing side, on digital side, prod uct communications side, etcetera. And this continues to remain a very high focus area for us. And we remain quite focused as a team to build our systematic transaction book.
Sandeep Agarwal And sir, my next question is, what percentage of growth you expec t in next two years in SIP flow? Any number for industry and HDFC AMC?

Navneet Munot: Over the last several years, you have been seeing continuing improvement in the overall SIP flows in the industry. I think a combination of factors, a great track record of the industry over a long period of time, which is acknowledged by a lot of investors. I think it's focus on transparency, increased transparency of the product relative to any other investment vehicles for people, that's giving more confidence. I think technology is making it easier for people to invest, easier to get more information. And of course, the tremendous focus of the industry and all of us, the players in the industry on investor education. So , I think a couple of these factors have led to thi s growth. And despite the volatility in the market over the last four or five years, the most heartening feature in our industry has been continuing step up in the SIP flows month -after-month. And we have always been highly focused. I think over the last five, seven years, industry has grown a lot on that front and we have grown. But even much, much before SIP or systematic transactions became a household name, at HDFC AMC, we have always been very, very focused on promoting the concept of disciplined inves ting and long -term investing through SIP and systemic transactions.
Sandeep Agarwal: Thank you sir.
Navneet Munot: Before we take any other question, I thought I'll take this opportunity to mention something which is very, very close to our heart at HDFC AMC. During the course of this quarter, we launched our HDFC Cancer Cure Fund. As everybody would know, the returns from the fund are shared with Indian Cancer Society. We could raise over 1.8 billion in this fund from over 1,600 clients. And we remain very , very thankful to each and every one of them.
So, I'm very thankful to SEBI, to our distribution partners, to our investors, and of course, the entire team at HDFC AMC and all the well-wishers . We are very proud that the first fund that got launched in 2011 and then second series was in 2014 followed by 2017. And after a

gap of a few years, we finally have been able to launch the fund and continue the great legacy. This has been one of the greatest innovations by any AMC in the world. And we are very proud that we are continuing that legacy. So , I thought I'll take this opportunity to thank everyone.
Moderator: Thank you very much. Next question is from the line of Kunal Thanvi fr

om Banyan Tree Advisors. Please go ahead.
Kunal Thanvi: Hi, thanks for the opp ortunity. So , I had two questions. One was on the debt side of the business. When we look at Y -o-Y growth for the industry in HDFC AMC, we have grown at a slower rate compared to the industry. Can you talk about what's happening on the debt side for the in dustry and for us? What is the mix of growth in active versus passive also on the shorter duration versus longer duration? So that's

on the debt.
And the second was on the yield. So , when we look at our yield improvement, we have seen like there has been a sequential improvement in the yield. Can you break this up for us what was the yield for the equity book and for the debt book separately? These are the two questions I had.
Navneet Munot: Sure. So , on the debt side, your first question, the debt market s hare has increased on a Q -o-Q basis. The loss that you see on the Y -o-Y basis is mainly due to our lower participation in debt index fund. We have mentioned it earlier that our market share is lower there. Some of the funds that got launched earlier have b een able to raise much more money than what we have been able to raise.
But I wouldn't read too much into this. Our market share in debt, excluding index fund on quarterly average AUM basis for quarter ending September '23 stood at 14.5% and was flat year -on-year. In actively managed fund, we continue to enjoy very healthy market share

which has been pretty stable. I think the loss is on account of the debt index fund s.
Simal Kanuga: Kunal, on equity, we are at 67 basis points. We are at 27, 28 on debt. And around 12 basis points on liquid.
Kunal Thanvi: Sure. And Simal, on the incremental flows that you're getting, like it will be lower than this? Have you seen any improvement in the incremental yields as well for the equity?
Simal Kanuga: No, no, of course , it is lower than the book. So , we are not able to obviously get in flows at 67 kind of basis points. Though -- the NFOs that we did, all of them were at 90, 100 basis points kind of yield, you can see the direct plan expense ratio. They are all in that k ind of a range. But flows into our larger schemes that is still in the band that we have mentioned in the past, in that 50 to 60 kind of range.
Kunal Thanvi: Sure. No, it makes sense. Okay. And on the debt side, what I wanted to understand more about was o n the overall industry. How the debt as the category is doing? And how do we look at it from both shorter and the longer duration side of the thing? And active debt from a longer - term perspective, because like in 2, 3 quarters back, we had talked about pa ssive growing at much faster rate. How do we look into the debt side of the business from a longer -term perspective?
Navneet Munot: So, over a longer period we have seen that in an environment where interest rates are flat to declining, we see greater flow s into the fixed income versus the environment where rates have been going up in the last couple of years. And that's why in the last two financial years, we have seen net outflows from fixed income. Last quarter was positive, but most of that money was at the short end of the curve.
Over the next several years, if you ask me, there is a lot of potential for us -- when I say us, meaning industry as well as HDFC AMC, for us to grow on the fixed income side, both at the short end and the long end.

On the reta il side as well, there's a lot of opportunity. In the last couple of years, the greater growth has been on the equity side.
If you look at the overall fixed income AUM of the industry as a percentage of bank deposits, it has actually come down in last 4 or 5 years. So , I clearly see an opportunity. Of course, as an industry, we wou

ld have liked the tax regime to continue, which underwent a change, as you are aware, in the last budget. But, notwithstanding that, we would continue to work hard to promote fixe d income funds among larger set of investors. There's tremendous potential.
Kunal Thanvi: Sure. Thank you so much. I'll get back in the queue. All the very best.
Moderator: Thank you. Next question is from the line of Swarnabh Mukherjee from B&K Securities . Please go ahead.

Swarnabh Mukherjee: Yes. Hi, good afternoon and thank you for the opportunity and congrats on a good set of numbers, sir. So first, I think on the yield side, a couple of quick questions. One is that you were mentioning 67 bps on the equi ty side, the yield is. So just wanted to clarify, does that also include index fund or would that be classified separately under passive? And if so, then what would the yields be for the passive side of the portfolio?
Simal Kanuga: Actually, Swarnabh , that includes index fund. See, index fund is a very small part of the overall pie, right? It is like INR15,000 crores, INR16,000 crores on INR3 lakh crores kind of a number. The index funds, like if you look at the larger index funds, the NIFTY 50 and the Sensex 30, they would be around at whatever 12, 13 basis points kind of a yield. And the equal rates and etcetera would be at around 25 basis points kind of a yield. But that would not really move the needle. It's a small part of the overall equity book.
Swarn abh Mukherjee: Right, sir. And also , just wanted to confirm that -- what you mentioned that the yields for the flows in the existing schemes in that

50, 60 bps kind of a range. So , does this hold steady or because there has been flows that have come in over this quarter, particularly, I mean, if you see the balanced advantage funds also maybe traction additionally, I mean it is think now INR60,000 crores plus.
So is there some dilution because of increased flow and subsequently sizes of this funds are moving up one notch higher. If you can throw some color on that? And also, I mean -- so this kind of yield which we have seen this quarter, what would be your view? Should it sustain in when the security market continues to remain strong or would you still guide for some slow contraction in this?
Simal Kanuga: So, I'll just answer your question on balance advantage and then Navneet can give the bigger picture. So , on the number that I mentioned of 50 to 60 basis points, that's on fresh flows. So , what we do is, w hen the expense ratio drops because of the change in AUM, for future sales, we also reduce the commissions that we pay. So , our yield thereby would be in that broad band that I mentioned of 50 to 60 basis points. So that was on your specific question. On o verall yield, I think Navneet can throw a better light.
Navneet Munot: Right. So , we have always mentioned that book margin is higher than the flow margin and that continues. But of course, the flow margin is now better than where it was, but still lower t han our book margin, the industry dynamic that most of you are aware of. Also, you have to keep in mind the whole sliding scale structure. So , we have seen our quarterly average equity AUM increased by 35% over the last 1 year. Many of the schemes have jum ped multiple so -called hurdles and the TERs are lower than where they were. So , this, if you ask me, is a good problem to have. In fact, we have been mentioning this on every call because the absolute revenues are rising. But of course, as the size increas es by multiple of INR50 billion, you'll see a little pressure on margins. But the other important point is that the pace of dilution has slowed down due to rationalization of the distribution cost.

And I think Simal mentioned ea

rlier that you would have se en the
direct plan TERs of some of the recently launched NFOs, not only for us, but even others in the industry. And I must appreciate. I mean, if I look at the Bajaj Finance AMC , for their first scheme , one would have thought that they would pay out the m aximum to build a size, but their direct plan TER, if I remember correctly, is close to 70 basis points.
So, we applaud them for standing ground. And at our end, I think some of our recent NFOs you would have noticed has come at a much higher margin .

Swarn abh Mukherjee: Understood, sir. Very clear. I wanted to know your thoughts on the expense side also. I think cost structure has slightly increased this quarter, both on the employee expense side and on the other expense side. So , if you could highlight in e mployee expense side, is this because of increase in manpower that is largely playing out? And then which parts of the team are you au gmenting if it is an increase in manpower? And on the other expense side, is there anything else to read apart from maybe the marketing expenditure coming due to NFOs ?
Navneet Munot: So, on the employee side, it has grown by 11% Y -o-Y. For quarter ended September '19, which is pre -COVID , our employee cost was INR57-odd crores. As against that, the employee cost for this quar ter was INR92.9 crores. If we take out the non -cash cost of ESOP, then the number is INR79.8 cr ores. So , this is a CAGR of 8%. On the other expenses, so they have grown by 22% Y -o-Y. But if you look at in absolute amount terms, and this is a point that Nao zad and I have been making in the last couple of calls that it's about INR12 crores of additional spend. You would appreciate that the percentage looks higher on a lower base and the increase is primarily due to increase in general business -related expense s, including travel, we had a couple of NFOs, business development, trademark license fee, CSR expense, of course, and we continue to spend on technology and digital. We think

this is necessary and will benefit business materially over a period of time.
Swarnabh Mukherjee: Sure, sir. Sir, just wanted to know your thoughts that the employee...
Navneet Munot: I think from the pre -COVID period -- I think that this point was made in the last quarter that from quarter ended September '19, the CAGR on this front is 9%.
Simal Kanuga : If I might just tell you one thing. I think you need to look at also the 6 monthly numbers. So , I think 11% employee cost growth September quarter '23 over '22. But if you look at a 6 -monthly number for the current financial year, the people cost has kind of inflated by 9% on a Y-o-Y basis.
Swarnabh Mukherjee: Sir, I was actually looking at a little bit sequentially. So , first quarter versus this quarter, assum ing that all the increments, et cetera, were baked in first quarter. So , from there also, the number came in slightly higher. So just trying to delineate that.
Naozad Sirwalla: So, between the previous quarter and this quarter, the ESOP cost is higher by about INR2 crores. That itself adds additional element of cost. And we did mention that the employee headcount has also gone up, of course this was front end level -- at the sales and front end and distribution level. But that also has added a bit.
Moderator: Next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Just a couple of questions. Firstly, on the SIP book. Could you give some understanding at the industry level as to what is the -- I understand a large portion or majority will be equity, but some specific as to what is the di rect equity or hybrid at the industry level and for HDFC AMC?
Simal Kanuga: It is well into 90%.

Prayesh Jain: Okay. In pur

e equity or hybrid will be...
Simal Kanuga: It will be mix of both, equity as well as hybrid.
Prayesh Jain: Okay. Got that. And j ust extending the point of what previous guy was asking about the employee cost. See, sequentially, we have seen an increase of 10% in employee cost. But you mentioned that there is some additional ESOP cost which was I think closer to INR2 crores, INR2.5-odd crores. Apart from that, headcount increase which caused

8% kind of an increase. So , what was the total headcount that went up during this quarter? I'm just trying to -- the reason why I'm asking this question is to understand when do we see the scale benefits really benefiting the EBITDA margin, profitability and we've been investing into expenses for the last two or three years now. So , when do we really see the scale benefits benefiting the profitability at the company level?

Navneet Munot: It's cle arly benefiting. You are seeing the increase in market share, you are seeing tremendous number of new products. Over the last 2.5, 3 years, we have done almost 40 new products. We continue to invest in our active, continue to expand our systematic transact ion book. We have continuously been investing into like developing all possible channels. So , I think it's clear the results are very, very visible I guess.

Simal Kanuga: Actually, Prayesh, on a lighter note, we've been kind of asked by some of the global shareholders , saying that how are you guys managing 229 offices, 1,500 people, INR5 trillion assets under management by spending under INR700 crores a year?

Navneet Munot: Servicing tens of thousands of distributors.

Simal Kanuga: Yes. So , if you look a t it, I think even on people costs, I think our inflation has been in that just about double -digit kind of number, right? If you look at both 10%, 11%, 12% is what the people cost we are talking about. See, we would request you to not look at Q -on-Q

becaus e there are certain things that kind of get accounted for. We kind of look at how the dynamics of the business are playing out. We kind of provision for bonuses because of course people are the key to our business and we need to be fairly sensitive of that .

Navneet Munot: Also, you would have noticed that our operating expenses as a percentage of AUM is now 13 basis points against 14 and thanks to higher growth in AUM as compared to growth in cost.

Prayesh Jain: Great, great. Just one more question. We ha ve almost closer to INR6,000 crores of investments and balance. Any thoughts of utilization of that?

Naozad Sirwalla: So, our dividend payout ratio for financial year '23 was increased to 72%, right? We obviously can't second guess what the board will decide, but we should continue to see an upward sloping into our dividend payout ratio. We of course need capital for compliance with the skin in the game circular . Currently, that number is about INR500 crores is skin in the game investments from . We are int ending to see d some upcoming funds in GIFT City. From our balance sheet, we already invested capital from in our AIF that we have launched. And we do look at all acquisition opportunities that come by. So , having cash on hand does help at that poi nt.

Prayesh Jain: Great. Yes, I think that's it.

Moderator: Thank you. Next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: So, just wanted to understand, sir like, if we see the equity AUM channel mix, so we s ee that the share of direct plan originated equity AUM has increased. So just wanted to know your thoughts on the channel -wise market share on the flow side, like where we are seeing the most improvement in our market share across which channels? That woul d be my first question. And the second question will be, so

now with the change of control to HDFC Bank now. So , what are the changes which we have done at the ground level to improve the mix to move the contribution from HDFC Bank to HDFC AMC?

Simal Kanu ga: So, I think I'll just take the first part of your direct plan. So , I think we have always maintained. The direct plan book share is around whatever, 22%, 23%. But as against that, the flow share is in late -20s.

So, one reason for tilt towards more dire ct plan is because of that. Secondly, even if you assume flat markets, no flows, the direct plan does have a lower expense ratio. And thereby, you will see a 20 to 30 basis point positive impact on the share there on an annual basis. So that is one part. A nd Navneet would address the whole HDFC Bank part.

Navneet Munot: So, we are seeing the material improvement in the engagement with HDFC Bank and we'll continue to work on strengthening it further. The kind of support we have been getting from the bank is encouraging. We are deeply involved with them and alignment of interest after the merger is definitely a tailwind. You all know, I mean, the bank is a formidable distribution machine and we will put in enough and more efforts to capitalize on it. We have now created a dedicated vertical to look after HDFC Bank channel.

While bank has been maintaining an open architecture approach as the distributor, but given the range of our products across various asset classes, given our long-term track record that we have built and the brand familiarity and all the other efforts we are making, we are confident in gaining share in HDFC Bank system. And I'm happy to state that our flow market share in bank's book is higher than the book market share for the last couple o f months. Hope that answers.

Moderator: Thank you. Next question is from the line of Sahej Mittal from 3P Investment Managers. Please go ahead.

Sahej Mittal: First of all, congratulations on a good set and commendable performance. So , if I look at your S eptember -- so I mean, for the first five odd months, you have been clearly sweeping the table in terms of net equity flows, right? But if I look at September numbers -- September flows, net equity flows, there seems to be some sharp drop in HDFC AMC's mar ket share. So , is there any particular reason for that?

Navneet Munot: I think, see, month -on-month, there could always be volatility. It depends on some of the NFOs that get allocated -- allotted in that particular month or some other factors. So , I woul dn't read too much into it. But overall, the trend has been upwards for us. And as I mentioned, it's across channels and across products. And we have been very pleased by the trend that we have been seeing.

In a particular month, there could be like always one or two NFOs of competition that can impact the market share. NFOs, as you know, in September were lower than the NFOs in August. And within that, if there are one or two large NFOs by some players, that can impact a few basis points here and there. Bu t otherwise, I think whether it's on the systematic side as well as on the gross lump -sum flows, we have been seeing encouraging trends.

Navneet Munot: And thank you for the compliment.

Sahej Mittal: And if I look at your staff cost, even for FY the '23, t here has been some sporadic movements. So , from here on, are we saying that the staff costs will remain at these levels, INR93 -odd crores in the second half as well?

Naozad Sirwalla: An annual increase of like high -single -digit, low -double -digit type you should expect. And as you mentioned that, you would have seen the increase in headcount. We continue to invest in our business. We remain very optimistic about the potential of our business.

We mentioned about a new vertical for HDFC Bank and couple of other efforts that we have been making to enhance our reach. So , adjusted for both, increase for the existing set of people as well as the new headcount, it should be, low -double -digit kind of number or high - single -digit kind of number that should be. And I al so mentioned about

the last four or five years, it's been pretty reasonable.
Sahej Mittal: Got it. And some guidance on ESOP bi t for the second half and for the next two years?
Naozad Sirwalla : Actually, we had mentioned this in our call in April when we a llotted the stock option with the annual cost, which is basically driven by Black Scholes on the basis of accounting. The total cost, if I remember correctly, of the entire issue was around INR55 crores. And it roughly gets spread 60% in the first year, 30 % odd in the second and balance in the third.
That's how the investing schedule amortizes the cost of the option. That will continue. So , to your point, next year, for example, the non - cash comp would come down because 60% of the costs would have been tak en in the first year of the issue.
Sahej Mittal: Got it. Thanks, and all the best.
Moderator: Thank you. Next question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.
Madhukar Ladha: Hi, good evening. Congratulations on a good all -round operating performance. And most of my questions have been answered. Just a couple of small ones. One, you've given your active equity AUM. And you also mentioned, what the industry number was in the beginning, but I missed that. So , can you give me, what your market share is? And how that has moved in active equity AUM, maybe last couple of years, what has happened in there?

Simal Kanuga: Yes, it is there in the presentation, Madhukar. So , we have gone to active equity September QAAUM at 12. 4%. A year back, this number was 11.5%.
Madhukar Ladha: That is -- isn't that the total -- on a total AUM basis?
Simal Kanuga: No, that is actively managed . If you go to Slide number 11 on the presentation, it has this detail.
Madhukar Ladha: Okay. Second, if -- you mentioned 67 basis points is Q2 yield on equity that also includes the index fund yield. Can we get the number for the last quarter? What has happened quarter -over-quarter?
Simal Kanuga : I think, it is same. It is -- 67, 68 is...
Navneet Munot : And we have mentioned the reasons also. There are two main reasons. One is that the book margin is higher than the flow margin. And second, also the sliding scale structure. So , if market has gone up and some of the funds have crossed that INR50 billion hu rdle, you will see one or two basis point impact on margins on those particular products. And in the last two quarters, we have seen some -- a couple of our products crossing that hurdle, which is like a good dilution to have. Happy with that dilution, bec ause in absolute terms, we are making more money.
Madhukar Ladha: Right. Those were the only remaining question, Thank you and all the best.
Moderator: Thank you. Next question is from the line of Sagar Doshi from Fintuit Investments. Please go ahead.
Saga r Doshi: Good evening. So, I would like to ask, what is the approach for ETFs? So HDFC is playing a bit defensive on ETFs and index fund. So , what is your view of increasing the share of ETFs in our portfolio or what is the structure, like say, five years down the line, how do you see ETFs as a part of the overall book? If you can throw some light on it.

Navneet Munot : See, we have always mentioned that active and passive investment strategies will co -exist harmoniously rather than competing at each other's expense. India is substantially underpenetrated. So Indian mar

kets will chart their own course. And we don't need to move assets from active to passive the way it may have happened in some of the markets, where institutions would have moved their assets.

Our stance on active is very well established. We hold a very strong belief in its potential. We see substantial alpha opportunities are still available in India. If you look at all our equity products, I remember two years, three years back, a lot of peop le used to say when there was a period of one years or two years where active funds were finding it difficult to generate alpha.
But you look at all our products in the last one year, two years, three years, they've been able to generate very good -- very, very decent alpha. On the passive side, we have significantly expanded our product offering. And now we would have around 20 index fund s and almost 20 ETFs, so like 40 products. It's absolutely best -in-class.
We continue to invest in the distribution capa bility on debt side. If you look at our digital journey or the efforts that we are making on content, marketing, everything. So , our goal has been to serve as a one -stop destination, offering a complete product range to cater to all our customers' investme nt needs. So, a customer needs an active product, we have best -in-class portfolio. A customer needs passive, we have an absolutely best -in-class portfolio with best -in-class journey.
Sagar Doshi: Okay. So , you are not looking to increase your ETF market sh are, if I say?
Navneet Munot: Large part of the ETF book in India has been built through the flows from pension funds, which as you are aware, goes to a couple of AMCs, which is based on the allocation by the EPFO and some of the exempted funds also follow the same pattern. And then you have some

of the other ETFs like the Bharat 22, CPSE and Bharat Bond, etcetera. There, none of the other AMCs can participate. But barring that, as I mentioned, that we have done large number of product s and we have got a de dicated channel with a senior person leading it and people across functions kind of like trying their best to enhance our presence in that share.

You've seen like couple of our products, like our Bankex, which was a very small product, less than INR100 cr ores or so, is now over INR20 billion. And then we continue to look at the potential of each and every product on an independent basis and trying our best. We have been also doing a lot of efforts on promoting the concept of ETFs, index funds to set of inv estors who are looking at that segment.
Sagar Doshi: Okay. That is helpful. Thank you.
Moderator: Thank you. Next question is from the line of Abhijeet from Kotak Mahindra Bank. Please go ahead.
Abhijeet Sakhare: Yes. Hi, good evening. So, a question on ne t flow market share in equities. So , if it's possible to quantify how that has trended now versus 12 months back, so that would be a helpful number to look at?
But more importantly, given the excellent fund performance, do you think the flow market share, specifically in the non -HDFC Bank channel has sort of reached a stage which largely seems reasonable and appropriate or you think, there is still quite a lot of potential for us to improve?
And as far as HDFC Bank goes, if you could give some granular details in terms of how the interests are aligning? You mentioned -- you gave some comments earlier on, but when do we really start see that -- when do we start to see that reflected in numbers?

Navneet Munot: So first of all, aspirations are always doing mor e than what we have done, doing better than what we have been doing. And the brands we represent, the distribution network , given our top -of-the-line digital infrastructure, given the efforts we are making on the mark

eting side,
product content, every sing le thing, we continue to aspire for higher

market share. And on both sides, getting greater share of lump -sum flows as well as bigger focus has also been on growing our systematic transaction volume.
I'm sure you would have noticed that in September '23 ou r inflows from systematic transactions, which include both SIP as well as Systematic Transfer Plan, that has reached INR22.4 billion, which is up from INR14.3 billion in September '22. So , it's a substantial increase. And with everything that we are doing, we continue to aspire for higher market share than where we are.
Abhijeet Sakhare: Got it. And just a follow -up on the SIP investor behavior, sort of an open -ended question. But behaviorally, are you seeing people who come in the last two, three years sor t of behaving differently in terms of remaining invested for longer or wanting to still cash -out and book gains given how the markets have been behaving? Any comments there would be helpful.
Navneet Munot: So, I can't comment for people who have come in la st one year, how will they behave. But the trend is very encouraging. Over the last couple of years, the way -- the concept of SIP, the way it has become a household name and the level of interest among investors from all strata of society is very, very en couraging. And across all channels, we are seeing everyone focusing on building their systematic transaction book. And I mentioned earlier that, we have always been highly focused on that segment of the market. We have always promoted the concept of the po wer of compounding, long -term investment, disciplined investing and that has kept us in good st ead.

And as an industry also, we continue to make efforts that people look at actively investing from a very long -term perspective and don't get afraid by volati lity, but take advantage of it by remaining disciplined and SIP is a great tool for that. So of course, in last one year or two years, the newer investors who have joined, time will tell. But we remain confident that with all the efforts industry is making in terms of investor education and what individual fund houses are doing, the behavior will continue to improve.
Abhijeet Sakhare: Got it. Thanks a lot, and all the best.
Navneet Munot: Thank you.
Moderator: Thank you. Next question is from the line of Di panjan Ghosh from Citi. Please go ahead.
Dipanjan Ghosh: Sir, you mentioned that your net yields on the equity funds is around 67.5 bps. Now I would assume that this is average for the quarter. But because over the last three months, which is July, August, September, most of the equity schemes have changed slab. So , has the entire impact of changing slab, reduction in gross TER captured in this net realization number or the exit run rate, let's say, in September or October will be somewhat different from 67 .5 bps, assuming mix has not changed?
Simal Kanuga: So Dipanjan, if the AUM remains constant where it is for the next 90 days, it would be 67, assuming there are no inflows, no outflows.
Dipanjan Ghosh: Got it. Second question on the distribution part. On the equity mix, we have seen increase in national distributors and decrease in MFDs, considerab ly over the last 12 months. I would assume that the flow movement would be even higher or more skewed toward NDs. So just wanted to get some -- and in this cont ext, on your equity -oriented market share gains, if I split it between retail and HNI based on AMFI classification, it seems a lot of it is driven by HNI segment. So , can

you just triangulate this distribution mix change and your equity market share gains and what is really happening out there?
Navneet Munot: Not much on that front. I think few basis points here a

nd there, there
could also be a possibility. I'm just guessing that some of the national
distributors who also do aggregation by kind of the JV or an
acquisition of some of the MFDs. And if that AUM shifts from an
MFD and get classified as an ND, that could be one reason. But
otherwise, not much of a change in the overall trend. I think almost all
the channels continue to grow their book. Your other question was
on...
Dipanjan Ghosh: Yes, this was the part. I mean, so broadly, you're saying that it is more
of a movement of agents towards more of a sub -broker, sir?
Navneet Munot: I am just guessing. I think a few basis points here and there .
Simal Kan uga: Also, I think some large transactions can s way, right? One large
private bank with like, say, somebody like a Julius Baer goes into a
national distributor and they're getting some large money from one
family. Those things can kind of skew things here there, -- I think
there's no distinct trend as such.
Dipanjan Ghosh: Got it. Lastly, one data -keeping question. See, when I look at your
employee base movement during the quarter, obviously, it has
increased quite a bit. I just wanted to get some sense of whether the
entire fixed cost of that has been captured in this quarter's base or some
of it might get captured in 3Q or 4Q?
Navneet Munot: We were around 1,250 -odd in March '21 and now we are at 1,439. So ,
if you look at the overall growth of our business , that's not much. We
continue to believe that business has a lot of runway for growth and the
headcount increase is on account of -- we are also developing new
businesses, but a large number of people would be in sales and
distribution where the heavy -lifting is. I think lot of heavy -lifting has

already been done. This would have got captured. But of course, I
think somebody joined yesterday, their salary will be there for the rest
of the year, but I don't think it's really going to substantially move the
needle.
Dipanjan Ghosh: Got it. Thank you and all the best.
Navneet Munot: Thank you.
Moderator: Thank you. Next question is from the line of Saurabh from JPMorgan.
Please go ahead.
Saurabh: So basically, on Page 17 of the presentation, so you guys have ad ded
almost 40% of the incremental unique investors in the industry. Can
you talk about like what's driving that? Is it just performance or is there
something else?
Second is based on this HDFC Bank point, how much is bank -- I
mean, how much are you as a p ercentage of bank distribution of
mutual funds? And the third is, any thoughts on the revised
consultation paper side? Thank you.
Navneet Munot: So, on the unique customers, I think, yes, you noted it rightly that I
think we've been able to capture a very high market share among the
new -- I mean, the unique investors that have got added to the industry.
And the reasons are, I think a mix of several things. Of course, our
performance in most categories is top -notch. That's clearly helping us
with all the ot her efforts that we are making, whether on better
engagement with distribution, a top of line digital infrastructure with
all the marketing efforts, so on and so forth. And it's across channels --
whether it's national distributors, banks, MFDs as well as fintechs who
have also been growing quite fast in terms of number of new investors
that are coming to the industry and we are present across all channels
and remain highly focused on that.

Simal Kanuga: Second question of his was HDFC Bank book market shar e and flow
market share.
Navneet Munot: So, I mentioned earlier that flow market share is higher than the book
market share.

Simal Kanuga: So, of their book, Saurabh, book market share would be in the 25% to 30% range. On flows, we are definitely getting m ore

than that. And
lastly was the new TER regulation.
Navneet Munot: So there, honestly, I have nothing new to say on that. The status quo is where we are. We have discussed this before, so I won't repeat much on that. But one thing I would like to add tha t the idea of regulator was to pass the benefit of economies of scale to the investor. And in that regard, we as an Association of Mutual Funds of India as well as individual AMCs have presented the data to regulator.
And in fact, it is interesting to cite data for one of our funds for reference that what is that has been presented to the regulator by the industry. So , let me give you one example that our largest equity - oriented fund is HDFC Balanced Advantage Fund. The current AUM of that is around INR64,0 00 crores, INR65,000 crores and the regular plan TER as per formula comes to 1.45%. Regulations were modified in April 20 19, and at that point in time, this fund had an AUM of about INR40,000 crores and the TER at that point in time was 1.78%. So , over the last say three, four -odd years, TER has gone down by 33 basis points or for that matter by around 19%, 20%. So , economies of scale have actually been passed out to the investor. And I will take this opportunity to sincerely compliment SEBI. They dived int o data and heard us out. And you all have heard what Chairperson had to say in the following press conference. But yes, we have nothing more to say on that.
Saurabh: Thank you sir. It's useful.

Moderator: Thank you. Next question is from the line of Tejas from PEFD. Please go ahead.
Tejas: First of all, congratulations on hitting INR5 trillion mark . My first question is, what will be your guidance for the upcoming financial year?
Simal Kanuga : Tejas, we don't make any guesses. You appreciate right, our bus iness does kind of depend a lot on how the equity markets move. So , we don't want to even hazard a guess there .
Tejas: Okay. So , my second question would be what would be the important factors that would be the biggest reasons in making you hit the 5 trillion mark as well as gaining such a huge market share?
Navneet Munot: Variety of things. I mean, I've mentioned maybe in different context, I think the brand that we represent, the presence that we have, the partnerships that we have built over the years, I think our product range, the performance track record that we have, one of the longest running track record of our funds. It's a combination of all of that.
Tejas: Okay. Sure. Thank you.
Moderator: Thank you. Next question is from the line of Mohit from BOB Capital Markets. Please go ahead.
Mohit: Yes, thanks for the opportunity and congratulations on a good set of numbers. Just one question. In terms of unique customers, now we have got good 20%, so just wanted to understand their behavior in terms of h ow sticky they are? And if you could throw some light in terms of who are these customers in terms of age group, profession, that is salaried or self -employed, that would be helpful?
Simal Kanuga: We don't have that data readily available, Mohit. Maybe we' ll reach out to you and try and share that information. In terms of staying on equity side, if you look at it, the average holding period, now there is no real

science behind it. One way to do that would be based on existing book that does rest with us. Bu t that would kind of get skewed because of large amount of new additions in the last 12 months, 24 months, 36 months. The other way to look at it is, look at people who are exiting

out of us, but that would kind of ignore people who continue to stay with u s. So , there is no real science. But some data that AMFI has published dictates that the average holding period is sub -three years.
Mohit: Okay. S

o that sub -three years I think it's for the industry. So that holds true for you as well?
Simal Kanuga: It is slightly better for us.
Mohit: All right. Thanks , and all the best.
Simal Kanuga: Thank you.
Moderator: Thank you. Ladies and gentlemen, we'll take the last question from the line of Amrish, Individual Investor. Please go ahead.
Amrish: Congratulations. And there's one particular operational number I'd like to get some further input on. So , a follow -up to the individual investor -- to the individual customer question, if you look even at our individual folios, this has now really accelerated in the last f ew quarters, and of course, this quarter has been fantastic . Our average AUM seems to be more or less holding steady at AUM p er folio. So , we are getting more than just what customers are getting multiple folios from them. And this now number looks similar to what we were maybe in March '21. Is this -- is it fair to interpret this that this should therefore then follow on and we should maybe see even revenue market share go up -- AUM market share go up to similar levels at a later date?
Simal Kanuga : We did n't exactly understand your question. So , you are saying AUM per customer is good. That's what you are suggesting?

Amrish: Yes. So , the number of folios is increasing very fast. So , our share of folios today is now at a level which was similar to what it w as in March '21. And in March -- and you could say folio can go up, but the average AUM portfolio can go down, but that's not happening. So , our folio -- also average AUM per folio is staying more or less constant. So, it's not just people being added for the sake of it. So , if that's the starting basis, which means it's a strong foundation, as a lead indicator, in March '21, we were probably 13.5% or 13.6% AUM market share, we are today slightly less. Is this a fair way to interpret that maybe -- not forwa rd guidance, but is it a way to interpret that some of the markets -- the AUM benefits actually come later after the folio has been added?
Navneet Munot: I don't know if you are -- because you are looking at the overall AUM where there could be institution al investors and there could be like flows into the ETFs, etcetera and then trying to divide that number and arriving at that conclusion.
Amrish: No, no, individual. Only individual AUM. I'm not looking at institutional.
Simal Kanuga: No. Sir, but what hap pens is, see, when you look at the total AUM and divide that by individual folios, it might not really give you the right data because there are large institutions who are investors in liquid funds and debt funds. Also , Navneet earlier mentioned about this whole ETF business.
Amrish: Sorry, individual AUM divided by individual folio. I'm not separating the institutional.
Simal Kanuga: Right, because some part of that growth would have also come in from mark -to-market changes in equity, right? So that's the reason you might be kind of getting that data.

Amrish: Yes, of course. But if I look across last 16 quarters, this number have not changed and it is higher than the market average. So , our folio -- AUM per folio is higher than what the market has. So , if our market share of folios is increasing and our average revenue per individual folio is higher than the market...

Simal Kanuga: Your inference is right , saying that this is a positive signal. We agree to that, sir. Absolutely. Let's hope the trend continue s.
Amrish: Okay. Perfect. Thank you. All the best.
Navneet Munot: Thank you all for attending the call.
Moderator: Thank you very much. On behalf of HDFC Asset Management Company Limited that concludes this conference. Thank you for joining us. You may no w disconnect your lines

. Thank you.

Call: Jan 2024

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Ref/No/HDFCAMC/SE/2023-24/88 Date – January 16, 2024
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Kind Attn: Head – Listing Department BSE Limited
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Kind Attn: Sr. General Manager – DCS Listing
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Dear Sir/Madam,

Sub: Transcript of Earnings Call

Please find enclosed herewith tran script of Earnings Call for t he quarter and nine months ended December 31, 2023, conducted after the meeting of the Board of Directors on January 11, 2024 which can also be accessed on the website of the Company at: https://www.hdfcfund.com/about-u s/financial/shareholders-presentation

Kindly take the same on records.

Thanking you,

Yours faithfully,
For HDFC Asset Management Company Limited

Sylvia Furtado
Company Secretary

Encl: a/a

“HDFC Asset Management Company Limited
Q3 FY’24 Earnings Conference Call”
January 11, 202 4

MANAG EMENT : MR. NAVNEET MUNOT – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. NAOZAD SIRWALLA – CHIEF FINANCIAL OFFICE R
MR. SIMAL KANUGA – CHIEF INVESTOR RELATIONS
OFFICER

Moderator : Ladies and gentlemen, good day, and welcome to HDFC Asset Management Company Limited Q3 FY '24 Earnings Conference Call. From the management team, we have with us Mr. Navneet Munot, Mr. Naozad Sirwalla, and Mr. Simal Kanuga.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportuni ty for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that thi s conference is being recorded.
I now ha nd the conference over to Mr. Simal Kanuga. Thank you, and over to you, sir.
Simal Kanuga: Thanks, N eerav. Good evening and thank you everyone for joining in today. Just as a first line, kindly note that all the necessary industry data for December is not available as of today. In instances where December data is not available, we have substituted the same with November end data. We'll, of course, update our presentation once the data for December is released and will be made available on stock exchanges as well as our website.
So, as usual, we'll start with industry level information.
As of December 31, 2023, the closing AUM has surpassed a significant milestone of INR50 trillion, a notable 27% Y -o-Y increase. NIFTY 50 Index exhibited a return of 20% -plus over the last 1 year, whereas the AUM of actively managed equity -oriented funds grew by 29%. Equity and equity -oriented funds now constitute over 50% of the industry AUM, reaching QAAUM of INR25.9 trillion.
The upward momentum of systematic investment plan s continued, witnessing inflows of INR176 billion in December 2023, compared to INR136 billion in December of 2022. The notable thing is AUM

through SIPs has reached a number of INR10 trillion. This means that nearly 40% of the equity and equity -oriented A UM is now contributed through SIPs.
Debt funds reported a QAAUM for December 2023 of INR10.2 trillion as against INR8.6 trillion in December of '22, growth of 19%. The B30 MAAUM category remains robust and the growth continues, with its share in the overal l MAAUM for November

rising to 18% an increase
from 17% as compared to December 2022. This growth observed on an expanding base underscores the significance of acceptance of mutual funds even in B30 markets. The contribution of B30 markets to equity -orient ed AUM is even higher - 27% of equity -oriented AUM comes from B30 markets.
Now we move to our company.
Firstly, we are definitely most excited to announce that we inaugurated 24 new branches on 2nd of Jan uary 2024. Of this 24, 22 are in B30 cities. This t akes our branch network to 253, 173 in B30 and balance 80 in T30. We continue to look for opportunities to further our physical infrastructure.
For the quarter ended December '23, our QAAUM marked a milestone reaching INR5.5 trillion, representing a growth of 24% Y -o-Y, with a market share of 11.2% on an overall basis and 12.5% if one excludes ETFs.
Our closing actively managed equity -oriented funds AUM reached INR3.47 trillion, an increase of 50% as against industry growth of 39%, resulting in increased ma rket share of 12.7%.
Our systematic transactions continued to grow. And in December '23, we processed 6.81 million transactions amounting to INR26.3 billion. The corresponding amount for December '22 was INR15.7 billion, signifying an increase of INR10.6 b illion for a single month. As a

reminder, our systematic transactions include both SIPs and STPs. STPs are systematic transfer plans. Our closing AUM for debt funds, which includes debt index funds, saw a modest uptick Q -on-Q, reaching INR1.34 trillion.
Our quarterly average asset mix reflects a continued tilt towards equity with equity -oriented funds comprising 61% of our AUM. This figure is notably higher than the industry average of 53%. Additionally, our customer profile leans towards individual investo rs with a contribution of 70%, showcasing a notable variance from the industry, which stands at 59%.
Our penetration in the unique investor universe stands at 21%, signifying that over 1 in every 5 investor has chosen HDFC Mutual Fund as one of their inves tment choice.
Moving to financials.
Revenue from operations came in to INR6.71 billion, reflecting a 20% year-on-year growth, while other income amounted to INR1.42 billion, aided by healthy mark -to-market growth resulting in total revenue growth of 23% Y-o-Y.
Operating profit for the quarter came in at INR4.96 billion, a growth of 25% Y -o-Y, with a stable operating profit margin of 35 basis points.
The effective tax rate is lower, primarily due to a decrease in deferred tax charge for the current quarter , mainly attributed to the holding period of certain investments transitioning from short to the long term.
Lastly, before I close, I would request all of you to give our yearbook a quick read. This has a plethora of data and information in regards to both economy as well as markets. Our investment team puts in serious effort and I can definitely tell you that this will be worth your while.
Thank you very much for patient hearing. Navneet and Naozad are very much here, so we can open up for questions.

Moder ator: Thank you very much. The first question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.
Devesh Agarwal: Firstly, congratulations on a good set of numbers. I think this has been one of the...
Moderator: Devesh, sorry to inte rrupt you, you're sounding little distant. Can you please speak through the handset?
Devesh Agarwal: Is it better?
Moderator: Yes.
Devesh Agarwal: Firstly, I would congratulate the management for another strong quarter. I think this has been a very good qu arter for the industry as well as for the company. Sir, a couple of points. First, if we see your debt and liquid funds, that is where we've been losing market share to some extent. Although it may not be very important from your revenue perspective, but s till on an overall basis, we don't see the market share gains that you see on the equity front. So any reason why we are kind of losing, especially on the liquid side, this market share?
Navneet Munot: Thank you, Devesh, for the compliment, and I take that on behalf of all the 1,500 people in HDFC AMC, who have been working with a deep sense of purpose to be the wealth creator for every Indian. I also take this opportunity, before I answer your specific question on debt and liquid market share, to celebrate the achievement of INR50 lakh crores AUM of mutual fund industry. I think this is a testament to the trust that investors place in the Indian mutual fund industry. This is a momentous achievement for us. And to put this number in perspective, I'm sure eve rybody knows that the total size of mutual fund industry in India was INR10 lakh crores 10 years back. And in 1 single calendar year, we have grown by INR10 lakh crores. So , we take this opportunity to thank and congratulate our regulator, SEBI, for their continuing guidance and encouragement; all our di stributors and

investment adviso rs for their support; all other MF industry stakeholders for their untiring efforts; of course, all our peer AMCs and their employees; and above all, the mutual fund investors . So, it's a great moment for all of us, but we all look forward to a lot of growth over the next several years, several decades.

Now coming to your specific question on debt and liquid market share. So Devesh, it's been in a range. First, I mean, let me t alk about the debt side. So , I think I've mentioned it in some of the previous calls that we were a little late in debt index funds as we were awaiting certain regulatory clarifications before diving in. Our investment and risk team was a little apprehensi ve of signing it off. And if you ignore the debt index fund, then our market share has been more or less flat. The liquid market share has also been in range in recent past. There was time when our market share was higher. In fact, during those quarters, w e would have mentioned that whenever there is a bit of stress in the market, you see money moving to some of the fund houses like ours, then risk gets distributed to a wider set of AMCs.

And I think despite the fact that we don't get a llocation from certai n set of institutional clients, wherever the group limit exposure might have got hit, as we've been part of the HDFC group, certain institutional clients may have an overall group limit, but we see healthy allocations from all the other institutional clien ts. These things, I think, on a quarter -on-quarter basis don't worry as much. They get evened out over a period of time, you would have noticed over a longer time frame.

What I can say is that we have top -tier products and very deep relationship across cli ent categories. I also take this opportunity to mention this point that over the last couple of years, almost all the growth in the industry has come from equity funds. The fixed income and the liquid category haven't really grown much. I think as an indus try as well as at HDFC AMC, we think over the next few years,

we need to work a little more on growing that segment of the market also. And whenever that grows, we remain confident of remaining a lead player.

Devesh Agarwal: Right, sir. So basically, sir, there has been no change in the strategy, right, towards pushing more of equity products and not focusing on debt and liquid?

Navneet Munot: No, Devesh. For us, I mean, all money is welcome. I think we have mentioned time and again. We have products for al l kinds of investors. We want to serve the needs of all kinds of investors across

our product range. And happy to get money in all the asset classes where we are present.

Devesh Agarwal: And sir, moving on to the equity side, we have seen a very good perfo rmance. Over the last 12 months, I can see that almost 100 basis point market share gain. So , any strategy which you can share, which will give us comfort in terms of this market share gain can continue? We see that the fund performance is strong.

But prob ably in the sense of, there are some products like, just to mention, sectoral and thematics, where our market share is relatively low and we have seen that even in last 3 months, there have been a large number of NFOs happening in that segment. So , any foc us on that segment which can drive market share for us?

Navneet Munot: So first, I think, on the product launches, you have seen, over the last couple of years, we have also done a couple of product launches, wherever we felt the need to fill the product b ouquet. But I must say this that, I mean, at our end, the product launches are driven by the views that we have from our investment team, the capability that we have. We don't launch products for the sake of it or just because they are currently fad of the season or they are selling.

We remain quite confident that the product range that we have, the long-term performance track record that we have, very well laid out philosophy and processes we have, and the relationship that we enjoy with our distributors, and all the other efforts we have made, we have a significant growth potential in several categories.

While, I mean, you talked about the sectoral and thematic, but I think there are several categories. If I look at the tax saver, if I look at large and Mi d-Cap funds, in our Multi Cap fund, in our focus fund, there are several categories where I think there is significant scope for growth in market share apart from some of the other NFOs that we have done in recent past, where I think over a period of time they will continue to grow.

Devesh Agarwal: Right. But any specific strategy that you're targeting in terms of either a more number of NFOs in particular category or higher incentive to the distributors to promote those categories?

Navneet Munot: No, not r eally. I think we have been gaining market share, as I mentioned that, across categories, and we have products where we think that there is a lot of scope for us to grow and build a respectable size relative to where we are today and the capability that we have in those products.

In fact, interestingly, if you have seen the flows this year, the large cap category hasn't grown much. And whatever I hear from our investment team and a lot of other people in the market, we would vouch for it that given the rela tive valuation, I see there's a lot of potential for that category to attract money and we have an absolutely best -in-class product there in HDFC Top 100. And I think we can get substantially larger than where we are today in that product.

Devesh Agarwal: Right, sir. And sir, one last question on distribution. We've been seeing that HDFC Bank share in your total equity share has been declining. It has come down from 8.4% last year to 7.7% now. So clearly, the

growth in the equity assets from the bank is lag ging the growth that you're seeing on the overall assets. So , any sense by when can we increase our share in the HDFC Bank AUM wallet? And probably what can drive that?

Navneet Munot: So first, let me clarify. HDFC Bank is not selling less of us. In fact, we have large number of products which are approved on its merit. We are working very hard with the bank and all parts of the bank. It is that other channels are growing faster. So , you should look at the data differently. Firstly, this is a pie

of overall distribution. So , it is possible that HDFC Bank has sold more of us, but other channels have sold even more.

The big data is also coming from Direct Plan. We have mentioned in the past that the Direct Plan is around 24% -or-so of our book, it is in late 20 s in terms of flows. Secondly, the mark -to-market effect because of lower TER in the Direct. So , for example, if there is no flow and no market change in say 1 year, 2 4% direct AUM, which would have, let's say, 100 basis point lower TER, by default will ga in 20 basis points of share due to differential fee. So, because of these reasons, you are seeing slightly less number against HDFC Bank. But I would say that our flow share is higher than the share and stock that we have with HDFC Bank as a distributor.

Devesh Agarwal: Understood. And sir, so if we flip the question, if I am right, I think we used to have 32%, 33% share in the HDFC AUM. Has that number inched up?

Navneet Munot: So, I can say that whatever number that we have in the stock today, our flow sh are is higher than that.

Devesh Agarwal: Understood. Perfect, sir. Perfect. And 1 last bookkeeping question. If you can share asset -wise yield for the quarter, that will be helpful. That will be all from my side.

Naozad Sirwalla: So, the blended yields rep orted are 48 basis points.
Simal Kanuga: So, I think, Devesh, asset -wise, basically, I think what will be more relevant, Devesh, would be what are the yields at the end of the quarter, right? And I think Naozad, why don't you just...
Naozad Sirwalla: Yes. So, for the quarter, the equity yields are around 63 basis points. Debt remains steady at 28 -29. Liquid has not changed again historically.
Devesh Agarwal: Understood. Perfect. Thank you so much.
Moderator: Thank you. The next question is from the line of Saurabh Kumar from JP Morgan.
Saurabh Kumar: Sir, just two questions. One is what would explain this high growth in individual investors that you see in almost 10% Q -o-Q versus industry at like 4%, you're almost nearly 50% of the incremental additions in the industry. So , what would be explaining that? Is this a scheme performance or anything else you've done? And secondly, just on the yields, your mix is better, but the yield is down. How do we explain that?
Navneet Munot: So, first on the higher share fro m individuals. As you know, I mean, the overall growth in the industry has been in equity as an asset class rather than in fixed income and liquid, where you see more institutional money. Within that, we have done well for a variety of reasons, including s uperior performance. I think the focus that we have on better distributor engagement, the marketing efforts we are putting in place, brand, infrastructure, it's a combination of many, many reasons. And of course, we've always mentioned that at HDFC AMC what has worked wonderfully for us over the years or decades is continued focus on the systematic transactions. So , if you have noticed, the systematic transaction book has grown by over INR10 billion a month in last 1 year or so and this continues to grow.

The second question was on the margin. So , let me explain this by citing a very specific example, and I think that will make it clear, we might have mentioned this in previous call, but it's better we explain that again, which explains the dilution in margi n, particularly in our equity book.
So, in December of '22, our largest fund, that is HDFC Balanced Advantage Fund or BAF had an AUM of INR51,000 crores. The AUM now in INR73,000 crores -or-so. The TER as of December '22 end was 1.52%, which is now at 1.42% . This is a drop of 10 basis points on AUM of INR73,000 crores and INR73,000 crores is approximately 18%, 20% -or-so of our equity -o

riented AUM. Now this is nothing but purely computation of TER based on SEBI formula. This is sliding scale structure or tele scopic pricing as it is known as. And this is not the only scheme where we have seen this. So , if I give you an example of another fund, HDFC Mid Cap Opportunities Fund, that has come down from 1.63% to 1.47%. That's a drop of 16 basis points, and the AUM here is INR56,000 crores. So , say, 16 basis points on INR56,000 crores. And this would be the case with many other strategies, HDFC Small Cap, Flexi Cap, Top 100 or so, where AUM would have increased by a couple of thousand crores.
Now good thing here is t hat economies of scale are being passed on to the investor or to the customer. So , the customer in HDFC Balanced Advantage Fund is getting the same fund now 10 basis points cheaper as compared to last year, which in turn makes the product even more attract ive.
In fact, if I take the April 2019 as a base, as you would remember, that was when new TER formula came into effect, TER of HDFC BAF that

time was 1.78%, and this is now at 1.42% that I told you earlier. That's a drop of 36 basis points. So , the same p roduct, I mean, if you compare 1.78% with 1.42%, this is like 20% cheaper in terms of TER.

Is it bad for us? Will I take higher TER with lower AUM or higher AUM with lower TER? I mean, the answer is obvious. So , let's continue with the example of HDFC Bala nced Advantage Fund, HDFC BAF. If one multiplies AUM by TER, the total expense, including distribution commission, will be approx INR720 -odd crores on AUM in April 2019, when the size was INR40,700 crores. The number now would be over INR1,040 crores, that is INR73,000 -odd crores at 1.42%. So , net-net, it's a win -win for everyone. Customer is getting the same product cheaper. AMC makes healthy incremental revenues. And on lighter note, our fund managers are happier lot too, because a 36-basis point drop in cost means 36 basis point of extra alpha to their performance.
So of course, the dilution of margin due to increased AUM in normal scheme of things would happen at a slow pace and over a period of time. The pace can change when you have a rapidly rising ma rket, something that we saw in the last quarter or maybe throughout this financial year, where the large part of AUM gain is due to mark -to-market.
So, if I'm not wrong, our equity -oriented AUM has seen a mark -to-market increase of over 11% in this quarter . When this happens, you will see number of schemes jumping couple of slabs and pace of dilution picks up. So , I mean, of course, we all know that markets can deliver 10%, 11% every quarter. This does not happen every quarter. Interestingly, regulators' sk in in the game mandate for AMCs has helped in some manner. We have been mandated to invest a few basis points of our AUM in all our schemes. So , this has resulted in over INR4 billion of investments in our equity -oriented fund. So sudden spurts in market w ould result in increased other income. Of course, vice-versa or way down. But that point in time, our equity -oriented AUM will fall and may see some revenue margin increase. So , it won't really set things off, but it does balance to an extent. Needless to state,

higher AUM is more preferred an option as against higher margin. I think the same point we would have made earlier, but I thought maybe we'll give you a more detailed color on that.
Saurabh Kumar: Just 1 additional follow -up on this. So basically, y our TERs are going down, but your EBIT margins are broadly sustaining at that 35, 36, because you seem to have some operating leverage as well. So fair to say, I mean, you can broadly sustain this margin structure going ahead as well? The 35 basis point od d?
Navneet Munot: Yes, that'

s the endeavor.
Saurabh Kumar: Thank you.
Navneet Munot: Yes.
Moderator: Thank you. Next question is from the line of Lalit Deo from Equirus Securities.
Lalit Deo: Good evening, sir, and congratulations on a good set of numbers. So, one clarification, sir. So , like you mentioned that the market share in other channels, the direct channel in equity is in the late 20s. The late '24, was it something else?
Navneet Munot: Sorry, I couldn't hear you well.
Lalit Deo: Sir, so in one of the earlier questions which have been asked, so in the equity AUM channel mix, sir, the direct channel has been increasing at a much higher pace. So , like qualitatively, what would be our market share in the direct channel in the equity space itself? Or an y comments around that?

Simal Kanuga: No, no, no. I think what Navneet mentioned then was saying that the flow -- so today, for example, out of INR100 on the book, INR23 have come in from Direct Plan, that is on the book. In terms of flows, that number is late 20s.

Lalit Deo: Okay. Okay. And sir, any comments around the market share in that specific channel?

Simal Kanuga: We don't make that comment.

Lalit Deo: Sure, sir. Secondly, sir, on the product, I mean, on the alternate side, like how is that shaping up going forward in FY '25 and FY '26?

Navneet Munot: As we have mentioned in the past, we have taken a couple of steps to build our AIF and PMS business. The fund of fund that we launched some time back has seen decent traction. We have commitments to the tune of INR8 billion from over 300 clients, which include institutions, family offices, and HNIs. In that fund of fund, we have shortlisted nine funds and have committed capital to these funds . We hope to raise some more capital in this fund during the cu rrent quarter.

Now as a further step to build newer lines of business within the AIF, we have added two senior resources on private credit side. We do see that category as an opportunity over the next several years. The product launch here should be in lat er half of the current calendar year.

On the PMS front, we have launched two strategies. We are seeing interest building up. We've also introduced an NDPMS offering for larger customers and seeing some good traction already.

Lalit Deo: Sure, sir. I think j ust last one is bookkeeping question. So , like in SIPs, we have seen a strong growth. So , like could you quantify like how many new SIP accounts we have acquired -- we have added during the quarter?

Simal Kanuga: We have that in the presentation. So , we've given the last -- so you'll have to -- we can get back to you, Lalit, on this one? I'll just send the numbers post the call.

Lalit Deo: Sure, sir. Thank you.

Moderator: Thank you. The next question is from the line of Abhijeet from Kotak Securities.

Abhij eet Sakhare: Hello, hi. Good evening, everyone. Sir, my first question was that in terms of flow market share across channels, so while you can't give that number, but just qualitatively, would it be fair to say that the lowest hanging fruit in terms of ge tting the funds included in the recommendation list, at least that part is now already played out, or is there still some scope to gain out of that?

Simal Kanuga: I think, Abhijeet, we are there everywhere. I think, we're there across channels.

Navneet Mun ot: Yes, yes, across all channels in terms of fund approval. I think the performance has been absolutely best -in-class and engagement has been very, very deep. So , I think between investment teams, product teams, sales teams, everybody working together to make the most of it, yes.

Abhijeet Sakhare: Got it. And just looking at the strong SIP numbers, is there like a channel -wise skew there or broadly representative of

the overall numbers, especially direct, if you can give some color?

Navneet Munot: No, I th ink it's across all channels, be it MFDs, be it national distributors, be it banks, RIAs, fintech, direct. I think across all channels, we have seen continuing increase in our market share.

Abhijeet Sakhare: Okay. And then just an industry level question i n terms of the risk of passive substitution. So , in your experience, do you see customers buying into passive as their first choice of product? I mean, is that a big trend that you see out there? Or not really? The passive, maybe it's the second or the thi rd fund that the person buys. Any sense on that?

Navneet Munot: So, I will repeat what I may have stated many times before that India, unlike some parts of the West, will be active and passive market against active versus passive. I mean, there have been m any comments

from various circles that majority of active managers underperform. Data is available. Please check out what percentage of AUM is outperforming the benchmark and not number of schemes. The results are healthy and in favor of active funds.
And also, the pertinent point to note is index fund performance is not equal to index performance. I mean, there is cost of running the fund plus employee cost, etcetera. So, alpha versus passive funds get further fueled up by 20 basis points to 40 basis point s or so depending on the product you are looking at. So please don't get me wrong. I'm not saying that this will be in future, too. What I'm trying to state is that in 2017 -or-so, alpha was a given; in 2020, narrative was that active cannot outperform. The truth is somewhere in between.
The big difference also we see versus the West is that how the fees have been managed by the Indian regulator. In U.S., they had very high fees and, of course, a lot of other allied charges that investors had to bear. And th at led to alpha challenges. India, anyw ays from day one in 1996, has that cap on fees and that has been further managed by eliminating the entry load in 2009, then revision in TER in 2019.
So, I think today you can get a top tier performing actively manage d fund for anywhere between 60 basis points, 70 basis points or so, in some cases, even lower. So, lower TER leads to higher probability of alpha, right? So , based on alpha potential, I would strongly state that active management in India is here to stay f or a very, very long time. We strongly believe in it as an AMC. We have probably one of the longest track record to exhibit that.
Now coming to passive, there are many investors and advisers who have preference for just meeting the market. They may not nec essarily have the aspiration to beat the market. And for them, we have a full product portfolio available. In fact, we are second largest when it comes to equity index funds in India in terms of AUM. And in terms of

product range, we have 20 index funds an d 18 ETFs. The size of equity index fund is small. I think that's approx around INR85,000 crores, INR90,000 crores, but that’s growing fast, and we remain one of the top leaders there. I think, broadly, I would say that Indians are grossly under -invested i n equities, and in my opinion, both active and passive will grow at a healthy pace. And then we are fully geared to have a leadership position in both.
Simal Kanuga: Abhijeet, you need to re -read your report.
Abhijeet Sakhare: No, no, I was just curious to know -- in terms of passive, passive has become like the first choice, but I guess that's still playing out on the margin, not a mainstream this thing yet. Just the last question...
Navneet Munot: Abhijeet, I mean, sincere compliments on your report. That 's the one I also got to read and sincere compliments, yes. You have do

ne a good
work on that. I mean, it's the point we have always been making. And interestingly, I talked about the alpha generation across the industry. And we keep hearing that the large caps can generate alpha, because those are the top 100 most researched companies. And look at the returns of HDFC Top 100, I mean, over the last year or over the last couple of years, -- I'm sure you have seen that, but the others who haven't would be pos itively surprised.
Abhijeet Sakhare: Sure. And the last question was, coming back to the expense ratio, TER bit. See, at one level, the pricing is inflexible because of our agreements with the distributors at least on the back book. But incrementally, is t here a thought process of making it more flexible in

line with how the individual distributors are doing as far as
redemptions are going on, making it more, let's say, "performance
linked" in a way?
Navneet Munot: So historically, we have seen that the dis tributors, I think, who have
kept the money for long, I think, have really benefited in many ways.
In fact, in our analysis, one interesting thing we found was that some

of the most successful distributors in India are the ones who've kept the
money with u s for the longest time.
And as you know, some of our NAVs have multiplied so much over
the last 20, 25 years, I think for their business expansion, I think it has
really helped them. And the pace at which the compounding has
happened in India, particularly in fund houses like ours, they've really
benefited. And we continue to engage deeply with them to encourage a
more, I would say, a longer -term holding.
Moderator: Thank you. Next question is from the line of Lakshminarayanan from
Tunga Investments. Please go ahead.
Lakshminarayanan: Am I audible?
Moderator: Sir, your voice is breaking a little bit.
Lakshminarayanan: In your direct flows, you mentioned that on the book, it is 25%, but on
the incremental cost, it's 20%. So, is direct growing slower than the
other channels or is it growing as fast as other channels?
Simal Kanuga: Sir, what we mentioned was, on the book, if you look at it, direct says
24% when it comes to equity -oriented AUM. On the flows, the number
is higher. It is in late 20s.
Lakshminarayan an: Got it. Got it. The second question is that in terms of the total
distributable TER, right, what is …
Simal Kanuga: Sorry, we didn't get your question.
Moderator: Laxmi sir, sorry, but then we are losing your audio. The line for the
participant dropped . We'll move on to the next participant. Next
question is from the line of Bhavin Pande from Athena Investments.
Please go ahead.

Bhavin Pande: So, our mix of assets in equity has been around 63% of closing AUM.
So, in the long run, I mean, what sort of nu mber are we looking at in
terms of asset mix?
Navneet Munot: As I said, I mean, we have products for all investors across equity,
fixed income, hybrid, liquids, money market, and money is welcome in
all products. We make -- I mean, money is made in all tho se products.
But over a period of time, given the higher mark -to-market gain on the
equity side, and also the systematic transactions, bulk of it is in equity.
Logically, equity proportion should grow higher than the other asset
classes. But as I mentioned in the beginning, we don't have a specific
target in mind for that. For us, I think, whatever product sells, that
bring s bottom line to us.
Bhavin Pande: Okay. And sir, in terms of channels, we have seen a pretty decent
traction from digital and fintech p layers, but simultaneously, we also
have witnessed sort of a dream run in the Indian equity market. So , do
you think this contribution from digital channels is sustainable in the
long run when markets do not deliver the wa

y they have delivered
recently?
Navneet Munot: A large part of that growth thankfully has come through the systematic
transactions. And that gives us confidence that it's a lot more structural
rather than cyclical. Of course, we have always mentioned that flows
have two parts. One is the s tructural that comes in the form of
systematic transactions. And there could be like cyclical part of it,
which depends on the overall market momentum, the relative
attractiveness of equity versus other asset classes, so on and so forth.
But given that thr ough the digital channel, bulk of the money is

coming through systematic transactions, we think it's a lot more
sustainable.

Bhavin Pande: Okay. And just one bookkeeping question on employee expenses. So, do we think they should keep going up for us to sor t of continue retaining talent vis -a-vis industry competition?
Navneet Munot: A couple of people in this room, and they are all smiling, why it should not go up. I mean, on a very serious note, I think in India, all of us are very excited about the India m acro story, about the under penetration of mutual funds, and the growth potential that our industry has. We are a people organization, and I'm sure we'll have to ensure that we are able to attract in the best quality talent, and we have to compensate well.
Bhavin Pande: Okay, okay. Wonderful, wonderful. Thank you so much, sir
Navneet Munot: Thank you.
Moderator: Thank you. Next question is from the line of Sagar Doshi from Fintuit Investments. Please go ahead.
Sagar Doshi: So, I have a couple of questions. First one being in your business split between what has...
Moderator: Sagar, your voice is sounding clear. Can you please speak through the handset?
Sagar Doshi: Is it better now?
Moderator: Yes.
Navneet Munot: Yes.
Sagar Doshi: Okay. So , the first one is, can you give me a split between what has been an organic growth and the market -driven growth? So let's say, if we compare our AUM to last year and the great growth that we have had till December '23, so what has been the market growth and what would be th e net inflows growth? If that could be cleared off.

Simal Kanuga: Sagar, we do not publish the net flow growth numbers.
Sagar Doshi: Okay. Just if you can give a rough percentage idea, if that's possible?
Simal Kanuga: No, there is no rough or fair here.
Sagar Doshi: Okay. The second one would be like, can you let me know like what are your plans for entering any other adjacencies or maybe getting our AIF book more in number, so that it contributes significantly to the revenue? A long -term plan apart from o ur core business, anything else that you are looking at?
Navneet Munot: So, our major focus remains on continuing to build our core business. We think there is huge runway of growth there. At the same time, I've mentioned earlier that we are focused on bui lding our alternative and PMS business in a slow and steady manner. Over a period of time, that will continue to grow. But if you look at our overall size of the mutual fund revenues, I mean, in the next several quarters or even years, I don't think that w ill become so significant relative to the mutual fund revenues that we have.
Sagar Doshi: Got, got it. Okay. Thank you and all the best for the future.
Navneet Munot: Thank you.
Moderator: Thank you. Next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.
Dipanjan Ghosh: So first one, data keeping question, which you answered earlier. If I heard correctly, on the equity yields of 63 basis points, was it the exit run rate for the quarter? Second, on the opex side if you see, and you correctly mentioned that you have been investing in kind of growing the franchisee and the potential in Ind

ia.
So just wanted to get some sense, let's say, over the last, let's say, next 12 to 24 months, if markets were to kind of remain relatively lull, in that sort of a situation, what sort of flexibility do you have on the

expense side, be it on the overheads or fixed cost variable on the employee side, if you can give some color on that? Those are my two questions.
Navneet Munot: Naozad, can you add more? B ut all I would say is that we run a very, very tight ship. I think if you compare us with any large global asset manager, who manages $60 billion, $70 billion of AUM, serving more than eight million customers, serving more than 80,000 distributors, offices over 250, and then best -in-class capabilities, and if you look at the total expense, I think we're a very, very tight ship.
And you would have seen like the growth that has come from -- because of the mark -to-market as well as the flows, it's not that expense also have to grow in that line. If there is a bad year -- I mean, let's say markets fall next year, I think that large part of the cost would be like fixed. I don't think there would be much to do on that. But Naozad, you can add more.
Naozad Sirwalla : No, I think it's summarized very well by Navneet. As you know, most of the costs are people and opex, office led. So very little variability there, frankly. The costs will be pretty much what they are. On your first question on the 63 basis points, it's for the quarter, margin for the quarter.
Dipanjan Ghosh: Got it. And just to follow up, if you can kindly mention the exit run rate, if that's possible? The equity yield, let's say, maybe for December, or exit run rate, whatever.
Simal Kanuga : It is actual ly the same. Yes.
Dipanjan Ghosh: Got it. Thank you and all the best.
Navneet Munot: Thanks.
Moderator: Thank you. Next question is from the line of Gaurav Jani from Prabhudas Lilladher. Please go ahead.

Gaurav Jani: Thank you, sir, for taking my question. Firstly, just an extension to the opex that we've added about 24 -odd branches in Q4, right? So , I assume the cost would come in Q4, right? So , the point being, from the base of Q3, should we expect 11% -12% in tandem growth in other opex, or should be lowe r considering it's in B-30? And how should we look at it?
Naozad Sirwalla : Yes, I'll answer that. So basically, we have a well -established process when it comes to taking decisions for opening new branches essentially. The input that go into our industr y AUM, distribution channel spread in that region, acceptance of the HDFC brand in the market, etcetera. So , we don't really rush into opening branches. And when we build a business in a city or a town through branches in neighboring cities, then a decisio n to open a branch is only post the desired optimal AUM.
So yes, we did mention that of the 24 branches, 22 are in B30 locations. The overall cost of these branches tend to be much lower. Our rental, etcetera, are very low. If you add up cost of all these branches, it won't really move the needle in terms of on overall quarterly cost basis. Again, we will sort of be prudent when we open branches as we go along. So yes, I don't think it's a material movement in that sense. These are small branches with coupl e of people at each branch.
Gaurav Jani: Sir, the last 12 months, other opex totals to -- I mean the opex per branch totals to about INR1 crores . So, what you are alluding to is this number per branch for the new branches would be much lower?
Navneet Munot : No, no. I think he is looking at the total opex divided by the number of branches. No, you cannot look at it like that.
Simal Kanuga : No, no. See opex includes travel, opex includes everything else. Like every time we launch a product, we have to pay

SEB I fees, everything.
So opex is not divisible by branch.

Naozad Sirwalla : And I won't do that math in that sense.
Gaurav Jani: Understood, understood. Fair enough. Thanks a lot. The last question from my end is, so somebody mentioned 63 bps, right? So , when do you stagnate in terms of yield bottoming out, right? So , from when -- I mean, what I mean is, sourced, whatever AUM growth that comes in over the next two, three years, at what level do you see yields actually stagnating, and then operating levels play ing out on a consistent basis?
Simal Kanuga: So, you are saying when the dilution would stop. That's what you're asking, right?
Gaurav Jani: Correct.
Simal Kanuga: I'll tell you, the way we look at it is that the entire book will never be repriced, right, as such unless all the existing AUM goes out. The impact of lower cost or higher margin AUM will definitely get diluted further and further as new AUM keeps coming in. Also, we do see some existing lower cost AUM also growing due to mark -to-market. So, multitude of factors would play a role here. The good thing is that the distribution commissions are now much more in acceptable range. If you recall, on the last call, Navneet had pointed out that the Direct Plan TERs of all recently launched or most of the recently launched NFOs are in more acceptable a range, right? That gives you a good indication of where market is. Lastly, what has worked well is the AUM denominator, right, because that also plays a very big role. So , if you look at our equity -oriented AUM now at, whatever, INR3.4 lakh crores, INR3.5 lakh crores, the impact of new sales with lower margin would be felt lesser, right, as compared to a year back when it was like INR2.5-odd lakh crores.
So, if you are saying that when would this 63 keep -- kind of get to 63, a difficult one to kind of make a guess on. And this, I think, as Navneet, kind of earlier on the margin question, explained that very

well, saying that this particular quarter, we saw a rapid dilution, not because of anything to do with market commission, but because of AUM growing and the tiered formula kind of coming into play.
Gaurav Jani: Understood, understood. I'll probably take it off hand with you. Thanks so much.
Navneet Munot: Sure. Thanks.
Moderator: Thank you. Next question i s from the line of Kunal Thanvi from Banyan Tree Advisors. Please go ahead.
Kunal Thanvi: Hi, thanks for the opportunity. So , I had three questions. The first was on, you know, if you look at the unique customer addition, both for the industry and HDFC AMC , it has been growing at a very fast rate for now almost three, four years.
But last year, what I remember is, you know, large part of this addition was on the passive side of, you know, things. Now with, you know, active doing well, not only for HDFC AMC, but as a category itself, it has been doing reasonably well, is the -- can you throw some light on the new unique client addition towards active versus passive?
Is there any change or still, you know, the large growth in the number of unique customers is coming from the passive side of the things?
Navneet Munot: No, for us, the larger part of growth has come from the active side and a larger part of the growth has come through the systematic transactions.
Kunal Thanvi: Yes. And again, that will be large, w ill be towards the direct plan, because as you said, the flow is like, you know, late 20s and that book is 24%.
Navneet Munot: It's a mix of both, direct as well as across all distribution channels.

Kunal Thanvi: Sure. That's helpful. The second question w as on, you know, the distribution channel. Like, you know, one of t

he early participants asked about, you know, the falling share of HDFC Bank in the distribution, Y -o-Y, in the equity book. Whereas when I look at the overall, you know, AUM, the share seem s to have, you know, jumped up Y -o-Y as well. Wanted to understand, you know, apart from equity, like is there any change in the distribution with the bank in terms of, you know, ex of equity products? If you can throw some light on that. And second, like , we've done this branch expansion and there is, you know, much possibility of our higher engagement with the HDFC Bank post the merger. Can you take us through the thought process on, you know, physical presence of HDFC AMC? Because one would think that w ith HDFC Bank, you know, distributing more of our products because of both change in parentage and the performance improvement, you know, we would naturally get, you know, geographical expansion because of HDFC Bank. So , if you can, you know, throw some li ght on that.

Simal Kanuga: Actually Kunal, I think Navneet will expand on the whole bank relationship, but just I'll address the first part of your question. See, what has happened is this is the period end data, right? This is end of December. So , if some large client of HDFC Bank has come through into our liquid fund also, that would change the dynamics. So , I would not honestly read much into that 5.8% becoming 6% on the overall AUM basis. So that was the first part of your question. But I think the bigger picture on HDFC Bank as a parent and the distribution, Navneet will take that.

Navneet Munot: So, I mean, we have been mentioning over the last couple of quarters that there's definitely much more engagement at every level post the merger. I also mentio ned earlier that the flow market share in bank's book is higher than the book market share. We have not set a target for

ourselves, but we believe we have a huge opportunity in our hand and will most definitely capitalize on the same.

Management team in th e bank has been extremely supportive of all the initiatives that we take. They are, of course, also very happy with the new branches that we have set up. Of course, those branches will serve all our partners and investors. We have our dedicated senior reso urce looking at this relationship. We have mapped our branches and clusters of banks with our branches and clusters. So , to sum it up, I think we do understand the potential and the opportunity and will go all out to capitalize on the same over the next se veral years.

Kunal Thanvi: Sure. Thanks. The last thing was on, you know -- so we saw a notification of Mr. Rangan coming on the Board of HDFC AMC representing HDFC Bank. Can you talk about the current Board structure after the change in the ownership? How many people will be representing from HDFC Bank?

Navneet Munot: So, the new addition to the Board is Mr. Rangan, who is also the Executive Director on the bank's Board. Renu Karnad is on bank's Board. She has already been there on the Board. And then, of course, we have five independent directors. Board is chaired by Mr. Deepak Parekh and I'm on the Board.

Kunal Thanvi: Sure. And both Mr. Rangan and Renu were part of HDFC Limited. So , from HDFC Bank's Board, we will not be having anyone else, right?

Navnee t Munot: Both are on HDFC Bank Board.

Kunal Thanvi: Sure. Got it. Thanks. That's all from our side. All the very best.

Navneet Munot: Thanks.

Moderator: Thank you. Next question is from the line of Sandeep from Banyan Tree Advisors. Please go ahead.

Sandee p: Can you hear me?

Navneet Munot: Yes, Sandeep.
Sandeep: So, if I look at the total number of unique investors in the industry, I think it's about INR4.1 crores or INR4.2 crores?
Navneet Munot: INR4.2 crores, yes.

Sandeep: While the number of tax payers, people who actually pay tax, is about INR2.2 crores or INR2.3 crores. Would we not see a headwind in terms of number of unique investors?
Navneet Munot: I think the way we look at the number of people who file income tax, the number of people who have pass port, the number of people who do foreign travel, if you look at -- I mean, whichever way you look at, we think the target addressable market in the near term is significantly bigger than what we have in mutual fund industry.
In fact, you should -- the oth er number you should look at is the demat accounts. The accounts are 14 crores, but even if we look at the unique PAN level relative to mutual fund industry, that number would be almost double or so. So , the people who are investing in equity market direct ly versus the people who have come through a mutual fund route, I think there's tremendous potential for us to grow.
I think the SEBI chairperson has talked about making SIPs viable for the industry at INR250. I mean, if I look at the Indian households, th e number of Indian households who have potential to invest INR250 SIPs, this number should be manifold over the next several years. We are hugely underpenetrated. And we have very, very strong belief on that.
Sandeep: So, I agree with you that the number o f people who file taxes is 8 crores. But people above INR5 lakhs of income paying taxes is only 2.3 crores.

Simal Kanuga: Sandeep, not necessary. So , we have tons of clients, right, who are large investors in equities and they don't pay tax till they rede em money. So , there are 50 crores PAN cards in India. So , people have taken PAN card with some level of intent, right? So , this would include even companies. What you are registering as of now is people who have paid tax.
Now we know many people whose port folios are very large, they don't churn, for whatever reason, and they kind of have managed taxes through family offices, companies, everything. So , we don't want to get there. But what we are trying to state is there are 4.2 crores unique investors identi fied by their permanent account number in mutual fund industry as a whole, point number one.
50 crores people -plus in India have taken PAN cards. So, we are relying on that data. I think Navneet pointed out about even demat accounts, and I think that data is also publicly available. So , we are definitely of the view that...
Sandeep: Demat accounts, unique number is also about 4 crores.
Simal Kanuga: Perfect. Okay.
Sandeep: And they are probably the same people.
Simal Kanuga: Sure. So maybe some other day fo r demographics.
Sandeep: Okay. Thank you.
Simal Kanuga: Perfect, thanks.
Moderator: Thank you. Next question is from the line of Dr. Sakha from EquityVedh. Please go ahead.
Dr. Sakha: Congratulations for such a set of numbers. Can you please put a light on penetration of...

Moderator: Sir, your audio is not coming clear.
Dr. Sakha: Can you put light on the penetration of our company regarding rural

population and urban population? What will be the opportunity size within next three years for our company?

Navneet Munot: So, I think, in the beginning we mentioned about our branch expansion, and in the mutual fund industry, the term that we all use is B30, the top 30 cities and beyond 30 cities, and in our total number of branches that we have 253 branches, 173 are in B30 cities, beyond top 30 cities. We serve customers across 99% of all PIN codes in India. And thanks to the digitization in the industry, I think money can come from any part of the country, and we have seen significant digitalization of finance i n India over the last several years, the last eight or nine years. I think that the story of finan

cial inclusion in India has been fascinating and our industry has benefited a bit, but I think will benefit immensely over the next several years from that.

Dr. Sakha: My point is particularly that regarding rural demography, where is my company in rural demography?

Navneet Munot: We as I mentioned that we look at -- I mean the data that we get for the industry is for top 30 cities and beyond 30 cities. I mean, India, of course, is a large country with 600,000 villages. Over the next several years, as the industry's efforts to make mutual funds more accessible and increase the awareness about the product, I'm sure there will be interest from all kinds of investo rs. But if you have heard the previous question where we were discussing about so far only 4.2 crores unique investors have invested in mutual funds, I think related to the population of India, we think there is significant scope for us to grow continually .

Dr. Sakha: Thank you, sir.

Moderator: Thank you. I now hand the conference over to Mr. Navneet Munot for closing comments.

Navneet Munot: Thank you so much, and wish you all a very happy 2024. Thank you.

Moderator: Thank you very much. On behalf of HDFC Asset Management Company Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Apr 2024

HDFC Asset Management Company Limited
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Ref/No/HDFCAMC/SE/202 4-25/11 Date – April 25, 2024
National Stock Exchange of India Limited
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Kind Attn: Head – Listing Department BSE Limited
Sir PJ Towers,
Dalal Street,
Mumbai – 400001.

Kind Attn: Sr. General Manager – DCS Listing
Department

Dear Sir/Madam ,

Sub: Transcript of Earnings Call
Please find enclosed herewith transcript of Earnings Call for the quarter & year ended March 31, 202 4, conducted after the meeting of the Board of Directors on April 19, 202 4 which can also be accessed on the website of the Co mpany at: https://www.hdfcfund.com/about -us/financial/shareholders -presentation

Kindly take the same on records .

Thank ing you,

Yours faithfully,
For HDFC Asset Management Company Limited

Sylvia Furtado
Company Secretary

Encl: a/a

"HDFC Asset Management Company Limited
Q4 FY'24 Earnings Conference Call"
April 19, 202 4

MANAGEMENT : MR. NAVNEET MUNOT – MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER
MR. NAOZAD SIRWALLA – CHIEF FINANCIAL OFFICE R
MR. SIMAL KANUGA – CHIEF INVESTOR RELATIONS
OFFICER

Moderator : Ladies and gentlemen, good day, and welcome to Q4 FY '24 Earnings Conference Call of HDFC Asset Management Company Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this con ference is being recorded .
From the management team, we have with us Mr. Navneet Munot, Mr. Naozad Sirwalla and Mr. Simal Kanuga. I now hand the conference over to Mr. Simal Kanuga, who will give us a brief, following which we will proceed with the Q&A ses sion. Thank you, and over to you, sir.
Simal Kanuga: Thanks, Neerav, and good evening, everyone. We'll start with some industry -level data points for the year that has gone by. The industry closed the year with AUM of INR53.4 trillion, Y -o-Y growth of 35%.
Net flows for the year came in at INR3.5 trillion. The largest contributor to the net flows were actively managed equity -oriented funds. They attracted INR2.4 trillion in FY '24, a notable increase from INR1.6 trillion in FY '23. The contribution of NFOs to this number was INR546 billion. Over and above actively managed equity -oriented funds, equity index funds saw net new flows of INR247 billion.
Net flows into debt funds were INR83 billion. Debt ETF, at INR109 billion. So that adds up to INR192 billion, though debt index funds had net outflows of INR90 billion. So , all in all, net flows of INR102 billion in debt that is active and passive combined.
The industry continues to set records in terms of monthly SIP flows with overall contribution for FY '24, r eaching INR2 trillion as against INR1.6 trillion in FY '23. The SIP flows in the month of March 2024 reached INR193 billion.

Furthermore, equity -oriented ETF s attracted flows of INR293 billion in FY '24. The unique investor base for industry expanded to 4 4.6 million. That means industry added 6.9 million new investors.
Now moving to us.
We concluded the year with an AUM surpassing INR6 tr

illion,
showcasing a growth of 39% year -on-year with a higher tilt towards equity -oriented assets. During FY '24, we ex panded our product offerings in sectoral /thematic space by launching 5 new funds. On passive front, we enhanced our bouquet by laun ching 5 index funds and 2 ETFs.
Our systematic transactions, that is both SIP and ST P, saw flows adding up to INR29.3 billion in March of 2024. This number was INR17.1 billion in March of 2023. Notably, our SIP AUM now represents 37% of actively managed equity -oriented AUM, more or less in line with that of the industry.
We witnessed healthy growth in our unique investor accoun t. We saw addition of 3 million new customers during the year, and the total number of unique investors now stand at 9.6 million with 16.6 million live accounts. For FY '24, industry added 6.9 million investors. And of that, 3 million reposed their faith in us. Lastly, we continue to hold the pole position when it comes to market share in individual investor

AUM and second highest in terms of B30 AUM.
Moving to financials.
Our revenue from operations for FY '24 came in to INR25,84 4 million, growth of 19% Y-o-Y.
Operating profit for the year added up to INR19,000 million, a growth of 22% Y -o-Y with a stable operating profit margin of 35 basis points.
PAT for the year was INR19,458 million, growth of 37% Y -o-Y. We

would like to highlight that the effective t ax is lower, primarily due to a decrease in deferred tax charge for the current quarter, mainly attributed to the holding period of certain investment, transitioning from short term to long term.
Finally, Board earlier today has recommended a dividend of INR70 per share as against INR48 per share last year, translating into a dividend payout ratio of 77%. This is, of course, subject to shareholders' approval. I'll hand over the call now to Naozad before we open for questions for his comments on our operatin g revenue. Naozad, would you take this?
Naozad Sirwalla: Thanks. Thank you, Simal. Good evening, everyone. So firstly, there is a one -off in this quarter due to year -end true ups. We, of course, try to estimate distribution costs with utmost care and preci sion, but they are still estimates. As we see it, the same should get aligned -- starting this current quarter. You would have noticed a fall in the direct TER of some of our schemes during the last quarter, and the same has been reinstated to an extent st arting April 1, 2024.
For example, for the small cap fund, its direct plan TER decreased from 72 basis points on 31st December to 58 basis points on 31st March and subsequently increased to 63 basis points on April 1. In case of hybrid debt fund, direct p lan TER decreased from 127 basis points on December 31, to 119 basis points on 31st March and subsequently increased to 124 basis points on 1st April. Similarly, for the credit risk debt fund, the direct plan TER decreased from 97 basis points on 31st Dece mber to 91 basis points on 31st March and consequently increased to 96 basis points on 1st April. The direct plan TER for transportation and logistics & dividend yield fund increased by 7 and 5 basis points, respectively, between 31st March and April 1.
Over and above, we also saw a similar kind of adjustments in case of some of our other debt funds. To sum up this point, there is a one -off,

which has led to a bit of extra margin compression. And we see most of it getting realigned , starting first quarter o f the current financial year. This would just be a fraction of a basis point , statistically, but that itself is a meaningful amount for us, especially when the same is looked upon from a perspective of a particular quarter.
Finally, I can tell you that our management fees on equity stand at

around 59 basis points, 27, 28 basis points for debt and similar 12, 13 basis points for liquid. This is for the period starting 1st April based on the current AUM. So , assuming AUM and asset mix being constant, we shoul d be back at around 47 basis points odd from the current quarter onwards.
I think we can take questions from here.
Simal Kanuga: Yes, Neerav. I think you can start lining up questions.
Moderator: Thank you very much. The first question is from the Dhaval f rom DSP. Please go ahead.
Dhaval: Thanks for the opportunity. So, I just had one question related to the yield in the quarter. You explained that this is one-time readjustment. I just wanted to understand what led to this larger readjustment -- relatively large readjustment in the quarter. And like in the past, we haven't seen this kind of an impact. I just wanted to get a little bit of background around this. And if you could just repeat the sort of broad

expectation of yield based on the current mix that you talked about at
the end of the commentary. Yes, that's the only question.
Naozad Sirwalla: Okay. Let me try and explain this. So , the regular plan TER is
comp uted based on the SEBI prescribed formula, while direct plan
TER is reduced to the extent o f distribution commission, right? Now
what the distribution system will sell and how much the commissions
are moving are variable s, so there's this estimate that comes into play.

If we underestimate commission on overall basis, we need to reverse
the expen se ratio, so on and so forth. So , without getting into
accounting complications, again, I would like to reiterate that what we
said earlier, that we are now at 59 basis points in equity, 27, 28 basis
points in debt and the similar 12, 13 basis points in li quid. So , to
estimate revenues for, say, April -June quarter therefore should be
based on these numbers and not the Jan -March quarter number. And as
I stated, it is a one -off and has already got corrected to an extent or
realigned.
Dhaval: Sir, if you can r epeat the guidance that you talked about?
Simal Kanuga: So, it is 59 basis points in equity, 27, 28 in debt, 11, 12, 13 in liquids.
So, based on that, if you look at current AUM and the current asset
mix, that number would be approximately 47 -odd basis poi nts.
Dhaval: Understood. Very clear. And just one last data keeping point is on
dividend policy. So , should we expect this to be the revised dividend
policy for the company? Or I mean, just how do you think about
dividend payout from hereon?
Naozad Sirwall a: So, I think over the last 2, 3 years, you would have seen that we have
increased the dividend payout ratio year -on-year, and that's the way the
Board has been thinking about this. We don't have a stated dividend
policy as a percentage matter. But if you see the historical trend last 2,
3 years, the payout has been going up. We obviously cannot second
guess what the Board would do going forward. But at least from the
trend, you can see that the Board has been forthcoming in increasing
payout ratio.
Modera tor: Next question is from the line of Madhukar Ladha from Nuvama
Wealth.
Madhukar Ladha: Congratulations on a good set of numbers and actually an even
stronger sort of operational performance. So , two things from my side.

First, can you talk a little bit about the competitors' intensity that you
are witnessing flows were very strong in the last quarter? And are you
seeing increased payouts. And as a result, when you had to sort of pay
out more, which is why this adjustment is happening right now. Or just
in general, get a sense of sort of competitive intensity in the market.
Second, on your staff costs, there is about INR47 crores impact of
ESOP charges. I wanted to get a sense of what ESOP co

st will be over
the next few years? So those would be my two ques tions.
Simal Kanuga: So Madhukar, on the first one, I think competition intensity, I think the
answer is constant. It is as good or as bad as it has been. The
distribution commission payouts haven't really gone up in this quarter.
The trend continues to be same over the last few quarters. This
adjustment, as Naozad explained, has nothing to do with any kind of
excess brokerages that have been paid or anything on those lines.
I'm sorry, I'm just answering on behalf of Navneet. So Navneet has got
an extremely bad cold. He's is in the room , running a bit of
temperature. So just kind of saving his throat a bit. So that is the first
one. I think on the ESOP one, Naozad, would you want to take that?
Naozad Sirwalla: Yes. So , I think when we gave -- when we sort of granted the stock
options last year same time, we had given a broad guidance that the
total cost of the last year grant was about INR55 crores. The way the

amortization works is typically 60 -odd percent gets accounted as an
expense in the first year, then it drops to around 30% and then 20%
and then it rolls off. This year's cost includes about INR47 crores of
onetime ESOP cost. This is, of course, a noncash charge. For the next
year, I think this number is around INR20-odd crores. But it is just a
noncash charge for the company.
Moderator: Next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Firstly, could you just give some numbers as to what were the reasons
that you've given in -- at the beginning of April on asset wise. It wo uld
be great if you could give some color on as to how they were there in
the Q4. And secondly, from a more granular growth perspective, what
are your thoughts and plans in terms of investing into some branch
expansion? Or how do you see the channel mix ev olving in the next 2
or 3 years for us? And lastly on HDFC Bank, per se, what has been the
traction there? And how do you see the further momentum in HDFC
Bank from the next 2 or 3 years perspective? Yes, those will be my 3
questions.
Simal Kanuga: So Pray esh, if you look at for the qu arter, our operating revenue
reported is 6,955 And if you look at the quarterly average AUM, right,
it was 6,129. So , if you look at that, based on that, it's around 45, 46
basis points is what the number is. Now as against th at, I think Naozad
earlier mentioned, that number starting as of -- and that you can take
on the closing AUM. The closing AUM, so that is we opened 1st April
at the 31st March closing AUM. So , on that number, if you look at it,
we spoke about 47 -odd basis points. So , does that kind of answer your
question?
Prayesh Jain: I was looking for more breakup in terms of equity. How much -- what
was the equity and debt yields in the quarter?
Simal Kanuga: I think we'll just leave that a s a composite number. So, you can
theoretically go and look at the expense ratios of all our schemes and
do that multiplication. But I think this is where it is kind of Naozad
gave a breakup about some of the schemes where the expense ratio had
fallen particularly during the quarter and again gone up starting 1st
April.
Navneet Munot: See, Prayesh, as you are aware that we started the year by opening 24
new branches on 2nd of January. With that, now we are present in 254
locations, out of the 174 branches are in B-30. In fact, the new 24

branches, most of them were in B -30 locations. And also stated that
while we continue to invest in our digital infrastructure , we also need
physical presence for the want and the relationship and knowledge
sharing that we need to do at the local level as w ell as the servicing.
So, we will continue to invest in both.
Prayesh Jain: Okay. And on

the HDFC Bank?
Navneet Munot : So, on the HDFC Bank, I think as we mentioned for the last couple of
quarters, we've been progressing pretty well. Our teams have been
engaging across all levels. We have done a lot of mapping of their
clusters with our clusters, their branches with our branches, their
people with our people. We are engaging with various teams in the
bank to have a greater synergy and to leverage the most f rom the
potential that has arisen.
The opportunity at hand is very big, and we'll do everything in our
capacity to capitalize on it. I think I mentioned in the last call or maybe
before that, that we have put in a dedicated resource to look after this
chan nel. And I must say that the engagement levels are very, very
high. I just mentioned about the expansion in the physical branch
network. This also helps us in terms of servicing these branches. And
happy to state that our flow market share in bank's book i s higher than

the book market share. So that's encouraging.
Moderator: Next question is from the line of Mohit from BOB Capital.
Mohit: So, my first question is in terms of operating expenses. In terms of AUM, it has been around 12 bps, maybe lower than th e last year. But I see that it is kind of constant to look at like 3 to 4 years. So , can we actually assume that it is actually difficult even in a good market to go below 12 bps in terms of the operating expenses in terms of AUM?
Naozad Sirwalla: I'll tak e that. So , see, our total expenses as you said, are 12 basis points for FY 24, right? This is led by people increase, investment in

technology and digital. We are quite optimistic on the opportunity in front of us. And we do believe that we have just scra tched the surface and are fully committed to embrace any opportunities for investment and expansion. We opened 24 new branches and constantly evaluate additional opportunities for growth and expansion.
Keeping in mind the ongoing evolution of technology, w e are steadfast in our commitment to continue to enhance our digital capabilities. So , this year, we saw total cost go up by INR72 crores on an absolute basis at 12%. And if we exclude the noncash charge for ESOP, the c osts increased by INR65 crores, that' s around 11%. We managed INR6 trillion of AUM, 254 branches, so 1509 people on ro lls, around 500 people off -rolls. And for all of this, our total spend is, I think, INR680 odd crores for the year.
So, to put a comparable number that 5 years ago, in FY '19, we have spent a total of INR482 crores . This exclude s the fees and commission, there was an accounting change from FY20 . And so , our increase over the last 5 years aggregated 42%. So , I think the question of how this will look going forward, we don 't want to make any guesses here, but we'd like to state that we have managed th e cost we ll over the last several years.
And there is no reason for us to believe that we will falter on this front. So prudent spending is something that is well ingrained in our culture. Also, let us clarify that we will not shy from investing in the business and we actually go all out and hunt for opportunities to invest. Focus is to create a top -of-the-line asset management company over time.
Simal Kanuga: And actually, if I can just add, right, basically 3 -odd years back, we were at 13, 14 basis points. And every bp for us now is INR60 crores. So, we have come down from 14 -odd to 12 now.

Mohit: No, no, Right, that's what I'm saying. So , basically in a good market, I mean , is it fair to assume that below 12 bps, it's not possible. And 12 bps -- 12 to 13 bps something that we should expect going forward?
Simal Kanuga: Don't want to make a guess there. Let's see how it goes.
Mohit: Okay, fine. And lastly, in terms o

f we recr uited close on 228 employees over the last 12 months. I just wanted to know whether it's only because of the branch expansion or basically even the general course we recruited these people?
Navneet Munot: I think a large number of them are the salespeople on the ground as we have been expanding and also in some of the other capabilities that we have been building, whether it's alternatives, a lot of people in technology, in digital and client services. So , as Naozad mentioned earlier, that we won't shy away from investing and that includes adding people.
Moderator: Next question is from the line of Saurabh Kumar from JPMorgan.
Saurabh Kumar: Yes. Okay. Sir, 3 questions. So , first is on your run rate revenue. So basically, you said your run rate will now be 4 7. So , based on that, can we assume that the current mix assumes that your EBIT should come back to the 36 odd basis points now?
Simal Kanuga: 35, Saurabh, right? Last quarter is if you'll take all this -- I think it

should remain in that range. So , assume that 47, assume that 12, everything else being constant, then you get to 35.
Saurabh Kumar: Okay. I think I got to 36. Okay, fine. 35 is okay. The second, sir, is essentially, you mentioned that your flow market share is higher, how much higher can you qu antify? How much higher will it be?
Navneet Munot: On the flow side, we have always mentioned we don't share that data. There is so much data already available in our industry. From a competitive perspective, we don't share that, yes.

Saurabh Kumar: Okay. Okay. And on the HDFC Bank channel, how much will it be higher with...
Navneet Munot: I talked about HDFC Bank channel . Yes.
Simal Kanuga: So, I think, Saurabh, of out there also, it is higher than what as our book share has been generally in the 25% to 30 % range. But the flow share definitely is much more.
Saurabh Kumar: I mean, much more will be like 50% more or 100% more?
Simal Kanuga: So, Saurabh, see I'll tell you where the thing is, right? If you look at overall, our overall share also, I'm talking ab out ex HDFC Bank also is much healthier because of various factors that you are aware of. And so, if overall share is higher by, say, for example, if our share was x and it is x plus 20% in HDFC Bank, it is better than that. That way I'm saying. 20% is jus t an example. That's not a number.
Saurabh Kumar: Okay. Understand. Okay. And lastly, so if you just think about your active equity market share over a period of time, so you obviously come down from 17%. It's now going up. It's actually gone up to around that 13% odd mark. So , is 17%, what you were, and let's say, at the IPO during 2018 still aspirational? Or you think that is now a very different -- I mean, that will be difficult to achieve? Because now you have the distribution, you have the performance. Do you think that 17%, you can claw back to?
Navneet Munot: Saurabh, if I remember correctly, we were at 20% 10 years back in 2010 s.
Saurabh Kumar: Yes. So , let's say from 2018.
Navneet Munot: As a benchmark -- I mean, on a serious note, the market dimens ions have also changed, right? I mean, the largest bank distributor in India, which is almost a closed architecture. You have 3 other large banks, which are highly guided architecture on the retail side. Some of those

things also kind of impact the overall growth because you have to compare the right denominator with the right n umerator .
But from -- I think, given all the strength that we have, the way we have invested over the years in business, our aspiration is always to keep increasing from wherever we are. And while we feel happy about wherever -- I mean, whatever incremental gains that we have made, but the hunger is a lot more. That's

all I can say.
Saurabh Kumar: Okay. And just one final question if I can. So , your slide seems to suggest that of the incremental users which have been onboarded in the industry, your incremental market share is near 40%. Is that like more direct? Or is it because of the bank?
Navneet Munot: It's a combination of everything across all channels, more direct as well as dis tributor and within the distributor across all channels. So , we've been gaining market share and gaining new unique investors into our fold.
Moderator: Next question is from the line of Saurabh from Multi -Act Equity.
Akshat: This is A kshat from Multi -Act. So, I just wanted to understand one point, the 47 basis points revenues...
Moderator: Akshat, I'm sorry, can you speak a little louder, please?
Akshat: Yes. So , the 47-basis points revenue yield when we think about that, and within that equity when we are understanding that it is 59 basis

points, that will be under the assumption of current AUM. But since all the top 3 or 4 funds are now about INR50,000 crores mark, so when we see a mark -to-market gain in these AUM, so what could be the potential impact of 8% to 10% mark -to-market gains in this one on the 59 basis points that we have for the equity as of now?

Navneet Munot : So, I mean, this is what I mention in every quarter, there is no escaping margin dilution due to the telescopi c pricing. We did see our active

equity -oriented AUM rising by INR1,432 billion during the year. That is like 62% Y -o-Y. And some of our large schemes, if I look at balance advantage funds saw its AUM increase from INR520 billion to almost INR800 billion, resulting in a TER reducti on of 13 basis points . And similarly, our mid -cap opportunities fund grew from INR350 billion to over INR600 billion. That's leading to TER decline of 19 basis point. But this is a happy dilution. I mean, I'll be happy if there is market goes up 10% and w e have more gain, because this number is just a statistic. More important is the actual profit that we make or actual revenue that we make on this. I'll any day take higher AUM with lower margin rather than the other way around for obvious reasons.

Akshat: Right. So , when we say higher AUM with lower margins, is the revenue yield or operating -- so on operating profit basis, the incremental AUM would still be around 35 basis points or even that could be lower?

Simal Kanuga : Operating profit, if you look at it, it would not be lower, assuming that the AUM ri se, because the AUM will give us extra revenue, right? And thereby, the absolute operating profit will go up. And if you kind of divide it by AUM, it would remain there. So , let's assume that the equity ma rkets go up by, say, 100% in a year, of course, despite the dilution, the operating profit margin would expand. The operating profit is highly dependent on the asset mix, right? The dilution is, as Navneet pointed out, this is a healthy dilution in sense t hat our revenues go up, maybe the statistical margin doesn't look that attractive.

Navneet Munot : I mean, all this dilution happened because the AUM th is year grew by INR1,432 billion. And just to put that number in perspective, that was our AUM, if I reme mber correctly, on 31st March 2020, equity AUM.

Akshat: So, when we say margin, we mean yields, right? So , the only concern is that the incremental AUM that flows into equity, be it due to flows or due to mark -to-market, our incremental revenue on that wou ld be around 40 to 45 basis points and our operating margins today are at around 35 basis points. So , the incremental cost for this AUM, do they stay at around 7 to 8 basis points? Or they are higher, and hence, this is slightly dilutive to the 35 basis po ints of operating profit y

ield that we have today? That is...

Simal Kanuga : No, no, that is not the way this one works. See, to look at it, it is strategy -wise. So , let me put this in number. So , let's assume that we are running a particular strategy which is INR50,000 crores of AUM. On INR50,000 crores, as Naozad earlier pointed out, say, our margins are, undertaking that illustrative number, say, 59 basis points, right? Now INR50,000 crores becomes, say, for example, INR55,000 crores. Now margin gets dilu ted, say, from 59 to 57. So , my revenues now are INR55,000 crores in to 57, which is higher than INR50,000 crores multiplied by 59.

Right? And then even if you divide that by INR55,000 crores, if I look like that 57 basis points, but the absolute earning is h igher. Our cost, if you look at the costs that are debited to the P&L of the asset management company, they are very different so -called number, right?

The numerator there is very different. And once you divide that by the
total AUM, that will give you the result and basis points of spending
on our cost. And the residual or the difference between the two will
give you the operating revenue. So even in the example that you are
citing, the operating profit margin would look equal or better based on
the number s that we discussed.
Moderator: Next question is from Dipanjan Ghosh from Citi.
Dipanjan Ghosh : Hope I'm audible. A few questions. First, the 59 bps that you
mentioned, I would assume that is as on the closing AUM of March

31. So that's the first question. Second would be, I would also assume
that current yield on your fresh equity flow will still continue to be
lower than the blended book. Qualitatively, can you give some color in
terms of the divergence o r the delta between the fresh versus the
blended? H ow would that divergence would have changed over the last
few quarters compared to, let's say, April 1, 2024 versus, let's say, last
year, April or the year prior to that. How that would have changed?
Third would be on the MFD. If I look at your equity gro wth t hrough
the MFD channel versus others, there has been some significant
diverging for the quarter and also for the year. So , is it that your flow
market share accretion in MFDs would lag other channels? Also , in
respect of this, I think you have gained in the direct side. And given the
current construct where your yield from fresh is lower than blended,
every time you mix in direct increases on the equity, you tend to
benefit on the blended yield s. So, assuming this trend changes MFDs
business through ba nks, HDFC Bank revise , can that lead to some
amount of margin pressure out there? So those are my questions.
Simal Kanuga : So, I think, Dipanjan, I'll try to answer the first question of yours was
59 basis points on 31st March. Yes, that's right. We opene d 1st of
April at 59 basis points. Current yield is still lower in terms of flows,
absolutely. The flow is lower than -- the flow margin is lower than the
book margin. So , the flow margin, as we mentioned on the last call,
ranges in the 50 to 60 basis poin ts versus the book at 59 -odd basis
points that we made a mention of. Third point that you talked about is
basically the distribution mix. Now distribution mix, this is the flow
that is coming in to us, and this is not about the market share that we
get fro m each of these channels.
Now direct, we have also mentioned that in past that the book on direct
was at the start of the year around 23 -odd percent. But we have always
mentioned that the flow from direct channel is materially higher,
somewhere in the in t he 27%, 28% or even 30% in some of the

months. So , because of that, now you are seeing a higher and higher tilt
falling in favor of a direct plan or the direct chann el, that also i

ncludes
fintechs and RIAs . If you look at the pie chart that we have depicted in
the presentation, that actually gives you the breakup that we have of
our AUM across very channels, banks, MFDs, national distributor s.
But that does not really mean anything in terms of our market share is
in those respective channels . And lastl y, our margins, whether money
comes in direct or through any of the channels is constant, right? The
management fees as per regulation has to be a constant number. So ,
our margins are not kind of impacted by whether the flows coming
from direct or from any of the distribution channels.
Dipanjan Ghosh : Just my last point, if I understand correctly, the direct TER is your
gross TER minus sir, blended distributed payouts on the back book,
not on the fresh business. Now given that fresh books payouts are tad
higher compared to the blended payout on the back book, I mean, very
mathematically, isn't the net realization on incremental direct flows
better than the net realizations and incremental to regular flows?

Simal Kanuga : No more. I think because the managemen t fee number between both are constant by regulation. So that's not the case.
Moderator: Next question is from the line of Lalit Deo from Equirus Securities.
Lalit Deo : Sir, just 2 questions. While you have highlighting that we have added people on the alt ernative side. So just wanted to know what are the different strategies where if you are looking for FY '25 and FY '26 on the alternative sites ? And any product pipeline for the next year on the MF side?
Navneet Munot : Total headcount was a little over 2 00, a large number of them were in sales and also as we expand other channels, like I mentioned, whether in the digital side, whether on the alternatives on the investment and the distribution side, servicing side and technology, et cetera. And your

specif ications on alternatives, so last time we mentioned, we gave the update on the -- on our fund -of-funds.
We had a commitment to the tune of INR9 billion from over 300 institutions, family offices and HNIs and hope to raise more capital. To further expand o ur product proposition within AIF, we have hired 2 senior resources on private credit side. We do see that category as an opportunity over the next few years. We will soon launch a product there.
Lalit Deo : And on the AMCs, are we looking at any new produc t launches over there?
Simal Kanuga : So, we are looking at some more thematic funds. So actually, we are going live with the next NFO the manufacturing fund later this -- so actually, next Friday, on 26 is when the NFO opens. So that is something on the ca rds. And then we'll gradually evaluate if there are any other opportunities that our investment team is comfortable with.
Moderator: Next question is from the line of Abhijeet Sakhare from Kotak Securities.
Abhijeet Sakhare : My first question is that, I me an, what we've seen is that incrementally, I think retail money is sort of also fluctuating across categories and kind of quick to change preferences, right? So , to that extent, incrementally, I think you guys are gaining a lot of share in larger sized funds such as Balance Advantage or large cap or even mid -cap. So , I mean, at some point of time, do you want to optimize your yields given how funds move across categories? Or will it always be like a blended number and whatever the number comes out across di fferent funds?
Navneet Munot : You are saying optimizing by what, like we are encouraging flows in a certain set of funds?

Abhijeet Sakhare : No, like this is in the context of the fact that the fund performance is very strong, right, to the extent that a lo t of these people come and ask for these funds, right? So , does it make sense to

optimize for yields in the way that you are able to, it's to better protect your yields at an overall b lended level?
Navneet Munot : So, you're talking about the commission exa ctly?
Abhijeet Sakhare : Yes, yes. Exactly, yes.
Navneet Munot : Of course, I mean, it's a balance between 2. On one side, you have to keep the competitive environment in mind. And on the other side, as you rightly mentioned, we also want to optimize -- you're absolutely right. So , I'm going to keep looking at both ends we don't want to lose out on market share when your performance is good, when your products are approved. And when there is demand or pull for the product. At the same time, we remain very, ve ry mindful of the profitability that we want to maintain on these products, yes.
Abhijeet Sakhare : But just broadly, directionally, I think where the incremental money is flowing, should we be really -- I mean, everything else remaining constant, just the blended yield number will have further more pressure

this year? Would that be a correct assumption?
Simal Kanuga : Abhijeet, I think we monitor yields internally product -wise, right? And we are definitely very, very cognizant of the fact and we balance it well. Plus , we don't want to have like a very wi ldly fluctuating distribution commission policy, you need to kind of align yourselves because these are the same set of your partners who helped you in -- when your performance is slightly muted and otherwise.
So, I think we balance that quite well. Yields under pressure, I think Navneet kind of expanded on that, right? That is a fact of our business. The telescopic pricing is what the regulator has kind of defined for the industry. So that is -- but honestly, the more we think about it, we are

not really perturbed about with increasing AUM , fall in y ields because hopefully, over a period of time, it will get well compensated.
Abhijeet Sakhare : Got it. Second one...
Navneet Munot : Abhijeet, lower TER in that pr oduct relative to, let's say, some of our peers would also lead to that much of alpha. And even the sell-ability of that product increase over a period of time in our favor. Rather than looking at from a very narrow perspective of...
Abhijeet Sakhare : The observation was that, I mean, when we look at the fund flows across fund houses and across categories, the there's a very wide divergence to the extent that new funds are very clear winners and are gathering a substantial share. So , to that extent, I mean, is there a case for better pricing power is what I was coming from. But I got your answer.
Simal Kanuga : Yes, Abhijeet. But if you look at most of our products, and I think you can look at just the change of AUM, and I know a lot of you do that exercise i n terms of change of AUM and change of NAV. If you look at it in all dominant categories, be it large cap, mid -cap, small cap, balance advantage, focused funds, large and mid -cap, multi -cap, all these categories, we've been getting healthy flows.
Abhijeet Sakhare : Understood, understood. Then my second question was that any comment or color around how the newer fintech channels are now driving flows, any distinct trends out there?
Navneet Munot : Yes. I think over the last couple of years, they've become qui te prominent, particularly on gathering new SIPs and bringing new investors to the industry. It's a key distribution channel for all AMCs and it's growing at a rapid pace. In fact, as a group, they have registered 17.7 million SIPs in the current fiscal. W e are available across all fintechs and our healthy market share in new flows and new

SIP registrations. We have a dedicated channel which drives the fintech strategy .
We have our back end well in place to integrate our platform

with
theirs. This is alrea dy operational and smooth. So , with increased product range, all the products that have been launched with strong performance that we have got, the marketing efforts that we make with our communication and content, et cetera, we are confident to get our fair share of this channel.
Moderator: Next question is from the line of Shreya Shivani from CLSA India.
Shreya Shivani : Most of my questions have been answered. I just want one clarification and probably your guidance on the debt AUM. So , you've mentioned in the previous few call s about leaving aside the debt index fund that your market share has been stable. What I can gather is from the monthly numbers that have come out, that the market share on annual basis between March '23 to, say, February '24, or Mar ch '24 has also largely been stable. So , any outlook on how should we look at this segment going ahead? Would it be a more stable segment in terms of market share? Or any strategy, anything that you can help you

understand the segment.
Navneet Munot : This is the third consecutive year where debt fund as category has seen net outflows. So , this year was a net outflow last year as well as the year before last industry has witnessed net outflow in this category for a variety of reasons, including maybe the ove rall market environment and also maybe some more money would have come this year, but for the change in the taxation.
But you might have noticed that an industry, we all believe that there is tremendous potential in fixed income category. Th ere is a long -term track record. Some of our strategies are very old, and have outstanding track record over a period of time of managing credit risk, rate risk, liquidity risk, and they offer good value to investors from an asset

allocation perspective. As an industry, you might have noticed Association of Mutual Fund India AMFI has a Mutual Fund Sahi Hai investor education campaign, we've just started a new campaign called , Fixed Income Sahi Hai .
This is to create more awareness about this category of funds. And maybe over a period of time, everyone in the industry and particularly the players like us who have a longer -term track record and a brand and pedigree to invest more to cater to that demand as well. I mean, if we compare with the bank deposits, over the last 6 or 7 years, fixed income AUM as a percentage of bank deposits has actually come down. So , over a period of time, I strongly believe that there is potential for us to grow in that segment as well.
Shreya Shivani : Got it, sir. And while you mentioned about the net outflows from the industry, I think a couple of months in the last year, Jan -Feb and probably November as well, there was a positive inflow in that segment, right? I mean has that -- that is a general -- I mean, should we count it as something that going ahead, this would be a positive time or a greenshoot? Or is it just a one -off month?
Navneet Munot : Yes. So , some of the investors who take advantage of the interest rate movement in some of the short -term categories, they moved in the first quarter , anticipating peak in interest rates, peak in policy rates. And we saw some flows. But as I mentioned, year as a whole, the industry has seen net outflows.
Moderator: Next question is from Raunak Singhi from Reliance Retail .
Raunak Singhi: So, seeing the present market scenario and as we are getting across the news that the U.S. fed rates will decrease in the latter half of 2024. So how do you see the sort of potential to increase your debt fund structure, which can be the lower share than compared to the other peers of your group?

Navneet Munot : Sorry, I didn't you get your question.
Simal Kanuga : I think there is a bit of dis

turbance behind you. But you are saying the U.S. fed rates and the implication of the Indian debt funds?
Raunak Singhi: Yes, yes.
Navneet Munot : Yes. I mean there is definitely some correlation, global interest rates or global liquidity scenario is also one of the factors, but also the domestic growth inflation dynamics, fiscal and monetary policy, all of those are also important facto rs. Our team has a view that interest rates are close to the peak. And over the next couple of years, I think investors should benefit by allocating some money to the fixed income funds.
We have seen positive flows into our long -term debt fund this year as some of the investors have committed for longer -term looking and locking into the higher rates which are prevailing , the high current yield, which is there in the portfolio currently.
Raunak Singhi: My next question is, what's the share of the E TF among y our total

assets under management ?
Simal Kanuga : You're talking about our assets under management? You are asking what is the E TF share in our AUM?
Raunak Singhi: Yes, yes.
Navneet Munot : That's around 2%.
Moderator: Sir, we don't have anyone in the questi on queue. That was the last question.
Simal Kanuga : Sure. Thanks. Thanks, Neerav , and thanks, everyone, for joining the call. Look forward to speaking with all of you next quarter. Thank you.
Navneet Munot : Thanks.

Moderator: Thank you very much. On behalf of HDFC Asset Management Company Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2024

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Ref/No/HDFCAMC/SE/202 4-25/33 Date – July 22, 2024
National Stock Exchange of India Limited
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Bandra Kurla Complex, Bandra (East)
Mumbai – 400051.

Kind Attn: Head – Listing Department BSE Limited
Sir PJ Towers,
Dalal Street,
Mumbai – 400001.

Kind Attn: Sr. General Manager – DCS Listing
Department

Dear Sir/Madam ,

Sub: Transcript of Earnings Call
Please find enclosed herewith transcript of Earnings Call for the quarter ended June 30, 2024 , conducted after the meeting of the Board of Directors on July 15, 2024 which can also be accessed on the website of the Company at: https://www.hdfcfund.com/about -us/financial/shareholders- presentation

Kindly take the same on records.

Thanking you,

Yours faithfully,
For HDFC Asset Management Company Limited

Sonali Chandak
Company Secretary

Encl: a/a

“HDFC Asset Management Company Limited
Q1 FY’25 Earnings Conference Call”
July 15, 202 4

MANAGEMENT : MR. NAVNEET MUNOT – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. NAOZAD SIRWALLA – CHIEF FINANCIAL OFFICE R
MR. SIMAL KANUGA – CHIEF INVESTOR RELATIONS OFFICER

Moderator : Ladies and gentlemen, good day and welcome to Q1 FY '25 Earnings Conference Call of HDFC Asset Management Company Limited. As a reminder, all participant lines will be in the listen -only mo de and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this confer ence is being recorded.
From the management team, we have with us Mr. Navneet Munot, Mr. Naozad Sirwalla and Mr. Simal Kanuga. I now hand over this call to Mr. Simal Kanuga, who will give us a brief, following which we will proceed with the Q&A session. Thank you, and over to you, Simal.
Simal Kanuga : Thanks. N eerav, and good evening, everyone. The industry continued its upward journey and closed the quarter with AUM of over INR61 trillion, signifying sevenfold increase over the last 10 years. To put thing s in context, the size of the mutual fund industry as a whole was about INR8 trillion as on 31st March 2014. And now we have seen industry adding over INR10 trillion in the last 6 months. June 2024 was the 40th consecutive month, wherein equity -oriented fu nds have witnessed positive net flows. Actively managed equity -oriented funds saw net flows exceeding INR1 trillion in the quarter ending June 2024, with INR262 billion of this amount contributed by 17 equity -oriented NFOs.
Debt -oriented funds, including debt index funds, witnessed net inflows of INR709 billion for the quarter, marking a turnaround after 3 consecutive quarters of outflows. Additionally, debt ETF saw net inflows of INR20 billion, bringing the total net new flows into debt to INR729 billion. Liquid funds also recorded an addition of INR510 billion during the quarter, again, following 3 consecutiv e quarters of outflows. These flows in debt and liquid funds are similar to those seen in quarter ended June 2023. The following 3 quarters were net negative flows. Also , over the last 3 years, the debt and liquid fund categories

have collectively witnessed outflows totalling to about INR2,650 billion.

Monthly SIP flows have continued their upward trend, INR213 billion for the month of June 2024. Thi s quarter saw an addition of 2.3 million new unique customers.
Now we move to us. We surpassed INR7 trillion in AUM. Our asset mix has continued to further tilt towards equity, now at 64.3% on a quarterly average basis. On a closing AUM basis, actively ma naged equity funds have grown to INR4.4 trillion, market share of 13%. Debt and liquid AUM has seen a Q -on-Q increase of 9% and 14%, market share of 13.5% and 12.7%, respectively.
We continue to be the most preferred choice for individual investors, with market share of 13.3%. Our unique investor count reached 10.7 million, which takes our penetration in unique investor base to 23%. This quarter, we added 1.1 million unique investors and industr y added 2.3 million. Systematic transactions for June 2024 sto od at INR32.1 billion.
About financials. Our total income adds up to INR9,483 million. Revenue from operations increased to INR7,752 million, a growth of

35% Y -o-Y. Operating profit grew by 40% Y -o-Y. PAT at INR6,039
million, a growth of 26% Y -o-Y.
Thank you and we can take questions now. N eerav, we can start
building up the question queue.
Mode rator : Thank you very much. The first question is from the line of Bhavin
Pande from Athena Investments. Please go ahead.
Bhavin Pande : Congratulations on a great s et of numbers. I just had...
Mod erator : Bhavin, sorry, your audio is coming a little feeble. Can you speak
through the handset?

Bhavin Pande : Congratulations on a great set of numbers. First thing sir, the employee
benefit expenses, they have gone up. I'm assuming it's on account of
variable payout, so that happened in Q1?
Naozad Sirwalla : No, employee cost is a function of year -end increments, actual increase
in the headcount we added up about from the Q1 of last year to Q1 of
this year. There is an employ ee headcount increase of 280 people. We
invest in learning and development, employee engagement, etcetera.
So that's an overall increase. It's not just performance pay related .
Bhavin Pande : Okay. And secondly other expenses have also shot up. So , what cou ld
be attributed to that?
Naozad Sirwalla : Yes. So , the increase in other expenses is mainly on account of
increase in general business -related expenses , there was a new fund
offer expense , there are certain KYC related expenses f or mutual funds
and outsou rced service costs. So , these are the 3 or 4 major heads
where Y -o-Y, there's an increase in expenditure. So , had a
manufacturing NFO during the quarter, and that does have some extra
cost. And you appreciate the NFO expenses are not bad in a sen se that
there is an additional AUM that will fetch materially higher fees than
costs incurred as we go forward.
Bhavin Pande : Yes. Okay. Understood. And in terms of branch expansion, so we
added one for this quarter. So , would you like to give out some
numbers in terms of annual addition that we could look at for FY '25?
Navneet Munot : We had 24 branches that we opened in the first week of January. I
think in the next few weeks or few months, I mean, we don't have
plans to add many more.
Bhavin Pan de: Okay. That was really helpful. Congratulations again and good luck.
Management: Thank you, Bhavin.

Mod erator : Thank you very much. The next question is from the line of Ujjwal
from Desvelado Advisory. Please go ahead.
Ujjwal: First of all, congratulati ons on the great set of numbers. I have 2
questions, actually. The first question is currently asking that the
percentage of asset under management for equity funds stands at 50%,
that is up from approx. 39% a year ago. I wanted to ask like, can you
elabor ate on the strategic considerations behind the shift a

nd share
prediction, whether this is likely to increase, decrease or like remain
stable in the foreseeable future?
Simal Kanuga : No. So , I think the way we kind of look at assets are between equity
oriented. So , if you just add up the equity -oriented asset for us is
64%odd. So , we are nearing a 64%, 65% mark when you look at
purely equity -oriented assets for us. So , you are saying where we
expect this to go that. Is that your question?
Ujjwal: Yes. Yes. Equity base, like assets under management in equity. So , is it
likely to increase? Or we expect it to like see remain stable considering
like in the foreseeable future? And if you can give any guidance about
like the update on the margin part?
Navneet Muno t: So, while we want to grow all our segments, but you would appreciate
that in case of equity, the re are 2 variables, number one, the mark -to-
market gain will relatively be higher than other asset classes that will

push the equity proportion higher within our overall AUM . And second is the SIP book, which is now a very large part of the overall flows. So , a large part in fact, bulk of the SIP flows are into equity funds. So , the equity proportion by that should increase at a faster pace. But as I mentioned earlier, our intent would be to like g row all our segments of business, including fixed income and other.

Ujjwal: Okay. Okay. Got it. And my second question was like, could you provide any insight into like any upcoming initiatives related to introduction o f new fund offers? Like specifically, are there plans to

diversify or expand this portfolio through NFOs in the near term, like in the near future?

Navneet Munot : No, we just had a way a n NFO - manufacturing fund, which met with a huge success. After that, w e had an index fund just a few days back. We keep looking at our product bouquet, but to a large extent now, we believe that our product bo uquet is more or less complete. We've got the full range of products across both active as well as passive side for -- to meet different kinds of investors need. But I consistently encourage the team to consolidate our position in our existing funds and try to aim for top 3 positions across categories. So, I think there may be a few here and there, but I think to a large extent our product bouquet is full o n both on active and passive side.

Ujjwal: Okay. Got it. Thank you. Also , best of luck for your future prospects.

Navneet Munot : Thank you.

Moderator: Thank you very much. N ext question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain : Just harping on the question on employee expenses again. So sequentially when we look at the employee expense it is up 17% Q -on-Q. So , what are the elements , is there an element of ESOP expenses have gone sequentially? What is that is dr iving this sequential increase because generally I understand that your variable pay gets amortized over the year - over the 4 qua rters. So how do you read this a nd how should we look at the run rate from here on?

Naozad S irwalla : So, see sequentially the first impact of sequential increase is the annual increments we roll out in the first quarter of the year. So that's one aspect of it. Also , in the first quarter we typically have the initial valuations that come across fo r leave encashments and all other perquisite benefits that go in. And typically , the way it works is the

valuation comes in which is then sort of -- which gets used up over the rest of the year.

This first quarter we also had a large employee engagement e vent which we typically do in our first or second quarter of the year. So, these are the elements. I would encourage that you look at expenditure on an annual basis , I think for employee cost

s we have broadly would be in line with what the market would expe ct between say 10%, 12% unless we have a very large expansion of people which we have done over the last 12 months.

This year we are still planning on expansion. Otherwise, I would just expect you to look at it on an overall basis on a year -on-year rather than on an annual basis rather than a quarterly basis.

Prayesh Jain: Got that. Secondly, on the tax rate why is it low and how should we look at it for the full year?

Naozad Sirwalla : So, we have explained this. Some of the assets move from short -term bucket to long -term bucket, the DTA benefit comes through which is why we had a similar setup in Q1 of last year and some of it is also flowed into Q1 of this year.

Prayesh Jain : Okay. Got that. And so , if we start looking at from a yield perspective now, we know yield sequentially improved and we guided also for

impro vement in the previous quarter, b ut how has been the NFO yield in this quarter given the state of NFOs that have come in the market, how has been the commission from NFOs? Has tha t been decrease in commissions b ecause there are some market talks about some of the teams getting yield at much lo wer rate than the existing book?
Simal Kanuga : I think Prayesh more or less the newer NFOs that are happening in the market are happening in a range. It's no t like something which is way off.

Prayesh Jain : Okay. So there no -- so in the past what we had seen was NFOs were coming at a very high commissions, that's not happening right now?
Simal Kanuga : No, so NFO commissions are higher than the normal commissio ns because that's what kind of tends to happen - the overall activity. But as of now what we hear from players in the market I think it has been fairly in a range.
Prayesh Jain : Okay. And my last question is can you give out the yields on each of the assets?
Simal Kanuga : Sure. You're asking about the revenue yields on equities...
Naozad Sirwalla : Yes, so equity is just short of 59 basis points, debt has been 28 fairly steady liquid 12, 13 s o yes.
Prayesh Jain: Got it. Thank you so much. All the best.
Moderat or: Thank you. Next question is from the line of Kunal Thanvi from Banyan Tree Advisors. Please go ahead.
Kunal Thanvi : So, I had this question on employee addition. So , if you look at our last 5 years , 6 years employees, they were kind of -- a number of employees they were flat around 1,150 to 1,200 mark. Last 2 years we have seen a reasonable increase in number of empl oyees and Naozad touched upon we're looking to hire more this year.
Can you talk to us about what are the areas where we are hiring these employees and because typically, we would -- like nature of our business is that you don't need at least a large number of employees to grow our business. So , if you can throw some light on areas where you've been hiring these employees?
Navneet Munot : So Kunal as you are aware, we added 24 branches this year. This would have been like a substantial branch expansion after a long time. We have set up a dedicated channel to service HDFC Bank which is a

big opportunity for us over the next several years. Simil arly, like we've had a few other dedicated channels where we see opportunity for us to grow. We have expanded our technology team, our digital team. We've hired 5 investment resources in our alternative business. We have ambition to grow our international business.
So, I think roughly 280 -odd people that Naozad talked about that we have added over the last year to meet all of those evolving business needs. In fact, I do see the need for further investment in the tech on the digital side, but they won't be l ike substantially large in numbers in terms of people. But yes, that's where we woul

d add some more talent.
But a very larg e part would be in our sales, core sales and client services in terms of numbers.
Kunal Thanvi : Sure. So , when you talk about these b ranches, can you help us understand what is the concept of these branches? Are these like very large branches or low -- like a large number of people in the branch what would be their typical size a nd how do we concept these branches in a way from the unit economics point of view?
Navneet Munot : So, the new branches we put up and we see a certain size where we can breakeven very quickly. We look at the overall AUM in that area and to service the catchment , relative to our distribution there. And these have been like two, three people branches and most of them were in B - 30 locations. So , the cost structure is not very high. You would

appreciat e that in most of these places t hey don't pay a very high lease rental or even the people cost is not very high re lative to the potential. And I'm sure all industry data that you would be looking at over the last several quarters , is a substantially higher percentage growth in B30 towns a nd given our brand , franchise and pedigree, we believe there's a lot of potentia l for us to make the most of the opportunity that's available today.

Kunal Thanvi : Sure. And like a further follow -up on this like when you look at HDFC Bank one b ig advantage, of course, is their branch network , they are like huge, largest private branch network in the country. Now with our branch network and their branch network presence how do you one read into it like going ahead as well a nd you talked about adding employees for HDFC Bank chann el, can you talk more about it in w hat kind of support or wh at kind of engagement that is?

Navneet Munot : No, we operate independently. Peop le don't sit in those branches, b ut when we are opening branches or when we are hiring people not only in the newer locations, but even in the existing locations we keep in mind the spread of HDFC Bank in that area. As we have been mentioning over the last couple of quarters that we are very excited about the opportunity that HDFC Bank as a distribution partner presents.

The management team at HDFC Bank, I'm sure you have heard from them has been very supportive of all our initiatives. They are a formidable distribution machine, and we won't leave any stone unturned to capitalize on it. In fact, I might have mentioned in the last call that we have a dedicated senior resource ove rseeing this relationship and we have strategically mapped their branches and clusters with ours.

And the strategic alignment has not only strengthened our relationship but has also deepened our engagement level a nd I'm personally very involved on a regul ar basis even across levels and functions they have in the HDFC Bank. And I can clearly see there is a lot more alignment.

Kunal Thanvi: Sure. One question was from our annual report. We talked about the fact that we are taking strides from client service to client delight. Can you talk more about it give some anecdotes pointers which can help us understand how -- what and how we are making this journey from client service to client delight?

Navneet Munot : Many things. We need to constantly keep benchmar king ourselves. The way we are servicing our partners, the way we are servicing our clients, and we have done a lot of benchmarking exercise over the last 2 years or so. And based on the feedback I mean what has come out of this benchmarking exercise and e ven otherwise from our people on the ground , we have continuously been trying to upgrade our service level to them, be it in terms of training of our people there, be it in terms of the way we respon d, reducing the turnaround time for ever

y request
from th e customers. There are many things that we have done. There is tremendous focus on how do we digitize all our operations more and more. We regularly keep looking at the percentage of transactions, both the financial transactions and nonfinancial transactio ns that come in the digital form so that how we can reduce the turnaround time as well as improve the client experience. We initiated an MD award system which is a fairly objective one. And there is a very healthy I would say competition among various zon es and clusters to kind of outdo each other in terms of providing b etter service to their clients and a lot of this is also driven by the huge amount of analytics that we are putting in place to kind of like measure our effectiveness a nd looking at like ea ch channel so the way we serve our national

distributors , sub-brokers, the way we service our banking partners, the way we service our mutual fund distributors who have been very important, but very large in numbers, the way we service Fintech so on and so forth.

Kunal Thanvi : Sure. That's helpful. And one question like as an MD and CEO of Asset Management company when you look at our business from a near-term perspective where in markets are on a slightly overvalued zone like there continues to be on the ov erwhelming trajectory , some pockets are like maybe in bub ble zone. How do you look at because our earnings from a year or 2 years perspective because the equity portion has become like one of the highest in our own history like 64% of our total assets , right? How do you look at earnings from a 2 to 3

years' perspective? Because at the end of the day, equity markets are cyclical and there is reasonable probability that markets may correct in because of any reason that we don't know today? Any thoughts on ho w you look at this?

Navneet Munot : So, we all take a lot of pride and do the self -congratulation in the industry in terms of the way AUMs have grown. Simal mentioned about that number that are -- the growth in last 6 months is almost same as maybe the AUM, which was there a decade back or so . But we also need to keep in mind that still a very tiny proportion of household wealth is coming to mutual funds. All said and done, while we have added a good number of investors in the last 3 or 4 years, but their st ill total count is 47 million, 4.7 crores. Even if we look at number of investors who are participating in the capital market directly, there's still a lot of potential for us, and I'm not going into all the other numbers that we think should be a potentia l client base. One of the heartening feature of this growth over the last couple of years has been a large part of the money is coming in the form of SIP. That gives us a lot more confidence about the longevity and sustainability of this growth unlike some of the previous cycles where people will look at this product more as a bull market product and then they look at like entering in the market and then booking profit.

This time, it's very different. And the way product is getting sold and a lot of contrib ution has been made by the AMFI's campaign of ‘Mutual Funds Sahi Hai ’ and all the efforts all of us are putting to educate investors or to increase the awareness about building wealth by systematic investing over a long period of time. So that gives me a lot more confidence about sustainability of this growth than most of the previous cycles. Of course, there would be cycles. I don't think that equity markets -- you know this better, I mean, none of us believe that equity markets can deliver returns in a line ar fashion. There will be

quarters or years where markets will witness higher volatility than what we have seen of f late.

But I think the efforts i

n the industry is to ensure that investors don't get swayed by the volatility. This time, we continue to ensu re that investors invest in a highly disciplined manner, and we create a great experience for them over a long period of time that they can participate in India's growth.

Another interesting thing I'll add that while you look at the growth on the equity si de, but on the fixed income side, the industry hasn't grown much over the last few years. In fact, this quarter was good, but the previous 3 quarters were negative. So was the case last year. The same quarter last year was positive. But before that, a coup le of quarters had negative flows. So , we haven't seen flows in fixed income. There is over a period of time, potential to look at that asset class also.

Moderator: The line for the participant dropped. Next question is from the line of

Swarnabh Mukherjee from B&K Securities.
Swarnabh Mukherjee : So, I just wanted to congratulate the management on the great performance. So , I have three questions. First is on the employee expense side, I just wanted to confirm that the number that was reported this quarter, whether that has any component of variable costs coming from last year , it doesn't , right?
Naozad Sirwalla : Yes.
Swarnabh Mukherjee : Okay. So variable costs, the accounting method would be pro - rated across 4 quarters? Would that be correct, sir?
Naozad Sir walla : Yes.
Swarnabh Mukherjee : Okay. And also, sir, if you could give me the number of what was the ESOP cost that was part of this employee expense this quarter? And how should we think about it for the full year?

Naozad Sirwalla : It is there on the note .
Simal Kanuga : So last year June quarter last year was INR11 crores. This time, it is INR6.3 crores.
Swarnabh Mukherjee : Understood, sir. Also, sir, in terms of the margins in the flow, if you could give me some color? I think on the stock, you have said it is 59 bps in equity. What would that be on the flow?
Simal Kanuga : So Swarnabh, that remains constant, what we've been always stating . The flows do come in at a bit of a discount to the book. So , depending on the product, which sells more during the quarter, it does range anywhere in the range of mid to late 40s or something or maybe sometimes 50s and slightly higher.
Swarnabh Mukherjee : Sir, was there an impact of the NFO that we concluded this quarter on the number that we have reported? And can that kind of unwind going ahead?
Navneet Munot : Yes. So , as you are aware, I mentioned earlier that we did this large NFO HDFC manufacturing fund and we did almost INR9,500 crores . There is a technical challenge with the NFOs whenever we do it. We are generally able to estimate NFO raise fairly in a range most of the times. So , this time our team anticipated that we would collect somewhere in the range of INR3,000 crores to INR4,000 crores and we announced brokerages accordingly to our partners. And to our positive surprise, the acceptance of the product was way better, and we ended up, as I mentioned, earlier nearly INR9,500 crores. So yes, lower TER and accordingly lower margin for us. I would say a very good problem to have instead of collecting I NR3,000 crores and making few basis points higher than if we have got INR9,500 crores and a few basis points lower in absolute terms, that's a larger amount.
So, we do expect the margin to rise from year two as we have sort of stepped down structure from second ye ar onwards. In fact, the fund

continues to see healthy flows post NFO also. So , June end AUM stood at around INR11,800 -odd crores. Some part of it is mark -to- market, but flows are good, too. And these new flows are coming in at AUM -aligned commission.
Now that we know this is the AUM, so automatica

lly, commission gets aligned. So , over a period of time, as we get more flows and as I mentioned, the step-down structure from year 2, we do see it getting better from where this is currently.
I mean this NFO alon e would have reduced our equity margin on total equity AUM by nearly 0.5 basis point. But as I mentioned earlier, I'm not complaining about it. It's a good problem to have. In fact, I must mention this that you have seen some of our past NFOs, we ha ve done the same at a very healthy margin . Actually, in some of the NFOs, our margins were higher than our book margin. So , from that perspective, this one is an outlier and mainly because we ended up collecting a lot

more than what we envisaged in the beginning.
Swarnabh Mukherjee : Right, sir. Understood. Very helpful. Sir, the last one from the industry point of view, so I think in the last 3 months, as an absolute number, we have seen some amount of SIP discontinuation rates in the industry going up, although i t is still much lower compared to number of SIP accounts getting added. But just thought I'd take your views on that whether to -- what should we read into this?
Simal Kanuga : Swarnabh , it can be even the other way around because what might happen is if a particular fund is not performing well, people will shut the SIPs there and go to another fund. So those things also will get really factored in. But I think the way we watch this number is look at the absolute monthly flow number in SIP and that number is growing month -on-month, right?
Swarnabh Mukherjee : You're right. Understood, sir. So , for our organization, are we seeing any such kind of trend, or it is fairly steady?

Simal Kanuga : No for us, I think the numbers have been fairly strong when it comes to systematic transactions.
Moderator: Next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.
Abhijeet Sakhare : My first question is on yields. So , when I look at, let's say, on a sample of top four or five funds, which I guess would be attracting more than 50% of net flows. It seems like the distribution commissions, if you look at it in basis point terms, seems to have remained broadly unchanged over the last 12 months.
Our understanding would have suggested maybe given t hat adjustment happens not on the back book, but on the incremental flows, at least some pass -through of the reduced TERs to the distribution commissions as well. So , if you can tell us what's the underlying dynamics that are driving this? Is it the contri bution of say for general market trends or anything else?
Simal Kanuga : So Abhijeet, it is getting aligned. So , if you look at it, I don't know exactly how you have mapped this data, but it is getting aligned. Also , the commission rate applicable on SIP is on the date of transaction. So whatever commission is applicable on a lump -sum purchase on the new purchase happening, SIP goes at that rate, not any kind of a pre - contracted rate.
Abhijeet Sakhare : Okay. You're saying commission rates on SIP is same as t he rest of the book, right? There's no difference because of that...
Simal Kanuga : On the new flows.
Navneet Munot : Your point on the book, I mean, you have seen the distribution commission versus the trend in the TER, of course, there is a gap. And team i s thinking of various options on how to deal with the speed of this fall. As I've been mentioning that this is a happy fall in margins

because AUM is growing at a much faster pace. So, in absolute terms, this is good, but statistically, you are seeing lowe r margin. Are there ways to manage this? A bit early for us to further expand. But all I can say is we are evaluating all possible options, and we will further expand on this once we have clarity

internally.
Abhijeet Sakhare : Understood. And second one was that you generally your comments around SIP book starting to contribute meaningfully last couple of years. Is it possible to share any numbers? Of the new customers that we are getting, how many of them would be coming to us through the SIP route itself? And this is a question in the context of there seems to be a lot of performance chasing that has come into the mutual fund industry as well. So , I think that would be a useful data point to have.
Navneet Munot: A good number of that. So , all I can say is w hether it's a lump -sum flows , the new unique investors who are getting added to the industry

in terms of putting money in a lump -sum form or investors who are starting with an SIP, in both of them, we have a very, very healthy share. And the second part wa s the performance chasing. Of course, we have always been saying that performance is a critical component in terms of investors' choice of funds at that point in time.

Abhijeet Sakhare: Got it. That's all from my side. Thank you so much.

Moderator: Thank y ou. Next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: Good evening, everyone, and thank you for the opportunity. Sir, my first question is around other expenses. You did mention that there were certain NFO expenses and all that in the quarter, which I'm assuming you don't expect to get repeated in the following quarters. So, in that light, can you highlight what would be the one -off in this quarter, which you don't think will be repeated in the following quarters?

Naozad Sirwalla: One of the bigger one was the NFO cost, Devesh, for the quarter that we incurred. We don't spell out specific cost for each item. But I think, again, I would encourage you to see it on an annual growth basis and generally that's the way to look at other expenses as well. I think we have been broadly saying 12% to 15% type of expense growth expectation on an annual basis.

Devesh Agarwal: Understood. Secondly…

Navneet Munot: Devesh, if I can come in. Our total costs are sub INR200 crores. So , every additional INR2 crores increase, our cost goes up by 1%. And I look at the scale of the operations that we run, and -- I mean, I'm sure you would agree with the growth prospects that we have, not only in the mutual fund but also in altern ative s, PMS on the international side and even on the mutual fund side, there's a lot more I think that we can do to expand our market. So , I would say that this is a healthy investment in the long-term rather than looking at pure cost in one quarter.

Deve sh Agarwal: I agree, sir. Secondly, sir, you did mention about the asset -wise yield for 1Q. Can you give me similar numbers for the exit run rate as on 1st of July, what would be the numbers?

Naozad Sirwalla: So, this is blended for the quarter, and I thin k this is -- I mean, that's what we typically disclose, and I think it should be fine for the being. We are happy to disclose it on a quarter average basis, Devesh, for the time being.

Devesh Agarwal: Okay, sir. And sir, if we were to understand in terms o f HDFC Bank assets for FY'24 end, what was their total mutual fund book? And of that, how much was invested to HDFC AMC?

Navneet Munot: Yes, around 30% in the book. But as we have been saying, our flow share has been higher, both in SIP as well as overall.

Devesh Agarwal: And what would be the size of the book, sir, for HDFC Bank?

Simal Kanuga: You're talking about the equity book or the overall book, Devesh?

Devesh Agarwal: The one that they invest in mutual funds.

Simal Kanuga: No, but on the equity mutua l fund or everything?

Devesh Agarwal: Everything put together.

Simal Kanuga: So, if you look at it, right, we have disclosed the total AUM, they are 6% -- they are 6% of our overall AUM, right? So , if you look at our AUM of June 20 24, they have 6% of th at. So , you'll be able to just get that number.

Navneet Munot: And we have also put the number for the equity AUM, 7.7%.

Devesh Agarwal: Understood. And lastly, sir, if you were to talk about growth opportunity other than the general market growth that is applicable for everyone, the way I look at it is, one is NFOs, which you said that more or less we have already completed all our offering, there would be some but nothing big. And the other is the HDFC Bank where we can see the increase in the market shar e. Other than this two, any other opportunities that you can call out which you would be targeting for FY'25?

Navneet Munot: Devesh, in our existing funds, I think several of them have tremendous potential to grow. There are so many of our products where w e may not be among the top 1 or 2 or 3 players in that particular category, I mean, our endeavour should be to have a leadership position in all of that. Now with style diversity, we have different PMs with different styles, managing different kinds of fun ds. And we need to ensure that not only at the overall level, but we should look at granular level, I mean, in every channel, every product, every zone, we look to expand in our current set of products.

Devesh Agarwal: Right, sir, understood. Thank you so much and all the very best.

Moderator: Thank you. Next question is from the line of Raghvesh from JM Financial. Please go ahead.

Raghvesh: Hi, sir. Congratulations on the strong set of numbers. Sir, only on the top line yields, so last quarter, we saw a on e-off and the expectation was that the yields would improve by around 2 basis points. I think the NFO came around 0.5 basis point of the decline. Are there any other one-offs that we can see in the yield, this would be the trend going forward? Because if y ou see the quarter, the quarterly average AUM is a good 8% lower than the closing AUM. If the trend was to continue, we can see a stronger decline in yields in the coming quarters in this year?

Navneet Munot: No, sir, you're right. In fact, we've mentioned about the adjustment in the previous quarter. So optimal would be to compare it to the December quarter. In December quarter, operating revenue margin then was 48 basis points. And for this quarter, it is 46 basis points. But look at how the AUM has moved as compared to December quarter. Our quarterly average active equity oriented AUM for December quarter was about INR3 lakh crores and for this quarter, the number is about INR4 lakh crores. This is about INR1 lakh crores increase in last six months. Now at each sche me level, we would see a drop of 2, 3 basis points for every INR5,000 crores increase in AUM, the point that we have been making in last couple of quarters, purely as per the regulatory formula.

Now due to increase in AUM by about INR1 lakh crores, many of our schemes would have seen an impact of 2 to 5 basis points and some even higher. Actually, the overall revenue margin would have looked even lower if our asset mix would have been constant, right? Because of this INR1 lakh crores mark -to-market gain, th e equity -oriented assets, which were 60.6% in December '23 for June is 64.3%.

So, part of the dilution has been set off by a change in mix, and this is what we have always mentioned that part of dilution will get absorbed in chang e in asset mix. Of course , these are intertwined, increase in AUM of INR1 lakh crores consist of material gain through mark -to-market and not just flows.

So, if market goes up, our AUM will go up and vice versa and fees or margins as we know are inversely correlate

d. But as I keep saying, every time that it is not a bad problem to have. I mean margins would have looked exactly flat if there was no AUM -- I mean, if there was no mark -to-market growth. So , it's like absolute revenues over statistical margin. And we also mentioned abo ut the manufacturing fund where we added INR10,000 crores and that has led to like 0.5 basis point dilution on the overall equity book. But that, again, is like a good problem to have.

Raghvesh: Okay. So other than that, no one -off. So , this is a trend, wh ich is likely
to continue with the AUM gains as they come?
Navneet Munot: So that is one. Of course, I mean, as I mentioned earlier in one of the
questions that we are definitely thinking of various options because the
MTM growth has been so fast that how to arrest the speed of this fall,
while, as I mentioned, in absolute terms, we make more money, but
still margins get impacted and are there ways where we can manage
this better. But as I mentioned earlier that a little early for me to further
expand. But we are -- I mean, the team is evaluating all possible
options, and we will get back to you when we have more clarity
internally.
Simal Kanuga: I think the only thing I would like to add here is also coming from the
fact that every six months, we don't see an increase of INR1 lakh
crores of AUM. So , the speed of dilution has been more magnified
because of a very rapid increase in AUM.

Moderator: Thank you. Next question is from the line of Shreya Shivani from
CLSA India. Please go ahead.
Shreya Shivani: Hi. Thank you for the opportunity. Most of my questions have been
answered. I just wanted one -- that clarification on the tax bi t. Is this --
I am probably not able to understand this better but is this going to be
on an ongoing basis or is something that has happened in the past two
quarters because of the move from short -term to long -term assets? I
mean, if you could help us understand that better and how should we
look towards the coming quarters on that matter?
Naozad Sirwalla: Actually, if you see it on a n annual basis, it sort of evens out more or
less, right? Then the year end changes some of the assets do move
from the short to the long -term. It is not like an annual thing, and it is
not like that this effective tax will continue through the year . By the
end of the year, it will get more normalized towards the overall
company's tax rate.
Shreya Shivani: Got it. So , it is probably something which impacts you in your quarter
end, some quarter end, right? Not something which normalizes over
the year is what you are saying.
Simal Kanuga: I think, Shivani, so what Naozad is saying is , when we make an
investment from the prop balance sheet, till it completes the period. So ,
let's assume that we make an investment in an equity fund. For the first
12 month s, it is deferred tax needs to be approved on the gains that
have happened. For the first 12 months, it is classified as a short -term
capital gain and thereby the tax provision is made at 15%. But once it
crosses the 365 -day number, it becomes a long -term capital gain and
there is a reversal of entry of that 5% which reduces the overall
deferred tax and hence the tax efficiency kicks in. But as Naozad
pointed out, it is not something that will happen every quarter. Over a
period of time, it will kind of get back to the normal corporate tax rate.
Shreya Shivani: Got it. Very useful. Thank you for explaining sir.

Moderator: Thank you very much. Next question is from the line of Darshan Shah
from Multi -Act. Please go ahead.
Akshat: This is Akshat from Multi -Act. So , I have two questions. So Naozad
mentioned two things on employee cost as well as on other expenses.
So, on the employee cost, we said that w

e should look at a full year
basis and on a full year basis, it should grow in the range of 12% to
13%. So , this 12% to 13% growth in employee cost, is it including
ESOP that we are guiding, or we should look at it more from excluding
ESOP?
Naozad Sirwalla: Yes, it's all included. It's 12% to 15% range I gave, and you can
assume all including here.
Akshat: Okay . Because in last year, we had a higher ESOP base and this year,

the ESOP cost is going to be lower. So ex -ESOP employee cost this
year could be slightly higher, right?
Naozad Sirwalla: Yes, that's why we are giving you a blended rate.
Akshat Hariya: Right . And on the other expenses side, we are saying that we should grow other expenses in the range of, again, 12% to 15%. Historically, our guidance has been that we should look at other expenses from pre - COVID till now, the growth rate was around 8% to 10%, and that should be our growth rate on the other expenses side. So now we've changed it to 12% to 15%. So , any specific capacity building or gaps that we feel that needs to be filled in because of which we have upped this guidance of other expense growth?
Naozad Sirwalla: Yes. I think Navneet actually gave a very detailed answer earlier on the call, right? He explained the entire rationale of where the investments will go, the branch banking side, the digital side, technology. I thought that there was a very detailed answer Navneet gave. Probably if you will hear the call again, you'll get the answer.

Simal Kanuga: And also , one more thing, if I may just add. If you look at even pre - COVID till now, our expense -- other expenses have been growing at the range of nearly 12% CAGR. So also , the very fact, right, if you do a new fund offer, the market has expanded. Look at the size of the business that has kind of come up, the opportunity in store. So , keeping all that in perspective, and I think I'm sure you would appreciate the fact, right?
If things are not looking as good, expense curtailment is something that we would obviously act upon. We have kind of exhibited that very well during COVID times and even in past. But if there is a growth that is visible -- I think we always made this comment, we'll never shy away from spending money when the business opportunity is something that we kind of find favourable .
Akshat Hariya : Absolutely. So , the question was also from a similar point of view that we are being mind ful of the fact that the expenses that we've been adding, they are more variable in nature rather than being very sticky in nature because we all are aware of the markets and the levels that we are at. So , the nature of the expenses are more on variable ra ther than being fixed or sticky in nature?
Simal Kanuga : So actually, on a lighter note, we aren't aware about where markets are going. I think we would have exactly stated the same thing 12 months back. And if somebody would have lost out on the follo wing 12 months, it was one of the so -called good times of Indian market. So , one needs to be very cautious when y ou tread that territory, right? In sense, I'm sure you appreciate the fact, right, and I think Navneet did touch upon this poin t, we now manag e upwards of INR 7 lakh crores, so we have like 250 -plus branches, we now have an alternate business that is getting set up. All of th is is getting done for like sub INR200 crores a quarter.
Naozad Sirwalla : And 1,600 people.

Simal Kanuga : Yes. So , I think we are definitely very mindful. And I think as an organization, we have been fairly tight -fisted when it comes to spending money. So , nothing changes there for sure. But for example, if we feel that by hiring the right set of people in analysing our data, that would help us immensely over a period of tim

e in terms of doing business. I think that's the call we would like to take positively.
Navneet Munot : Our last NFO has made our product tally -- I mean, has made our product tally to 100. And to put that nu mber in perspective, in March of '21, exactly 3 years back, our total number of products we had on offer was 43. We have added 57 products in last 3 years to complete our like product bouquet, to meet investor needs of all kinds or needs

of distributors of all kinds on act ive as well as on passive side.
And of course, all the t ech capability, the digital capability, the client services, somebody asked about, moving from client service to client delight, the new channels that have opened up or the opportuni ties that have come up our way, be it the HDFC Bank or some of the other opportunities and of course, initial days, but we are investing and building the non -mutual fund business as well and, of course, on the international side.
Akshat Hariya : Thank you. That's all from my side.
Moderator: Thank you. Next question is from the line of Jayant Kharote from Jefferies India. Please go ahead.
Jayant Kharote : Sir, two questions. First, on the wealth Tech . Can you just tell us what is the share of these wealth tech apps, in your SIP count and SIP flows? And also, how do they ...
Simal Kanuga : You're talking about fintech?
Jayant Kharote : Yes, fintech's .
Simal Kanuga : Well, you scared us here by saying wealth tax. So , I was -- but yes.

Jayant Kharote : Yes, sir. And al so, our wallet share and market share, how -- is it in contrast to our overall market share and how is it progressing in these apps?
Simal Kanuga : So, we don't give specific channel -wise market shares as such. But yes, we can definitely comment, it's fairl y healthy.
Jayant Kharote : And sir, the total share of these apps on your SIP flows or any indication how big have they become for you?
Navneet Munot : So, more than half of the new SIPs in the industry come through fintech channels. A larger proportion of that comes from B -30 towns.
And on the incremental SIPs that come, we have a healthy share. They are more prominent in the new SIPs rather than on the lump -sum side and our share over the last 3 years has been inching up. So , it was lower on the lower side 3 years back and almost every year it's been inching up.
Jayant Kharote: Sir, secondly, on the alts business, if you could help us understand how you hired / you invested in that business. What are your timelines and expectations? And what would be the sort of early harvest or early launches that you see over there? Any clarity on your aspirations over there?
Navneet Munot : So of course, as of now, the biggest priority for us, the way management bandwidth gets spent is like continue to build our Mutual Fund business. As you are aware, the kind of growth that we have seen over the last couple of years, and in fact, particularly on the SIP side, so we p ut all our energy on that side.
But at the same time, we are cognizant of the fact that over a period of time, this is another important opportunity for us, and we don't want to miss out on that. So , we launched our fund of fund investing into VC/PE fund that has crossed INR 1,000 crores in commitments. And I'm very happy to see this progress over the last 2, 2.5 years on this

side. We have already started investing and have seen participation from 4, 5 institutional clients and a little over 400 other individual clients , so definitely encouraging. And the way the whole portfolio construction on one side and the c lient engagement on the other side has been evolving that mak es us feel very happy about it. This is also helping us in terms of going up the lending curve on the overall alternative business.

The second, on our private credit team, which has joined us in the last few months. So , our product here over the next couple of quarters, you would see. So , we are laying foundation stones for our alternative business, and you will keep hearing from us on this front.

On the PMS side, the business is building up slo wly and steadily.
There's a lot more that we need to do. There is potential on that side as
well, and we are cognizant of that. On the international side, regarding
our GIFT City subsidiary, we have received all the necessary approvals
for the launch of fu nds and have started onboarding clients and
distributors. Yes, so in alternates and international, this is our --
another focus area apart from mutual fund where we want to see
further growth.
Jayant Kharote: How much are you targeting from the GIFT City this year ?
Navneet Munot: Early days. The whole thing is evolving. We are very confident that
over a period of time with all the efforts that policymakers have been
putting in and the structure that we have got and the setup that we have
put in place, this will have a good opportunity over a period of time.
But difficult for me to share the target .
Jayant Kharote : That's okay. Congratulations on a great set of numbers.
Moderator: Thank you. Next question is from the line of Rahul Agarwal,
individual i nvestor. Please go ahead.

Rahul Agarwal: Congratulations on a good set of numbers. My question pertains to the
investment book, which declin ed on a sequential basis by INR500
crores, INR 600-odd crores. So , what is the further plan of deployment
of this amo unt?
Simal Kanuga : No sir, that has happened because we have paid out dividends.
Naozad Sirwalla : We duly paid out dividend of almost INR 1,500 crores. So that is the
fall you'll see in the balance sheet.
Navneet Munot : He's saying what is the deployment...
Naozad Sirwalla : The deployment schedule is already actually attached as part of the
shareholders' presentation, sir, at the end. You will see the breakup of
the investments made that's available in your sheet and...
Rahul Agarwal: My question is like suc h a big amount is standing on the balance sheet,
so which is yielding us around 7%, 8%. So , my -- like for that only just
10%, which is in equity, that is in the part of the regulatory
requirement. Apart from -- so I need to just want to know that the
rema ining INR 6,000 -odd crores, so do we have any further capex plan,
or do we have any plan for giving out dividend or buyback?
Naozad Sirwalla : So sir, for this year, the dividend payout ratio for March '24 was
increased to 77%, which was 72% last year . Also , we have to adhere to
the skin in the game, which is a SEBI formula, so capital that is
invested in our scheme and that's something which we cannot touch in
that's the mark -to-market gain, which has to be reinvested. The
treasury surplus is invested large ly debt mutual funds. We are
obviously seeding our alternate platform. We have mentioned in the
past that in our alternatives, own alternate FOF we have committed
significant capital from the balance sheet that will get committed and
deployed over a period of time.

And we always keep evaluating any and all M&A opportunities that
come through to us. Given our size in the market, we get to see every
transaction. We have not done a deal over a period of time just because
it's a function of valuation and wheth er it's an appropriate fit for us.
But we do keep exploring all options on the strategic front as well.
Rahul Agarwal : Thank you. All the best for the future.
Moderator: Thank you. Next question is from the line of Dipanjan Ghosh from
Citi. Please go ahead .
Dipanjan Ghosh : Yes. Sir, just 2 questions, sir. Just wanted to get some sense of the
dis

tribution mix for that particular NFO? And was it materially
different from your equity -oriented distribution mix on the back book?
And second, your MFD mix in your equity -oriented business or AUM
has been on a declining trend. So just wanted to get some

understanding of whether is it a factor of other channels growing very
fast, or you are seeing some amount of maybe counter share pressure?
So, in terms of the top 10 0 MFDs or to 1000 the data that you track, if
you can give some qualitative understanding on that?
Simal Kanuga : I think, Dipanjan, one thing I'll just take the second question and
Navneet will expand on the first one. See, if you look at what has
happened is if you look at last 12 months the direct has gone up from
22.7% to 25.6% . That is 2 counts. One is basically the mark -to-market
change in direct is more favourable because of lower fees. And overall
traction in direct has been higher. So , if you look a t that mix it is not
about, we're losing a share in a particular channel. It is about how the
overall pie kind of shapes up because of the varied channel that does
business for us.
So, if you look at national distributors has been more or less flattish
over the last 12 months the banks have been -- have ticked up
marginally and MFDs have gone down. So that would be the overall

scheme of things nothing to do with losing a share in the MFD channel
or anything on those accounts. Does that help?
Dipanjan Ghosh : Yes. Sir, if I can just extend that point. So -- let me ask you in a reverse
way. If you can give breakup of your direct mix in terms of -- and I
think Jayant also asked this direct would be a combination of both
maybe direct money coming in some of the wealth platforms maybe
some of it to your own website and maybe some others to the FinTech
partnerships. So which channel would be probably growing the fastest
or some color on those parts .
Simal Kanuga : So maybe I'll also explain you one more thing. See, what tends to
happen is off late, over the last year or 2, we have also seen a lot of
integrations of some of the MFDs into national distributors, so on and
so forth. So , what happens is MFD goes to a particular size, and he
gets acquired by a national dis tributor.
Now he might be under the MFD in June of 2023 but in June of 2024
his assets would move because of the integration into the national
distributor channel . So, those kinds of adjustments have also been
taking place over the last, whatever 12 -odd m onths. Now as yet, we
have not got into dissection of the direct assets into RIA into fintech
and the direct -direct as it is known. So , we haven't really gone to that
level of disclosures.
Dipanjan : Got it, sir. And on the first question, on your NFO origi nation mix if
you can shed some color?
Navneet Munot : Directionally would be similar. I think we have seen very good
participation from all sets of distributors be it banks, be it MFDs, be it
all national distributors, be it fintech's and of course, HDFC B ank as a
distributor and investors who came directly. So , there was very good
participation from all distributors. But still, there will be some
difference between the book and the incremental because there are
some people who participate in NFOs as distri butors, some people who

focus more on the existing funds. So , some bit of difference but
otherwise, directionally that would be in line.
Simal Kanuga : Dipanjan, historically always NFOs and even in this one the NFO it is
more distribution led rather than d irect led.
Navneet Munot : Rather than the direct led. So direct investors come later.
Dipanjan Ghosh : Got it. Thank you Simal , Navneet and all the best.
Moderator: Thank you. Next question is from the line of Mohit from Centrum
India. Please go a

head.
Mohi t: Looking at the unique investors, so unique investor, I think the
industry added around 2.3 million and I think we have kind of 50%
market share that as overall, we have around 2 3%. So , which

distribution channel was I mean kind of responsible for this k ind of an addition. I mean, if you could just throw some color on that?

Navneet Munot : So, all -- we are seeing in terms of the incremental client acquisition in all channels, our flow share is higher than our stock share in terms of client acquisition.

Simal Kanuga : So also, see, this is not necessarily a market share. In sense, the same investment -- he might have invested. So , this is a penetration, in sense that the same investor possibly would have invested in 3 funds . For the first time, if he is inve sted in us , for us he is a new customer.

Mohit : Yes. No, I understand but I mean I just wanted to know, I mean which distribution channel HDFC Bank or MFDs are kind of if you have some data on that?

Navneet Munot : In absolute numbers, fintech's would be ve ry high but otherwise all channels.

Mohit : Fine. My second question is the debt. I mean we have seen industry data that we have got inflows after 3 quarters of outflows in the debt

segment. So , any particular strategy we are -- kind of taking. So that we could further increase our debt portfolio as well?

Navneet Munot : So, I think it's a mix, some part of flows at the shorter end. And we have seen some flows from the individual investors at the longer end . They think that interest rates have almost peaked a nd there is a possibility over a period of time rates go down and they want to lock in these rates through duration products. But from an amount perspective, a larger proportion is at the shorter end like money market, ultrashort, low duration, et cetera.

Mohit : Got it. Thanks. That was helpful.

Moderator: Thank you. Next question is from the line of Gaurav Jani from Prabhudas Lilladher. Please go ahead.

Gaurav Jani : Congratulations. First question is to Naozad. Naozad, if I am stripping off the ESOP cost last quarter versus this quarter there's been a n INR18 crores increase in the staff cost. So , would you like to call out as to how much of this is sort of onetime in nature and what's the normal run rate we're looking at?

Naozad Sirwalla : So, there is -- I wouldn't call it onetime, some of the employee engagement events we do, sometimes they spill from 1 quarter to the other something may have happened in Q2 last year, happened in Q1 this year. So , in that sense, it's not a one -off. It's just an inter -quarte r issue . And that's I would encourage you to see on an annual basis and it will just smoothen out over that period.

Gaurav Jani : Yes. I understood. The second question is from a more structural perspective . So, if I had to look at actually the kind of grow th we saw in FY '24, overall equity which is why our blended sort of shrunk by about 2.5 basis points obviously, an outcome of decline in equity yields. Now all things being equal assuming a similar sort of a -- let's assume that similar sort of equity growth comes through. Technically,

the revenue growth should actually be better than the last time around that we saw . Considering that if you have telescopic pricing, a lot of the funds would have reached a certain threshold. So just wanted to understand that.

Simal Kanuga : Gaurav, if the AUM will go up, the yields will come down. The revenue basically the SEBI telescopic pricing formula will tick off. So overall yields will come down. Profits, you are right profits will go up. But the basis points that y ou are referring to would of course, come down.

Gaurav Jani : No, sir. So , what I meant is the pace at which they actually have been d

eclining that should actually reduce?

Simal Kanuga : Yes. Obviously, so if you look at the absolute numbers being same as a

percentage of a higher denominator it will kind of come down. Yes, the
steepness of the slope will go down.
Gaurav Jani : Yes, correct. So , what I was just trying to understand the kind of
decline that we saw assuming a similar sort of growth same kind of
decline may not happen in future ?
Simal Kanuga : You are right, yes.
Gaurav Jani : Okay. Thanks. That's it.
Moderator: Thank you very much. As there are no further questions . I'll now hand
the conference over to Mr. Navneet Munot for closing comments.
Navneet Munot : Thank you so much.
Moderator: Thank you very much. On behalf of HDFC Asset Management
Company Limited that concludes this conference. Thank you for
joining us and you may now disconnect your lines. Thank you.

Call: Oct 2024

HDFC Asset Management Company Limited
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Ref/No/ HDFCAMC/SE/202 4-25/49 Date – October 18, 2024
National Stock Exchange of India Limited
Exchange Plaza, Plot C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400051.

Kind Attn: Head – Listing Department BSE Limited
Sir PJ Towers,
Dalal Street,
Mumbai – 400001.

Kind Attn: Sr. General Manager – DCS Listing
Department

Dear Sir/Madam ,

Sub: Transcript of Earnings Call
Please find enclosed herewith transcript of Earnings Call for the quarter and half year ended September 30, 2024, conducted after the meeting of the Board of Directors on October 15, 2024 which can also be accessed on the website of the Company at: https://www.hdfcfund.com/about -us/financial/shareholders- presentation

Kindly take the same on records.

Thanking you,

Yours faithfully,
For HDFC Asset Management Company Limited

Sonali Chandak
Company Secretary

Encl: a/a

“HDFC Asset Management Company Limited
Q2 FY ’25 Earnings Conference Call”
October 15, 202 4

MANAGEMENT : MR. NAVNEET MUNOT – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

Moderator : Ladies and gentlemen, good day, and welcome to Q2 FY '25 Earnings Conference Call of HDFC Asset Management Company Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note, that this con ference is being recorded.
From the management team, we have with us Mr. Navneet Munot, Mr. Naozad Sirwalla and Mr. Simal Kanuga. I now hand over this call to Mr. Simal Kanuga, who will give us a brief, following which, we will proceed with the Q&A sessio n. Thank you, and over to you, Simal.
Simal Kanuga : Thanks, Nirav. Good evening, everyone, and thank you for joining in. We'll start with some bit of a background on industry. So, the industry reached an AUM of INR67 trillion with a number of unique invest ors crossing 50 million and folio count surpassing 210 million.
Comparable AUM 3 years back, that is September '21 was INR37 trillion, a growth of INR30 trillion over the last 3 years.
Number of unique investors tells us a similar story. From 27 million then to 50 million now. This quarter, actively managed equity -oriented funds, saw net new flows of INR1,331 billion, highest ever quarterly flows. This has been accentuated with multiple NFOs. These 18 -odd NFOs contributed INR368 billion, making up to 28% o f the net new flows.
One more interesting statistic is that the net flows into these funds for the industry in the first 6 months of current fiscal has already surpassed net flows for the full year 23 -24. As against INR2.37 trillion for FY 23-24 in active ly managed equity -oriented funds , industry has recorded flows of INR2.45 trillion in the first half of current fiscal. INR245 billion is SIP's contribution in month of September 2024, again highest ever.

Debt and liquid funds witnessed positive net flows for the quarter, however, they were lower compared to quarter ending June 2024.
We now move to us. We closed the quarter with an AUM of INR7.7 trillion, market share of 11.5% with equity -oriented funds now comprising 65.7% on a quarterly average basis co mpared to the industry's average of 57.1%. Our actively managed equity -oriented AUM reached INR4.9 trillion with a share of 12.7%.
Debt and liquid funds registered a market share of 13.4% and 13%, respectively, on a closing basis. Our systematic transacti ons continue to thrive with a total of over 10 million systematic transactions amounting to INR36.8 billion for month of September 2024 as compared to INR22.4 billion in September of 2023. It is encouraging to note that 89% of our investors have registered their SIPs for over 5 years and 82% for over 10 years. We have reached 11.8 million unique investors, representing a 24% penetration in the industry.
We now move to financials. Our total income for the quarter added up to INR10,579 million, revenue from operations at INR8,873 million, a growth of 38% Y -o-Y. Our operating profit grew by 47% Y -o-Y to be at INR6,881 million. PAT for the quarter came in at INR5,769 million.
Before I close, it would be pertinent to talk of additional INR69.75 crores of deferr ed tax liability. As per Ind AS, we mark -to-market our investments every quarter and create deferred tax liability on the M2M gains at the end of each quarter. In the past, we created deferred tax liability based on capital gains tax rate prevailing then, including

indexation benefit. This has now changed. So, for all past MTM gains, we have to account for deferred tax liability at new capital gains tax rate and without indexation benefit. Accordingly, the deferred tax liability recognized by the company on fair value gains on its investment as on June 30, 2024, has increased by INR69.75 crores,

thereby resulting in an additional charge on the PAT of the company for quarter ended September 30, 2024.

We can now open for questions.

Moderator: Thank you very m uch. We will now begin the question -and-answer session. The first question is from the line of Raja Banga from RHW Trade & Commerce. Please go ahead.

Raja Banga : Congratulations on the good numbers. I want to know if you are taking any steps to get fresh i nvestments from NRIs. Is there -- are you creating any avenues to attract NRI investors in Indian mutual fund?

Navneet Munot : So apart from the money that might be coming from the NRIs in our existing funds, what we are trying to do is we have set up a who lly owned subsidiary in GIFT City, our HDFC AMC International IFSC and there one of our products is going live very soon. And then we'll have another three products, all these four will feed into domestic mutual funds. And we think that from a procedure pe rspective as well as our ability to raise more money from the diaspora from different parts of the world would be greater.

Raja Banga: Thank you.

Moderator: Thank you. Next question is from the line of Saurabh from JPMorgan. Please go ahead.

Saurabh : Sir, just two questions. One is on this SEBI's new asset class framework . I mean, how do you read this? What are the opportunities you think it opens up for you? And the second is just on this quarter margin . So basically, is the entire margin thing explainable by the mix? Or is there something else -- I mean just trying to figure out the revenue yield, it should have actually done better, but I was just trying to figure out whether there was any part of the telescopic as well on this revenue yield as well?

Navn eet Munot: Sure. So, on the new asset class, the way I look at this, it is one more opportunity for us. Currently, mutual funds are well bucketed by categories. You have like large cap, small cap, multi -cap, etcetera. They have restrictions on single stock exposure. And this will open up a new avenue with higher levels of flexibility and higher risk reward profile for a set of investors who are looking for the same. This will fall between mutual funds and let's say PMS or AIF where the minimum amount is hig her than what in this new asset class would be. There would be potential for greater use of derivatives, greater flexibility for having more innovative investment strategies. One thing is clear that regulators want this category to be within the strong rea lm of mutual fund regulations. This means there will be some restrictions, well laid out principles, but this will open up more opportunities for us.

Saurabh: Okay. And sir, just in terms of revenue and your average AUM. Sir, your average AUM grew at 13%. Revenue was up slightly higher. So , the extra is just -- this is the mix towards equity or because there would have an impact of the telescope as well. So just trying to...

Navneet Munot: Yes. So, I think two reasons. One is, of course, as you rightly ment ioned, mix of, the asset mix and some bit of rationalization on the brokerage. So, some partial benefit has come in this quarter. It was effective on 1st of August.

Moderator: Next question is from the line of Shreya Shivani from CLSA India. Please go ahea d.

Shreya Shivani: I have two questions. First is on the tax, sorry if I missed it, but the June quarter's extra deferred tax liability, we've accounted for that in

2Q itself. So , is it fair to say 3Q, 4Q onwards, we will only have a
steady -state tax rate and there will be no one -off due to this budget
changes that has happened? First is that.
And sir, second on the equity segment on the inflows. If you can give
us some idea on what kind of net inflows have you seen in your equity

book? How much of that has come from SIP? Some color around that
would be useful.
Navneet Munot: Naozad, do you want to take that?
Naozad Sirwalla: I'll take the tax question. So , the impact of the changes in the capital
gains tax rate on the MTM gains accrued until June 30. So , this is all
historical MTM gains accrued till June 30 has been factored in the
results in the deferred tax liability that Simal spoke about. Going
forward, we'll accrue the deferred tax liability on the revised tax rate
on the incremental MTM.
Simal Kanuga: Actually, we can clarify, right? this is not something that will accrue
every quarter.
Shreya Shivani: Yes.
Simal Kanuga: For past, all of it is settled in this quarter.
Shreya Shivani: Correct. Okay, great. So, all the -- everything till June and then pl us
the September thing, all of it has come together in 2Q, so it is done
with now.
Simal Kanuga: That's right. Now it will be the normal tax rate going forward. So , we
don't -- actually, as you know, right, we don't disclose the net new flow
number. We hav e disclosed in our presentation the monthly flows that
have come in through systematic transactions. But one thing we have
commented in the past and we can even state now that our flow market
share is healthier than our book market share.
Shreya Shivani: Yes. So , sir, I mean, my simple -- some off the hand calculation, if the
kind of flows that what we feel is your implied net flows, inflows into
the equity segment, if something like that continues even for like
another one or two quarters, you could very w ell close the year with
decent about 30% growth on the overall AUM, just by back calculating
from the equity segment. Will this be an exaggeration? Where do you

feel that the needle is going to fall? Any color around that will be
useful.
Navneet Munot: Why the needle should fall? I mean, over the last 25 years, we have
invested heavily in our business and I mean given our pedigree, our
people, our partnerships, the whole product range, th

e platform that we
have, we think that there is a long, long runway of growth. And as
Simal mentioned earlier that the flow market share has been higher
than the book market share. And yes, we expect to continue building
on that. On one side, we want -- I mean, a fair market share. On
another side, we continue to work on exp anding the industry and be a
bigger beneficiary of that.
Shreya Shivani: Got it. Sir, just last question on the indicative yields for the -- yields for
the debt equity and the segments that you give out data keeping
questions, yes.
Naozad Sirwalla: For the Q2, equity is 58 basis points, debt was 28 basis points and
liquid is between 12 and 13 basis points.
Moderator: Next question is from the line of Abhijeet from Kotak Securities.
Please go ahead.
Abhijeet: I have a question on yields. See, what has been t he impact of
commission changes in this quarter. And as you mentioned, some of it
will roll forward. So , if it's possible to quantify or give a sense of how
much is pending to be benefited in the next quarter?
Navneet Munot: Sure, sure. So Abhijeet, as you know, the regulator had modified the
TER methodology and the AUM slabs effective 1st April 2019. Since

then our active equity AUM has almost tripled. It was around INR1,600 billion odd to now almost INR4,800 billion plus. With the telescoping pricing, we have seen an erosion of nearly 18, 19 basis points to our weighted average T ER that you would have noticed purely due to increase in size of our funds. And we have taken the

entire impact on our books over the last 5 years. Now we came to a situation where we had to cushion this impact to an extent.

But in doing this, a few principles. Firstly, we have not touched any assets that were brought in pre-April 2019 . And for assets mobilized post that, we have rationalized commission to a small extent. We contin ue to take larger part of the reduction in T ER. This has been effective 1st August, as I mentioned earlier, and our distribution partners do understand and appreciate the T ER dynamics the way erosion has happened in the last few years. So , we have done it in a very collaborative manner.

As I mentioned earlier, look at the way our equity AUM has moved, forget the flows. If one looks at the last 9 months, that is the current calendar year, we have seen mark -to-market increase of around 25%. And to add to tha t, then you add the inflows, we mean -- I mean, both the AMCs and distributors shouldn't be complaining because revenues in absolute terms have been growing.

This kind of mark -to-market gain is not something that we will see every year. So , by rationalizi ng what we will achieve is the speed at which our margins were going down will see some bit of slowdown.

So, let me clarify, Abhijeet, will equity margins keeps sliding? Of course, yes, with rising AUM. What we have tried to do is only soften the pace at w hich they were falling by doing this exercise.

Abhijeet : Thanks, Navneet for that. But the broader target or objective of keeping the operating margins within that band where we are today, I think that should be the objective going forward as well, right? That does not change with these changes?

Navneet Munot: Yes, I think we want higher margins and we want lower opex for sure.

Abhijeet : No, the idea was, are there any thoughts to really tightly manage these yields going forward? Or was it like a onetime ex ercise this time? And

going forward, probably based on the AUM growth, the decline follows whatever the capping is?

Navneet Munot: I mean it's important for me to state that our relationship partnership with our distribution partners is deep -rooted. I mean , ultimately, we -- all of us are in the business of making absolute money and not

basis

points, the commissions and so have our fees grown at a pace which has positively surprised everyone in the last couple of years.

Most of our distribution partners ha ve acknowledged that we have cushioned any reduction in T ER for the longest time, and this is something inevitable. But -- I mean, to answer your question, what will happen in future. I mean, our businesses are intertwined, and it has to be a win -win both ways. And I'm sure our partners understand that and we understand that.

Simal Kanuga: So, I think we can also clarify on what you asked, right? As Navneet mentioned, the new -- whatever the rationalization was initiated on 1st of August. So, the direct pla n modifications happened first time in mid of September and you would have seen further modifications in month of October. So, I think this quarter is where all of it will come in. But some part of that has already been eaten away by the mark -to-market increase in the July to September quarter.

Abhijeet : Got it. That's very helpful.

Moderator: Thank you. Next question is from the line of Mohit Mangal from Centrum. Please go ahead.

Mohit Mangal: Yes. First -- I mean I've got 2 questions. So , first is on HDF C Bank. I think the share is kind of pretty constant. And I think last time you said that it's our parent, that we'll have more better efforts to increase the share. So , if you could just spell out more efforts that you have taken to boost the market share of HDFC Bank.

Navneet Munot: I think about the channel, we mentioned earlier that our flow market share has been higher than the book market share. We have a greater focus on the SIPs and trying to get more and more granular there. And we continue to look forward to build on this momentum and explore further growth opportunities together. We've been engaging very deeply with the bank. If I got your question right, if it is that our growth is within the HDFC Bank share.
Simal Kanuga: Are you referring to t he pie chart where you are seeing a number at 7 - odd percent constant, that's what you're referring to?
Mohit Mangal: Yes, yes. So , from 5.9% is 6%. So , I think over the last three to four quarters, you're hovering around the 5%...
Navneet Munot: So, from t he distribution pie data we have provided, it's important to note that you can't draw definitive conclusions about market share within a specific channel. It's possible that -- I mean, for one channel to grow faster than another, while our overall market s hare in both channels remaining stable. So, over the past 12 months, you would have noticed the direct channel has increased from 2 3.8% to 26.5%, over 2% increase, which is attributed to 2 factors. One is a favorable mark -to-market adjustment beca use direct plans have lower fees and a general uptick in direct investments with fintechs, RIAs being some of the contributors. So , the shift in mix reflects the overall landscape rather than a loss of share in any particular channel.
Mohit Mangal: All rig ht. So, you say that in absolute terms, basically, it has kind of increased?
Navneet Munot: Yes.
Simal Kanuga: Actually, I think the way to look at it, right, we don't publish that data. But the way to look at this is out of INR100 of sales that HDFC Bank is doing, how much of that is coming to HDFC AMC. And as Navneet

touched upon, the number there is healthier than what is there in terms of AUM share.
Mohit Mangal: Understood. My second question is that in terms of unique investors, our market share has i ncreased, it's around 24% odd. So, if you can give some flavor in terms of, say, which geographies like kind of driving that or maybe some age group or something, that would be very helpful.
Navneet Munot: So that's a penetration. I mean

, not a market shar e as such. But we have seen over the last couple of years, I think the increase in the number of investors at our end, the unique investors as well as the number of folios have increased very sharply and it's attributed to many factors, whether it's a prod uct performance, the new product launches, the efforts we are making on marketing, the distributor connect, so on and so forth.
Which geographies and all, that would more or less be in line with where the industry is growing. It wouldn't be dramatically di fferent than that. We are present like across the country. You would know like we opened 24 new branches this year, early this year. And we serve like all distribution partners across the country.
Mohit Mangal: Understood. So , if you can bifurcate between, say, T30 and B30, I think that would be possible.
Navneet Munot: If B30 incrementally in terms of the new investor counts, in terms of new folio creation, in terms of the newer SIP accounts has been growing faster than the T30 from a lower base.

Moderato r: Next question is from the line of Lalit Deo from Equirus Securities.
Lalit Deo: Congratulations on a good set of numbers. Sir, firstly, on the yield side.
So just wanted to understand the rationalization which we have done.
So, is it across all the equi ty schemes? Or is it like towards any 4, 5

certain schemes? And also, on the distributor side also, like is it across
all the distributors community or is it to any particular channel where
we have tried to rationalize the commissions?
Navneet Munot: So, depending on the scheme, distribution commission that was being
paid, we have created a multilayer structure with a floor. We haven't
reduced where the commissions were not high. I mentioned earlier that
we have also not rationalized any asset that was brou ght to us pre -April
2019. So, all in all, we just rationalized rates, which seemed high with
fall in T ER, in the schemes where T ER has fallen more in the last
couple of years.
Simal Kanuga: So, we have done this in 10, 12 different schemes. So, we have don e
across many schemes.
Lalit Deo: Sir, the other question was in the alternative space. So, if you see like
on a sequential basis, there has been a decent jump in the overall AUM
as of now. Like it has grown from around INR2,400 crores to
INR4,800 crores i n the last 6 months. So, what is the progress over
there? And what is the kind of revenue which we are getting over
there?
Navneet Munot: So, we're very happy to announce that we successfully closed our
VC/PE fund of fund, the Category II fund of fund on S eptember 30,
where we got commitments of around INR1,200 -odd crores. So , one of
the reasons is that and then some of the other mandates on the PMS
side.
Lalit Deo: Okay. And sir, just lastly, on the expenses side, any particular reason
the employee expense has gone down sequentially?
Naozad Sirwalla: So, we had explained in our previous quarter's call. We had an
employee engagement event. So that was held in Q1. So that's why you
see a drop from Q1 to Q2, otherwise, more or less consistent.

Moderator: Next question is from the line of Dipanjan Ghosh from Citi.
Dipanjan Ghosh: So firstly, on this new asset class, which is likely to be introduced. Just
wanted to get some sense on how the expense ratios or the payouts will
be structured in this category. I mean , what I understand is in the
normal equity MF category bans, it's regulated with a certain threshold
starting with 2.25%. So just want to get some sense of how the pricing
will be regulated in this new asset class, whether it will be like the
PMS entities or the equity MFs?
Second, in terms of now the AIFs or the alternate segment, you've got
some commitments during the quarter end fr

om PMS. Just wanted to
get some sense of what are the yields in this segment or your revenue
from the segment on a quarterly run rate basis?
And lastly, in terms of the repricing of the back book for certain
distributors, just wanted to get some color on whether you have
implemented this across your entire distribution landscape or it has
been more scattered across different di stributor categories?
Navneet Munot: So first, on the new asset class and what kind of T ER structure would
be. Dipanjan we'll have to wait for the final set of regulations. As I
mentioned earlier, it's a new opportunity for us and we wouldn't be
able to co mment in terms of how the final regulation will look like. On
the second question on the fee income, it's too early. In fact, it's
looking at our overall revenues, I think it's very small, maybe as the
time passes and we have a larger AUM, we'll discuss mo re on that. All
I can say is that we remain committed to identify and capitalize on
emerging opportunities within the alternatives and on the PMS side.

But as of now, I mean it's not very meaningful to really talk about. I mean it's not really moving the n eedle given the current size. Of course, on INR1,200 crores over a period of time and as we build more products we hope to make it more meaningful.

On your third question, I think as I mentioned earlier that it was more at the scheme level, and any distri butor who would have sold those schemes would have seen that rationalization, yes. It's same for everyone. Dipanjan.

Dipanjan Ghosh: Sir, can I just follow -up on the second question on the alternates. I mean, how does the product pipeline stack up or in te rms of new initiatives or joint ventures, or anything that you're looking at to kind of scale up the non -MF portion, obviously, on a small base, but your incremental strategies on that part of the business?

Navneet Munot: So, we are laying the groundwork f or the alternative business, and you'll expect to hear more updates from us on this front. I mentioned about the VC /PE fund of fund which got the commitments of over INR1,200 -odd crores. Additionally, our private credit team is taking shape, and we anticip ate launching a product in this area over the next couple of quarters. PMS business is developing steadily. I think I mentioned about the GIFT City initiatives earlier. We have received all the necessary approvals to launch funds, but that's the feeder fun d into the mutual fund, but over a period of time, that would also offer opportunities for us to offer our abilities on the alternative side.

Dipanjan Ghosh: And no -- and is there any other sectoral NFO planned for the second half on the equity side?

Navn eet Munot: We've got the best -in-class product bouquet. Over the last three, four years, we have done significant number of like product launches. In fact, our total product count has risen to almost like 100. I think over the next couple of quarters, ther e could be a few opportunities, but honestly not many. We would like to really build market share in each and every category where we are present. We are dominant in some of them. We want to be dominant in each one of them.

Dipanjan Ghosh: Got it. Thank yo u and all the best.

Navneet Munot: Thank you.

Moderator: Thank you. The next question is from the line of Amrish, Individual Investor. Please go ahead.

Amrish: Thank you for the opportunity. And good evening to everyone. I had two questions on the SIP. So first one was related to the systematic transactions, which you report both SIP and STP, which is at 10.31. There seems to be some sort of a jump quarter -on-quarter. Is there something happening here? If you could give some colour? And the second question is, is it possible to report

SIP count as well? Thank you.

Navneet Munot: That's the number. I mean the number of SIP accounts that 10 million accounts that you are seeing, and the jump, I mean, it's been a trend over the last several quarters where we hav e seen increase both in terms of number of accounts as well as the size of our SIP book. We have mentioned it several times. This has been one of the big focus areas at our end to continue to build our systematic transaction book. And yes, it's been a very , very healthy growth, and we remain very optimistic on that count going forward as well.

Simal Kanuga: Sir, on second part -- I think we'll discuss internally and come back to you.

Amrish: Thank you.

Simal Kanuga: Thank you.

Moderator: Thank you. Next que stion is from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.

Madhukar Ladha: Hi. Congratulations on a good set of numbers. Just one question. You're seeing a pretty big jump in admin and other opex. I'm not sure whether this question was a sked earlier. Maybe you can clarify what's happening over there?

Naozad Sirwalla: Yes Madhukar. So, the year -on-year delta for the se expenses went up about INR19 crores, right? Of the INR19 crores, incrementally INR6.2 crores is due to CSR, that's mandator y expense. Additional INR2.5 crores have been spent on KYC expenses. So , our unique customers have increased by about 50% over a year -on-year basis to 11.8 million. So that's, in our mind, is an investment not an expense because more customers, hopefully, over time, will lead to deeper penetration and more AUM. So , these two are largely contributors for the increase.
Madhukar Ladha: And so , ex the CSR, the other expenses are sort of normal course of business?
Naozad Sirwalla: Yes. If you strip off almost IN R9 crores, then on the base, it's a normal increase in expenditure. We, of course, invest in technology, cybersecurity, risk management, compliance, all the stuff that requires our investments continue.
Madhukar Ladha: Got it. Okay, great. Thanks a lot.
Moderator: Thank you. Next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.
Devesh Agarwal: Thank you for the opportunity, sir. Sir you did mention that your flow market share is better than your AUM market share on the acti ve equity side. But can you share some trend on the flow market share itself? How it has been trending over the last four, five quarters? And is there any decline in this particular quarter?
Navneet Munot: Decline on -- you're talking about a decline in th e equity market share?
Devesh Agarwal: No sir. Flow market share trend over the last, say, five to six quarters. Is there any change in the market share of the flow?
Simal Kanuga: Like, this quarter versus the last four, five. I think, Navneet, the only thing is this time 28% was through NFOs, which was higher, and we

did not have any NFO. So maybe this quarter was marginally different. But otherwise, no major change in trend.
Navneet Munot: We had two NFOs in passive funds, but that were, of course, much smaller than some of the other NFOs that have happened in the industry. You would know that we had a large NFO in the previous quarter that manufacturing fund, which collected good amount of money. So , if you see a market share relative to March, that's bee n healthy, but quarter -on-quarter.
Devesh Agarwal: Right, sir. And I don't know whether you'll have this number handy, but if you were to ex the NFO inflows, then how is the market share trending? Does it remain same? Or is it improving probably that will give us a better underlying market share trend ?
Navneet Munot: Ex of NFOs would be decent. if I remember correctly it's higher than the book share, yes.
Devesh Agarwa

l: Okay. And sir what would be the yields on the exit run rate for equity -
- active equity ?
Simal Kanuga: Exit at the end of the quarter almost 58 basis points.
Devesh Agarwal: 58 and quarter average was sir you mentioned but I did not get that number?
Simal Kanuga: It was 58 only.
Devesh Agarwal: The same number. Okay got it.
Navneet Munot: Devesh I just checked the number and to confirm that, yes, ex of NFOs the flow share is higher than the market share -- I mean than the AUM share, book share.
Devesh Agarwal: Okay. Got it. Thank you.

Moderator: Thank you. Next question is from the line of R aghvesh from JM Financial. Please go ahead.
Raghvesh: Hi sir. A couple of questions. First in your book I observed that around 47%, 48% of the book is more than INR50,000 crores AUM. So , there would be no further repricing. So , if for a T ER build and say a 1 basis point reduction, does it mean that for you it would be half of that? Secondly, on the tax rate on a steady -state basis from now on, do we see -- I mean how much higher blended tax do we see at an effective basis compared to 20% levels we have seen in 1Q and 4Q '24?
Simal Kanuga : See your first assumption is not exactly the way it works. So , in sense what would happen is the new flows would keep coming in at 105 basis points as per the TER formula, but the weighted average still keeps coming down. S o, for a scheme which is say today INR95,000 crores AUM scheme would have a TER say of 1.35%. So , every new rupee flowing in would actually keep diluting that number.
It is not like going forward there would be no so -called depletion in terms of yield. As the AUM keeps increasing even from say INR95,000 crores to say INR125,000 crores, you would see a depletion by whatever, a couple of basis points at every INR5,000 crores kind of a mark.
Raghvesh: Okay, sir. Got it. And on the tax?
Naozad Sirwalla: What is exactly your question?
Raghvesh: So, with the higher capital gains the -- in general the tax -- the effective tax rate would increase for you from 1Q and 4Q '24 levels?
Naozad Sirwalla: So, see the corporate tax remains the same. The capital gains -- the deferred tax liability on MTM is a function of how much gains are there in a particular quarter. So , the effective tax is a blend of both. So difficult to predict. It depends on where MTM goes.

Raghvesh: Okay sir. Got it. Thanks.
Moderator: Thank you. Next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Just looking at the industry data, if you look at the redemption levels in -- on the equity side, they have been clocking INR70,000 crores kind of number for the past few months. Is there any trend to pick up there that while the SIPs continues to be very strong, but is that the redemptions kind of picking up and what is the sense you guys are picking up from the ground on that?
Navneet Munot: The net retention wou ld be around 50% -odd. I think gross flows in last quarter if I remember correctly was like INR3 lakh crores or so and the net flows were INR1.5 lakh crores. So, the retention was around 50%. It goes up or goes down a little bit here and there month -on-mont h.
Prayesh Jain: Okay. So, the point that I was trying to understand is generally when the equity markets go through a strong phase, wealth managers kind of start recommending pruning positions to equity funds and especially in a scenario where the debt -- the interest rates are likely to be cut, money for wealth managers particularly start moving from equity assets to debt assets. Have that kind of traction picked up or do we still see that's not happening in the near term?
Navneet Munot: No, not really. A nd also , another trend, I mean, if you notice

the SIP
flows, a very good part of the overall flows are coming in the form of SIPs now. I mean you have seen a INR24,500 crores. So overall flows are the two things. One is the NFO flows and the second is the SIPs account for a very, very large part of the net flows.
Prayesh Jain: Okay. Second -- the other question was you mentioned that there are about 11 to 12 schemes where the rationalization of payouts have happened. That would account for what 75%, 80% of the AUM equity?

Navneet Munot: I think so yes, somewhere there.
Prayesh Jain: Okay. And just last question on the debt side. How do you think the yield on the debt side should move? Do you see probably in the next 6 months to 1 -year time frame money moving to higher duration assets, which I think the flows have kind of started indicating some bit of trends but not so strong trends yet, but do you see this happening? And the debt yields kind of start moving higher?
Navneet Munot: No, we have seen both actual ly. After 3 years of negative flows, we saw this year in the first 6 months, positive flows into debt and liquid. But a large part of that is at the short end of the curve. At the same time, we are also seeing some of the investors locking in into the long - duration products. But I mean, as a percentage that money would be smaller. And margins have been the same and I don't see a major change over the next few quarters, yes, unlikely.
Prayesh Jain: Thank you so much. And all the best.
Moderator: Thank you. N ext question is from the line of Pavan Kumar from Ratna Traya Capital. Please go ahead.
Pavan Kumar: I wanted to understand the industry, I guess, including you have been trying to marginally increase -- very marginally the TER increases that have been ann ounced in maybe September, October. So , is this trend going to continue? And at a higher level, my question is, do we expect because of all these kind of rationalization in commission and this TER increase right now? Are we going to see say, flat kind of y ields going forward instead of the sliding yields going forward? What is the overall -- color on that?
Navneet Munot: There have been like a couple of people. This seem to be like the most asked question today. Let me reiterate one thing. Over the last cou ple of years, the mark -to-market gains have been phenomenal. Markets have been very kind to us. AUMs have gone up, and they have gone up

for both of us, for the asset managers like us as well as our distribution partners.
Everybody understands the telesco pic pricing that when you have this kind of AUM growth, both on account of flows as well as mark -to-market, there would be impact on the margins. Over the last 4 or 5 years since the last rationalization happened in April 2019, we have taken the entire bru nt of that. A stage came where we had to engage with our partners and tell them that, I mean in the interest of healthy partnership we need to share some bit of it. We have been very rational while doing that. I mentioned like a couple of things. We have n ot done anything for any asset that was brought pre -April 2019.
Also, the way rationalization has been done is like depending on the scheme. Wherever , I think the fall has been steep where we have rationalized it. And I think the partners are very importa nt for us and partners also understand. And our business is like intertwined with them and both of us understand it has to be a win -win for both.
Pavan Kumar: Perfect. But over the medium term, do we intend to keep the yields flat? Or is it like going to b e still kind of continuous drop as we saw in FY '24?
Navneet Munot: I mentioned earlier that equity margin will keep sliding with the rising AUM. That's a good problem to have. In fact , on every call

we would
have mentioned, we would like market to go up. We would like more flows to come in. All of us want to make absolute money, we are not in the business of like earning basis points. We want absolute money, and that will come when AUM grows. What we have tried to do is soften the pace at which they were f alling by doing this exercise.
Pavan Kumar: And one last question from my side. So, the closing equity yield is around -- I'm guessing, 58 bps. So where do you expect this to stabilize? Or there is low flow to this? That's what you are almost

indicating?

Navneet Munot: Like how do you think -- I mean, next year if market delivers another 50%, this will fall but that will be very healthy.
Pavan Kumar: So, at a higher level, are we saying if the market, let's say doesn't deliver we are going to have some nego tiations with all the partners involved, including regulators. Is that higher level understanding?
Simal Kanuga: No, nothing like that. No. I think so what Navneet mentioned is if the market, for example, does not move and if the flows are muted, then the yields will stay constant. If market moves up, right? The yield in terms of basis points will fall but the AUM would increase and thereby, the overall revenues that would come to us would be high.
Pavan Kumar: Thank you.
Moderator: Thank you very much. Ladies and gentlemen, that was the last question. I would now like to hand the call back to Mr. Navneet Munot for closing comments.
Navneet Munot: Thank you so much. I wish you all a very happy D ussehra , and then best wishes for the upcoming festive season. W ish you all a very happy Diwali. Thank you.
Moderator: On behalf of HDFC Asset Management Company Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jan 2025

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Transcript of Earnings Call
P
lease find enclosed herewith transcript of Earnings Call for the quarter and nine months ended December 31, 2024, conducted after the meeting of the Board of Directors on January 14, 2025 which can also be accessed on the website of the Company at: https://www.hdfcfund.com/about -us/financial-information/shareholder- presentation
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“HDFC Asset Management Company Limited
Q3 FY’25 Earnings Conference Call”
January 14, 202 5

MANAGEMENT : MR. NAVNEET MUNOT – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. NAOZAD SIRWALLA – CHIEF FINANCIAL OFFICE R
MR. SIMAL KANUGA – CHIEF INVESTOR RELAT IONS
OFFICER
HDFC Asset Management Company Limited
January 14, 202 5

Moderator : Ladies and gentlemen, good day and welcome to Q3 F Y25 Earnings Conference Call of HDFC Asset Management Company Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you t o ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
From the management team, we have with us Mr. Navneet M unot, Mr. Naozad Sirwalla and Mr. Sim al Kanuga. I now hand over this conference call to Mr. Sim al Kanuga who will give us a brief following which we will proceed with the Q&A session. Thank you and over to you Sim al.
Sima l Kanuga: Thanks Neerav and g ood evening, everyone and thank you for joining us today. Firstly, on industry, it witnessed the 32% growth over December '23 and closed the calendar year with AUM of INR66.9 trillion. Equity -oriented funds grew by 40% Y oY with their AUM reaching INR39.3 trillion. Calendar year 2024 witnessed net new flows of INR5,420 billion in equity -oriented funds, clearly the highest ever. Additionally, INR1,031 billion flew into debt -oriented funds, INR429 billion into liquid funds and INR1,461 billion into what we call it as Other category which includes ETFs, Arbitrage funds and funds of funds investing overseas. The numbers for the current financial year are INR4,382 billion for equity -oriented funds, INR1,256 billion in debt-oriented fun ds, INR832 billion in liquid funds and INR1,051 billion in Other category.
Nifty fell by 8% for quarter -ended December 2024. During this quarter, industry saw net new equity -oriented flows of INR1,573 billion . INR191 billion coming in via actively managed equity -oriented NFOs and passive NFOs, both Index and ETF, collected about INR39 billion. SIP monthly flows for December 2024 surged to INR265

billion, an increase from INR176 billion in December 2023. The AUM through SIP is now at INR13.6 trillion.
We no w move to us. Our quarterly average AUM for December was INR7.9 trillion, a market share of 11.5%, with equity -oriented funds comprising 65%, well abov

e the industry average of 57%. We continue
to be the most preferred choice for individual investors, main taining a market share of 13.2% of individual monthly average AUM for December 2024.
Our number of live individual accounts grew to 22 million, a growth of 49% year -on-year, and our December monthly average AUM for individual investors grew by 38% year -on-year. Our unique investor count reached 12.6 million, a growth of 45% year -on-year. We continue to strengthen our position as the second largest player in B30 markets, with a 12% market share of monthly average AUM in December. To further expand our presen ce in the cities, we opened 25 new offices, largely in B30 cities, on 2nd of January 2025.
Our systematic transactions contributed INR38.2 billion in December 2024, a significant increase from INR26.3 billion a year ago.
A few more updates on the busines s front. Three of our funds are now live in our GIFT subsidiary with AUM exceeding USD 150 million.
We aim to have two new products going live this quarter. Secondly, HDFC Flexi Cap fund has completed 30 years of its existence and continues to scale height s. Thirdly, we opened 25 new offices in 1st week of January, taking the total count to 280 offices . Interestingly, 95% of our transactions are now getting processed digitally, a significant increase from 69% in FY20.
I'll now move to financials. Our revenu e from operations for the quarter came in at INR9,343 million, reflecting a 39% year -on-year growth, while other income amounted to INR928 million. Other

income this quarter did get impacted by fall in equity markets due to its resultant impact on our skin -in-the-game investments.
Our operating profit for the quarter came in at INR7,472 million, a growth of 51% year -on-year. Our operating margin for 9 months of the current fiscal came in at 36 basis points of AUM and for the current quarter, it came at 37 b asis points. It would be optimal to not extrapolate this 37-basis point number, as it looks better due to sharp rise in AUM, material part of which is led by mark -to-market growth. In our experience, these things even out over time. Profit after tax for the quarter grew by 31% year -on-year at INR6,415 million.
So, thank you very much for patiently hearing. Neerav , we can now start queuing up the questions.
Moderator: The first question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain : Yes, hi. Good evening, everyone. Good set of numbers, congratulations. Firstly, the SIP data that has been coming from the AMFI , another closure to opening ratio has been kind of increasing in the last couple of months and probably the past few months. Any pillars that you can share what you're getting from the ground? And how should we kind of look at this is an indicator of slowing down in some form, while the gross numbers continue to look up in that sense, but whether the momentum seems to b e slowing down ? That would be my first question.
Navneet Munot: Thank you, P rayesh. So, on the SIP number, I think as AMFI has repeatedly mentioned, I think we need to look at ; one, the gross flows and the redemption from the existing AUM. So, one is the flow, and another is from the stock.

Let me try to clarify this with an example. So, let's assume that I'm doing a monthly SIP of INR10,000 for the last five years. So, by now, I would have invested INR6 lakhs and say the market value is now INR10 lakhs. Now, I decide to pull out INR5 lakhs for any reason and continue with my monthly contribution of INR10,000. So, for this one month, my net SIP will be negative INR4.9 lakhs. So, this is nothing , but book versus the flow issue.
Also, it's possible that I'm no t pulling money out. I'm just switching

INR5 lakhs from Fund X to Fund Y. This would again mean a negative SIP of INR4.9 lakhs and a positive lumpsum of INR5 lakhs. So, in a nutshell, what I'm trying to state is when we speak of SIP, let's look at gross fl ows. As far as we are growing there, it is good news.
And now, as you know that the SIP AUM, if I remember correctly, is over INR13 lakh crores. That number is very significant. So, any movement from there would impact that net number. But my request would be to look at the number that AMFI discloses on the gross side.
Prayesh Jain: My question was more on the number of SIPs rather than the gross and net? So, the closures – their ratio has been increasing -- terminated or the term getting over, that ratio i s going higher to the opening. So, is there any trend change that you've seen on the ground on that?
Navneet Munot: So, the number that we disclosed at INR26,000 crores in the last month is the money in the bank. That's the total money. And that has been a n increasing trend. Within that, of course, in the last three or four years, the overall number of accounts have gone up exponentially. I mean, industry, if I remember correctly, 10 -12 years back used to do around 1.5 lakh new accounts per month. Now, that number is more than 50 lakhs.
So, obviously, you would have a, maybe that gross and net number in terms of accounts moving much more sharply than what we were used

to. But most importantly, again, I would repeat the same thing, most importantly would be t he gross number of flows that are coming to us.
Simal Kanuga Actually, Pr ayesh, also we need to look at it on the denominator. So, just we pulled out some data here. If you look at in April of 2024, there were 8.7 crores transactions in SIP. Now, that num ber has gone to 1,032 lakhs, so 10 crores transactions. And if you look at it, so the cancellation now has gone from 33 to say 44.90. So, that 4% is the cancellation ratio of the outstanding account. Looking at it in absolute sense may not give you the rig ht picture.
Prayesh Jain: Got that, got that. That's helpful. Secondly, on the yield front, we've again seen a marginal improvement in the yield front. I think what portion of our AUM is now kind of equity AUM is kind of linked to the new model that you we re adopting from the commission getting linked to the TER. What portion of our AUM of equity is linked and how do we see the yields moving ahead from here on?
Simal Kanuga: I think, okay, so what we did, right, I think Navneet had explained this on the las t call. Between 2019 to 2024 whatever AUM we mobilized, on that we have done rationalization, but that has honestly not changed the yields by a material number because again, the AUMs have gone up over the last couple of quarters and that has kind of softe ned the TER. So, I think some bit of rationalization has worked well for us. We haven't really kind of disclosed the number in terms of what percentage of AUM is where we have kind of changed some bit or done bit of rationalization.
Prayesh Jain: Got that. Could you give us the yields that you have on the current book ,' equity, debt, liquid, and others?
Naozad Sirwalla : Yes. So, the yields for equity for this quarter were around 58 basis points, for debt 28 basis points and for liquid is between 12 and 13 basis points.

Prayesh Jain: Well, that's helpful. Thank you so much. I'll come back in the queue .
Moderator: Thank you. Next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.
Devesh Agarwal: Good afternoon, everyone, and tha nk you for the opportunity. Sir, just to clarify, there were no incremental changes made in this quarter in terms of distributor payouts. Is that right?
Simal Kanuga: Distributor in sense,

commission -- you're talking about past book rationalization?
Deves h Agarwal: Yes, past book rationalization or cutting down on the distributor payouts for any of these.
Simal Kanuga: That was effective from 1st of August. So, we did bit of rationalization. It was a one -time exercise, 1st of August 2024 onwards.
Devesh Ag arwal: Right, right. Okay. And sir, can you share some trend in terms of your market share in the net equity flows in this quarter versus the last quarter? Has it gone up, gone down?
Navneet Munot: I mean, as it is, there's so much data available about our industry. So, what we gave is a combined number which includes both mark -to-market as well as flows. But overall, I think across all channels, whether it's national distributors, whether it's our parent, HDFC Bank, whether it's FinTechs, whether it's MFDs , whether it's Direct, I think we continue to see a very healthy share across all channels.
Devesh Agarwal: All right. And so, what we've been noticing is that of the total net inflows that are coming into equities, a bulk of it is coming from thematics. N early 30 -35% is coming from thematic scheme where we have always been a bit conservative on that category. So, what would be our strategy for that category going forward?

Navneet Munot: So, while you can say we have been conservative, we always try to do what is the best for our investors as well as for our partners. Having said that, you would appreciate we did probably the largest thematic fund so far in our industry, which was our manufacturing fund, which got over INR9,000 crores of flows and then added a couple of thousand crores after that. We've got the full bouquet of sector and thematic funds now, which is managed by our wonderful analyst team who are sector experts. And several of them have seen decent flows over the last several quarters.
Devesh A garwal: Right. So, any more NFOs in the pipeline?
Navneet Munot: I think we have now best -in-class product bouquet across active and passive, across equity, fixed income, money market. Within passive, we have products across ETFs and index funds, both mark et cap -based indices as well as smart beta. So, we have got a wonderful product bouquet in place.
There would be a few products here and there that we would look forward to put in our product bouquet. But otherwise, I think our product bouquet is best -in-class. What we need to do is keep looking at fair share in each of those categories.
So, while in some of the categories, we are clearly an industry leader in terms of AUM and the market share that we have, but there are several categories where we have a lot of scope to expand our market share in those categories.
Devesh Agarwal: Any particular categories that you're targeting?
Navneet Munot: I mean, you can see our market share. There have been a few products which have been around for long, and we have a very healthy market share. But some of the products that have been launched in last couple

of years, we believe there is still a lot of scope for us to expand our market share in those categories.
And at the same time, I mean, we just celebrated 30 year s of HDFC Flexi Cap fund, and the product has been an outstanding product , loved by our investors as well as distributors. That has a long way to go. It has a healthy share in that category, but it still has a long way to go.
And at the same time, there a re categories where we are not number one or number two or number three in those respective categories in terms of AUM. We aspire to have leadership in each and every product.
Devesh Agarwal: And any strategy that you're drawing to become top three in this category? Is it focusing on any particular distribution channel or geograp

hical expansion? Any particular thing that you can highlight?
Navneet Munot: Ultimately, I mean, what investors reward is the performance. I mean, the consistency in terms of your p erformance track record, your investment thesis and clarity of the mandate. And of course, the other thing that we do in terms of providing the right content to our salespeople and the partners for them to enable or help investors understand their product and the relevance of that product in the investors' basket.
So, we continue to focus on all of these things. How do we provide the best possible content on each of the products? And of course, it has to be backed by the best -in-class performance as well.
Devesh Agarwal: Right. And, sir, any clarity on the SEBI -approved new categories that they have allowed for the mutual funds? When can we launch new schemes under that category? Or you're waiting for more clarity before launching any new schemes in that?

Navneet Munot: So, we are awaiting the final set of regulations. We will have products in this space as and when we get the final set of regulations. The team is working on creating the right set of products, which will help us gain share in this space too. It's not necessary that only highly complex products will succeed when it comes to this category. We are working on building products which will stand the test of time, and we are confident that we'll be able to create a mark and track record that we have in our current set of products.

Devesh Agarwal: Any timeline, sir, by when we can expect the final regulations?

Navneet Munot: No, we are all waiting for the final set of regulations. I mean, the way we look at Devesh is that we have a large and diverse i nvestor base and an extensive distribution network. And on the other side, we have a very robust investment capability and risk management expertise, right? So , both are in place. So , we would be able to create and deliver products that align with the evol ving needs of our clients.

Devesh Agarwal: Right, sir. And one last question, sir, from my side. In the past, we have spoken about the synergies with the HDFC bank parentage, right? So, do you think that is now completely played out or there's still potent ial for that particular distribution channel to grow faster than other channels?

Navneet Munot: I mean, the way we look at our end is bank would have more than 100 million customers. And the number of customers who would have done an SIP or who would have invested would be a very tiny fraction of that. I mean, look at the distribution might of the bank, whether in terms of geographic reach of branches or the people servicing or the client base that they have got. So , we have tremendous potential. I mean, th e bank became our parent just a year and a half back. The journey post that has been very amazing.

And this is not only in terms of distribution, but overall relationship now that we have with the bank and as well as a its subsidiary like HDFC Securities. We continue to deepen our engagement on all fronts at all levels and are clearly seeing some results of the same. I'm sure many of you speak to senior management at HDFC Bank and will be getting the same feedback on us.

They've been very supportive of wh at we do and our future plans. Bank strongly believes that a mutual fund SIP product or a mutual fund product is a big need of almost every customer. Team is working harder than ever to take the distribution partnership with the bank to the next level.

And not only the domestic distribution, but even the synergies in our Gift City operations, synergies in our alternative business. So , we see tremendous potential for collaboration with the bank. I think Simal mentioned about our newer branc

hes.

So, I'll re peat that. While bank is growing its physical infrastructure at a rapid pace, and we are also ensuring that we have our presence to cater to their customer base. So , we have set up 25 new offices this year. And this is on top of 24 new offices that we set up exactly a year back. So , 50 new points of presence that we have created in just one year. We have mapped every cluster and branch. We have mapped, of course, for our other distribution partners also will get service. So yes, we have a plan in place and with the kind of support we are getting from not only the senior leadership, but I think from every level, I feel very optimistic on how this can grow over the years.

Devesh Agarwal: Right, great and all the very best. Thank you.

Navneet Munot: Thank you so much.

Moderator: Thank you very much. Next question is from the line of Sahej Mittal from 3P Investment Managers. Please go ahead.

Sahej Mittal: Hi, thanks for the opportunity. First, if I look at your SIP flow market share, right, so over the last 10, 12 quarters, consistently, the sales flow market share has improved, right? Obviously, in line with the performance which we have delivered. But in this quarter, immediately after we rationalized our commission, SIP flows have gone down by 50-odd, right, w here we were a year back. So, I mean, is this because of commission rationalization or is there anything beyond that?

Navneet Munot: Not at all. In fact, by the way, I mean, I must clarify, we have mentioned it earlier also that what the number you see is systematic transaction, which includes both systematic transfer as well as a systematic investment plan, SIP plus STP. And sometimes it could be some, maybe a l arge ticker STP done by maybe an HNI customer or so that may have some impact on this number.

The other thing I must mention that we stopped taking SIPs also in one of our product - defense funds, which was quite popular with some of the distributors and investors that may also have an impact because, I mean, one of the sector thematic funds which w as getting a good amount of new SIP accounts because we were only taking SIPs in that fund. But at HDFC AMC for us, it's always about the thinking of customers from a long -term perspective and not trying to maximize the SIP flows or AUM every month, every quarter. But otherwise, yes, our share across all channels and across a couple of products has been pretty decent.

Simal Kanuga: Also, I think, Sahej, one more point, if I may add, the largest contributor to SIPs have been some of these FinTechs , and they have no relation with commission. They put money in the direct plan.

Sahej Mittal: Okay. Got you. Got you. Perfect. Thanks a lot.

Moderator: Next question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: Hi. Thank you and congratulations on a good set of numbers. First, quickly on, you know, the equity market share, there's a very minor decline. But I would really appreciate if you could give some comments. Is it because of flows or is it more because of, yo u know, performance? And I know that, you know, it's too minor to actually make a big deal about, but just some sort of comment on that would be helpful and whether we are sort of confident enough to maintain our market share going forward?

Navneet Munot: Sure, sure. I mean, as you know, it's a combination of both mark -to-market as well as the flows. And it's too small a difference, I mean, over the last several quarters, we have been seeing, you know, an uptick in the market share. There would always be on e quarter where, depending on a particular category of fund performing differently, or maybe some bit of change in flows as well. But we wouldn

't read too
much into it.

Madhukar Ladha: Yes, got it. Second, when I look at your equity AUM channel split, I see that the share of direct has improved substantially. And, even sequentially, year -over-year, almost 270 basis points improvement, and sequentially 50 basis points. And we've seen that. I want to get a sense of, is it more because, more index, passive products, or is it also to do with, changing behavior where, distributors are, or people are, retail people are still preferring to do, rising awareness resulting into this. So , some color, and also, platforms like Coin, Grow, those also probably would be hel ping?

Navneet Munot: So, Madhukar, I mean, if it is 25%, and it has a lower T ER, so by default, this channel will automatically grow higher than the other channels, right? I mean, just the share difference in the T ER will lead

this to grow higher. By the w ay, I mean, the distribution data provide d should not be interpreted as an indicator of market share within the individual channel. Because it's entirely possible for one channel to

grow at a faster pace than another, while our overall market share
across both remains unchanged. So , you are right. I mean, you notice
that right that over the last 12 months, the direct channel has grown
from I'm just seeing the page - 24.3% to 27%. And then it's al so to a
large extent led by FinT ech, and some of the RIAs, th e Registered
Investment Advisors. Rather than indicating a loss in any channel, I
would say this change reflects broader industry dynamics .
Madhukar Ladha: And do you think there's rising awareness towards, retail, HNI sort of
investing direct?
Navneet Mun ot: MFDs have been doing very well. In fact, also, when you look at
MFDs, the decline in MFD share, you keep also another dynamic in
mind. So MFDs who expand their business geographically, they get
recategorized. So , some of these MFDs do move to platforms . And
hence the transition happens from MFD channel to ND channel. So ,
they were getting clubbed in MFD and now they are part of ND
channel. Keep t hat also in mind, yes.
Madhukar Ladha: Understood. And just on the new asset class, is there clarity on what
sort of additional strategies you could do? Will it allow like shorting?
Will you be able to replicate like what AIFs and PMSs are doing? And
second, on the taxation of these products, will it be taxed like mutual
funds only or will it be something else?
Navneet Munot: So, we are awaiting the final set of regulations I mentioned earlier. All
I would like to state is that we have best -in-class investment capability,
risk capability and product capability. And on the other side, we have
the distribution netwo rk and an investor . So, I mean, any opportunity
on the product side, whether it's the standard mutual fund products,

which have got the categorization, the products that we can launch, and
tomorrow it gets more liberalized, and we are allowed to launch a few
other products with a different set of risk return framework. As an
organization, we are fully ready to capture every opportunity.
We also mentioned earlier that whether it's active, whether it's passive,
whether it's alternatives, whether it's se gregated accounts, which is
PMS, we want our presence across the board to ensure that we are a
one-stop solution provider for every investment need of every investor,
be it institutional or individual, and every kind of partners, investment
solutions that they would look up to from an asset manager like ours.
Madhukar Ladha: And any clarity also on the TER by any chance? Is there more
flexibility on TER?
Navneet Munot: No, not really.
Madhukar Ladha: I mean, the same TER structure.
Navneet Munot : The scale of our industry, I mean, today 67, 68 l

akh crores a nd SIP
book that has got built, and still it's usually underpenetrated. So , we
wouldn't like to lose our focus from this runway of growth and any
additional opportunity that comes to us, we wou ld fully participate in
that.
Madhukar Ladha: Thank you. Thanks a lot, sir. And all the best.
Navneet Munot: Thank you.
Moderator: Thank you. The next question is from the line of Shreya Shivani from
CLSA India. Please go ahead.
Shreya Shivani: Hi. Thank y ou for the opportunity. So , I have two questions. First is on
this regulation change which happened in December. So , SEBI said
that in NFOs, when the switch transaction, the distributors would now

get lower commission versus earlier the trend of them takin g the higher
bit. So, can you help us understand what exactly is going on there and
what is the impact on us in our NFOs, what part of it was just simply
coming through switch, etcetera? That's my first question.
And sir my second question is, probably I just want to understand the

tax rate a little better, because last time was an anomaly, and I understand that you had explained it very well. But going ahead, how should we look at it? What are the factors which move s it around? If you could help us unders tand, why would it come at 23.6% this quarter versus, say, 25% in some other quarters? If you can help me understand that would be useful? Thank you.
Navneet Munot: So, your first part of question, the brokerage on the NFO, we have always been very pr udent, Shreya, on this front. We have been very particular about this. And in all our NFOs, we have ensured that on the switch, we pay the lower of the two. And on the tax side...
Naozad Sirwalla : I think 25% is the corporate tax rate. Only the issue is th at for mark -to-market gains, there are long -term, etcetera, you have a deferred tax at a different rate, right? So that would mean that sometimes it comes at 23, 24, etcetera.
Shreya Shivani: Got it. So , it's basically the mark -to-market gains, which basic ally moves your tax rate around that 25%. And that's the anomaly that could come through, right?
Naozad Sirwalla : Yes, depending on if it's short -term, then it moves to long -term. So those are the impacts.
Shreya Shivani: Got it. And on the NFOs, I just wanted a clarity that you were always paying the lower commission, even before this regulation came, or even before the SEBI document that came in May ‘23, was that always a trend, or how was it? Sorry, I didn't understand.

Navneet Munot : By and large, yes.
Shrey a Shivani: Okay, by and large. Okay. This is useful. Thank you so much.
Navneet Mun ot: Thank you.
Moderator: Thank you. Next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.
Dipanjan Ghosh: Hi. Good evening, sir. Hope I'm audible.
Manag ement: Yes.
Dipanjan Ghosh: Two questions. One is on the other expense side. If I see there has been a sharp decline sequentially, and also on a Y -o-Y basis, it's quite controlled, despite the first half being quite high in terms of activity and engagement . Just wanted to get some sense of how should we see this going ahead in terms of trajectory on the other expense side, if there is any further head room to control it, or what sort of growth should we assume, given that you opened a few branches also here and there in January? And in line with that, also on the employee expense side, should we expect some amount of investment on the sales franchisee or the non -MF side, let's say, over the next 12 to 24 months? The second question is on, again, going back to the gross SIP flow market share. If I just see the ticket size for HDFC AMC versus the industry over the past, let's say, 12 months, both for December and September, HDFC AMC has w

itnessed a decline in ticket size for both these period ends, whereas the industry has seen an accretion. So is it fair to assume that, and anecdotally, you also know that the ticket size tends to be relatively lower on the Fin Tech channels.
So, is it fair to assume that maybe there has been some moderation or customer churn o r resilience of the customers during this market

downturn is a little lower on those channels, and you're facing the heat of that? Just wanted to get some color on that.
Naozad Sirwalla : Right. So , Dipanjan on expenses. So , for the quarter, I think, first of all, I would request that we look at from a nine -month to nine -month point of view, where that's a more reasonable way of looking at expenses. For the quarter, we didn't have so many NFOs this quarter. CSR expense was a bit lower. So that's why you see some decline in the December quarter. I think our request has always been that, see, on

an annual basis, overall costs, employees as well as other expenses, should grow between 12% to 13% or 15%, give or take, depending on how markets are. So that's the wa y I would urge you to look at it, not on an every -quarter basis. So that's broadly where it is. So , this December quarter has been slightly lower, as I said, due to certain costs being lower from CSR. And on what the – you asked about the ticket size.

Navn eet Munot: I repeat the same point I made earlier, that what we disclose is systematic transactions, which include both STP and SIP. It's not strictly comparable when you see the industry number on that side. And it also depends on the money coming in from a particular channel or the kind of product. For example, we had a cap on our SIP amount per unique investor in our defense fund, which was like 10,000 rupees that one could do. And also, depending on the channel from which that money is coming in. But otherwise, I think we would be in line with the industry, if not better.

Dipanjan Ghosh: Maybe just a follow -up. I mean, would it be fair to assume that let's say, the accretion that you would have seen in your SIP mix through direct, and without going into specifics of Fintechs, would be, let's say, better than the industry or in line with the industry? Some color on that, if you can give.

Navneet Munot: No, I mentioned earlier that our share across channels has been very healthy, which includes MFDs, NDs, banks, the parent bank, HDFC bank as a distributor and Fintech. And our market share has been healthy across all channels. We focus on all channels. They all are important for us. And we continue to invest in all channels.

Dipanja n Ghosh: Got it. Sure. Thank you, sir, and all the best.

Moderator: Thank you. Next question is from the line of Raghvesh from JM Financial. Please, go ahead.

Raghvesh: Hi, sir. Thanks for the opportunity. So, I had a couple of questions. The first questio n is, when we look at our revenues yields , so essentially our equity share in the AUM has come off. None of our funds have actually reduced in a TER slabs . And you have said that there's incremental change in distributor payout. But still, the yields have increased by around 1 basis point, Q -o-Q. So, I mean, how do we, I mean, what explains this increase in yields?

Simal Kanuga: So, I think there are a couple of things, right . One is, if you look at last quarter, we did some bit of distribution commission r ationalization effective 1st of August. So, if you compare this strictly with last quarter, it was, last quarter was two months. This quarter, the impact of the entire three months come by, point number one. Point number two, the direct plan change that ha ppens because of the rationalization of commission tends to get affected with a bit of a lag. So, we've seen

direct plan TERs go up somewhere in middle of September and then again in middle of October, so on and so forth. So, these things have resulted in a marginal increase.

Raghvesh: Okay. And broadly, this is a good base for looking at Q -o-Q?

Simal Kanuga: So, I think Naozad pointed that out, right, saying that we did the quarter number at 58 basis points. Now, it depends, for example, if the

market real ly kind of shoots up again from where it is, you might see a decline because of increase in AUM. So, the telescopic pricing would work. But yes, otherwise, we start with a base of 58 basis points that Naozad touched upon.

Raghvesh: Thank you. And the secon d question on the distribution. So, direct is now 27% of the business. So, what portion of this would be to a direct online channel? And has that been the major, driver of growth in the direct channel?

Navneet Munot: I mean, what we disclose, as I mentione d earlier from a competitive perspective, we don't disclose further. But as I mentioned earlier that we have fairly healthy share, whether the investors coming directly to us, investors coming through RIAs and investors coming through the FinTech. Within F inTech also, you have various kinds. There are some who are distributors who take the ARN and are commission -based. And there are some who put money in the direct plan. There are some who are what we call EOP, the Execution Only Platform, who charge a smal l transaction fee. So, there are different kinds. And we try to optimize our shares everywhere.
Raghvesh: Okay, sir. Thanks for this.
Moderator: Thank you. Next question is from the line of Jayant from Jeff eries India. Please go ahead.
Jayant: Thanks for t he opportunity. One question regarding the industry broader , we've seen that this quarter, there seemed to be some moderation in broadening of the investor base, whether you look at Demat accounts or active investors on exchanges. And then you sort of marr y that with the addition that you had to unique investor base for the mutual fund industry. From these 1.1 million kind of number , we have done 800,000. And the industry also seemed like a 20% -22% drop in this quarter. What are you reading, given that we'r e already 14

days into Jan? Is it a possibility we may have peaked out on the quantum of investor base addition or incremental investor addition for FY ‘25?
Navneet Munot: I think we still have a long way to go. Last year was outstanding for the industry. Industry added almost 1 crore new unique investors, and almost 6 crores of folios. If you look at the SIP number, I mean, the one-year growth was like some 9,000 crores. This was the SIP book around three years back, right? I mean, what the entire book was three or four years back has got added in like one calendar year.
And the overall equity AUM has grown by like 10 /11 lakh crores, which was total AUM of the industry a few years back. So , it's been an outstanding year. Having said that, over the next se veral years, I think the efforts industry is making, efforts all of us are making, the work that regulator is doing to build more trust in the product to bring more transparency in the product, we feel very positive about the long-term opportunity.
I mean , while we can celebrate all the numbers that I talked about, but we need to keep in mind there are only a little over 5 crores unique investors in the industry. Can we say that we have peaked at 5 crores unique investors in the industry? I mean, no way. You would know that better , I mean, if we compare ourselves with, I don't know, maybe the vehicle ownership or passport holders or the number of people who file income tax returns, many numbers, I think we still have a long way to go.
Jayant: Just to follow

up, sir, while the long-term trend, we all agree…
Navneet Munot: Even in fact, sorry to interject, I think even if I look at the Demat accounts, which are like around 19 crores or so, I don't know how many unique investors in that, but I assume that numbe r is substantially higher than what we have as an industry in terms of

unique investors. So , people who have already invested in capital markets, but are yet to invest in mutual funds, that number is also like quite large. That would be like another, I wou ld say, a cohort of, investors that we would like to target as an industry.
Jayant: Yes. So just following up while the long term, trajectory we all agree on, could there be a sort of healthy consolidation in the near term where we see this large base of c urrent year not being repeated at least

for the next three, four quarters?
Navneet Munot: See, one healthy thing is to see is that I think the market turned volatile sometime in September, I remember, and last quarter was extremely volatile with so much of foreigners selling and some of the other, you know, I mean, for other reasons that caused volatility in the market. And in this quarter, we have seen record flows in the mutual fund industry. I'm talking about the equity funds.
And in terms of SIP additi on, in terms of new account addition, it's been very, very pleasing for everyone in the industry. It shows the maturity of the investor. It shows that mutual funds are getting sold as a product where investors need to invest in a disciplined manner with a long-term orientation. Having said that you are right, there will be some cyclical aspect .
If let's say we remain in a bear market for an extended period, it may impact overall sentiment that may have impact on whether the new investor addition or, a topp ing up of amount by the existing investors also. But I feel positive that this time a good part of our growth is structural in nature and not completely cyclical.
Another interesting thing from our interaction with the distributors and investors, the one thing we notice is mutual funds have performed substantially better than what investors have witnessed in their own portfolios where they've invested directly. And they can clearly see the

comparison and the advantage of investing through professional mana gers like us. I think this will also keep us in good stead and will help the industry in building more trust among the investors that this is a better vehicle than, doing on your own.
Jayant: Great. Just one last question if I could squeeze for the Decembe r quarter investor addition. Is it that the sort of this 20% drop was more in FinTechs versus the NDs? Anything qualitatively that you can call out?
Navneet Munot: I don't have that handy. But the industry, as I said, in one calendar year, the total number of unique investors four years back, four and a half years back, I remember was 2 crores. And in one calendar year, we added more than 1 crore.
As an AMC, we have added 40 lakh new customers in last 12 months or so. These are like phenomenal numbers. I a lso keep thinking that one investor addition, but the two, a big opportunity for us is also to ensure we get more allocation from the existing investors.
Industry has done a very good job in spreading the word about Mutual Funds Sahi Hai, investing throug h SIP. But have you invested the right amount? Do you need to invest more to meet your goals? I think a lot of potential for us. And as an organization, we are putting a lot of effort as an industry, we are putting a lot of effort on that. I don't know if you've noticed, some of the media channels where our next target for Mutual Funds Sahi Hai is that are you investing rightly? And then are you investing the right amount

that you need to invest? So , there's a lot of potential to get more money from existin g investors also.
Simal Kanuga: But Jayant, what number has dipped 20%? Because unique investors have grown from 5.01 crores to 5.26 crores, quarter on quarter.

Jayant: So, I was saying that in September quarter, we added 3.2 million new unique customers i n the industry.
Simal Kanuga: Do you mean the growth has slowed down by 20%?
Jayant: Yes, incremental addition.
Simal Kanuga : So, you are talking about growth on growth is not happening. Growth on growth is happening at a slower pace. At that pace, I th ink unique investors will beat Indian population.
Moderator: Thank you. Next question is from the line of Saurabh from JP.

Morgan. Please go ahead.
Saurabh: Just one question. So basically, just on this SIP and the net new money in equity, given that Nifty return is now in the mid-single digits. And now, if this market continues like this, probably FD returns could start becoming better than equity, at least in a one-year view. You think there's a case that the net new money accretion in the industry and th e SIP accretion starts to tone down from here?
Navneet Munot: I mean, I kind of answered before, but also that there's a lot of opportunity for us on the fixed income side, right? If you think that, where the interest rates are, there could be investors wh o want to allocate some bit to fixed income also. Last two, three years, because equity markets have done so well, investors have allocated, a larger proportion of their money into equity funds. But there are hybrid funds, we have asset allocation products , we have fixed income products. And I'm sure there is an opportunity for us to position ourselves for that allocation also.
Saurabh: So, my point is basically...
Navneet Munot: I think if you have an extended bear market, that may have some impact. But wh at as an industry we have been trying over the last five,

seven years in particular is to educate investors that you are investing for the long run. I just talked about 30 years of HDFC Flexi Cap fund. And what we try to showcase is that there have been m any, many, many cycles, economic cycles, business cycles, profit cycles, political cycles. And across all of those periods, if you just stayed invested, what kind of returns you have got over a period of time, what kind of experience you had in terms of co mpounding your money with a disciplined investing. And I'm hoping that, as entire industry is making these efforts, I'm hoping that investors take a more longer -term view and don't get swayed by the volatility.
But of course, I take your point, there are a lot of investors who come in last three, four years, they haven't seen a severe correction, first time they've seen some bit of correction in the market. And we have to wait and watch for their behavior in this cycle.
Saurabh: Okay, thank you.
Moderator: Thank you. Next question is from the line of Mohit Mangal from Centrum Broking, please go ahead.
Mohit Mangal: Yes, thanks for the opportunity and congratulations on a good set of numbers. Just one question. So , we have seen the SIP discontinuation rate t o be high in the industry. So just to get a sense for HDFC AMC was the ticket size for SIP less than say 5,000 or was a higher ticket size, or more than 25,000? Any color on that, would be very helpful.
Navneet Munot: Sorry, I didn't get that. You're askin g for the ticket size of the SIPs?
Mohit Mangal: Yes, SIP discontinuation rate. Obviously, we would have seen something for the quarter, right, for the company. So just wanted to get a sense of the ticket size of those SIPs. Were they higher, say greater

than 25,000, or were they less than say 5000? Just wanted to get a sense of that.
Navneet Munot: We mentioned earlier that you look at the total number of SIP accounts, and then you look at the new addition and the cancellation. This is not really so materi al as you are making out to be. And also, as I mentioned that we don't give the SIP number, we give systematic transactions, which include both SIP as well as the STP. STP is a Systematic Transfer Plan.
Mohit Mangal: Yes, I just wanted to understand as to, we are seeing in the industry that discontinuation rates to be high. So just wanted to get a sense as to why, are the ticket sizes a concern or basically it's just the market returns?
Navneet Munot: There are many factors. Somebody can start with, let's s ay, in five

different funds. And then depending on the view, they may change. They may add another two funds and stop SIP in the existing two funds, right? Now, those two where they have stopped will go as cancellation. Those two where they have started th e SIP will go as new. It could be the same fund or; it could be a different fund out. So that there are many factors at play.
Mohit Mangal: Okay. Thanks, and all the best.
Moderator: Thank you. Thank you. Next question is from the line of Priyanka from Trident Capital, please go ahead. Priyanka, may I request you to unmute your line and proceed with your question.
Priyanka: Yes. So , my first question is that what is the strategy for attracting passives, especially EPFO flows, considering they are the bigg est investor in this segment? There was an EPFO tender in 2023, which was open to private AMC players also, but I guess we did not win that.

So is this tender up for renewal or any new talks on getting some share of this EPFO flow?
Navneet Munot: As and wh en that happens, we will consider that. It will surely be, I mean, we will surely consider that as and when it comes back for tender.
Priyanka: So, is there, when will this tender come up for renewal? Is there any particular date, a periodic tender or anyt hing?
Navneet Munot: Everybody will come to know at the same time. So , I don't think we have any pri or information .
Priyanka: Okay. Next thing, just there was this question on employee expenses earlier also. So, I'm just looking at the employee expenses fo r the last nine months. Okay. The employee expenses have gone up 9% compared to nine months, the previous period. But our branches have increased by 25. Is this the rate that, we are looking at that, the employee expenses goes up by 9% to 10% assuming a br anch expansion, or how is it that we take into consideration for employee expenses?
Naozad Sirwalla : I'll just clarify. The employee expenses is the total expense you're looking at. That has a component of the ESOP cost as a non -cash component of employee expenses. So , for the previous nine -month period, that was INR37 crores. The same number for this nine -month period current is INR17 crores.
Priyanka: Okay. Okay.
Naozad Sirwalla : So, if you take that off, then you will see a reasonable increase in employe e expenses.

Priyanka: So, what is, on an annual basis, considering the 25 branch increases, what is the employee expenses increase that I should, look at for my modelling purpose?
Naozad Sirwalla : So, we don't give out guidance specifically as a general ma tter. I think employee expenses across the board, as this is financial services sector, and we would do what is appropriate given the business cycle where we are in for employees when we look at costs for next year. We've always been very prudent and ratio nal on our costs for these employee expenses or other costs.
At the same time, if you have to invest in people and technol

ogy and
network, etcetera, we'll do it at the right point. Again , to clarify, and we did mention this in our previous quarters call, when these branches are while they are, the offices, as we call them, are still small offices manned by a couple of people. It's not a very material, from a cost point of view or a people point of view, that it really changes . Of course , you have t o man the branches etcetera, but it's not like a material increase in cost because of 25 new branches or offices.
Priyanka: Okay. Yes, thanks for that answer. That's from my side.

Moderator: Thank you. Next question is from the line of Bhavin Pande from Athena Investments. Please go ahead.

Bhavin Pande: Congratulations on a good set of numbers. So , sir, how do we look at protecting fund performance in a down cycle if we were to extrapolate this kind of scenario, panning out maybe for a longer horizon? And secondly, again, not going too granular on flows side, have we seen any reorientation both from direct and non -direct channels in terms of allocation towards funds where belief is that certain sectors are overheated or maybe performance might not come. So, they have reoriented to other strategies which had not done for maybe last couple of years?

Navneet Munot: Yes. So, we have seen some bit of change in terms of the categories that get more flows. While we try to educate as much as possible that, investors should not have a recency bias, don't look at the returns of last six months, 12 months or so and then allocate your money, accordingly, focus on the larger goal planning, asset allocation and then the fund selection.

Having said that, the recent performa nce has some implications while industry tries very hard, as I mentioned earlier, to educate investors to ensure that they invest from a longer -term perspective. What was your other question on the fund performance ? Actually, I mentioned it earlier that, i n fact, in the presentation, Chirag was showing that when you look at number of stocks that have fallen from the 52 -week high versus, I think, if you look at the fund performance or if you look at, the alpha that has been generated by several funds, I thin k fund managers have done a very good job during this period of drawdown.

Bhavin Pande: Okay. And so macro funds, given the high -frequency indicators pointing towards maybe an extended period of higher interest rates, would we sort of ramp up our efforts t owards scaling up the debt business as well, barring the fact that equity might not do well, again, just purely from a debt perspective?

Navneet Munot: We have a full bouquet of products to meet every need of the investor. Having said that, our message to investors has been that they need to think from a longer -term perspective. I don't think that they need to stop the allocation because equity markets have not been doing well over the last few months or may or may not do well in the next few months.

I think it's about the allocation. I'm sure in several of the presentations, people from our industry show that if you missed out on a few good days or a few weeks of, let's say, up -cycle, you miss out on a very

large part of the market. And that's why it might sound like a cliche that it's the time in the market and not the timing that really adds to the wealth creation.

And over the last couple of years, this is what I think industry has done very well in delivering this message that you need to invest in a v ery consistent and disciplined manner and don't get swayed by the volatility but actually take advantage of the volatility. Over the last few months, we feel very positive looking at the investor behavior, and I feel that investors should continue to inves t with a long -term horizon.

Bhav

in Pande: That was helpful, sir. Good luck to the entire team.

Navneet Munot: Thank you so much.

Moderator: Thank you. Next question is from Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: Hi. A c ouple of questions. First is that what has been our market share growth in or how are we seeing growth in the hybrid and balanced advantage funds when compared to the market? Are we growing faster or do we have any product gap there?

Navneet Munot: No, I t hink we have been a pioneer in that category. Our balanced advantage fund is the largest actively managed equity -oriented fund in India, hybrid fund, and dynamically managed I mean, current AUM would be like in excess of INR90,000 crores. And across the bo ard, whether it's the hybrid equity, conservative debt product, asset allocator fund, multi -asset fund, there are like many products that we have got to meet various kinds of needs of investors and our partners. Historically, we always had a high share in that segment, and we continue to build that portfolio. In terms of product gap, I don't see

now. I think almost all the products which are allowed as per SEBI Categorization, we are already present.

Lakshminarayanan: The second question is related to the VWAP rule or some kind of contours of some certain things that came up by either AMFI or SEBI . Does it actually affect you, how you have actually taken up that? Because I understand the effects of Mid Cap and Small Cap in particular, and that we have a lar ge Mid Cap and Small Cap Funds. So , can you just tell me more about that? Is it actually becoming difficult for you to manage large sums of money in those schemes because of this rule?

Navneet Munot: No, I have not heard that from our fund managers. By the way, I mean, we at AMFI and regulators, we work very closely. I mean, SEBI always talked about the co -creation of regulation and best practices. Everything that we do is to enhance transparency. Everything that we do is to build more trust in the product. And we work very, very closely with the regulator from AMFI side.

Lakshminarayanan: Thank you so much.

Moderator: Thank you. Next question is from the line of Kunal Thanvi from Banyan Tree Advisors. Please go ahead.

Kunal Thanvi: Hi, thanks for the opport unity and Happy New Year to the team. I had two questions. One was on regulations. In 2023, there was a lot of talks about TER from scheme -based to fund -based. Anything that you've heard on that incrementally from the regulators in your sense of the same?

Second question was in terms of last 2 years being very good for the industry. Talking about in terms of growth, SIP, growth in the unique investors. What are the key risks that you see from here on in the

business, both medium term and long term? Can you talk about these two?

Navneet Munot: Thank you, Kunal, and wish you too a very Happy New Year and wish everybody on the call a very, very Happy New Year. On the TER, in fact, I've been stating that the telescoping structure, especially in case of equity -oriented schemes, does have an impact on the TER. And the current formula incorporates this mechanism, and its effects have been evident over the last couple of years. So, in our opinion, further regulatory intervention may not be necessary to pass on the b enefits of scale to the investors. The scale benefits have been passed on to the investors over the last couple of years.

The risk to our business, of course, because if you look at our AUM, the growth consists of two things. One is the mark -to-market. Th e second is the flows. If markets don't do well, which is the last couple of weeks, it impacts our AUM. If this kind of market trend continues for an extended period, it may also

have an impact on the flows, while we believe that a good proportion is comin g in the form of systematic transactions and that should continue. And it may offer other opportunities to look at fixed income and some of the other categories. But yes, that would be one of the key risks given our business, yes.

Kunal Thanvi: Sure. Thank you so much. All the very best.

Moderator: Thank you. Next question is from the line of Lalit Deo from Equirus
Securities. Please go ahead.
Lalit Deo: Yes. Hi, sir. Congratulations on a good set of numbers. So just two
questions. One was the non -cash charge which you're talking about in
the employee expenses. So right now we have the existing plan which
is going on and for the next full year, do we have any new plans which
are there in the pipeline , in terms of outlook on the non -cash charge ?

Navneet Munot : We haven't discussed that so far.
Lalit Deo: Okay. And so just lastly, when you're talking about in the systematic
transaction, so can you just give us like how much would be the SIP
book and how much would be the STP book on a qualitative basis?
Simal K anuga: Lalit, we don't give that split.
Lalit Deo: Sure, sir.
Moderator: Thank you very much. Next question is from the line of Ajay Jain,
Individual Investor. Please go ahead.
Ajay Jain: Sir, this is regarding accounting entry. Can you explain other inco me
that has been a big difference in quarter 2 and quarter 3? What
constitutes other income in your accountings?
Naozad Sirwalla : Sir, largely other income is what we earn on the investments we have
made from our balance sheet. And the movement that you see between
the September quarter and the December quarter is largely on account
of the equity mark -to-market loss of the investments that we have to
make.
Those investments are largely due to the SEBI skin in the game
circular which requires the AMC to put i ts own balance sheet capital
into its own fund in a pre -prescribed formula. And since the markets
were lower in the quarter, there is a mark -to-market loss on the equity
investments.
Ajay Jain: Fair enough . Can I conclude it? What I have understood of it i s that if
the market increases, the value of the shares increases, then you have a
better margin in other income and vice versa. Am I so, sir?
Naozad Sirwalla : Yes, sir. So , we have to mark -to-market our investments.
Ajay Jain: Mark -to-market. Fair. Got you, sir. Thank you so much.

Moderator: Thank you very much. Ladies and gentlemen, that was the last
question. I would now like to hand this call over to Mr. Navneet Munot
for closing comments.
Navneet Munot: Thank you so much. I wish you all a very Happy Maka r Sankranti ,
Pongal and of course I wish you and your loved ones a very Happy
New Year. Thank you so much.
Moderator: Thank you very much. On behalf of HDFC Asset Management
Company Limited, that concludes this conference. Thank you for
joining us and you may now disconnect your lines. Thank you.

Call: Apr 2025

HDFC Asset Management Company Limited
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Ref/No/ HDFCAMC/SE/202 5-26/07 Date – April 23, 2025
National Stock Exchange of India Limited
Exchange Plaza, Plot C/1, Block G,
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Mumbai – 400051.

Kind Attn: Head – Listing Department BSE Limited
Sir PJ Towers,
Dalal Street,
Mumbai – 400001.

Kind Attn: Sr. General Manager – DCS Listing
Department

Dear Sir/Madam ,

Sub: Transcript of Earnings Call
Please find enclosed herewith transcript of Earnings Call for the quarter and year ended March 31, 202 5, conducted after the meeting of the Board of Directors on April 17, 202 5 which can also be accessed on the website of the Company at:
https://www.hdfcfund.com/about -us/financial- information/shareholder-presentation
Kindly take the same on records.
Thank ing you,
Yours faithfully,
For HDFC Asset Management Company Limited

Sonali Chandak
Company Secretary
Encl: a/a

“HDFC Asset Management Company Limited Q4 FY’25
Earnings Conference Call ”

April 17 , 2025

MANAGEMENT : MR. NAVNEET MUNOT – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER
MR. NAOZAD SIRWALLA – CHIEF FINANCIAL OFFICER
MR. SIMAL KANUGA – CHIEF INVESTOR RELATIONS OFFICER

Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY ’25 Earnings Conference Call of HDFC Asset Management Company Limited.
As a reminder, all participants ’ lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this c onference is being recorded.
From the Management Team , we have Mr. Navneet M unot, Mr. Na ozad S irwal la and Mr. Simal Kanuga .
I now hand this call over to S imal Kanuga, who will give us a brief , following which we will proceed with the Q&A session. Thank you and over to you, Simal .
Simal Kanu ga: Thanks, Sejal . Good afternoon /evening everyone and thank you for joining us today. Our Presentation is available both on exchanges as well as our website .
As usual, we ’ll start with a Quick Overview of the Industry :
FY25 got concluded with AUM reaching 65.7 trillion, reflecting a 23% increase over the previous year . Of the R s.12.3 trillion increase , approximately Rs.8.2 trillion was in the form of net new flows. The comparable number for the previous financial year wa s Rs.3.5 trillion. This is the 13th consecutive year where industry has witnessed positive net flows.
For FY’25 equity markets witnessed two distinct phases , more or less cut into two equal halves. NIFTY 50 ros e by 16% in the first half, that was April to S eptember of 2024 and declined by 9% in the second half; October ‘24 to March ‘25. And in terms of flows into equity -oriented funds , the first half saw net flows of Rs.2.81 trillion and second half witnessed net flows of Rs.2.74 trillion . For conte xt, net new flows for financial year ending March ‘24 were Rs.2.62 trillion.

During the current financial year, actively manage d equity -oriented N FOs contributed Rs.900 billion, that is 18% of net -new actively managed equity - oriented flows. The correspondin g number for the previous year was Rs.546 billion, which made up 23% of the flows of the previous year .
Monthly SIP flows touched a record high of Rs.265 billion in December 2024, with March ‘25 logging in Rs.259 billion. Comparable number for March ‘24 was rupees 193 billion. That is, industry has added just about Rs.67 billion to monthly flows.
In FY ’25, the industry witness inflows into debt and liquid funds, adding up to Rs.1.35 trillion . ETF saw inflows of Rs.831 billion while arbitrage funds attr acted Rs.508 billion.
We now move to us :
We cross ed Rs.7.5 trillion in overall AUM with the market share of 11.5% and 12.7% if we exclude ETF on QAAUM basis . Equity -oriented assets at Rs.5 trillion, 64% of our quarterly average AUM , well above industry average of 56%. For actively managed equity -oriented AUM, our market share is 12.8%, while for debt and liquid it is at 13.1 and 12.5 on QAAUM .
Individual investors contribution to our monthly average AUM remains steady at 70% compared to 60 % for the industry. We held a 13.2% share of individual monthly average AUM for March 2025.
The industry added 9.7 million new investors over the year. We added 3.5 million .
Flows through systematic transactions for March 2025 were Rs .36.5 billion, up 24% as compared to March of ‘24.
We also continue to expand our physical presence , adding 25 new offices in Jan 2025, which means we have added 50 new offices over the past 15 months . That takes our network to 280 offices with 196 offices in beyond the top 30 cit ies.

We continue to constantly enhance and better digital experience for our customers. And now 94% of our transactions are processed digitally.
Quick Update on Financials :
Our revenue from ope

rations for FY ’25 came in at Rs.34,980 million, growt h of 35% Y oY. Operating profit for the year added up to Rs.27,261 million , growth of 43% YoY with an operating profit margin of 36 basis points of AUM.

PAT for the year was Rs.24,609 million, growth of 26% YoY.
The Board earlier today has recommended a div idend of Rs.90 per share as against Rs.70 per share last year translating into a dividend payout ratio of 78%. This of course is subject to shareholders ' approval .
We can now open the open the call for questions. Navneet and Na ozad, both are very much in t he same room.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Lalit Deo from Equ irus Securities. Please go ahead.
Lalit Deo : Yes. Hi. Good evening, sir and congratulations for good set of numbers. Sir, I just have two questions. First ly, on the revenue yield side. So, in this particular quarter, we saw that it has declined by about one basis point. So, I just wanted to understan d whether it is a function of mix change or is there anything else to read into it ?
Further , like if we look at our direct TER disclosures there, we were seeing that in some of the equity schemes, it has increased materially. So, wouldn 't that have helped in inching up the revenue yields?
Navneet Munot: So, I mean the management fees is same, in direct as well as the regular plan. So, that wouldn 't be impact . It's broadly been in line with the last quarter. I think we have been saying in the last quarter a lso that equity is around 58 basis point s, debt

is 28 basis points and liquid is 12 basis point s and revenue margins over the last four quarters if I remember correctly in Q1 was 46 .3 with equity asset mix was 64%, in Q2 was 46.4 with mix coming in slightl y higher ; 65.7, Q3 was 47 .1 with again a similar mix , and this time the mix was slightly lower at 63.8 and Q4 margins were 47.2.
Lalit Deo: Okay. And sir, like second question was on the ESOP scheme. So, we have announced the new ESOP plan. So, just wanted to understand like how should it be budgeted from the cost perspective for the overall ESOP ?
Navneet Munot: Sure. So, firstly, as of now, we are seeking approval from shareholders for stock options /performance stock units (PSU). This is not wha t we are giving or allotting as of now. This is for future . This gives me an opportunity to give you a perspective on what this is about . So, in HDFC AMC, we recognize that our people are central to delivering consistent , long-term, sustainable value to ou r clients and shareholders . And as part of our efforts to attract, retain and align high quality talent with business outcome, the (NRC), the Nomination and Remuneration Committee of the Board approved these changes . In 2020 we had secured shareholder approval to allocate approximately 32 lakh shares to employees overtime. Since then, out of these 32 lakh shares, NRC has granted around 23 lakh shares . That remaining 8.7 lakh s have now been cancelled . So, no further shares will be allotted under that sch eme.
` The NRC has approved a new scheme that is ESOP and PSU Scheme 2025. This will now go for shareholder approval . So, we are seeking approval for 25 lakh shares, including Performance Stock Units (PSUs) . It will be an NRC 's prerogative to allocate the se shares over a period of time. Last time , we took approval in 2020 for 32 lakh shares, as I mentioned , and of that we are cancelling 8.7 lakhs . The balance 23 lakh shares were allocated over the last five years including 10.5 lakh shares to over 600 of our people in 2023.

The previous scheme had vesting spread equally over three years. New scheme will have deferred vesting , that is 10% in first year, 20% in 2nd, 30% in 3rd and 40% in the

4th , so 10 , 20, 30 , 40 over a four -year period. And we are of the opinion that this is better aligned with the interest of our shareholders and reinforces long - term performance. The NRC has also approved the issuance of PSUs within this overall limit of 25 lakh shares. So, 25 lakh includes bot h, the ESOP s as well as the PSUs. PSUs will be granted at face value and will vest 30% in 3rd year and 70% in 4th year contingent upon meeting clearly defined performance parameters primarily based on revenue, profitability, etc. Importantly, and I must sa y this PSUs will not be granted to me or my direct reports who are classified as head of department. The HDFC group have consistently championed employee ownership across its companies and this new framework reinforces that ethos while responding to the ev olving expectations of talent and demand of our industry. So, let me reiterate that there is no intention of allotting entire 25 lakh shares at this instance. It will be spread over time similar to our old scheme and we 'll come back to you after the shareh older ap proval and the discussion with the NRC on allocation , etc.

Lalit Deo: Sure sir. T hank you.

Moderator: Thank you. The next question is from the line of Shreya Shivani from CLSA India Private Limited. Please go ahead.

Shreya Shivani : Yes. Hi. Thank you for the opportunity and congratulations on a good set of numbers. My question broadly was around the equity segment and the trend within that retail and H NI as the break -up we get from AMFI . So, what I noticed was on quarter -on-quarter basis, both the segments have contracted similarly between December to March. So, if you can help us understand how has the behavior of customers in these two segments been --have there been any differences or any qualitative comments you can make about these two categori es, because one would think that during volatile markets, the HNI exists much more and much faster et c., So, any comments over here would be useful ?

Navneet Munot: As I mentioned in the opening remarks that if you look at last year and you split into the t wo phases , a year of two halves, NIFTY was up 16% or so in the in the first half, and the market was down, I think 9 %, 10% or so in the second half. But if you look at the flows into equity -oriented funds, the first half saw net flows of 2.81 trillion and the second half was 2.74 trillion. If you compare with the last year, the last year had net flows of 2.62 trillion in the entire year. Also , if you look at the SIP flows in the last four or five months, I think it 's almost flat ; around 26,000 crores or so. So, I think we are seeing greater resilience among investors. I think it's a collective effort of the industry association, collective efforts by all the industry players, our distributors, advisors and everyone to give the message to the investors that t hey need to invest in the long -term orientation and clearly, I think that seems to be bearing fruit and we are seeing people continuing with their investments. In fact, if I draw your attention to gross flows and redemption numbers, which will give you som e more insight into investor behavior. So, as I said earlier that this was the year of two halves and in the first half of F Y25 when the market was up, gross inflows stood at Rs.5.87 trillion with redemptions at Rs.3.06 trillion . In the second half when th e market was down by 9% or so , while gross inflows moderated to 5.1 2 trillion, redemptions also declined to 2.38 trillion . So, people are also going slow on re deem ing, right , I mean if you 've got the point that I 'm trying to make.

Shreya Shivani: But sir, one of the things that we saw also with AMFI reporting the monthly data is in terms of the number of SIP registered and number of SIP closed or redeemed , whatever . In that, the number of SIP registered

in the past two months, that number has been on a declining trend. So , is it fair to say that while the ones who are invested are continuing to be in the game, but the choppy markets have dissuaded the newer customer from entering , would that be a fair assessment right now?

Navneet Munot: Thank you for as king that and there seems to be a lot of noise around this point. So, I'm happy that you asked me this . AMFI has started publishing an additional data point on their website. You might have seen that - the number of contributing SIP accounts, which is a true reflection of investor activity. The contributing

accounts in December 2024 were 8.27 crores and the number for March was 8.11 crore s. It would be a good idea to keep this number at the core. The more relevant of course is the fund flow through SIP and I have mentioned this point several times. SIP collections reached a record high of 26,400 something in December '24 and even in March '25 contributions were strong at 25,900 -odd crores. So, it's just a 2% dip or in absolute terms around 500 crores dip on a base of 26,000 crore s plus. And it would be pertinent to note that the last working day for March 2025 was 28 as against 31st for December '24. So, it's three days short and everyday matters for SIP trigger. So, some part of thi s dip can also be attributed to this also . SIP collections in March '25, we believe remain resilient at 98% of their record high. And if you compare year -on-year then it 's a robust 35% growth YoY. A nd this is despite I mean heightened volatility and global uncertainties. So, the resilient participation reflects the growing maturity , confidence , and I strongly believe it 's the long-term orientation of Indian investors and commitment to the disciplined wealth creation. So, while we appreciate that there may be periodic closures or pauses on a month -on-month basis , which are natural , the overall trend continues to remain strong , and as I see it, there is clearly growing investor interest in systematic in vesting.

Shreya Shivani: Got it , sir. This is very useful. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of R onak Chhe da from A wriga Capital. Please go ahead.

Ronak Chheda: Yes. Thanks for the opportunity. Con grats on the result in such a tough quarter. My question is on the cash balances . Previously when we had spoken to you guys, you had mentioned that we might be looking at using some of this cash to become an anchor investor in our efforts to build the alte rnative side of the business. Just wanted to know where are we in that journey? Can you elaborate? Is there something in the near offering?

Navneet Munot: I can answer on the alternate side, but on the cash balance do you want to highlight anything o n that?

Naozad Sirwalla: So, again, just to cover the cash balance, we have always made a priority to return value to our stakeholders, right. So, this year our payout ratio is 78%. And in fact, if you look at our sort of realized operating post tax profit, given that we have a mark -to-market on other income , we have practically distributed the entire realized post-tax profit this year as dividends. That 's on the cash flow status . Skin in the game from a SEBI perspective, we continue to have to invest in our own schemes based on the SEBI formula. So, that continues. And on the AI F front, we have mentioned in the past. Navneet will add, but we have committed significant capital to seeding our Fund of Funds which was our first initiative on the alternate platfor m. We are going to soon launch the credit fund and where again the balance sheet of the AMC will be a significant investor and maybe Navneet to add .

Navneet Munot: Yes, sure. So, you have already mentioned , Naozad , that the alter

native platform
continues to gain moment um. As we mentioned, we closed our first Cat II AIF Fund of Funds. The portfolio construction has been progressing very well. As we mentioned earlier, we got over 400 investors and we believe that over the next couple of quarters we would hav e more offerings within the alternative space. We have got approval to launch a category -II credit fund. So , we are expanding our presence in Alternate space with the launch of HDFC AMC Credit Opportunities Fund. The team has been in place for over a year and we would be approaching investors and our distributors for that product . On the wholly -owned subsidiary side, HDFC AMC International (IFSC) Limited , we went live with three funds in the third quarter of FY '25 and has s een a g ood response. It is positioned to enable international investors to tap into India 's growth story and we are also gearing up to empower Indian investors to explore global opportunities as we build out these capabilities. So , we remain committed to seizing any emerging opportu nities to drive growth and strengthen our competitive edge . And as you ask that, yes, over a period of time, this will be a good deployment of our capital.

Ronak Chheda: Sir, would it be possible for you to quantify the amount of money we are planning to use from our own balance sheet for the next near-term funds which we're going to launch ?

Navneet Munot: Last time in the fund of fund whatever we got, we put 10% from our balance sheet as skin in the game . In our Credit Opportunities Fund , we will do the sa me. And over a period of time, as we come with more offerings, we would have an opportunity to deploy capital there. Just to make one more point on that . While you mentioned about the capital going into alternate or the GIFT C ity opportunity, but I mentioned earlier also that with a healthy cash position, we are well placed to take advantage of strategic opportunities. We also remain proactive and evaluating any M&A opportunity that can accelerate growth or strengthen our presence in the relevant seg ments. So, it gives us a lot of strategic advantage.

Moderator: The next question is from the line of Bhav in Pande from Athena Investments. Please go ahead.

Bhavin Pande: Hi, good evening, everybody. Thanks for the opportunity. The first question is we can see that on the equity AUM distribution m ix direct specifically has seen an

uptick. So, in your opinion, how do we look at it from a long-term horizon?
Navneet Munot: Your question is the direct channel percentage of total AUM is increasing, right?
Bhavin Pande: Yes, sir.
Navneet Munot: One that because of the lower T ER automatically you would assume that direct as a percentage would keep increasing because you have a lower TER as simple as that. The distribution pie data provided should not be viewed as a direct representation of market share within specific channel . In last like one year or so , the direct channel has seen a notable increase ; it's grown from 25 % to 27.8%. This is driven by fintech platforms plus R IAs and of course large family offices and high networ th individuals who invest with A MCs directly . Additionally , we have to keep in mind that with everything else being same, the share of direct plan will

keep on increasing by default that I mentioned earlier due to the differential of TER between the direct and regular plan.
Bhavin Pande: Okay. And on the market share side, does a flow market share continue to be higher than the stock market share, both in lump sum as well as SIP?
Navneet Munot: Yes.
Bhavin Pande: And for fund performance, how do we sort of look at it ?
Navneet Munot: No, I think it 's been now very encouraging, and I think we have navigated the market cycle very well. We have seen significan

t volatility over the last couple of months and I think portfolios were positioned rightly . Some of the funds which went quite cautious , I can take the names of let 's say our mid cap fund or a small cap fund where we clearly noticed froth in pockets of market. I think the fund managers took the right call and in last couple of months we have seen significant uptick in our performance in those funds and across the board I think we feel very proud of the performance that our investment team has delivered.
Bhavin Pande: Okay. And indicatively so far , the SIP trends c ontinue to be at par with what we saw over the last year four months, or the y are tad higher given the recovery in markets ?
Simal Kanuga : You're talking about April. I think we would want to pass that. As of now, we don't want to comment on any data to do with April.
Bhavin Pande: Okay, oka y. That helps. Thanks a lot , and good luck to you.
Navneet Munot: Thank you.
Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citigroup. Please go ahead.

Dipanjan Ghosh: First question, on the SIP number and if I see your SIP ticket size on a March exit basis, it seems that it has gone down by around 10 %, 12% on a Y oY basis. While I understand that the industry numbers have also kind of been a little soft on the SIP ticket size, but it seems that for you the decline has been a little bit more and also your SIP market share also over the last two quarters have been a little soft. So, I just want to get some idea of why is this differential in ticket size trajectory between you and the in dustry ? That would be the first question. My second question is a follow up on one of the previous participant 's question in terms of the yield number . Normally seasonally always in the fourth quarter historically we have also seen some adjustments that happen. So, first is, has there b een any adjustment in this quarter or the entire 0.9 bps of decline can be entirely attributed to the mix change out there ? And the last question is on the OPEX part. I mean, ex of ESOP or even including ESOP for that matter the expense guidance of 10 % to 15%, does that hold true going ahead?
Navneet Munot: Sure. Dipanjan, first on the systematic number, and I must clarify, as you are aware, systematic transactions numbers that we report include both SIP and STP that is Systematic Investment Plan and Systematic Transfer Plan . The decline that you have seen in our systematic transactions can largely be attributed to STP and you would know that STP s are higher in value terms and hence you are seeing that effect.
Naozad Sirwalla: On the yields where are y ou seeing the decline?
Dipanjan Ghosh: I'm just taking your operational revenue, which is like let 's say 9 billion almost for the quarter … on your operating revenue, only the operational yields, not the operating margins.
Simal Kanuga : So, basically if you look at yield, it was 47.1 in the last quarter , 47.2 in this quarter.

Naozad Sirwalla: It's also a number of days issue , Q3 had 92 days. Q4 ha d 90 days. That itself is an impact plus AUM has been overall lower than last quarter , that has an impact on yields.

Dipanjan Ghosh: Okay. T he revenue decline I understand is a function of less number of days but average AUM is let 's say whatever you have reported some around 7,740 billion and your revenues are around 9 billion. So, if you kind of do a simple math on that and annualize it, I think the number comes out to be around 46.3. But anyway, I'll maybe take it offline , if that 's fine.
Dipanjan Ghosh: Operating expense as an overall expense , the guidance of 10 % to 15%, does that still hold with the new ESOP plans being rolled out or kind of going for shareholder approval?
Naozad Sirwalla: ESOP bi t, cu

rrently it 's too premature to comment on the cost of assets because the specific quantum of allocation of ESOP /PSUs, timing of issu ance will all be determined by NRC in due course. First thing is that we would like to highlight that this will be a one -time non -cash cost , right . The way it works in accounting is based on the Black -Scholes valuation, you amortize that cost over the vesting period, and it does not impact the company 's cash flow .
Dipanjan Ghosh: But ex of ESOP, how should one think of the growth in expense if let 's say the next year continues to be a little bit soft on incremental volumes?
Naozad Sirwalla: We don 't give specific forward -looking guidance, but you 've known us to be always prudent when it comes to spending, right and then in the way we think about cost. Having said that, we are very keen and want to capitalize on our opportunities that strengthen our positi on, right , and broaden our capabilities. So, our focus will remain on building a leading future ready asset management company . And in that regard, if we have to continue to invest for the future , we will. The past trend of growth in expenses of employee costs as well as other expenses available . With the C AGR over three years, five years you have the numbers, they are fairly, very much in control. Our total expense as a percentage of AUM is about 10 basis points for FY25. This is aided by obviously the ra pid rise in AUM and despite increase in number of people and 50 branches over the last 15 months and investments in technology , etc., we have managed to keep the

cost at 10 basis points. I would just like to add a note of caution here that the 10 basis poi nts is not what one would like to build future estimates on, because if and when during a period when if AUM growth moderates, this number might look different.
Dipanjan Ghosh: Got it. Thank you, sir and all the best.
Simal Kanuga : But then just before jus t one thing, the point on the ESOP that you are referring to as of now, it is just taking an approval, it is after the NRC will decide , then allocations will happen , and after that they will come. So, of course at that point in time we will give all the details.
Moderator: Thank you. The next question is from the line of Melvin Mehta from Sterling Investments. Please go ahead.
Melvin Mehta: A quick question on asset management company having investment in the funds. Just to clarify, is it only at the star t of that fund formation or is that continuing as the fund grows larger and bigger?
Simal Kanuga : No, actually in vestments in our funds is regulatory. So, basically there is skin in the game circular whereby depending on the risk of the particular asset cl ass, there is a certain basis points of AUM that we need to keep investing. So, more capital we are able to raise , our investment in that fund keeps going up.
Melvin Mehta: Can that be kind of shared with an external agency or it 's absolutely necessary for us to fund that?
Navneet Munot: No, as it is skin in the game, so we have to put in our own money, our own balance sheet capital.
Melvin Mehta: It has to be from the balance sheet ?
Simal Kanuga : It is. It is a regulation.

Melvin Mehta: Yes. And is it 10% for all firms , is it 5%? I 'm sorry, I 'm a bit ignorant.

Navneet Munot: 10% was for alternative investment fund of fund s that we launched and the private credit fund that we are about to launch. This is a different thing. This is in our mutual fund business where there is a SEBI circular on skin in the game depending on the profile of an asset class, there 's a certain basis point of AUM that we have to invest from the AMCs balance sheet.
Melvin Mehta: Got you. And is this a recent announcement?
Naozad Sirwal la: Sometime back. Just to clarify , the

investment in AIF is voluntary from our balance sheet, th ere is a minimum criterion that SEBI is prescribing, we are of course investing way above that criteria.
Melvin Mehta: Sure. Thank you very much. And given the kind of strong H DFC brand which needs no introduction at least in the Indian context, is raising more foreign money to invest in India a priority or clearly the management is focusing on the domestic market ?
Navneet Munot: You are asking investing globall y by domestic investors ?
Melvin Mehta: That was my second connected question. So, then I 'm asking two questions here . One is HDFC's brand basically given the domestic market but also raising money from abroad to invest in the domestic market? And part-B wa s obviously given the HDF C's brand in the domestic market , to basically launch global funds, which will be obviously where the investors will be the domestic Indian investors ?
Navneet Munot: You're absolutely right. So, with that intent, we set up a wholly -owned subsidiary , HDFC AMC I nternational (IFSC) Limited . As mentioned earlier , that we have gone live with three funds in the third quarter of FY25. We would be coming out with more number of funds in the months to come and it is positioned for both ; one to enable global investors to tap into Indian markets and second, over a period

of time also to empower Indian investors to invest globally and then we are building out capabilities to enable both.
Melvin Mehta: Okay. Thank you for that.
Navneet Munot: Thank you.
Moderator: Thank you. The next question is from the line of Pra yesh Ja in from Motilal Oswal Financial Services Limited. Please go ahead.
Prayesh Jain : Yes. Hi. Good evening , everyone. Firstly , on the SIP closures, while you alluded to the fact that it's not an alarming sign yet, but any behavioral difference between online platforms and the advi ce or the mutual fund distributor route ? What we are hearing is the closures are more on the direct side rather than the advice side . Could you give some col or there as to what 's the trend there?
Navneet Munot: Year -on-year i f you look at there has been a significant increase in the monthly SIP to 26,000 crores. And in terms of accounts I gave you the number earlier . I mean over the last couple of months , as of now , I mean looking at the investor behavior gives us confidence that investors are a lot more resilient , they are showing more maturity, more confidence in the long-term potential of markets and industry continues to put huge efforts to ensure that inve stors invest in a disciplined manner. Are there big differences among different channels? Not that I can honestly comment more on that. A lot of investors have come in the last couple of years and it is a good test , that is the volatility of last few month s and we are encouraged to see the response of the way investors have behaved in the last few months.
Prayesh Jain: Any trends that you can see on the debt side where the interest rate c uts, the duration, the longer duration or pick up in any of that category?
Navneet Munot: This is the first year where we have seen positive flows both in debt fund as well as liquid fund net flows trending positive . Despite that, I would say debt mutual

funds haven 't quite caught on with retail investors. The industry is still working very hard to change that and in AMFI we started a campaign "Debt Funds Sahi Hain ' around a year back or so. That was a good step aiming to raise more awareness, especially around how debt products can support long term goals like retiremen t planning. We believe that serve s as a strategic tool in managing market volatility helps investors optimize for stability and overall returns while balancing risk. We have seen an encouraging trend. Those who have st

ayed invested over the
long term have benefited and corporates continue to use the short -term debt
products for liquidity management and we have seen flows in this year. So, I
remain optimistic and hopeful for a favorable change in the debt fund taxation , that
along with sustained awareness ef forts will help unlock the full potential of India 's
debt market.
Prayesh Jain: Is there institutional money kind of coming to the longer duration? Is there some
initial trend where people have started looking at debt mutual funds or hybrid with
a higher proportion of debt? Any of those trends are visible right now?
Navneet Munot: So, in India, when we say institutions, that 's largely corporate treasuries . I think
their investments would more be at the shorter end of the curve. Individual
investors have sh own interest in long term bond product s like our long -term bond
fund has seen healthy flows in last year or two. We have seen that trend from
individual investors, but otherwise corporate treasuries are largely at the short end.
Prayesh Jain: Okay. The las t question is on th e other income . We have seen a sequential
improvement there. I believe the equity markets were flattish on a NIFTY basis
and small cap , mid-caps were down. What kind of explains this increase in other
income sequentially?
Naozad Sirwalla: So, it is a function of our balance sheet. A lot of the investments are also in debt
mutual funds of our own, right , and there were a couple of rate cuts. So, we had
some benefit of that.
Prayesh Jain: Right. Got that, got that. Thank you.

Modera tor: Thank you. The next question is from the line of Krishna Manot ra from N J India
Investments. Please go ahead.
Krishna Manotra : I just had one question. There is currently a bu zz going around in the market
regarding thematic and sectoral fund space. So, like most of them have not
performed in the past six months and the data I have is we have higher yields in
the thematic and sectoral fund compared to the mid cap and small cap funds. So,
going forward, if we consider that lower inflows into those funds , so can we
consider the equity yields slowing down further from here?
Navneet Munot: No, overall that 's still a very small part of our overall product portfolio and also in
line with the views of our invest ment team and the product team we have launched
couple of products in the last few years. But that that still are not a meaningful part
of our overall equity portfolio.
Krishna Manotra: Thank you.
Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama
Wealth. Please go ahe ad.
Madhukar Ladha: Good evening. Thank you for taking my question. Just coming back on the SIP
discontinuance s, I know that the overall flow number has been very resilient and
it seems to suggest obviously something has structurally changed or at least lo oks
like. But there is a little bit of worry in the sense that we continue to see higher SIP
stoppages versus the new creation. And if this sustains, then should we be actually
worried that at some point of time this will flow through in the S IP flow numbe r,
is that the correct way to think about it or are we missing anything here ? Secondly ,
I think there was also this narrative around AMFI cleaning up this number because
some of the direct platforms or online platforms continue d to show SIPs which
were not getting triggered, or which were not getting paid also in that number . So,
has that played out ? Some sense on these two things will be helpful . Thanks.

Navneet Munot: So, Madhukar , the SIP ceased counts have grown over the earlier baseline in the
four-month period from December '24 to March '25. But I mentioned earlier, the
one number that everybody should track is that over the peak collections in

December , gross SIP collections are down just about 2% from December '24. And
December '24 wa s a peak and it 's down 2% in March '25. A large number of these
seized SIP or the SIP closed are part of a super set which had missed more than
three installments. Now , the real paying SIP is that number, that column that has
got added and I think you are referring to that number and then on the AMFI
website, the real paying SIPs have not suffered too much because of any negative
investor sentiment. And again, I would re peat that despite the sharp fall in the
market, monthly SIP collections holding to within 98% of the peak number is a
strong testimony to the investor sentiment and collective effort that the industry

has made. And honestly, I mean two years back had you a sked me to project the SIP number, nobody would have projected the number where we are today. And a year back when we were at 19,000, I mean , few people would have projected that we would be at 26,000 given what has happened in the market in the last six months. So, we feel very encouraged.
Madhukar Ladha: Yes, that is bang on. So, that is completely true and I agree with you completely. So, just one follow up. So, is this clean up sort of done ? You said more than three months if people have not paid that n umber they 've removed that it seems . So, are we largely done with that or this can have like maybe a couple of more months of time?
Navneet Munot: Because there 's been so much noise around it . The way you should see is one that the amount that has been col lected is what reflects in that 26,000 odd crore s of the gross flow. That 's an important number. And the second important number is the people who have credited that amount in the month. So, both these numbers are very relevant and gives you a true reflect ion of what 's happening on the S IP front.
Simal Kanuga : Actually , there is a number published of contributing SIPs on AMFI website . So, you can just go ahead and look at that .

Navneet Munot: That number w ere contributed in this month.
Madhukar Ladha: Yes, that is also quite very robust. So, there 's no problem with that. Ye s. Got it. We had done the distributor payout rationalization. I just did some back -of-the-envelope calculation and if we were to account for the 9 0 and 92 days in the quarter , then it see ms that the equity yields are holding up or are slightly better on a QoQ basis. Would that be a fair assessment?
Naozad Sirwalla: More or less in the same ZIP code on the equities and little bit on the third basis point maybe. But ye s, what we mentioned around was 58 basis points.
Madhukar Ladha: Okay. Got it. Thank you. Thank you.
Moderator: Thank you. The next question is from the line of Anki t Bihani from Nomura. Please go ahead.
Ankit Bihani : Yes, hi, good evening. We have seen the flows from N FOs into equity schemes. The industry declined sharply over the past 2 -3 months, though NFO flows have been quite strong in FY25, accounting for around about 15 % to 20% of the overall equity flows. So, what is your take on NFO flows going forw ard and its impact on overall flows into the equity schemes or should we see some slowdown there?
Navneet Munot: We have seen some cycles. I think we see some quarters where NFO s contribute larger part to the overall flows, there are quarters when they are low. At our end, I think we believe our product suite is very comprehensive and we cover a wide spectrum of investor needs across all categories. But for industry overall, I think fund houses who don 't have a product in certain categor ies, they would continue to launch, but ye s, I mean, as I mentioned, those flows are little , if I can use the word .
Ankit Bihani: Okay. Yes, that 's it. Thank you.

Moderator: Thank you. The next question is from the line of Abhijeet Sak hare from Kotak Securities. Please go ahead.
Abhijeet Sakhare: Hi. Good evening, everyone. My question was on the STP plus SIP number that you disclosed. So, the industry number as you were saying is almost flat on a quarter -to-quarter basis versus the decline that we have seen. But adjusting for the STP issue, would it be fair to say that it 's kind of mirroring the broader industry trend itself?
Navneet Munot: Yes. So, I told you that the industry 's SIP number for December was 26,500 or something and March was 25,900. So, this was a decline o f 2% , our declined during the same period was less than 2%. But the fa ll that you are seeing in our systematic number is on account of impact on STP, the Systematic Transfer Plan .
Abhijeet Sakhare: Got it. That was the only question I had. Thank you.
Moderator: Thank you. The next question is from the line of Gaurav Sharma from HSBC. Please go ahead.
Gaurav Sharma : Yes. Thank you for taking m y question . Sir, again h arping on this SIP. So, while we understand that the gross inflows have been st eady for you as well as the industry . Just wanted to understand whether segmentally is there any change like those have been moving towards the flexi cap and large cap mo re from the mid cap

or small cap in the last six months , if you can provide some c olor around t hat? And the second one is related to this specialized investment funds . Any timelines or any further communication you have received from the regulator when we can expect the launch of these funds ? These are my two questions.

Navneet Munot: So, first on the SIP flows, I mean, in a very short period of time, investors may not switch from one category of fund to another fund. Incremental flows have a tendency to see a trend depending on how the markets have been and how the investors views have bee n. And as I mentioned earlier, again at our end, the systematic number that we report are both SIP and STP and there 's some bit of fall

on the STP side. S IPs are like higher in value . So, you see that effect depending on the market .

On the SIF side, see , the purpose of introducing SIF was to offer investors who are leaning towards unregulated or unregistered products , regulated alternative with mutual funds who are very well governed and our transparency levels, our risk management, our overall governance is very different. So , to provide a very secure framework under the regulatory umbrella , that was the genesis behind coming out with the whole S IF regulation as SEBI chair had mentioned earlier . With the regulatory framework now in place, we are actively e valuating potential opportunities in this space. So, the team is working on creating the right set of products that leverage our investment capability , our risk management and product capability on one side and the evolving investor needs on the other side . So, I mean, just like any other thing, whether be it active funds, be it passive funds, be it alternatives, PMS, we want to be a one stop shop offering a wide range of savings and investment products . The strength comes from a combination of factors ; large and well diversified investor base on one side and the deep investment risk management and product capability on the other side.

Gaurav Sharma: Understood, sir. Those are my only questions. Thank you , sir.

Moderator: Thank you. The next question is from the line of Mohit Mangal from Centrum Broking Limited. Please go ahead.

Mohit Mangal : Yes. Thanks for the opportunity and congratulations on a good set of numbers. My first question is on the tax rate. So, I think this quarter we had around 23 .5%. I mean, if I look at the full year, it 's good ; 25% and for maybe 2 -3 years , should we assume the tax rate to be 25% ? And the reason why I 'm asking is that because in Financial Year ‘24 we just had ar

ound 21 .5% tax rate . So, how should we see that going forward?

Naozad Sirwalla: So, this year the tax rate is higher than last year simply because the capital gains rate was increased in the budget. We obviously create deferred tax liabilities on

our mark -to-market gain. So, that’s the reason for the tax rate . So, now our tax is very close to corporate effective tax rate.

Mohit Mangal: Right. So, going forward also I think we should assume that this would be kind of maintained ?

Naozad Sirwalla: Typically , don’t give guidance going forward.

Mohit Mangal: Unders tood. Next is in terms of the number of branches, I think we opened around 26 branches this year. So, going forward, do you think you will increase number of branches, or you will keep it constant , any kind of color on that?

Navneet Munot: On the network expansion side, you rightly noticed, I mean , we have opened around 50 -odd branches in last 15 months or so. We keep evaluating our physical presence across the country. We also keep investing in our digital capability and keep taking a view. This is also driven by looking at the different geographical spread where our presence is and where the potential for the business is. But I must add, I might have mentioned in earlier call that we approach branch of openings very thoughtfully. So, one in focusing on building business in a city or town through branches in neighboring areas, and a decision to open a new branch is made only after achieving a desired AUM, and they generally break even in a time.

Mohit Mangal: Understood. Thanks , and wish you all the best.

Moderator: Thank you. The next follow up question is from the line of Melvin Mehta from Sterling Investments. Please go ahead.

Melvin Mehta: Thank you very much for allowing me in the second round. Probably this is for Navneet. Half the question is actually an AM FI question and half as you as a leader

of HDFC . In terms of these direct plans , as you rightly said kind of having a take
up. How do you see the MFD market evolving in the year or two period and a little
bit of a longer -term period ? Do you think the automatic route would then the

natural expectation is to be that the RI As will take up ? Do you think India is a
market where MFDs would be basically around for a longer time?
Navneet Munot: India is a market where I think all of these channels wil l flourish and I think
whether it 's MFDs who have worked very hard over the last several decades .
Industry used to be substantially smaller than the size we are seeing now and I
think to all of those hundreds of thousands of distributors who work very hard in
bringing the industry to where it is currently across the length and breadth of the
country. There are national distributors, the platforms who have a large base of
sub-brokers or distributors who work very hard, banks who sell through their
branches and relationship managers across the country , the fintech channel which
has done wonderfully well over the last couple of years in terms of bringing new
investors, particularly through the SIP route in the last couple of years and then of
course the regist ered investment advisors, while their numbers haven 't grown, but
as an industry, they also continue to work with the regulator and all of us to have
increase and their reach over a period of time . And there is room for all of them to
grow and over the next several years, as penetration increases in India, all of these
channels have a role to play.
Melvin Mehta: Thank you, Navneet . And are you expecting the RIAs which are more regulated at
the moment, and M FDs which are very, very light regulated , are you ex pecting the
MFDs to be regulated slightly more than where they are currently and RIA to
slightly be reduced in terms of their compliance requ

irements ?
Navneet Munot: That's not the right way to put it. I think M FDs are also I would say well regulated
in terms of like adhering to the code of conduct and all the other business practices
which are guided by AMFI and of course asset managers who deal with the mutual
fund distributors, all of us are deeply focused that we have right set of practices in
the indus try. And RIA as I mentioned earlier that are smaller in number currently .
But given the needs of investors over a period of time and with some of the recent
changes in the regulation, I see tremendous hope for them to grow as well.

Melvin Mehta: Yes. Because only recently in my India trip, Navneet, I got a call from two
insurance agents. I just feel that the insurance agents are very, very lightly
regulated compared to our industry.
Navneet Munot: I mean, it won 't be fair on my part to comment on some other industry.
Melvin Mehta: Yes. But given that most people in this world are not kind of natural investors and
there is an element of sales required which I think the insurance industry does very
well and dare I say even sell strong ULIP products wherea s our industry seems to
be regulated in very harsh terms.
Navneet Munot: No, I mean we have always mentioned as an industry that greater level of
transparency, better disclosures, better management, better customer centricity is
always good. Ultimately , we are managing somebody else 's money and trust is
central to everything that we do and that applies to the entire ecosystem, whether
it's asset managers or our distributors or our advisors or everybody else in the
ecosystem . For us, I mean, trust is central to the way we see growing this industry.
Melvin Mehta: Thank you very much.
Navneet Munot: Thank you.
Moderator: Thank you. That was the last question. I would now like to hand this call over to
Mr. Navneet Munot for closing comments.
Navneet Munot: Thank you so much.
Moderator: Thank you. On behalf of HDFC Asset Management Company Limited, that
concludes this conference. Thank you for joining us and you may now disconnect
your line s.

Call: Jul 2025

HDFC Asset Management Company Limited
CIN: L65991MH1999PLC123027
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Ref/No/HDFCAMC/SE/202 5-26/33 Date – July 22, 2025
National Stock Exchange of India Limited
Exchange Plaza, Plot C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400051.

Kind Attn: Head – Listing Department BSE Limited
Sir PJ Towers,
Dalal Street,
Mumbai – 400001.

Kind Attn: Sr. General Manager – DCS Listing
Department

Dear Sir/Madam ,

Sub: Transcript of Earnings Call
Please find enclosed herewith transcript of Earnings Call for the quarter ended June 30, 2025 , conducted after the meeting of the Board of Directors on July 17, 2025 which can also be accessed on the website of the Company at: https://www.hdfcfund.com/about -us/financial- information/shareholder- presentation

Kindly take the same on records.

Thanking you,

Yours faithfully,
For HDFC Asset Manag ement Company Limited

Sonali Chandak
Company Secretary
Encl: a/a

“HDFC Asset Management Company Limited
Q1 FY '26 Earnings Conference Call”
July 17, 202 5

MANAGEMENT : MR. NAVNEET MUNOT – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

Moderator : Ladies and gentlemen, good day, and welcome to Q1 FY '26 Earnings Conference Call of HDFC Asset Management Company Limited. From the management team, we have with us Mr. Navneet Munot, Mr. Naozad Sirwalla and Mr. Simal Kanuga. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the present ation concludes.
Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Simal Kanuga, who will give us a brief following which, we will proceed with the Q&A session. Thank you, and over to you, Simal.
Simal Kanuga : Thank you so much. Good evening, everyone, and we hope that you had a chance to go through our presentation. Brief update on t he industry. So , the AUM stood at INR74.4 trillion as of June 2025, reflecting a 22% Y -o-Y increase. Equity -oriented AUM crossed INR 43 trillion, u p 21% over the same period.
During the quarter, equity -oriented funds witnessed net inflows of INR911 billio n. A quick recap here , first quarter of last financial year had net new flows of INR1,281 billion. And for the full financial year, number was INR5,544 billion. Almost all equity categories recorded net inflows during the quarter.
In fact, this was the 52 nd consecutive month of positive net flows for actively managed equity -oriented funds. Based on the overall improved liquidity in the system, debt and liquid funds recorded net inflows of INR1.34 trillion and INR609 billion, respectively. Inflows in arbitrage funds added up to INR431 billion and ETF s attracted INR264 billion.
SIP flows remained strong with monthly contributions reaching INR273 billion in June of 2025. The number of contributing accounts grew to INR86.5 million, compared to INR67 million a year ago. SIP AUM crossed INR15 trillion, and now accounts for 37% of the actively managed equity -oriented AUM.

NFO during the quarter mobilized INR65 billion across categories. The number of individual folios i ncreased to 240 million , 26% year -on-year growth.
Now we move to us. Our closing AUM crossed INR8.5 trillion with an overall market share of 11.5% and a Y -o-Y growth of 21%. Excluding E TF, our market share was 12.8%.
Actively managed equity -oriented assets grew by 19% year -on-year and crossed INR5 trillion with a market share of 12.8%. On the fixed income side, debt and liquid AUM grew by 22% and 17% Y -o-Y, respectively, with market share of 13.3% and 12.6%.
Our quart erly average AUM mix remained steady with equity -oriented assets accounting for 64.2%. We added 0.5 million unique customers during the quarter, 500,000, while the industry added 1 million. As a result, our unique investor penetration now accounts for 25% of mutual fund investors in the country. Our systematic book crossed INR40 billion in month of June. The comparable number for June 2024 was INR32 billion. AUM under SIPs crossed INR2 trillion during the quarter.
Our share of individual equity monthly average AUM for June 2025, stood at 13.1%, reinforcing our position as one of the most preferred choice amongst individual investors.
Now to financials. Our revenue from operations grew by 25% year -on-year to be at I NR9,678 million. Other income grew by 34% year -on-year, aided by mark -to-market on both equity and debt.

Total cost for this quarter was INR2,144 million as against INR1,959 million
in Q1 of last year. Operating profit for the year grew by 30% year -on-year with
a stable operating profit margin of 36 basis points of AUM. Our profit after tax
grew to INR7,480 million, a growth of 24% year -on-year.
Thank

you so much. Navneet, Naozad and I are here to take questions from
here on. Ne erav, we can start building the question queue, please.
Mod erator : Thank you very much. The first question is from Shreya Shivani from CLS A
India. Please go ahead.

Shreya Shivani : I have three questions for you. My first question is on the yields for the quarter.
Can you share the indicative yields across equity , debt, liquid ETF segments?
And also , a commentary on why there has been a yield expansion in this quarter
versus the previous quarter on Q -o-Q basis, why has there been an expansion?
My second question is on the ESOP and the PSU plan that you announced in
June and there was one announced today also, but that was a much smaller one.
Can you help us understand what will be the cost implication of that entire
plan, how will it be split over the next 3, 4 years? And how shoul d we build
our expenses going ahead?
And my third question is on the new asset class. Where are we in terms of
setting up the team, launching of the product, etcetera? Any update on that will
be useful. Thank you so much.
Naozad Sirwalla : I'll start with the yield s. So, the equity yields for the quarter broadly in line
with the previous quarter, about 58, 59 basis points for equity, debt is between
27 and 28 basis points and liquid between 12 and 13. I think on an overall
blended basis, we are at 46 basis points for the quarter, which is almost in line
with what we have been having for the last couple of quarters. So , it's pretty
much in line, actually not really any material expansion, I would say.
Shreya Shivani: Somehow, it seems like, okay -- I'll get back, I'l l check this offline. But it seems
like there's a big expansion, more than 1 bp expansion in the quarter is what I
feel, as per my numbers.
Simal Kanuga: No, I think we can take it offline Shivani.
Shreya Shivani: Yes, yes. Sure, sure. Yes, let's move to t he next question.
Naozad Sirwalla : On the questions on ESOPs and PSUs, maybe a bit of background. So , in 2020,
we had obtained shareholder approval for around 32 lakh shares, of which we
had issued 23 lakh shares at various points in time. That scheme provided for
equal vesting over 3 years. So , we have done away with that scheme and the
balance, 8.7 lakh shares, which were not issued than have been cancelled.
So, looking at the dynamics and the long -term orientation of the organization,
we came out with a new scheme for ESOP and perform ance stock units, which
have a vesting of 4 years. The new scheme has a back -end vesting of 10%,

20%, 30% and 40% for stock opt ions over the first, second, third and fourth
year. Similarly , for vesting of PSUs, it is vesting 30% in the third year and 70%
in the fourth period.
The NRC, in their meeting on June 20, 2025 had issued 10 -odd lakhs ESOP
and 2.28 lakhs performing stock un its. PSUs are not issued to Navneet and his
direct reports who have been designated as HOD. And furthermore, PSUs are
linked with performance parameters. So , our estimates as per Black Scholes
suggests that the noncash ESOP /PSU related expense would be between
INR205 crores to INR210 crores over the vesting period.
This, of course, is an estimate based on assumptions around attrition rates,
volatility and other relevant inputs. So , the scheme would broadly result in a
noncash charge of about INR56 crores in FY '26, around INR63 crores in FY
'27, INR51 -odd crores in FY '28, INR32 crores in FY '29 and about INR6 -odd
crores in FY '30. These are again broad estimates as we speak today. There is
also a stub of the residual cost of the previous ESOPs scheme . That's around
INR14 crores, INR11 crores of which is for FY '26 and INR3 crores in FY '27.

Again, I would like to end it by stating that over the last

5 years, we have
recognized around INR180 crores as ESOP related expenses in our P&L. And as you know, we continue to manage our overall costs and have also not shied away from invest ing in our business, hiring people, expanding branch network, establish new verticals, as well as improving our digital infrastructure, etcetera.
Simal Kanuga : Navneet, would you want to add on the ESOP , overall thought process?
Navneet Munot: Sure, sure. While Naozad has explained it in detail. I will just add that the HDFC Group has consistently championed employee ownership across its companies. At HDFC AMC, we have no doubt that our people are central to delivering consistent, sustainable long -term value to our client s and shareholders.
So, aligning employee interest with those of shareholders, clients and other stakeholders is fundamental to group's way of thinking. This reinforces our ethos while also responding to the evolving expectations of talent and the changing dynamics of industry. So, I view this not as a cost, but as a long -term investment in building and retaining high -quality talent.

Also, I would like to add 1 thing that under the new plan, ESOPs and PSU put together have been granted to over 800 people. That is 50% of our workf orce across levels. So , we are broadening ownership and deepening alignment.
While the accounting charge is noncash in nature that Naozad has explained.
So, for FY '26 if I assume an average AUM of let's say INR8.5 trillion. The estimated impact is well be low 1 basis point of AUM or to be exact about 0.8 basis points.
Navneet Munot: The third question was on SIF.
Simal K anuga : Shreya, does this close your question on ESOP?
Shreya Shivani: Yes, it does. Just the last ques tion on SIF.
Navneet Munot: Sure. So , on SIF, we have secured the necessary approval from SEBI to set up a Specialized Investment Fund and that opens up an avenue for us to launch this product. Our ability to launch and scale new offerings rest on the strong foundation we have built, a large and diversified investor base and distribution network that enables quick and efficient market reach . Team is currently focused on designing a thoughtful set of offerings within that, that aligns wit h our investment strength and risk management capabilities, reflect distributor and investors' feedback and offers a balanced risk reward proposition to everyone.
So, I think I might have mentioned this earlier that our broader vision is very clear to serv e as a comprehensive investment platform offering solutions across mutual funds , which includes both active and passive, portfolio management services and differentiated alternative strategies, which can meet the needs of a wide range of investors an d a wide range of our partners.
Shreya Shivani: Got it. And sir, just to follow -up on that. Is the hiring done for this team?
Navneet Munot: We keep evaluating our investment capability, risk management capability and the product capability. And I'm sure you will give us the credit given our long track record on that. I will also add one line that we don't mind not being the first, but our focus is on being the best and doing what's right for our customers and all stakeholders.
Moderator: Next question is from the line of Ranveer Singh from HB Securities.

Ranveer Singh: So, I had a question like we have around INR8,200 crores approx in our balance sheet. And when I see the notes to accounts, INR7,500 -odd crores is invested in mutual funds. So w hat kind of mutual funds are these? I'm aware that you guys have to invest a certain amount in your mutual funds. Why I'm asking this question is to understand the other income better.
Naozad Sirwalla: So, these are largely in debt mutual funds, our own sc hemes, we g

ive the
breakup of the investments in the schedule to our investor deck . Yes, Page 29
of the shareholders presentation we load on the website has the details. So, out
of investments in Mutual funds, around 10% is equity, 7.5% is arbitrage and
the balance is in liquid and debt funds.
Moderator: Next que stion is from the line of Centrum Broking.
Mohit Mangal : My first question is towards the HDFC Bank. I mean HDFC Bank's
contribution has kind of declined both in overall and equity. I know I mean in
absolute terms, it must have increased. But why percentage terms that it can't
increase from the current levels?
Simal Kanuga : The pie chart that you're looking at, right, it is basically, if other channels grow
faster as compared to a bank, you will automati cally see that pie chart shape
up in the fashion it has. So , it is not necessary that we are losing a share or
anything in HDFC Bank scheme of things.
But in terms of overall system, because of the way the fintechs are contributing
in terms of SIP flows and others, direct as a proportion of that overall pie has
been growing at a faster pace. So , it is more of a realignment rather , it's difficult
to kind of decide on increase or decrease based on what you look at in that data
point.
Mohit Mangal : Okay. But HDFC Bank sells all the products, right? There is no kind of
restriction on that.
Simal Kanuga : It is an open architecture, yes.
Mohit Mangal : All right. And secondly, I just wanted to know your outlook on debt and liquid.
Debt already had a good growth rate this quarter and even the liquid schemes
also had a great kind of a growth rate. So just wanted to understand, are we

introducing first of a ll, new products? And second basically outlook for the
entire in terms of the growth rate?
Navneet Munot: I think the RBI taking series of measures to improve the liquidity in the system.
I think the reduction in interest rates, CRR, all of that had a cumu lative impact
on debt market also becoming attractive for investors who are looking at yields
which have kind of like can be on a downward trajectory. And I think overall
favorable backdrop for the debt markets and by extension for debt mutual
funds, I thi nk all of these measures have been good for us.
We remain constructive on the outlook for debt fund s. You might have noticed
that even at AMFI, we have relaunched our campaign to promote debt fund.
And I think whenever liquidity in the system improves, th at also helps when
people have positive view on the interest rate trajectory.
Mohit Mangal : Okay. And any pipeline basically, I mean, for the launch of new products in
this category?
Navneet Munot: I think we have best -in-class product range there. I think almost all the
categories which are allowed by SEBI as per the classification are already
available. In fact, in this quarter, if I remember correctly, the flows in the debt
and liquid category put together for the mutual fund industry would be the
highest ever for the industry .
Moderator: Next question is from the line of Gaurav Jani from Prabhudas Lilladher.
Gaurav Jani: Just taking the point forward on revenue, right? So , my question was related to
the yields. So , the yields, of course, have been sort of flattish. But in spite of a
strong growth in equity sequentially and also overall yield driven by equity. So
what has led to this?
Simal Kanuga: So, Gaurav, the yields have been flattish year -on-year with a similar kind of
asset mix and increase the equity AUM, part of that can be attributed to the
rationalization exercise we undertook last year.
Gaurav Jani: Yes. So , I get that -- sequentially also are some of the funds would have sort
of breached that AUM level, right? So , I just want to understand why is there
still a flattish sort of reported yield?

Simal Kanuga : So, it's basically a mix, right, what happens in terms of new asset sales or

anything? Honestly, we would request you not to read t oo much into expansion
or anything because that is not what we've been seeing. What tends to happen
is certain other products get sold, some outgoing money would have been from
a higher yielding or something. So , mix of all of these things would have
attributed, but there is no other specified reason for margins to kind of expand
or anything. I think it has been exactly in the same line as you pointed out with
increased AUM.
Gaurav Jani: Understood, sir. Lastly, o n the other opex, right, so there's been a sequential
increase. So , can you help us understand the factors that would have led to this
and equally quantify the magnitudes please?
Naozad Sirwalla: So, your question is between March quarter and June quarter?
Gaurav Jani: Yes, correct. That's correct. I think INR75 crores -- INR72 crores to INR75
crores is going to go about -- it has increased by about INR9 crores or INR10
crores.
Naozad Sirwalla: Yes. So , some of it is the timing of the CSR expenditure actual ly, depending
on how and when we spend our CSR , that moves the number. That's largely
the material change.
Moderator: Next question is from the line of Madhukar Ladha from Nuvama Wealth.
Madhukar Ladha: Congratulations on a great set of numbers. Just I wanted some comments
around your net flow market share. See, SIP market share seems to have gone
up sequentially, and you've done well there. But if I look at closing equity
AUM, that's about 12. 8%. Are we seeing slightly higher lump sum
redemptions? So , any comments around that? And probably on an overall
basis, how are you seeing net inflow sort of market share shape up for you? So
that will be helpful.
Navneet Munot: Our market share across all channels has been pretty h ealthy. That includes the
national distributors, mutual fund distributors, fintech channel, investors who
invest directly with us, RI As so on and so forth. And we continue to get good
share both in lump sum as well as in the SIPs. The way you are computing and
we have always mentioned that the change in share that you are noticing would

be on account of flows on one side and the mark -to-market impact on other
side.
And different funds would move differently , like you would see a difference
between the way large caps would have moved compared to middle and small
caps, hybrid funds may have a different amount of equity within there. So , it's
a combinati on of many things. But if the question is on trend in the flows, yes,
I mean, we really see an encouraging trend here.
Madhukar Ladha: And on a quarter -on-quarter basis, are we maintaining our net inflow market
share?
Simal Kanuga : I think, Madhukar, we have always stated, right, we don't really necessarily
comment on our net inflow share. But I think as Navneet touched upon, I think
our overall net flow market share is higher than our book market share.
Moderator: Next question is from Prayesh Jain from Motilal Oswal.
Prayesh Jain: Just a question on yields again, could you give us a breakdown on the yields?
Is it similar to what we have seen in the previous quarter?
Naozad Sirwalla: Equity remains at 58, 59 basis points. Debt is 27, 28 basis points and liquids is
12, 13 basis points .
Prayesh Jain: Also , on the debt front, is there any flow towards the longer duration? Or are
we anticipating that? How should we think about this with interest rate cuts
happening? Do we see some traction already? Because I think the data suggests
that at least one year has started seeing some traction but the longer duration
ones would see further traction going ahead?
Navneet Munot: Credit to our fixed income team, they were highlighting more than a year back
that those

were the good interest rates for long term investo rs, and we saw
decent traction from individual investors and some of the other corporate
investors in the long -term funds. But the recent flow that I talked about in the
last quarter, they are largely at the short end.
But as an industry, all of us collect ively have been making efforts to ensure
that industry has got good product range and a good offering even on the fixed
income side and mutual fund should not only be looked at as like equity

investments by individual retail investors. We've been work ing very hard to promote fixed income also. And of course, some of the investors play fixed income through the hybrid fund.

Prayesh Jain: Okay. And on the SIF, do you need to have a separate investment team altogether or your existing team can be utilized to do those as well?

Navneet Munot: No. I think a mix of both. I think from an overall investment team perspective, we have always mentioned that we have a deep pool of investment talent at our end. And then, of course, there is a lot of risk management an d product capability that you need, which also we have.

Prayesh Jain: Got that. Thank you so much.

Moderator: Thank you. Next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Congratulations on good set of numbers. I have just two questions. Firstly, like in the previous quarter, you mentioned that we have seen some higher disclosures on the STP side of it . We just wanted to check how is the current trend over there? Like, have we seen some stoppage in the closures rate over there or not? Just some comments over there.

And secondly, like on the alternative side, we have seen some good jump -up in the overall AUM from around INR5,100 crores to around INR6,000 crores. So, what has led to that sharp increase? And what kind of yields do we make in that segment, currently?

Navneet Munot: So, first question was on SIP accounts and closures, right?

Lalit Deo: STP, sir.

Navneet Munot: STP, Systematic Transfer Plan, yes. So that relati vely is more volatile than the SIP flows. SIP flows are like very steady. People commit for much longer and a large part of the SIP book is these days, we are seeing longer and longer tenure getting committed at the beginning of the SIP , when investors sig n.

On the STP, you may sometimes have investors who are kind of like investing in one debt fund or in liquid fund and transferring money from that over a period of time to equity or hybrid funds. Was that your question?

Lalit Deo: Yes, apart from that, there were like, just on a sequential basis actually, probably due to the weakness of the markets also, there were some more closures like in the last particular quarter.

Navneet Munot: So, I mean -- so when it comes to SIP, I would like to suggest to focu s on two important data points that AMFI discloses. One is SIP contribution and two is the number of contributing accounts. AMFI has begun disclosing the number of contributing SIP accounts which provides a more meaningful view of actual investor engagemen t.

So, to give you numbers, the contributing accounts increased to INR8.6 crores in June ‘25 compared to INR6.7 crores in June ‘24. The contribution amount touches the new peak that you would have seen, INR27 ,269 crores in June ‘25, which is up from INR 21,262 crores a year earlier. So, that's a growth of INR6,000 crores.

So, while some fluctuations due to account closure or pauses are to be expected month to month, the broader trend remains intact and we continue to see growing interest from investors in overall systemic investing.

Lalit Deo: Sure, second question was on the alternative side actually.

Simal Kanuga : On the alternative side, we have two things,

right? One is basically, we did a venture capital private equity fund of fund, which we closed last year with INR1,200 -odd crores of AUM. We are currently in the raise mode when it comes to credit fund. The increase in AUM has also happened based on some of the inflows that we have seen under our non -discretionary portfolio management services accounts. In terms of yields, not very different as compared to our overall business.

Lalit Deo: Sure, sir. Thank you.

Moderator: Thank you. Next question is from the line of Divij Punjabi from Banyan Tree Advis ors. Please go ahead.
Divij Punjabi: Hi. Thanks for the opportunity. I had two questions. One was regarding the growth in the passive segment. So, we are seeing good growth over there. So, if you could talk about the factors that have led to this, and two was around our strategy on launching new funds in the year . If you can touch upon that as well.

Navneet Munot: Passives, you're talking about the overall industry growth or at our end?
Divij Punjabi: At your end.
Navneet Munot: Okay. No, I mean we have got the full product range. And I think we have been one of the oldest player s on the passive side. Our first index one got launched in 2002 and continues to remain one of the largest index funds in the country. Over the last couple of years, we have significantly expanded our product offering both on index fund as well as on the ETF side, that includes market cap-based indices, smart beta, some of the sectoral /thematic funds.
So, we've got the full product bouqu et, we've got the best -in-class content and a seamless journey for investors to participate in that. We engage with partners who have been offering passive as part of their product bouquet . So, trying to make every possible effort to en sure that we get our fair share in that space.
On the overall new product pipeline. So, our current product suite is very well diversified. And as per the classification, we are present in almost all the categories that regulator allows. Within the sector and thematic category, wherever our investment team has a strong belief in terms of the product that we should offer , where we have the investment capability and we think that at least a set of investors and distributors would have a place f or that kind of product, we continue to come out with that. Recently we did this NFO of innovation fund.
So, I think overall, our product bouquet has been pretty decent. And our endeavour is to keep gaining scale in each and every category and each an d every product within that. So, we are the market leader in a couple of categories, let's say, Balanced Advantage Fund or a Mid Cap Fund , Flexi Cap Funds, Small Cap, but our ambition is to build leadership across the board, each and every product where we are present, given the long -term track record, given the investment capability and given the reach that we have , I wan t to ensure that we have leadership in every product where we are present.
Moderator: Next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.
Dipanjan Ghosh: Hi, sir. Actually , going back to one of the participants previous question wh ere you mentioned that your flow market share across most of the channel partners

have been healthy. I think a similar question was the equity -oriented market share has broadly been stable over some time now.
And if I look at -- and one of the reasons you pointed out is obviously the differential mark -to-market and composition of schemes within the equity - oriented bucket which is fair. But if I look at across schemes, it will probably be some scheme, let's say, some of the schemes where market share has kin d of been down a little bit over the last 6, 9 months and maybe some of the cate

gories, the market share is probably a little bit up on an AUM basis.
So the question really is if you were to look at flows that you have seen over this past quarter, over the past 9 months, or maybe 12 months, have there been any sort of skew towards the categories, let's say, where your concentration within the portfolio is high, let's say, some of the categories where you are relatively more dominant or the mix of those c ategories within your portfolio is relatively high. Has there been any sort of skew and ex of that, how are you seeing the flow trend across different scheme categories, or quantifying in terms of the trajectory?
Navneet Munot: The flow trend has been pr etty healthy, Dipanjan , I mentioned there. But on the mark -to-market side, if you look at like last 1 -year, different indices would

have performed differently. And again, as I said, that within the hybrid funds depending on what the equity share you are ru nning and the impact on the mark -to-market on the fixed income side also can have some impact on the way you look at this year. But otherwise, on the flows, I can tell you that it's been encouraging.

Dipanjan Ghosh: Got it. But, Navneet, already like fair to assume that, let's say, across most of the large categories within the equity -oriented side, the flow market share has been holding up? If I were to kind of look at each individual category separately, just on a flow basis, sir?

Navneet Munot: By a nd large, yes, it's an asset class. I mean, within that, different funds, in some of the funds we will have exceptionally high share. In some of the funds, we would have slightly lower share. But if you look at equities as an asset class, would be higher, yes.

Simal Kanuga : And Dipanjan, if you are referring to holding up, definitely, yes, I think we have not seen a loss of share in any large category.

Moderator: Thank you very much. Next question is from Abhijeet from Kotak Securities. Please go ahead.

Abhijeet: Yes. Hi. Good evening, everyone. So, I have a qualitative question. So , when we look at the portfolio, we have a really large balanced fund, which has like a defensive characteristic and then sli ghtly outsized exposure towards the small and mid -cap fund.

So as a franchise, is it possible or do you kind of intend to move money around of the customers across cycles, whenever you kind of want to slow down flows in some of the smaller and mid -cap cate gories?

Generally, the distributor s take that call. But as an AMC, how do you really capture the existing relationship and be able to move that money across some of the other funds within the fund house itself?

Navneet Munot: I mean, we don't do the asset allocation on behalf of our partners or on behalf of our investors unless it's an asset allocation product. So , in Dynamic Asset Allocation, which is the Balanced Advantage Fund for us, the fund manager would do some bit of allocation within the template t hat we would have or in a multi -asset fund.

But otherwise, I mean, we express our views. Our fund managers express their views on different asset classes within that different category. So , at different points in time, the fund manager of mid - and small -cap, which is Chirag, would be expressing certain views while other fund managers may have a different view on what they think about the large -cap category or a particular sector or a particular theme, then it's completely up to the partner or the end inves tor, where they want to invest money.

We don't give, like, very aggressive calls on investors should shift money from this place to this place. We have always believed, and if you look at several of our funds which have got track record going back 20 ye ars or 25 years or even 30 years, I think our belief has been investors keeping their money for the long

run, having that strategic asset allocation has kind of , has delivered the best possible results.

Too much of that technical asset allocation and trying to react to every, I would say, market move doesn't really result in the best possible wealth creation for the investor. That is what our experience of last 25 years suggests, and this is what we keep guiding our partners and investors.

Abhijee t: Got it. And then just to follow up, like, do we have any number or do we kind of track the number of products per customer or is there a correlation between once you have a customer holding more than one or two funds, the relationship tends to be a more stickier one?

Navneet Munot: Yes. I mean, I mentioned earlier, in a different context that we would like to optimize or maximize our share within each and every category. And that includes both , getting new customers, and of course, kind of like offering other products to the existing investors.

Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to Mr. Navneet Munot for closing comments.

Navneet Munot: Sure. So , to summarize, our closing AUM crossed INR8.5 trillion. Systematic transactions, which includes both SIP, as well as STP, that stood at rupees INR40.1 billion in June, 2025. And we added 0.5 million unique investors during the quarter. I would reiterate al so our mission and vision. Our mission is to be the wealth creator for every Indian. And our vision is to be the most respected asset manager in the world. Thank you.

Moderator: Thank you very much. On behalf of HDFC Asset Management Company Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Oct 2025

HDFC Asset Management Company Limited
CIN: L65991MH1999PLC123027
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Ref/No/HDFCAMC/SE/202 5-26/54 Date – October 17 , 202 5
National Stock Exchange of India Limited
Exchange Plaza, Plot C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400051.

Kind Attn: Head – Listing Department BSE Limited
Sir PJ Towers,
Dalal Street,
Mumbai – 400001.

Kind Attn: Sr. General Manager – DCS Listing
Department

Dear Sir/Madam ,

Sub: Transcript of Earnings Call

Please find enclosed herewith transcript of Earnings Call for the quarter and half year ended September 30, 2025, conducted after the meeting of the Board of Directors on October 15, 202 5 which can also be accessed on the website of the Company at: https://www.hdfcfund.com/about -us/financial -information/shareholder -presentation

Kindly take the same on records.

Thanking you,

Yours faithfully,
For HDFC Asset Management Company Limited

Sonali Chandak
Company Secretary

Encl: a/a

“HDFC Asset Management Company Limited
Q2 FY’26 Earnings Conference Call ”

October 15 , 2025

MANAGEMENT : MR. NAVNEET MUNOT – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. NAOZAD SIRWALLA – CHIEF FINANCIAL OFFICER
MR. SIMAL KANUGA – CHIEF INVESTOR RELATIONS OFFICER

HDFC Asset Management Company Limited
October 15 , 2025

Moderator: Ladies and Gentlemen , Good Day, and Welcome to the Q2 F Y26 Earnings Conference Call of HDFC Asset Management Company Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
From the Management Team , we have with us Mr. Navneet M unot, Mr. Na ozad Sirwal la, and Mr. Sim al Kanuga.
I now hand this call over to Mr. Sim al Kanuga, who will give us a brief , following which we will proceed with the Q&A session. Thank you . And over to you, Sim al.
Simal Kanuga: Thank you very much. Good evening, everyone, and thank you very much for joining us today. We trust you have an opportunity to review our prese ntation.
We will start with industry. NIFTY 50 declined by 2.9% in July, 1.4% in August, and was up by 0.8% in September. Industry witnessed net new flows of Rs.593 billion, Rs.458 billion and Rs.439 billion respectively in equity -oriented funds.
The net n ew flows for the quarter adds up to Rs.1 ,490 billion as against Rs.911 billion in the previous quarter when NIFTY 50 delivered 8.5% positive returns.
Over the last 12 months ending September 2025, equity -oriented funds have recorded net inflows of Rs.5.1 tr illion. NIFTY 50 has delivered negative returns in the last one year. The SIP contribution continues to grow, reaching Rs.294 billion for the month of September 2025.
What is particularly noteworthy is the net addition of 6 million contributing SIP accounts in the quarter. In our view, this reflects the growing maturity and long - term orientation of Indian investors.
HDFC Asset Management Company Limited
October 15 , 2025

On the fixed income side, Debt mutual funds experienced some moderation, with quarterly inflows easing to Rs.148 billion, down from Rs.1 ,339 bill ion in quarter - ended June 2025. Liquid funds in particular witnessed outflows of Rs.219 billion as compared to net inflows of Rs.609 billion seen in the previous quarter.
There is indeed a noticeable increase in demand for gold and silver ETFs recently, with inflows amounting to Rs.208 billion in this quarter. This surge in investor interest has been reflected in AUM growth for our gold and silver ETFs as well. Our gold ETF AUM has increased significantly from Rs.102 billion to Rs.141 billion, while the s ilver ETF AUM has more than doubled from Rs.9 billion to Rs.24 billion in this quarter. During the quarter, equity -oriented NFOs collected Rs.141 billion.
Now , we move to "Us." We close d the quarter with AUM of Rs.8.7 trillion, reflecting a market share of 11.5% and 12.8% on ex -ETF basis. Actively managed equity -oriented AUM on closing basis inched up to Rs.5.4 trillion, a market share of 12.9%.
Within fixed income, debt and liquid fund market share stood at 13.3% and 11.8%, respectively. Total AUM has cros sed Rs.9 trillion mark since then.
The asset mix furthered towards equity, with equity proportion rising to 64.9% on QAAUM basis.
Systematic transaction s activity remained robust, with monthly flows in September 2025 reaching Rs.45.1 billion across over 13 million transactions. Corresponding number for systematic flows in September 2024 was Rs.36.8 billion.
We maintained our position as the preferred choice amongst individual investors, with market share of 13.1%.
HDFC Asset Management Company Limited
October 15 , 2025

During the quarter, we launched two NFOs – “HDFC Innovation Fund ” which collected Rs.24 billion and “HDFC Diversified Equity All Cap Active F oF” which collected Rs.11 billion.

Move to “Financials ” now: Revenue from operations came in at Rs.10 ,260 million, a growth

of 16% YOY. The reduction in other incomes was mainly on account of adverse mark -to-mark et changes. Total expenses were Rs.2 ,464 million and this includes non -cash charge towards ESOPs and PSUs adding up to Rs.211 million. Operating profit grew by 13% YOY to Rs.7 ,796 million , i.e., 35 basis points of AUM. Profit after tax is now at Rs.7,179 million.

We would like to highlight that the company has reassessed its income tax provision and reversed income tax provision for earlier periods amounting to Rs.468 million resulting in a lower tax rate for the current quarter. PA T without this particular reversal would have been Rs.6 ,711 million.

Lastly, the Board of Directors earlier today approved a 1 :1 bonus share issue. This is of course subject to shareholders ’ approval. Thank you very muc h for patient hearing.

Navneet, Na ozad and I are here to take questions. N eerav, if you can just start lining up questions please.

Moderator: We will now begin with the question -and-answer session. The first question is from Su crit Patil from Eye sight Fintrade. Please go ahead.

Sucrit Patil: Yes. Good evening to the HDFC team. I have a question for Mr. Navneet. I just want to understand a forward -looking question. As the industry is changing, how do you plan to stay ahead of the game -- will it be throu gh new products or any tech upgrades or deeper client engagement? What is the long -term vision for where the company is going to be heading? Thank you.

Navneet Munot : Thank you. So, over the last 25 years, we have built a significant franchise. You mention ed about the product. I think we have an absolutely best -in-class product bouquet. We have a very long -term performance track record, funds going back 5, 10, 15, 20, 25, 30 years of track record. We have presence across 280 branches, physical offices, and as wel l as absolutely best -in-class digital assets. We have partnerships with hundreds of thousands of distributors, banks, national distributors, MFDs, and of course, our presence on fintech and serving direct customers. We have like 14 million customers that w e have been serving. We see tremendous potential for growth in our industry. I think with all of this, what we have put in place over the next several years, along with the pedigree of the HDFC brand, we see tremendous growth. We continue to invest in ever ything that I have mentioned so far, having the best people across our investment, risk, product, and all other functions, continue to expand our presence. Over the last two years, we have opened 50 new offices , a large number of them are in what we call in our industry B30 towns, in the smaller towns where penetration is still low and given our pedigree, brand, and everything else , we see a lot of potential to grow there. We continue to invest in our digital assets, in our technology to create the best possible experience for our investors and distribution partners. And w e see a lot of growth apart from the mutual funds where we have been one of the dominant players. We have been investing to grow in the alternative space, in the PMS space, and of course, of fering all of this to global institutions who would like to invest in India.

Sucrit Patil : Great, thank you. So, just to close on that, just to make all this happen, I just want to understand what are the top two or three things which you are focusing righ t now, which is already in motion?

Navneet Munot : I think I answered what are the things that we have been doing, but maybe another way to put it is , it may sound very audacious, but we have put a mission for ourselves that is to be the wealth creator for every Indian. We serve 14 million investors, but we think we have a long way to go , if we have an audacious mission like that. And our vision may sound even more audacious, which is to be the most

respected asset manager in the world . And for that, I think our entire team wo uld not leave any stone unturned to ensure that we create value for each and every stakeholder, be it our people, be it our shareholders, be it our clients, be it our distribution p artners, be all our vendors, ecosystem partners, and society at large. So, maybe some of the things are getting covered in the presentation and the other things that we put it on our website, but I think we get governed and get inspired by our mission and vision every day.

Sucrit Patil : Okay, great. Thank you very much for the guidance and I wish you the best of luck for the next Q3.

Navneet Munot : Thank you so much.

Moderator: Thank you very much. Next question is from Lalit Deo from Equi rus Securities. Please go ahead.

Lalit Deo : Hi, sir. Good evening. Congratulations on the great set of numbers . So, just one, the first data keeping question s. So, like this quarter, we are seeing that yields have remained stable. So, could you just give us the segment -wise yields? Second, we saw an increase in the other ex pense s materially during the quarter. So, what would be the reasons for the same? And just last, I will ask the third question later please.

Naozad Sirwalla: Hi. So, the equity yield for the quarter was around 5 8 basis points. The debt yields were around 27 -28 basis points. And liquid again ha s been stable at around 12 -13 basis points. So, that is the one for the quarter. On the expenses, so actually the other expenses have increased from Rs.87 crores to about Rs.101 crores on a year - on-year basis, right? And that’s an increase of about Rs.14 crores. Our revenue from operations during this period has increased by Rs.139 crores to Rs.1 ,026 crores. So, this increase in other expenses is mainly on account of business promotion and CSR expense. Actually, CSR, which is a ma terially spend , contributes largely to this. Navneet, do you want to add on expenses?

Navneet Munot : So, over the last three years, our business has grow n significantly across every dimension. You have been seeing the numbers. Our AUM has expanded from Rs.4.2 trillion to Rs.8.7 trillion, almost doubled. And the number of investors has also more than doubled from 6 million to 14.5 million. Our team has grow n, you have seen in the presentation, from 1,233 people to 1,700 plus now. And we have reinforced our culture of ownership through ESOP and PSU grants in 2023 and then 2025. We have talked about it earlier. We have expanded our reach significantly. I menti oned earlier that we have added 50 new offices across the country. We have deepened our presence. We have also made significant strides in digital and technology, which enhances the investor experience, partner experience. We have automated a lot of our internal processes, trying to build a more and more data -driven organization. And during this period, we have launched a large number of new products across both active as well as passive categories, diversified our business footprint by setting up our alt ernative platform, expanded international business with the establishment of the subsidiary in the GIFT C ity. All of this growth , and all of this investment in the future, the cost has remained well under control. I mean, just 11 basis points of AUM probab ly makes us one of the most efficient asset managers in the world as far as costs are concerned. And I would also like to request that look at absolute numbers. Our spend for the quarter - ended, September ‘22 was Rs.156 crores and this quarter it is Rs.246 crores. So, 90 crores extra when AUM has doubled and number of customers have increased 2.4x. I mean the numbers that I gave you earlier. So, seeing in that context, I think we have been running an extremely tight ship. We have been very f

rugal. We have been very constrained in our spending , at the same time continue to invest in the future. I mean, we have a very optimistic view about the growth trajectory of this industry in India, the potential that we have. And so continue to invest , at the same time, rem ain extremely cost -conscious.

Lalit Deo : Yes. So, actually the question I would ask you from a sequential point of view because the re seems to be some increase in that cost line item like on a sequential basis. But ye s, right.

Naozad Sirwalla: That is again about Rs.16-17 crores. Largely due to business promotion & CSR .

Lalit Deo : Right, sir. Just lastly, on the distribution side, so we are seeing some strong growth from this direct channel’s point of view. So, just wanted to understand whether this would be mostly attributable to the fintech channel only. So, is it more like the whole of this growth is funneled through the fintech channel or is it also due to the fact that we have been adding a lot of employees on the sales side , so will that also form a portion of this mix?

Navneet Munot : So, direct includes three things. One is most of the fintechs who bring clients in the direct plan. Number two is the direct clients who may come to our portal or through the a pp or visit through the branches. And third could be RIA, Registered Investment Advisor, who charge fee from the client while put money in the direct plan. So, it is a combination of all three. Over the last couple of years, we have seen significant growt h in the fintech as a distribution channel. They have emerged as a vital channel for the mutual fund industry . And they have played a significant role in expanding the reach and accessibility for investors. If you look at the last six months or so , in the c urrent financial year, they have registered 15 million SIPs. So, they have become quite big and have built a strong presence among the investors of all cohorts. We have a very strong presence on leading fintech platforms. So, we have notable share both in the new flows as well as SIP registrations. I would add on direct, you need to keep this in mind that it is natural for the share of direct plan to rise gradually over time. Also, because of the lower total expense ratio of direct plans compared to the regular plan. So, there is a difference between the TER of regular and direct. So, to that extent, it will keep inching up every quarter.

Lalit Deo : Right, sir. Yes, t hank you.

Navneet Munot : Thank you.

Moderator: Next question is from the line of Harsh Modi from JP Morgan. Please go ahead.

Harsh Modi: Thanks for this. The question is more regarding the market share over next let us say 12 to 18 months. Fantastic traction over the last three years, as you said, across assets , across customers. How does that extend, let us say over 12 to 18 months purely on market share? If you could break it up between equity and the fixed income and liquid portfolio, that would be great ? Thank you.

Navneet Munot : Sure. So, the way we monitor at our end is we look at market share across asset classes , we look at market share across our distribution channels, market share across products, market share across geographies , and we try our best to optimize or maximize our market share across all of this. Fixed income, which is relatively more institutional, we enjoy best rela tionship with most of the institutions, family offices, corporates, tr easurie s, etc ., And over a period of time, the idea is that how do we promote fixed income among the individual investors also. Retail participation is less, but we see a lot of opport unities, particularly through hybrid funds, asset allocation products, etc. On the equity side, overall, I mean, we have the full product bouquet, performance

track record. You can see, I mean, we have been doing very well and, of course, have a long -term track record and continue to work hard on all channels and across all geographies to get best possible share. Does that answer your question?

Moderator: Harsh, can I request you to unmute your line, please? Due to no response, we move on to our next partic ipant. Next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes. Hi. Just on this expense front again, this increase in business promotion sequentially is mainly led by the new scheme launches. And so whether that is a sustainable increase and the CSR obviously is generally is lumpy in nature. So, could you highlight as to what is a sustainable kind of a mix of these one -time bumps , what could be the sustainable run rate on the OPEX front?

Naozad Sirwalla: So, I would request you to look at OPEX on an overall annual basis and broadly we have been discussing this on past calls as well, that between 12% and 15% is

what we should expect OPEX to grow. In this quarter, there was also CSR expense, which is mandator y and there were some NFOs , new business promotion, which we spent on. So, on an annual basis, if you look on a sustainable basis, 12 % to 15% of OPEX is something which we would look at from a growth point of view .

Navneet Munot : It has c ome down f rom 14 basis point s to 11 basis points and that 11 basis points includes the ESOP cost additional . If you adjust for that now that it would be 10 basis point s.

Prayesh Jain: Yes, it is phenomenal. But we always want more, right?

Navneet Munot : More growth ?
Priyesh Jain: Both.
Navneet Munot : That is what we have been delivering for decades. Thank you.
Priyesh Jain: The other question was on the alternate side of the business. Could you apply this about what is the kind of AUM s we built across alternate chan nels and what has the kind of growth we have seen there and w hat are the plans going ahead?
Navneet Munot : Sure. So, our alternatives platform has been building traction and continues to grow. We have strengthened our investment capabilities in this space, including bringing on board a dedicated team to drive upcoming AIF initiatives and deepen our expertise. We have onboarded a couple of more people on the investment side, on risk side, product side. Last year, we closed our first category II AIF, Fund of Funds of around Rs.1,200 crores and are now in the market with our performing credit fund, which has seen a promising start to fundraising. We are in the final stage of discussions with a large global investor for participation. Meanwhile, in our PMS busin ess, we are steadily expanding on the strong foundation we have built, looking at both discretionary as well as non -discretionary offerings. We have strengthened our team again by hiring Ashish, a highly experienced professional who has worked with reputed sell-side firms and more recently with a top -tier

AMC. On the international side, you asked, so under our G IFT City platform, at present, we have five active funds, one of which we launched during the last quarter. These are the feeder funds into our mutu al funds. Additionally, work is underway for the launch of inbound funds as well as for outbound strategies. In our partnership with UBS Asset Management, both the mandates , India small and mid-cap, and India all-cap strategies, where we act as investment advisor, it has gone live a few months back. There is continued distribution and institutional coverage and engagement for both the strategies across geographies. So, we remain committed to seizing any opportunities to drive growth and strengthen our compe titive edge.
Prayesh Jain: So, just on this, extending this point, in our five years down

the road, do you think
that the alternates can be like a 10 %-15% contribution to the overall revenues for HDFC AMC?
Navneet Munot : I would not give that forward -looking statement. All I can say is that we are putting a very solid foundation and whatever it takes , the best -in-class investment capability, best -in-class risk management capability, product capability, we are putting. And we have the distributio n might, which you all are aware of. We enjoy a great brand, HDFC, where comfort of both individual investors, which include HNIs, ultra -HNIs, family offices, etc. , and on the other side, institutions, both domestic and global, have deep comfort with. So, we remain quite optimistic in terms of our journey on the alternatives. The other thing we believe that being part of the HDFC group, we have tremendous responsibility on our shoulders to ensure that the whole alternative industry in India, the whole ecosy stem develops well , and our team members also spend a lot of time engaging with various stakeholders to ensure that over the next several years, as alternative industry grows, we play a leadership role, the way we have done on the mutual fund industry side and we are reaping the benefit today, the way industry has grown , we remain very optimistic on the alternative side as well.

Prayesh Jain: And this last bit, when we talk about cost also, there will be some burn right now going into alternate s business. An d is there a way to quantify it, where you can highlight that, okay, so far, the alternate business is running at a n annualized cost of X rupees so that will help us understand the profitability of the core business as well?
Navneet Munot : So, you are calling it burn, I ’m calling it probably one of the best investments we are making in future.
Prayesh Jain: Absolutely. All right, sir. Thank you so much.
Navneet Munot : Thank you.
Moderator: Thank you very much. Next question is from the line of Madhukar Lad ha from Nuvama Wealth . Please go ahead.
Madhukar Ladha: Hi, sir. Thank you for taking my question. See, one on net inflow market share . Reverse calculations suggest that you continue to do sort of quite well over there.

Maybe, but if you could add some color, what is driving that and some trends on that, that would be helpful ? Second, see, the admin and other OPEX has gone up. Can you sort of quantify any one -time expense over here? And when you give a guidance of about 12% to sort of 14%, 15% increase year -over-year, that would also include any NFO -related expenses, etc. , So, the right way to look at it would be last year 's number plus 12 % to 14% whatever that number comes and that would include everything or will there be some sort of one -time NFO or any other related expenses? Some clarity on that, that would be helpful ? Thanks.

Navneet Munot : I mean, we have continuously been invested on many things that I mentioned before. We had two NFOs and both were like quite successful. One Fund of Funds and one was the HDFC Innovation Fund. Probably , it was the largest NFO of the quarter and the Diversified Equity All Cap FOF, which has also kind of got good response from our investors and distributors. Those were the NFOs during the quarte r where some bit of spending would have gone. Otherwise, as Na ozad

mentioned earlier, it is on account of higher CSR expenses , some bit of other business promotion and the general business -related expenses . Your first question was on the net inflow market share. We do not share that. There is so much information already available.

Madhukar Ladha : Yes, I know , but from a trend –

Navneet Munot : I mentioned that I think the engagement with distributors have been great. We keep trying to maximize our share with each and every one of them and work at

like

every asset class, every product, every geography, every channel partner, and of course, on the direct side. So, continue to kind of work on maximizing our share.

Madhukar Ladha: And a lot of the market in general is positively surprised with the strength of the SIP numbers despite now one -year returns not being that attractive. And normally, what I have heard from a lot of companies and also distributors is when one -year sort of ret urns are not that good, that is when SIP numbers can get weak. I wanted to get your comments on this and as analysts, what should we look at and what is driving this trend?

Navneet Munot : Yes. So, if you look at the SIP book today at over Rs.290 billion, i t was Rs.40 billion in 2017 or so and over a period of time, it has steadily been increasing. And I mentioned this before that there are many factors at play. First and foremost is the long -term track record. Now , investors can go back and see last 20, 25 years , I mean, some of the HDFC funds have a track record of 30 -years and can go back and see across cycles how funds have delivered. Second is the transparency. I think over the years, thanks to the efforts made by regulator as well as the industry at large . All of us have worked very hard to build more transparency, more trust in the product. Third, I would say technology has played a big role. We have doubled our unique investors in the last two, two and a half years that would not have been possible but for the technology. And fourth, last but not the least is I think the effort that all of us are putting on investor education, the efforts made by AMFI collectively, collaboratively that we do as an industry. And each one of us within

the industry, the efforts we have been making to reach out to a larger number of investors, conveying the message of long -term investing, power of compounding, do not get swayed by the volatility, invest for the long term, invest for your goals, so on and so forth, the importance o f asset allocation. And the steady increase we are seeing in SIPs reflect the growing maturity and the long -term orientation of investors that Simal also talked about earlier. So, on that part, I am very optimistic that over a period of time, there is pote ntial for it to increase. There will be some cyclicality, we have seen that before, and maybe month -to-month or quarter -to-quarter, some bit of volatility in flows, but the heartening feature of flows is increasing amount coming through the monthly SIP. Num ber of accounts also you should notice, they have also been growing quarter -after-quarter.

Madhukar Ladha: Understood. Thank you and all the best.

Naozad Sirwalla: Thank you.

Moderator: Next question is from the line of Mohit Mangal from Centrum Broking . Please go ahead.

Mohit Mangal : Thanks for the opportunity. My first question is towards the B30. So, last month, SEBI reintroduced new incentives of B30. So, how do you see this and maybe if

you can quantify this any sizable impact on our top line because of that going
forward?
Navneet Munot : Yes, so I mean, we are yet to get the final guidelines on that in what manner and what shape it will be implemented. We heartily welcome SEBI 's guidance on that to increase both number of women investors as well as new investors from B30 towns. In fact, over the last couple of years, we have seen greater traction in inflows, particularly in the form of SIPs coming in from B30 towns. We remain fully prepared, both in terms of our physical presence there, and being part o f HDFC group our brand and the overall ability to make the most of it as and when the opportunity arises to do something more with our distribution partners.

Mohit Mangal: Understood. So, it is not still in practice, you mean?
Navneet Munot : No

t yet.
Mohit Mangal: Okay. My second question is towards the investment books. So, I was looking at your previous release and your investment book actually declined in September '25 as compared to March. So, what could be the reason for that?
Naozad Sirwalla: We paid the dividend out in June .
Mohit Mangal: Okay, understood. Our last question is about the NFOs. So, you said we launched on two NFOs, basically. What is the pipeline , because we do have a comprehensive product bouquet, but do we have any pipeline for the future?
Navneet Munot : So, the current product lineup is more or less complete given the SEBI classification and within that the products that are allowed. While I have said before also that our portfolio is largely complete, but opportunities continu e to emerge. Whenever we see the right fit for the customer, such as the recently launched Innovation Fund, where we saw very good interest and got 24 billion in the NFO. It was the largest equity -oriented NFO in the quarter. And we also launched the Fund of Fund s, which was HDFC diversified equity all -cap active FoF that raised 11 billion. On the passive side, we have launched a lot of products, but will be on the lookout if there is any more opportunity on that. I would mention that, I mean, many of our e xisting funds have plenty of room to grow. So, our focus is on strengthening their position and scale. And I will give you one example. If you look at our Value Fund, that is an AUM of around Rs.7,000 crores. It is not yet in the top five of its category e ven though it has a very strong long -term track record. So, there is significant potential to move it into a leadership position. But at the same time, our teams are scanning the market for new opportunities. And I have always mentioned that at our end, ne w product offer is always guided by what our investment team believes in, rather than what is selling in the market and what is sold as Fad. We actually look at what is the best fit for the investor and the belief and conviction and capability of the Investment team on the other side.

Mohit Mangal: Right. And my last question is that, I mean, we always maintain that HDFC bank 's flow market share is higher than the book market share. So, that even continued this quarter as well, right?
Navneet Munot : So, first, just to clarify, the pie chart that you see represents how our AUM is distributed across all channels , that includes direct, MFD, ND, banks. It does not indicate market share in any channel. So, possible for one channel to grow at a faster pace than anothe r, while our overall market share across both remains unchanged. The HDFC group continues to play an important role in our growth and we have a healthy flow share from them , and they are a force to reckon with in distribution. They remain a key partner for us and we see a lot of opportunities to further deepen and expand this relationship. Our major focus with the bank has been on the penetration of SIPs among their clients and it is yielding encouraging results. Market share in the new SIP is higher than o ur book share substantially. So, yes, there is strong intent to build tighter alignment and have greater collaboration across various touch points between HDFC bank and us.
Mohit Mangal: Understood. Thanks and wish you all the best.
Navneet Munot : Thank yo u.
Moderator: Thank you. Next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.
Dipanjan Ghosh : Hi, good evening, sir. Just one or two questions from my side. First, if you look at across channels, obviously your market share has been holding up well on the

activ e equity side across most of the channels, but if you were to kind of look at,
let us say the past 12 months or 18 months, has the trajectory of improvement or
shift in your market share across all th

e channels been similar or do yo u feel there
are one or two channels where you can probably kind of scale up a bit more, and
if so, what would be the strategy around it? The second question is more on the
cost side of things. I just wanted to again get some color on in terms of currently
building capabilities on the alternate side or even on your investment management

team on the mutual fund business, or expanding your sales capabilities, how should
one think of, incremental employee additions over the next, let us say two, three
years
Navn eet Munot: So, incremental employee addition has been, we mentioned about the people that
we have hired on the alternative side on international side in our digital and tech
capabilities and of course a larger number would be in sales and client service ap art
from investments. On the expense side, I mentioned so all of these investments
whether in increase in people, whether in the increase in number of offices,
whether in building more capability on the alternative PMS, AIF side, I mean we
have got six inv estment professionals on the VC /PE side and six on the credit side.
We have built capabilities across the board and all of this is already part of the cost
structure that you are seeing. And I mentioned earlier that ESOP is, I mean, we
remain full y committed to retaining the best talent and you have seen recently the
new ESOP and PSU initiatives in addition to several ESOP programs we have
implemented in the past, and that cost is also part of the overall cost that you are
seeing.
Simal Kanuga: A large amount of heavy lifting has already been done in terms of investment side
of things.
Navneet Munot : On the channel share, so yes, we have healthy across the board, whether it is MFDs,
whether it is, NDs, whether it is banks, which includes HDFC Bank and direct and
fintech. Of course, some of the banks which either have a close architecture or a
guided architecture, our market share would not be higher relative to their own
AMCs, but otherwise, yes, we enjoy healthy share across all channels, but of
course, aspiration is always to get more.
Dipanjan Ghosh: Got it. Thank you, everyone and all the best.
Navneet Munot: Thank you.
Moderator: Next question is from Abhijit Sakare from Kotak Securities. Please go ahead.

Abhijit Sakare: Yes, hi, good even ing, everyone. I have a question on the yields. So, if I go back
to your comments from the last couple of quarters, it looks like the equity yields
have kind of stayed at those levels around 58. But if I look at the equity AUM
growth, right, for example, l et us say from March till now, it is like almost 15% -
odd. So, I am just trying to understand between let us say, commission cuts
implemented last year versus the telescopic repricing, I mean, how do we
understand this movement over the last six odd months?
Navneet Munot: So, that rationalization has clearly helped us in reducing the impact of telescoping
pricing, but margin compression from telescopic pricing is inevitable and remains
an industry reality. So , we recognize that T ER will structurally trend lower over
time and we factor that into our pricing decisions on the new flows. I must mention
this, Abhijit, the one metric that I keep a particularly close eye on is our operating
margin . We have typically operated in the 33, 35 business point s range, and the
objective is to stay within that corridor, though that is not always straightforward.
You have seen a significant increase in the equity AUM due to MTM as well as
flows. So, what happens is that asset mix improves with highe r equity AUM. So,
then there is an impact on the equity margin, but the asset m ix improves and we
are able to rationalize on the cost side - cost as a basis point of AUM. So, the
operating margin we have been abl

e to maintain in that range. Also , I should
mention I do not view margin in isolation. It is simply an outcome. The real focus
is on expanding absolute profitability. And I assume you would agree that, that is
where our real focus has to be .
Abhijit Sakare : Got it, sir. Sir, sorry, one clarification . Would it be fair to say that the entire

commission cuts was fully absorbed by the March quarter or some of it has flowed
through in the first half this year as well?
Simal Kanuga : No, it will be there every quarter, right , Abhijit , in se nse we cut it in August last
year, right? So, that basically the numbers were rationalized last year. So, numbers
from there on have been re -based. See, what you have seen is, I think, Navneet
touched upon, right, between March and now when you are talking about increas e

in equity AUM, but the asset mix also has got tilted in favor of equity further out
from 63% -odd to 64% -odd. So, that has kind of kept the revenue margin s at that
58 kind of a number.
Abhijit Sakare : Okay. I will revisit this later. And jus t one smaller , number question. So, this
employees cost of about Rs.124-odd crores, fair to assume that this is more or less
like the base for the rest of the year or for the quarter?
Naozad Sirwalla : So, Abhijit, we had disclosed in the previous quarter . Since we did the issuance of
ESOPs in the June quarter, there is a particular amount of black scholes
amortization that will happen, right, in the books. And we had given out those
numbers in our previous call, which should be in addition to the normal employ ee
cost. This is a one -time non -cash amortization of black scholes cost. If you want I
can just give you the broad number again. The non -cash expense on account of
ESOPs only I am talking. For the second half of this year would be around Rs.42
crores , for FY 27 we think it is about Rs.67 crores, for FY28 Rs.53-odd crores , then
it tails off , FY29 about Rs.33 crores and it tails off after that. These are again broad
numbers, a lot of things go into this, but this is a broad amortization, non -cash
expense on account of stock options.
Abhijit Sakare : Got it. Thanks for that. That is from my side. Thank you so much.
Navneet Munot: Thank you.
Moderator: Next question is from the line of Ranvir Singh from Y ashwi Securities. Please go
ahead.
Ranvir Singh : Hello , sir. So, I just wanted to understand, does the yield of the AMC differ if
someone subscribes for a direct plan versus a regular plan?
Navneet Munot: The management fee remains the same.

Ranvir Singh : Okay, sir. So, my next question is like, say for example, a hybrid fund which has
like 60% in equity and 40% in debt , so to think of the yield, would t his be the right
approach that we think 60% of 58 bps and 40% of 28 bps would be the blended
yield for that product?
Simal Kanuga : So, anything above 65 %, so equity -oriented hybrid funds, the fee structure is
aligned with that of equity schemes. So, when yo u look at equity oriented hybrid
will be at 58 basis points.
Navneet Munot: That is minimum 65% equity.
Ranvir Singh : Okay, sir. And sir, this is the last question. So, the non -cash expense, ESOP, you
said, is Rs.42 crores for this year. So, how much of it has already come to a PL
account?
Naozad Sirwalla : I am talking for the second half.
Ranvir Singh : Oh, for the second half. Okay, sir. Okay, thank you. Happy Diwali.
Navneet Munot: Happy Diwali.
Moderator: Next question is from the line of Vinod Rajamani from Nirmal Ban g. Please go
ahead.
Vinod Raj amani: Thank you for the opportunity. Most of my questions have been answered, but I
just wanted to know what is the philosophy around the new SI F plans which many
AMCs are planning to launch ? I mean, what kind of timeline do we have in cas

e
we are also planning to go down that path and what kind of yields could that benefit
for us?
Navneet Munot: So, we already have approvals in place for launch of SI F. We want to be full service
providers across categories , say active, passive , alternatives, and even the newer
categories as they emerge. We are watching this space closely and we will decide
on how we want to progress on this front. Team here is evaluating all possible

options and products that can be well suited for our client segment. So, you will

hear more from us on this front going forward .
Vinod Rajamani: Okay. Ye s. Thank you
Moderator: Thank you. As there are no further questions, I will now ha nd the conference over to Mr. Navneet Munot for closing comments.
Navneet Munot: Thank you. So, in summary, while equity markets softened in Q2 FY26, the mutual fund industry continue d to demonstrate resilience supported by record SIP flows and steady equity fund inflows. I salute the resilience and maturity of Indian investors, supported by distribution and advisory partners. HDFC AMC 's AUM stood at Rs.8.7 trillion with a steady market share. We remain the most preferred choice among individual investors with a market share of 13.1%. Our investor base reached 14.5 milli on unique investors that represents a healthy 25% penetration. That is on the mutual fund side . And we have been progressing very well on our initiatives in PMS, in alternatives and international business. We are Wishing you and your loved ones a very Happy Diwali and a Prosperous New Year ahead. Thank you for your time today.
Moderator: Thank you very much. On behalf of HDFC Asset Management Company Limited that concludes this conference. Thank you for joining us and you may now disconnect the lines.

Call: Jan 2026

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Ref/No/HDFCAMC/SE/202 5-26/75 Date – January 1 6, 2026
National Stock Exchange of India Limited
Exchange Plaza, Plot C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400051.

Kind Attn: Head – Listing Department BSE Limited
Sir PJ Towers,
Dalal Street,
Mumbai – 400001.

Kind Attn: Sr. General Manager – DCS Listing
Department

Dear Sir/Madam ,

Sub: Transcript of Earnings Call

Please find enclosed herewith transcript of Earnings Call for the quarter and nine months ended December 31, 2025 , conducted after the meeting of the Board of Directors on January 14, 202 6 which can also be accessed on the web site of the Company at: https://www.hdfcfund.com/about -us/financial -information/shareholder -presentation

Kindly take the same on records.

Thanking you,

Your s faithfully,
For HDFC Asset Management Company Limited

Sonali Chandak
Company Secretary

Encl: a/a

“HDFC Asset Management Company Limited
Q3 FY '26 Earnings Conference Call”
January 14, 202 6

MANAGEMENT : MR. NAVNEET MUNOT – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MR. NAOZAD SIRWALLA – CHIEF FINANCIAL

OFFICER
MR. SIMAL KANUGA – CHIEF INVESTOR
RELATIONS OFFICER

Moderator : Ladies and gentlemen, good day, and welcome to the Q3 FY '26 Earnings Conference Call of HDFC Asset Management Company Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone.
Please note that this conference is being recorded. From the management team, we have Mr. Navneet Munot , Mr. Naozad Sirwalla and Mr. Simal Kanuga. I now hand this call over to Mr. Simal Kanuga, who will give us a brief, following which we will proceed with the Q&A session. Thank you, and over to you, sir.
Simal Kanuga: Thank you very much. Good evening, everyone, and appreciate you all joining this call. We trust you have had an opportunity to review our presentation.
I'll begin with an overview of the industry. As of 31st December 2025, the total AUM stood at INR80.2 trillion. Equity and equity -oriented net new flows continued to see healthy momentum during this quarter, adding another INR1,188 billion. For the calendar year 2025, net inflows into this category added up to INR4,752 billion compared to INR5,420 billion in 2024.
In aggregate, over the past 2 calendar years, net new flows have exceeded INR10 trillion or approximately USD115 billion. Systematic investment p lan remained a key structural driver for the industry. Monthly SIP inflows reached INR310 billion in December 2025, highest levels recorded to date.
The SIP asset base increased to INR16.6 trillion, accounting for over 20% of industry AUM and significantl y higher proportion of equity and equity -oriented AUM. For calendar year 2025, total inflows from SIPs amounted to INR3.3 trillion.
Debt funds saw net outflows of INR163 billion during the quarter, while liquid funds witnessed net inflows of INR147 billio n, an additional INR112 billion came in arbitrage funds. Quart er ended December witnessed INR 327 billion of net new flows in gold and silver ETFs. This category now contributes to the tune of 18% of industry ETF AUM.
We now move to us.

Overall, QAAUM cro ssed INR9 trillion, while equity -oriented AUM exceeded INR6 trillion, resulting in an asset mix with equity at 65.5%. The number of unique investors for the industry increased by 6.4 million as compared to December 2024. For us, this increase was 2.8 milli on, taking our total unique investors to 15.4 million, a penetration of 26%. Systematic transactions, which includes SIP and STP reached INR47.3 billion in December 2025, representing a Y-o-Y growth of 24% or an absolute increase of INR9.1 billion.
Turnin g to our PMS business. AUM crossed INR50 billion during the quarter. We also secured a couple of large mandates during the quarter. In alternatives, we completed the first close of our structured credit fund, raising commitments of approximately INR13 bill ion from institutions, family offices and UHNI investors.
Now on to financials.
Total revenue for the quarter was INR12,332 million. Operating revenue came in at INR10,743 million, a growth of 15% Y -o-Y. Other income was INR1,589 million. Total expenses were INR2,186 million. As a result, operating profit for the quarter was INR8,557 million with an operating margin of 36 basis points.
Profit after tax stood at INR7,701 million, translating into a Y -o-Y growth of 20%. So , thank you very much for patient hearing. Navneet, Naozad and I are here to take all questions. We can start building the question queue, please.

Thank you.
Moderator: Thank you very much. We'll take our first question from the line of Kushagra
Goel from CLSA. Please go ahead.
Kushagra G oel: Hi, thank y

ou for taking my question and c ongrats on a good set of numbers.
Just had one question. So , your operating profit margin, that sort of went up by
1 bp or so. So , 35 bps went to 36. So just wanted to understand if there was
some specific rea son. I see your other expenses was materially lower, but just
wanted to understand more on that?
Naozad Sirwalla : Hi Kushagra, Naozad here. You are right, from a quarter on quarter basis, it's
gone up by 1 basis point. That's largely be cause other expenses were lower for
this quarter. Previous quarter, we had a larger expenditure on CSR. Also ,

certain marketing, business and promotion expenditure was slightly more in
the previous quarter as compared to this quarter. So that's one.
Kushagra Goel: Got it, sir. Also, just one more question. In terms of your growth momentum,
how do you see it going forward, if you could share some guidance or
something on that front ? That's all. Thank you.
Naozad Sirwalla : Growth in contex t of...
Kushagra Goel: In general , for the industry and how do you see HDFC placed, if you could
share...
Navneet Munot : Overall growth and how are we placed?
Kushagra Goel: Yes, yes. Like share some thoughts on that aspect.
Navneet Munot: So, you would have seen the latest number on the SIP where the industry
crossed INR31,000 crores in the month of December, despite the fact that there
has been quite a bit of volatility in the market and returns have been muted for
last 15, 18 months. But I think the momentum in the SIP book has been
continuing. Industry has been adding more number of investors, more number
of folios month -after-month, quarter -after-quarter.
We have been participating very well. There is a slide in our presentation on
our new a ccount addition, our new investor addition and you can clearly see
that we've been participating very well across all channels, across all
geographies, across all asset classes and products. And I feel very optimistic
on the overall industry growth fo r next several years.
Moderator: We'll take our next question from the line of Mohit Mangal from Centrum.
Mohit Mangal: Congratulations on a strong set of numbers. My first question is on the PMS
and AIF. So, I think you have put a separate slide on that. So, I've got two,
three questions within that. So , first is basically just wanted to know what is
the NDPMS and PMS fee, if you can just separate it. Second is that how big is
this EPFO mandate? And thirdly, if you can tell me the growth overall in the
PMS and AIF segment?
Navneet Munot: On the PMS side, we have two segments, discretionary and non -discretionary.
We have been adding accounts and growing on both sides. We have focused

on the both sides. On the EPFO and SPFO mandate, as you would appreciate,
this segment operates with very, very tight economics. It's very competitive.
But these mandates allow us to participate meaningfully in the ecosystem. We
build execution capability. We enhance our platform and gives us an
opportunity to offer that produc t to many other clients in the same segment and
related segment.
So, we see this as a strategic phase where capability building and scale take
precedence over immediate margins from a quarter -to-quarter perspective.
Secondly, I think Simal menti oned earlier that we have crossed the INR5,000
crore number in terms of AUM apart from these two mandates where I think
we are in the process of signing and then executing the agreement, etcetera.
So, they will get executed in some time. But we have -- on the team side, we
have hired senior resources across investments and services that will help us
build this business. So, PMS on the fixed income side, on equity side, both

discretionary and non -discretionary, we would like to build that

gradually.
Navneet Munot: On the overall alternatives, so most of you are aware about the first VC/PE Fund of Fund. You might have seen the recent announcement. We announced the first close of our structured credit fund. And what humbles us is our partnership with IFC. We are very proud of our partnership with the IFC. They're coming as the anchor investors.
The fund has declared its first close and has raised commitments of about INR1,290 crores. And another feature of that INR1,290 crores is that almost 70% has come in from investors who have contributed INR25 crores or more. So, underscoring strong participation from ultra -high net worth individuals and institutions in the fund. So, we've got institutions, family offices, u ltra-high net worth individuals participating in that. And IFC as a partner and anchor investor will contribute up to INR220 crores to the fund.
Our partnership with IFC is rooted in a shared vision of expanding access to financing for midsized corporates , midsized enterprises that drive manufacturing output, that drive employment, that drive regional development. And this is the first step in what we think will be a long and meaningful journey of working together in developing the private credit market on India.

And overall, on the private market side, we have been engaging with a lot of other global institutions and domestic institutions. The team is working on creating a second fund on private equity and venture capital front. We did that first VC/PE Fu nd of Funds and a large part of that is already committed, and we would soon be coming with the second fund, and we'll be engaging with a few large global institutional clients for that as well.
Mohit Mangal: Understood, sir. This is very helpful. Sir, jus t one follow -up, sir. In terms of yields, sir, how much are discretionary PMSs and while how much are non - discretionary PMSs. If you can just throw some light on that?
Simal Kanuga: We have not given those yields out.
Moderator: Next question is from the line of Devesh Agarwal from IIFL Capital.
Devesh Agarwal: Sir, my first question would be on the asset class yield for the quarter. Could you just share those numbers?
Naozad Sirwalla: Yes, sure. So, equity is around 56, 57 basis points. This incl udes index funds. Debt is 27, 28 basis points and liquid would be 12, 13 basis points. And the blended yield is around 45.
Devesh Agarwal: Blended, you said is around 45, 46 basis points.
Naozad Sirwalla: For the quarter is 45, for 9 months, it's 46.
Deves h Agarwal: Right. So, we see that overall, the yield number has been decently resilient over the last 6 quarters. I'm assuming if we remove the passive from the equity, the active would be closer to 58 , something around that number. So, despite the growth in the AUM, we are seeing this resilience. So, is there anything to read into this?
Navneet Munot: You know us well. For us, scale , quality and profitability, all three are important. And we don't sacrifice profitability just for market share or for scale. For us, that's very critical. We've been able to maintain it very well and overall operating margins also, I think keeping a tight leash on the cost side, we have been able to maintain operating margins in a tight band despite, of course, the telescopic pricing has an impact, but we've been trying to keep a tight leash on cost.

Moderator: Sorry, sir, your audio was not very clear. Can you just repeat the last part, please?
Navneet Munot: I'm say ing, of course, there is an impact of telescopic pricing. As market goes up, there would be impact on the fund level or overall asset class level margins. But the overall operating margins, we've been able to maintain well with tight leash on cost.
Devesh Ag

arwal: So that is exactly what I wanted to understand that the impact of telescopic pricing has not been visible. So , what is that you are doing to offset that impact? Or what is leading to that impact not being visible? And how do you see the trajectory going forward? Do you think these yields will remain steady at this level, or we are expecting that for a 10%, 12% growth in AUM, there will be some decline in the yield?

Navneet Munot: So, on the equity margins, I mentioned that some degree of compre ssion is inevitable over time because you have a sliding scale structure of TER, so which naturally leads to lower expense ratio as the AUM scales. So , we're conscious of this dynamic and therefore, bake this reality into our pricing decision on the increm ental and the new flows. So , they constantly keep getting adjusted on the new flows and now new flows are also becoming sizable. So , over a couple of years, they also make an impact.

But as I mentioned earlier that despite the impact of telescopic pricing, we have managed to keep our margins in the 33 to 36 basis point range. That reflects like disciplined cost management as well as the operating leverage. And you asked like going forward, so we continue to work hard to maint ain margins within this band.

We recognize that this is easier said than done. But I've mentioned this earlier that margins are only one way of looking at the business. We keep a close watch on that, but the real focus has to be on growing absolute profit s in a sustainable way. And as long as profits continue to compound, I mean, we are comfortable with how the business is evolving.

Devesh Agarwal: Right, sir. And sir, what is the impact of the 2 regulatory changes that are expected to go live from 1st of April? One is what is the gross impact? And how do you see how this will be passed on?

Navneet Munot: Sure, Devesh. So , what has changed? Firstly, removal of 5 basis points of additional TER, which AMCs were allowed to charge in lieu of exit load. So, exit load since 2012 was going to the books of the fund. Once the new regulations come in play, this is gone. The impact for the industry as a whole is definitely material. So active equity -oriented mutual fund industry is at INR44 trillion and 5 basis poi nts on that comes to about INR2,200 crores. So, to put numbers in context for FY '25, total operating profit of the industry as a whole was around INR16,000 crores. So, this is definitely material.

Second change , in the expense ratio construct. So rather than all statutory levies, which were built in as part of the TER, now we have base TER plus statutory levies. So, methodology or for that matter, accounting has changed. The slabs have been accordingly readjusted , realigned. You would have seen the new slab table. The smaller schemes will benefit to an extent because of this change and will largely set off the loss due to 5 basis point reduction, which I spoke about earlier.

Lastly, third thing is the rationalizati on of brokerage limits, what we pay on our transactions. So, this is in reference to brokerage we pay to buy and sell securities. So, brokerage for cash market transactions is now reduced to 6 basis points from the cap of 12 basis points earlier, but this 6 now excludes levies. So comparable number to 12 is now from 8.5 basis points odd. So, between the first and the second point, that is the 5 basis points and the GST, etcetera, a few of our larger schemes will see an impact. That is a reduction in TER. Smaller schemes less affected as TER reduction due to this 5 basis points going away is largely offset by redefined slabs. Larger schemes definitely are getting impacted. Actually, you'll be surprised, Devesh, that many of the smaller schemes will see increa sed TER. So , we are evaluating the way forward with an objective to contain the fi

nancial impact, if any.

All I can say is that you have a precedence on how we handle d the same in 2019. We understand the sensitivity and we'll optimize to the finest in term s of impact on margins. The positive side of this change, if I can highlight, one is reduced TER and hence, even better alpha. So clearly in favor of larger sized funds. I've mentioned this several times earlier that the larger funds because of the telesco pic pricing charge lower TER and the alpha keeps getting baked in.

So, the long -term positive impact of this, in my opinion, is not as well understood. So , I mean, I can say classic bitter pill theory, long term good for the alpha. So , my investment team is smiling for sure. The positive aspect is that regulator and industry is always focused on enhancing transparency. So , this is another step forward where one knows what the fees and what's the statutory levies. To sum it all up, we'll work on managing financial impact and on the other hand, further optimize alpha for our investors.

Devesh Agarwal: Yes, absolutely, sir. And one final one, sir. What are the plans for the schemes that were managed by Roshi? I know currently, those have be en allocated within the team. So that is how it's going to be or we are looking to hire? What exactly are the plans?

Navneet Munot: So, I mean, you've heard the change in the fund manager . And so , I mean, you would also know Amar Kalkundrikar who joined us a few months back. He was with us for over 15 years, left us for a few years and has come back as Senior Fund Manager. I think, he's managing almost like INR40,000 crores or so across a few funds.

Maybe let me take this opportunity to talk about the overall investment team, Devesh, if you allow me. I'm sure many of you would agree because several of you also interact with all of my colleagues on the investment side that, we have one of the most experienced investment team in the industry.

And not only experienced, but an enviable long -term track record across market cycles. All of them have seen multiple market cycles and have done well. So , on the equity side, we have Head of Equities and Senior Fund Managers who manage the diversified funds . Least experienced among these would be like 20, 21 years of industry experience. And over and above, we have a team of analysts.

Several of them are designated Fund Managers for their respective sectoral and thematic funds. Clearly, like among the most e xperienced team in the industry, we take deep pride in them. Some of them have started managing more diversified mandates. You are aware like Anand Laddha, has been managing now our value fund.

So, I think a firm that has been around for 25 years, we have seen transitions in the past, and our view is that we have handled the same extremely well. We continue to expand our team and remain like very confident.

Devesh Agarwal: Alright sir. Thank you so much and all the best.

Moderator: Thank you. Next question is from the line of Sucrit D. Patil from Eyesight Fintrade. Please go ahead.

Sucrit D. Patil: Good evening to the team. I have two questions. My first question is to Mr. Munot. First of all, congratulations on the quarter. With HDFC AMC's strong brand and evolving investor presence, how do you see the next two, three years shaping up in terms of product innovation and investor engagement, especially as passive flow rises and digital platforms reshape the distribution, what should the stakeholders expect as the defining theme from your leadership in this space? That's my first question. I'll ask my second question after that.

Navneet Munot: Sure. So , first question is on the overall product pipeline. So , if you look at our product portfolio, I think it's lar gely complete across th

e key categories,
whether you look at active equity, fixed income, money markets, both on the active side, passive side, we are more or less complete. From time to time, we may look at select sectoral or thematic funds, but only whe re the investment team has strong conviction and sees a clear opportunity. And these launches are likely to be like few and far between. But otherwise, I think we have a best - in-class product portfolio with a long -term track record, and we continue to focus on like all of them.

And if you're talking about the overall platform, then apart from the mutual fund, we continue to enhance our PMS, AIF, International , GIFT City offering because these platforms allow us to address a wider range of clien t requirements. So, I think overall approach is to deepen and strengthen what we

already have and add selectively where it generally makes sense.
Sucrit D. Patil: So, my second question is to Mr. Naozad. On the financial side, beyond margins, how are you thinking about capital efficiency in this space, balancing shareholder returns or any tech investment or any cost structure discipline in place? Do you see the scope f or a shift in deployment priorities as digital adoption accelerate?

Naozad Sirwalla: From a deployment of capital towards digital, I think that's an ongoing process. We continue to invest in technology and digital platforms over the years. That's already b aked in, whether it's in the form of certain capex or largely through the opex. So that doesn't really change.
From the balance sheet utilization of cash, if that's what your question is to. Our dividend payout s for the l ast two years have been almost close to the entire post-tax cash profits that we generate as a business, we have paid out. That's what the Board has done for the last two financial years.
We have also used capital to good effect to seed our alternate platf orms. So , we are a material investor in our alternatives fund of fund that we launched a couple of years ago. You'd have probably read and we discussed in the credit fund that we have just announced the first close. Again, the company has meaningfully committed around 14% of the corpus committed by the balance sheet of the company.
So, we will use the balance sheet judiciously for seeding businesses. And the third option of strategic acquisitions, stroke any kind of enhance ment always is on the table. We do have a look at a lot of transactions that happen in the market. So , whenever the time, the pricing and the business works out for us, we'll look at that as well.
Sucrit D. Patil: I think that's good guidance on your part, and best of luck for next quarter. Thank you.
Moderator: Thank you. Next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.
Dipanjan Ghosh: Good evening, everyone. So just a few questions. One, you kind of articulated on your investment management bandwidth. But let's say, since the time this news regarding Roshi exiting the company and some of the funds kind of being in a transitionar y phase has been floating around.
Let's say, over the last two, three months in terms of flows into th ese particular funds, if you can give some granular understanding of how the trajectory has been. And also , in terms of your communication to the distribu tor or interactions with the distributors, has there been any back and forth in terms of customer interactions or some negative sentiment floating around?

My second question, you mentioned that on the MF circular, you will be kind of following a similar pr actice to that of 2019. And to the finest possibility, you will be trying to mitigate most of the impact. But internally, have you kind of deliberated what can be, let's say, the worst -case scenario despi

te all the
mitigants and whether you're confident of , let's say, mitigating the entirety like you did in 2019? And the third and last question is on the alternates business. Obviously, you've launched a few funds over the last 2 or 3 quarters. If I were to take a more of a long -term view, let's say, over th e next 3 to 5 years, what sort of AUM or revenue mix do you really aspire from this segment? Yes. So those are my 3 questions.
Navneet Munot: Sure. So first, on the one fund manager. Dipanjan, you will appreciate, I mean, we have been around for 25 years, and we have seen transitions in the past. And I think we have handled it extremely well. You would give us the credit, I mean, we had a legendary CIO, I always have been and will always remain in deep gratitude to him for what he has built and what he has done.
But at the same time, the strategies that were managed by him, some of them are the ones which have seen the highest growth at our end in last couple of

years. And the overall team's experience, the pedigree, the overall quality of
our research, the quality of the risk management, governance, long -term
orientation, fundamental research and all of that , I don't have to overemphasize
on that.
So, we do everything in our power to retain talent across the organization and
not just in the i nvestment team, but we have handled a few transitions here and
there very well, and we remain very, very confident. I also mentioned about
like -- I mean, one of the fund manager , who was with us for 15 years, left us
and has come back.
You will hear that the current analysts who are managing sector and thematic
funds, increasingly managing diversified equity funds because they have
handled size for a couple of years.
And we continue to remain on the lookout for at any point in time, we see a
differentiated skill set who fits in nicely within the culture that we have, within
the team that we have and the setup we have. We would continue to build our
investment team and we'll share more on this as we go ahead here.

Your second question was on the TER, how do we optimize that. Yes. I
mentioned earlier that, I mean 2019 is a classic example. You can go back and
see the playbook, how we handle d the same. We understand the sensitivity
around it, and then we will optimize that in terms of impact on the margins.
Simal Kanuga : Also, I think, Dipanjan, if you look at versus 2019, the magnitude this time is
much smaller, right? That time, we had an impact of nearly 25 -odd basis points.
And what Navneet touched upon earlier, this time, there is a 5 basis. Some of
the smaller schemes are seeing realignment of expenses and thereby the kind
of reduction out there is virtually very, very small or in some cases, even 0. So,
I think net -net, this time, in terms of prudently managing, we think we'll be
able to handle it well.
Navneet Munot: On your third part on the alternatives, etcetera, so it would be pertinent for me
to state that the core business itsel f where we have done reasonably well over
time, that continues to grow and we'll put in all the effort, time, money,
everything for that to see continued growth across equity and debt, across
active and passive.
But beyond our mutual fund business, we do h ave our eyes well set on whether
it's PMS, whether it's alternatives, whether it's international business. We have
taken meaningful steps over the last couple of years to build these businesses.
I mean, we're building the very, very solid foundation brick -by-brick.
You would appreciate that we have grown our business with a sharp focus on
quality, scale and profitability. So even beyond our mutual fund business,
whatever we are doing, we intend to replicate this approach. So, in PMS
alternative , international, build meaningful high -quality and profitable
platform that strengthen the o

verall franchise over the long run.
Moderator: We'll take our next question from the line of Divij Punjabi from Banyan Tree
Advisors.
Divij Punjabi: I just ha d one question. So, on the passive segment, we have been seeing good
growth momentum. So, can you talk about the underlying factors that are
leading to this from the investors' point of view?
Navneet Munot: I mean a large part of that growth is from some of the institutional mandates.
As you are aware that EPFO and some of the other pension and pro vident funds

have been investing into some of the ETFs. And of course, the exempted funds
also invest in those funds. Then you have some of the insurance companies
participating in a couple of products.
And recently, we have seen a significant growth in go ld and silver ETF and
fund of fund. So, some of these are the categories. We have been a pioneer on
the index fund side. We were one of the first ones to launch those products,
and they've grown meaningfully.

In fact, I mentioned this earlier that on the e quity index fund, our market share on the passive side is higher than what we have on the active side. And then again, the value of the brand, franchise, distribution, all of that really matters. And of course, investment performance there is more about th e tracking error than the alpha.

So, there is a preference among some of the customers and advisers for mirroring the market. And we have a very comprehensive product portfolio and a full setup to make the most of it.

And I've always mentioned that our idea is that wherever investors and our partners want to participate in the market, be it on the active side or on the passive side. And I've spoken a bit about alternatives. I mean, we are like fully ready. For us, the core strength that we have as an or ganization is our investment management capability, our risk management capability and our product management capability. And we continue to sharpen that. And whether an investor comes through any route, I think we have the best -in-class product offering f or everyone.

Divij Punjabi: Sure. And from a medium -term perspective, any insight on where we see this going? Like currently, it's around 10% of the AUM mix. From maybe 3 to 5 - year perspective, like where do we see this going?

Navneet Munot: So, a couple o f times, I don't know in this call or maybe in some other forums, I've given parallels between the asset management industry growth in US from '80s onwards and what we are seeing in India over the last couple of years. I think over the next several years, we are going to see significant growth in asset management.

So, formalization of the economy, digitalization of the economy, financialization of savings, financialization of assets. All of these are like structural trends. And over a period of time, we'll see like newer asset classes emerging, people investing, one li ke mutual funds, which has been like time - tested, beautiful product with a track record. Some of the fund houses like ours have a track record going back 30 years.

Some of the investors may like to participate through passive, within that, either the index fund or the ETFs. We are seeing some of the other asset classes, whether it's REITs, InvITs, private markets. I talked about our plans on the alternative side to participate in the private markets. Almost all the segments are likely to grow. And you can s ee from '80s onwards how several of these segments have grown in US.

And maybe I think in terms of the size of the economy, size of the market, structure of the market, several of those were like very similar. And I think credit to our regulators who have been very pragmatic and have been deeply focused on investor education and investor protection. I think they c

ontinue to do a good job on that. There is significant growth potential on all segments.

So, people ask me like active versus passive, how this wi ll grow. And I say, I think I hope that in my lifetime, I don't have to answer that question. In my lifetime, it will remain active and passive rather than active versus passive.

Divij Punjabi: Sure. Thank you.

Moderator: Thank you. We'll take our next que stion from the line of Madhukar Ladha from JP Morgan. Please go ahead.

Madhukar Ladha: Hi. Good evening. Congratulations on a good set of numbers. And most of my questions have been answered. Just wanted to understand, did you disclose the asset class -wise yield this time around. As a data keeping question, I wanted that.

And it would be fair to assume that given th ese changes in the whole TER calculation system and the 15 -basis points reduction and, you know, excluding the statutory levies, especially o n that change, would that be neutral to our P&L, especially on that specific change. Or -- my sense is that it should largely be neutral, but just I wanted to just confirm it.

Navneet Munot: So, Madhukar, repeating again that I explained in detail that larger schemes definitely are getting impacted. And I also mentioned that you'll be surprised that many of the smaller schemes will see increased TER. At our end, I've said that while the reduced TER means higher alpha and parti cularly for the larger sized funds, and there is a long -term positive implication of that.
But on the other side, whatever little impact of the reduction on account of exit load or all the expense ratio construct is there, we will optimize it to ensure that we remain highly focused on the -- on our profitability.
Madhukar Ladha: Sir, if we were just to look at the -- if we were to exclude the exit load construct and only look at this reduced TER. So there also, we would see a little bit of a negative impact , is what -- is that what you're saying? And then obviously, we would take compensatory steps.
Simal Kanuga: Madhukar, it would be both ways, right. Some of the schemes, there will be a positive impact. Some of the schemes, there will be negative impact. So as Navneet touched upon earlier, we'll optimize on both sides and make it sure that the net margins that we speak of remain within the acceptable band.
Madhukar Ladha: Understood. Understood. And the asset class -wise yield, sorry, I joined a little late. I may have missed that earlier, yes.
Naozad Sirwalla: Yes, Madhukar, we did give that earlier, but I'll repeat it for your benefit. So , equity yields came at 56, 57 basis points. It includes index funds. Debt yield s were between 27 and 28 basis points and liquid between 12 and 13 basis points.
Madhukar Ladha: Got it. Thanks, and all the best.
Moderator: Thank you. Next question is from the line of Gaurav Jani from Prabhudas Lilladher. Please go ahead.
Gaurav Jani: Thank you and congratulations on a strong quarter. Two questions. One is, I don't know if you've named this out. Is there a new ESOP issuance? And can you just elaborate as to then what will be, what is the ESOP cost will look like?
Naozad Sirwalla: Yes, sorry, the question is on ESOP cost, right?
Gaurav Jani: That's correct, sir.

Naozad Sirwalla: So, I've given it out in the previous calls as well. So , the noncash expense on account of ESOPs for the full year would be about INR68 crores. For the first 9 months, it's about INR47 crores.
Gaurav Jani: So that doesn't change, right? I mean, whatever estimates you have given, that doesn't change. There's not a new ESOP issuance, right?
Naozad Sirwalla: The material ESOP issuance happened last year. But as and when additional resources and people join us, we'll have small incremental issuances. Today also we announced a small issuance. So that's an ongoing process that will continue. But that will not change this expense estimates we had given out previous quarter very materially.
Gaurav Jani: Understood. Thanks. And secondly, sir, Navneet, sir, to you. You did mention of the 5 -basis point impac t on the overall AMC profits. Just wanted to kind of have your opinion as to how are we thinking in terms of passing that on and what is the dialogue with distributors?
Navneet Munot: So, I did give details, it will depend on the size of the schem e. And, of course, wherever there was additional charge of that exit load, it is not the overall impact of 5 basis points on the AMC profitability. I explained that in detail earlier.
Naozad Sirwalla: Yes. So , I think you said the impact is for us is 5 basis points. That's not what Navneet has said, just to clarify.
Gaurav Jani: I do understand that. I was just trying to gauge as to what's the dialogue with distributors t o how will the -- can there be some pass -through or not?
Navneet Munot: Yes. I mentioned it a couple of times that we will try to optimize and maintain our profitability.
Gaurav Jani: Sure, sir. That is it from my side, sir.
Moderator: Thank you. We'll tak e our next question from the line of Abhijeet Sakhare from Kotak. Please go ahead.
Abhijeet Sakhare: Hi, good evening everyone. I just have one slightly hypothetical question. Would you say that it's easier to cut commissions in better performing funds generally rather than throughout most of the funds? I mean, just over the cycle,

if one has to understand how easy it is to pass on some of these regulatory impacts or just the initiatives to protect profitability better?

Navneet Munot: I mean we always try t o make a win -win for everyone, I mean, whether for our investors, for our distributors and for our profit -- I mean, for us. And we have demonstrated that over a long period of time, you have watched us over the years and we'll continue to do a good job, h opefully on that.

Abhijeet Sakhare: Okay, got it. Thank you so much.

Moderator: Thank you. Next question is from the line of Madhukar Ladha from JP Morgan. Please go ahead.

Madhukar Ladha: Hi, thank you for taking the follow up. I wanted to get a sense of what has been the ramp -up from the HDFC Bank channel and any update on how this channel could contribute even more to AUM?

Navneet Munot: Sure. Madhukar, so firstly, as you all know and I think HDFC Bank has been vocal about the fact that the bank has been and will continue to be an open architecture. Whether we like it or not or whether this is the right thing to do or what other competitors are doing, this is a given. Of course, there is a positive rub off with them being our parent and same brand. So no t only from a customer perspective, but even from a relationship manager perspective, there is higher comfort in offering HDFC mutual fund product, which is visible in our market share in their AUM. So , in equity AUM, our overall market share at the indust ry level is 13%. But if you look at what HDFC Bank has sold in that, it is somewhere in the late 20s.

Also, this whole open architecture leads to material so -called event -based or seasonal challenges. So, for example, in a particular quarter when some of our peers have large NFOs or -- and our parent bank participates actively, it impacts our flow market share in that particular quarter.

But the team has constantly been working on furthering our ties and offering best-in-class products. SIP, in particular continues to be an important area of focus for us and even for this relationship, I mean, HDFC Bank, HDFC AMC relationship. So , our share of SIP flows through the HDFC Bank channel is meaningfully higher than our overall book share with the bank. That reflects

the emphasis on long -term investing and the quality of customer engagement coming through this channel.

So, this, in my opinion, will lead to increased AUM market share over time, because the SIP buildup will only show over a period of time, but t his aligns very well with our long -term objective. So, bank continues to be a very important distribution partner for us. It is behemoth and given our relationship, we work with the bank very closely and at multiple levels, and we'll continue to furthe r our share with them.

I mentioned in the last couple of quarters, we have built a dedicated team internally that works only on this channel. And then there's a lot of, I would say, interaction between our digital team and the bank digital team, the market ing team, so on and so forth, apart from the sales channel. So , the whole objective of deepening engagement and expanding the relationship in a consistent and sustainable manner.

I should also mention that our relationship with HDFC Securities , on that, that Dhiraj and team are working closely with us on various initiatives. So as a result, our share of flows through HDFC Securities is higher than our AUM share, reflecting the traction that we are gaining. But overall, yes, there has been increa sed engagement and bank is a distribution powerhouse and with the brand familiarity and the relationship over a period of time, it will reflect in the numbers, but we are happy with the SIP buildup.

Madhukar Ladha: Great. Congratulations and all the best.

Navneet Munot: Thank you.

Moderator: Next question is from the line of Mohit Mangal from Centrum.

Mohit Mangal: Thanks for the follow -up. So actually, I was looking at the last 10 to 11 quarters market share, and we have been quite stable in equity as well as debt. But liquid, we have kind of lost the ground from 13%, 13.5% to around 11 -odd percent. So just wanted to know your thoughts as to how we can increase the market share in that segment?
Navneet Munot: I think it gets impacted by a few of the lar ge corporate investors or institutions kind of like , any large movement of one client versus the other with one fund house versus the other. But I don't read much into that otherwise because

sometimes, I mean, share may look lower because some clients wher e we are capped out in terms of total amount as per their internal policy, have invested a further amount and that amount hasn't come to us.
And you can also see a reverse happening in another quarter where some of the large institutions has increased the allocation to us. But the overall institution team is on the ball, and are focused on getting the maximum allocation. I can also share that we have hired a senior person recently who's now been responsible for PAN -India institutional business apart from so me of the other emerging channels that we are setting up.
Mohit Mangal: Okay. Understood. Secondly, again, on the distribution channel. So , we are seeing basically a direct share increasing within the equity AUMs. So , like you have been telling over the la st few calls that fintech has a major role to play. So, I think that story continues.
Navneet Munot: Yes, yes. So , I think Fintech's have been growing quite rapidly over the last couple of years, and it's become a vital distribution channel for the mutual fund industry. They have played a very big role in expanding the reach and accessibility. In fact, Fintech as a group have registered 25 million SIPs in the 9 months of the current financial year gone by. And we have successfully built, a strong presence on leading platforms, securing a notable share, both in new flows as well as SIP registrations. We share a very good relationship with all the larger ones and of course, some of the emerging ones.

That was the question, right.
Mohit Mangal: Yes, understoo d. Thanks, and wish you all the best.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand this call over to Mr. Navneet Munot for closing comments. Over to you, sir.
Navneet Munot: Thank you. So , to wrap up, our total assets crossed INR9 trillion with equity assets exceeding INR6 trillion. We now serve over 15 million unique investors with a penetration of 26%, reflecting the breadth of our franchise. Our objective at HDFC AMC remains clear to be a one -stop partner for investors across mutual funds, PMS, AIF and International offerings. Thank you for your time today, and wish you happy Makar Sankranti.

Moderator: Thank you, sir. On behalf of HDFC Asset Management Company Limited, that concludes t his conference. Thank you for joining us and you may now disconnect your lines.

Call: Apr 2026

Registered Office : “HDFC House”, 2nd Floor, H. T. Parekh Marg, 165-166, Backbay Reclamation, Churchgate, Mumbai - 400 020.
Tel.: 022 - 6631 6333 Website: www.hdfcfund.com
Ref/No/HDFCAMC/SE/202 6-27/10 Date – April 22, 2026
National Stock Exchange of India Limited
Exchange Plaza, Plot C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400051.
Kind Attn: Head – Listing Department BSE Limited
Sir PJ Towers,
Dalal Street,
Mumbai – 400001.

Kind Attn: Sr. General Manager – DCS Listing
Department

Dear Sir/Madam ,

Sub: Transcript of Earnings Call
Please find enclosed herewith transcript of Earnings Call for the quarter and year ended March 31, 202 6, conducted after the meeting of the Board of Directors on April 16, 2026 which can also be accessed on the website of the Company at:
https://www.hdfcfund.com/about -us/financial- information/shareholder-
presentation

Kindly take the same on records.
Thanking you,
Yours faithfully,
For HDFC Asset Management Company Limited

Sonali Chandak
Company Secretary

Encl: a/a

“HDFC Asset Management Company Limited
Q4 FY '26 Earnings Conference Call”
April 16, 202 6

MANAGEMENT : MR. NAVNEET MUNOT – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. NAOZAD SIRWALLA – CHIEF FINANCIAL OFFICER
MR. SIMAL KANUGA – CHIEF INVESTOR RELATIONS OFFICER

Moderator : Ladies and gentlemen, good day, and welcome to Q4 FY26 Earnings Conference Call of HDFC Asset Management Company Limited. From the management team, we have with us Mr. Navneet Munot, Mr. Naozad Sirwalla, and Mr. Simal Kanuga. As a reminder, all participant lines will be in the listen -

only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Simal Kanuga who will give us a brief, following which we will proceed with the Q&A session. Thank you, and over to you, sir.
Simal Kanuga: Good evening everyone and thank you for joining this call. We'll begin with an overview of the industry. So , looking at the year gone by, Nifty 50 ended down 5%. Through the year, markets had to deal with multiple challenges /news flows, global uncertainty around tariffs and trade, geopolitical tensions leading to volatility in crude oil prices, etcetera. On top of this, we saw persistent FPI outflows which kept sentiment under pressure.
So overall, a fairly difficult environment for markets. What clearly stood out was the continued participation of domestic investors. Despite the volatility, they not only stayed invested, but continued to repose thei r confidence in long -term India growth story and markets. In fact, many used this corrective phase as an opportunity to allocate more prudently and systematically, rather than getting carried away by short -term market movements.
Interestingly, if we look at the March quarter, the Nifty 50 was down by 14.5%. The flows into equity -oriented funds came in at INR1,340 billion compared to INR1,188 billion in December of 2025 quarter, when Nifty in fact was up by 6%. SIP flows continued to inch up at a healthy pa ce. In March 2026, monthly SIP collections touched an all -time high of INR321 billion, up 24% year -on-year, with 97 million contributing accounts.
For the full year, the industry across asset classes saw healthy net inflows of INR7.4 trillion. Equity -oriented funds continued to be the primary driver, contributing close to INR4.9 trillion. ETFs witnessed strong inflows of about INR1.8 trillion, of which gold and silver ETFs combined attracted nearly INR1

trillion. On the fixed income side, flows were relati vely muted. Debt -oriented funds saw inflows of INR66 billion, liquid funds saw inflows of INR5 billion during the year.
Let me highlight an interesting data point here. This , marks 14th consecutive financial year of positive net inflows for the industry a s a whole. Another important trend is growth in number of mutual fund investors. So , it's not just deeper wallet share from existing set of investors, but also steady addition to new inv estors , driving industry growth. During the year, 7.2 million new investors entered mutual funds, taking the total investor base to 61.4 million. Participation from B30 locations also remains encouraging, with over 40% of SIP flows now coming from these markets.
We now move to us. Overall QAAUM grew by 20% year -on-year to r each INR9.3 trillion, while equity -oriented AUM reached INR6 trillion. SIP and STP flows together stood at INR48.8 billion in March of 2026, growing by 33% year -on-year. Our total accounts crossed 30 million, and unique investors with us are now at 16.7 mi llion, an addition of 3.5 million over the year. To put that in context, industry as a whole added 7.2 million.
In terms of mix, direct plans continue to gain traction and now account for about 31% of our equity AUM. Digital adoption remains very strong, with 97% of our transacti

ons being digital. To zoom in, this number was 81% three years back and 69% six years back.
During the year, we further strengthened our mutual fund offerings with launch of seven new schemes. Beyond mutual funds, we also made goo d progress in expanding our alternatives business with announcement of first close of our private credit fund with IFC as a partner and anchor investor.
In our international business, based out of Gift City, we launched two inbound funds during the year, taking the total now to five. On portfolio management services side, we are seeing encouraging traction. We were awarded two marquee mandates during the year, one was from EPFO and the second one is from SPFO, the Seaman's Provident Fund Organization, both on fixed income.
Now we move to financials. Total revenue for the year was INR46.2 billion,

with revenue from operations at INR41.2 billion, growth of 18% year -on-year.
Total expenses were INR9.1 billion. Operating profit for the year came in at

INR32.1 billion, a Y -o-Y growth of 18% with an operating margin at 35 basis points of AUM.
Profit after tax stood at INR28.6 billion, a year -on-year growth of 16%. Board earlier today recommended a dividend of INR54 per share compared to INR45 per share adjusted f or bonus issuance last year. That translates to a payout ratio of 81%, of course, this is subject to shareholder approval. Thank you very much. We can open up for questions starting now.
Moderator: The first question is from the line of Sucrit Patil from E yesight Fintrade.
Sucrit Patil: Good evening to the team. I have two questions. My first question to Mr. Munot is, what are the key priorities for HDFC AMC in the coming quarters? How do you plan to bring more retail investors into mutual funds, strengthen distribution in smaller cities, and leverage digital platforms to make investing simpler and more engaging? I'd love to hear your insights on this. That's my first question, and I'll ask my second question after this? Thank you.
Navneet Munot: Sure. Thank you, Sucrit. So , as you can see over the last couple of years, industry has grown from strength to strength. Over the last couple of years, we are seeing tremendous focus on expanding the systematic book across all channels, across all geographies, across all investor segments. And while the industry has grown, we have got our fair share. We continue to focus on that, continue to serve investors across various channels through the physical branch network that we have, where we have significantly expanded i n last couple of years, and we will continue to evaluate opportunities on that side.
And on the other side, continue to invest in our digital capabilities, both our portal, website, and as well as the app are best -in-class in the industry. If you look at the transactions which used to be almost 30% physically done five, six years back, are almost now 97% or so get done digitally. So , we believe in what I call phygital - continue to expand our physical base to serve our distributors, our investors across th e country and on the other side, best -in-class digital capabilities to serve our investors.
On the product side, I mean as per the SEBI classification, most of the categories that a mutual fund house can have, we are present in all of those categories. Ou r aspiration is to, is to keep growing our market share in all of those categories, keep delivering good returns to the investors. They have more

faith and then we get more money in those products and on the other side, continue to build our distribution c apability.
Over the next several years, apart from the mutual funds, we also see opportunities to grow the non -mutual fund side of the business, which includes our PMS capabilities. We had some ea

rly wins as, as well as on the alternatives
side. In the in itial comments, Simal has mentioned about what we are doing on the private credit side, on the Category 2 AIF, on the fund of fund side. And over a period of time, you will hear more from us on that side.
The other opportunity I will highlight is on the in ternational business. So , we have a 100% wholly -owned subsidiary in GIFT City, where we have five funds live. Over a period of time, we want to continue to build the product range and the distribution capability on that side, both for inbound money from gl obal investors investing into India and outbound Indian investors investing globally.
So, some of these are where we'll continue to focus.
Sucrit Patil: Thank you. My second question to Mr. Sirwalla is, how are you approaching risks such as market volatility or any regulatory compliances that keeps on changing over the time, and rising cost, while still ensuring profitability remains steady and, you know, growth keeps on going from the company?
Naozad Sirwalla: Sure, so I'll take the cost question f irst. So , if you break down our cost essentially into two components: employee cost and all other expenses

together. So , on the employee cost front, excluding ESOPs, our cost has grown by about 12.5% year -on-year. And if you take this over the last five ye ars, the CAGR for employee cost, again ex -ESOPs non -cash charge, is around 13%. During that period, our employee count has grown from 1,250 to around 1,700 employees.
Similarly, on the non -employee cost, they have increased at a CAGR of about 13.5% over t he last five years. So , while we don't give specific guidance, these will broadly grow in line with the business and the investments we are making across technology and people. Again, if we step back and look at cost relative to AUM over the last few years , there has been a clear downward trend. Despite investing in talent, building new capabilities and factoring long -term investment initiatives like stock options, we have improved overall efficiency. So, I think the focus is not necessarily cutting cost, b ut on managing them well

while we continue to invest for growth. I think on risk management and volatility, of course, we have a team that, that ensures that they have the appropriate risk factors in place and we sort of manage that very, very actively across our compliance and risk team.
Moderator: Next question is from the line of Kushan Shah from The Financial Express.
Kushan Shah: Yes, so my question was on the EPFO and SPFO mandates that you said that the AMC received. Is there any data on that?
Simal Kanuga : So SPFO, that we've already started managing. EPFO, we are signing the agreement. So , both of them were part of RFP that was issued and both of these were awarded to us.
Moderator: Next question is from the line of Piyush Kumar from Magnus Hathway Investments.
Piyush Kumar: Okay, sir. So , my question is regarding the market share. So how do you see HDFC AMC growing its market share over the next few quarters and what exactly are you planning to do to gain further market share in this industry, sir?
Navneet Munot: So, as I mentioned earlier that we have a good long -term track record across all strategies and on the other side, the work that we have been doing on the distribution side and given the product range, the performance track record, the platform that we have, over a period of time, we want optimized market share across all products. Incrementally, what I mentioned earlier on both what we are doing on physical presence, relationship with all channels, be it our mutual fund distributors, te ns of thousands of them across the country. All the national distributors, the aggregators, all the banks where we have relationship and of course, the fin -tech channel, which has been growing

quite a bit over the last
couple of years. We continue to focus on each one of them , some of the other things I've mentioned earlier.
Piyush Kumar: Okay, sir. Okay. One last question, sir. Sorry. Sir, how do you think artificial intelligence tools are going to affect the mutual fund industry? And how do you see going ahead the role of a mutual fund distributor in raising up the AUM for any AMC? So , do you think there is any chance of disruption from AI or any cloud computing from that, sir? Anything which you see coming for the

mutual fund industry, maybe from the B2B side or maybe from the B2C side? Do you see anything like that?
Navneet Munot: So, our, our digital strategy is organized around becoming the digital AI wealth creator for every Indian. Our overall mission as an organization is to be the wealth creator for every Indian and the digital strategy is to be digital AI wealth creator for every Indian. So clear focus on three stakeholders: our investors, our distribution partners and the HDFC group ecosystem. So , the approach is not to merely adopt technology, but to use it to, to strengthen our scale, our efficiency, our investor experience.
And I mentioned earlier that 97% of the transactions are already digital, but with the help of AI and all the digital tools, we continue to simplify our

onboarding, our discov ery, our engagement to drive the long -term participation from everyone rather than just the transactional usage. And we are clearly on a trajectory towards becoming a 100% digital transaction AMC.

Across the organization, AI is being embedded as an operati ng layer from marketing and client engagement to investment processes, risk management, compliance . This acts like acting as a force multiplier for our teams rather than a replacement. And this allows faster decision making, it allows better risk oversight and of course, higher productivity.

And all of this is built on a robust and cloud -based technology foundation. We're very particular about strong data architecture and a very, very rigorous cybersecurity standards. To summarize, I would say the objectiv e is clear: to build scalable, defensible digital and AI capabilities that enhance the investor outcome, improve operating leverage and create a durable long -term competitive moat for HDFC AMC.

We have announced today that Board has approved the appointme nt of Mr. Rajan Anandan as an invitee and external expert on the Technology Committee for a three -year term. Mr. Anandan is the currently a Managing Director at Peak XV Partners, who brings a deep global technology leadership experience. He's worked earlie r with and has led Google in India and Southeast Asia. He had senior roles at Microsoft and Dell and was a partner at McKinsey. So , I think this strengthens the Board's technology oversight and provides an

independent and high -quality guidance as our endea vour is to deepen our focus on digital and AI -led transformation.

Moderator: Next question is from the line of Abhijeet from Kotak Securities Limited.

Abhijeet: My first question was to, you know, pick up from the opening remarks on investor behaviour, esp ecially in March, but broadly given the volatility in the preceding year. Like we, we don't see any, like major change in trends on the reported numbers, but maybe under the hood have you seen any change in behaviour in terms of ticket sizes or let's say, you know, let's say self -directed customers, their share kind of coming down in overall flows? Anything that you can highlight beyond the reported numbers?

Navneet Munot: So, I'm sure you have seen the, the March industry flow data and the numbers really s peak for themselves. And if you look at the book at the start of the year versus now in the context of h

ow markets have behaved, what Simal touched upon earlier, one thing is quite clear that domestic households are increasingly investing with a long -term mindset. And they are beginning to appreciate the benefits of rupee cost averaging.

In fact, feedback from all the distribution partners I engage with, it clearly suggests that many investors are comfortable with market corrections because it allows them t o accumulate more units. So , credit to our industry campaigns, credit to our regulator, credit to all the distribution partners on the ground and the whole ecosystem that more and more investors are looking at investing in a disciplined manner with more lo ng-term orientation.

You, know, interesting part I was looking at the data today that if I remember correctly, highest flows in equity funds, equity and equity -oriented funds, hybrid funds have come in the month of March, where we had significant global g eopolitical volatility. And the other month where we had higher flows was in the month of July, when India got hit with additional tariffs by US.

And that clearly shows that in extreme volatility and when markets were not doing well, the Nifty and the othe r indices were down, investors use that an opportunity to put more money to work. I mean that clearly shows a very mature behaviour of investors. During the year, SIP book of the industry has grown by INR6,000 crores. You would have seen our number on the systematic

book the way it has grown during the year. So I think that gives us quite a bit of comfort.

I mean, I would still say I mean on the, on the cautionary note that we have to see the investor behaviour if markets stand under pressure for a much lo nger period. While over the last 18 months or so we have seen good volatility and investors have behaved in a highly mature manner, but I mean it is always tested over time, but for now I can say the trend is clearly encouraging.
Abhijeet: Got it. Just one small follow -up, Navneet, there. Would you say that this, like contrarian approach is true across both the assisted as well as the self -directed channel or is there like a marked difference between the two?
Navneet Munot: I think across both – Yes across. I mean you can see the way number of contributing accounts have increased during the year on the SIP side. At the beginning of the year, there were 81 million SIP contributing accounts that AMFI publishes and that number closed at 97.2 million as of March 26. So , there is an increase of 16 million accounts. And as we mentioned in the opening remarks that this year markets have not done well.
Abhijeet: Got it. I had one question on like when I look at the share of HDFC Bank in the mix of equity AUM, that ha s kind of come down. Any thoughts on that number, please?
Navneet Munot: So, the bank share in the distribution pie decreasing, I don't think that's the right way of looking at it. What we are seeing is broad -based growth across all our distribution channe ls. And I mentioned in the beginning itself that we are focused on all channels that includes all the banks, national distributors , our mutual fund distributors, Fintechs, direct, all the registered advisors, etcetera. So, it's really a case of the overall opportunity expanding rather than any other channel losing out. HDFC Bank remains a very important partner for us and the potential within that channel is very significant.
We continue to work very closely with the bank and there is clear alignment at the top. All my interactions with Shashi and team reinforce that point. There are changes that take time to play through, but we are confident that results will follow. You know that HDFC Bank has always followed an open architecture approach. This occasiona lly results in event -driven or seasonal variation, particularly in quarters when peers launch a lar

ge NFO and the

parent bank is actively involved, that can lead to short -term movement in the flow market share.
Importantly for us, particular thing that we monitor closely is the quality of flows and the SIP share through the bank. That continues to remain strong. And which is what build the durable AUM over a period of time. I should also mention about the relatio nship with HDFC Securities. Our share of flow with the HDFC Securities continue to remain very encouraging. So overall, I mean, I remain very constructive on the opportunity it presents over medium to long term.
Abhijeet: Got it. Just one small data point question, is it possible to give some sense on what could be the contribution of flows or SIP from Fintech players? That will be all. Thank you.
Simal Kanuga : We can get back to you with this data point.
Abhijeet: Okay, sure. Thank you.
Moderator: Thank you. Next question is from the line of Madhukar Ladha from JP Morgan. Please go ahead.
Madhukar Ladha: Hi, good evening. Sorry, I missed a little bit of your call because your sister concern had a call running parallelly. So , I wanted to just -- if you've not given, can you spell out the asset class -wise yields? And this quarter, I think on a blended basis , yields are slightly down. So , is that mainly because of mix or is there some internal sort of change in the yield? So that would be my first question?
Second, on expenses, admin and other opex has seen a slight increase. Nothing too big, but what sort of run rate are we looking at over here? And also , on your flow versus book market share, how has that trended in 4Q? Are we sort of broadly flow share is b eating book share? Yes, those would be my three questions. Thanks.
Naozad Sirwalla: Sure Madhukar. So , on the yields for the different classes, equity was around 56 basis points, debt 28 and liquid 13. And blended for the year was 45. There

is actually no yield compression in the quarter. This quarter the Q4 is a 90 -day quarter and Q3 was a 92-day quarter. So that, if you simply divide without

adjusting for number of days, then you may have come to that number, but the yields are flat from there.
Madhukar L adha: Got it.
Simal Kanuga: Madhukar just one thing, this 56 of equity that Naozad touched upon, that includes equity index funds. If you take that out, if you look at only actively managed equity and equity -oriented, it is 60 -61 basis points.
Naozad Sirw alla: On your third question on expenses, it's I mean it's just BAU, there is nothing -- it's up by 7%.
Madhukar Ladha: No, I was looking at it more on a quarter -on-quarter basis?
Naozad Sirwalla: Yes, quarter -on-quarter other expenses up 8%. So , in absolute terms is like a really small number.
Madhukar Ladha: It's not too big nothing specific on that, right?
Simal Kanuga : Madhukar even the CSR and all these things, because those things which are linked directly like a royalty, CSR, they are link ed with our profits, revenues. So as that goes up by default these are like mandatory stroke statutory expenses.
Navneet Munot : And I would say, Madhukar, that we've always said that we run a very tight ship, very, very tight ship. I mean, look at our exp ense as a basis point of our AUM, we would be one of the best run not only in India but, but in the world. And we are in a growth business. And I would emphasize we are at very early stage of financialization of savings in India.
We want to make the most of the opportunity which lies ahead. We are expanding our footprint on the physical side. We are expanding our digital capabilities, the investment in AI, in our investment capability, product capability. We're very excited from a long -term perspective on the alternatives. It requires upfront investment i

n terms of the kind of talent we have onboarded on the PMS the kind of talent we've onboarded on the international side, the setup that we've put in place. All of this will result in the business over a pe riod of time, but we shouldn't shy away from investing in all of these opportunities.

Navneet Munot : Madhukar, given the scale of our business, few crores here and there. Be it like marketing, be it technology, be it in people, these are like foundational blocks for long -term growth and should not shy away from that.
Madhukar Ladha: Yes. The flow versus book market share and then also, I mean if I can add in one more question, see we are I think it seems that we are going a little bit slower on the entire S IF launch. So , what are your thoughts over there and what -- when should we expect sort of any action over there and sort of your build up on alternatives, if you could give some commentary around that?
Navneet Munot: So overall flows are higher than the b ook share, that much I can tell you. And we remain focused as I said across all products, across all channels, across all geographies and we continue to remain focused on that.
On your question on SIF, so we have secured all necessary regulatory approvals. From our standpoint, getting the approval is just the starting point. Real question is, how do we participate in a way that is consistent with our philosophy? And for us, that means being very clear on two things. One, the product has to be inve stment -led and two it has to solve for a genuine client need, rather than just occupy shelf space.
So, we are not approaching this as a race. In a category like this, being early doesn't necessarily create an advantage. In fact, the first few products will end up shaping investor expectations for the entire segment. So , we would much rather be thoughtful a nd deliberate. And that has always been our view on all products.
The good part is we are not starting from scratch, right? I mean, we already have the underlying capabilities. And what capabilities are needed? You need

investment management capability, y ou need risk management capability, and you need product management capability. And of course, on the other side, we have the best distribution capability.
So, the team is working on designing a couple of products in this space which are differentiated. S o, in terms of impact, I would view this as more strategic than immediate. It's not going to move the needle overnight. The category itself will take time to develop and investor understanding will have to buil t.

But over a period of time, having a well t hought out SIF offering becomes important if you want to be seen as a complete investment platform. And we have always mentioned, we want to be the one -stop solution provider. So , the product will be there, but we are, I mean, have always been more thought ful and deliberate and we'll always be.
Madhukar Ladha: Got it. Understood. All the best, sir.
Navneet Munot: Thank you, Madhukar.
Moderator: Thank you. Next question is from the line of Mahek from Emkay Global. Please go ahead.
Mahek: Hi. Thank you for th e opportunity. My first question is on the regulatory change with respect to TERs. So , I am sorry if I am asking the question again maybe, but if you can just help us with any update on how are you looking at the change in TERs and whether you have kind of gone into any negotiations with the distributors? That would be my first question.
Second is, if I look at the unique investor market share that has increased to around 27%. Could you give some color on how -- on particularly which geographies are drivin g this market share accretion and through which channels would be kind of the major driver? And third question would lastly

be on whether you are planning to come out with any NFOs in future.
Navneet Munot: So, on the new TER regulations that you asked, so we have a new terminology in the industry now, it's called BER, the Base Expense Ratio. It is still early days, and you will hear more from us over time on how we propose to deal with the impact, including changes in distribution commission, our margins and the overall impact on the ecosystem. This time, the impact is on select few schemes. Largest strategies are the ones seeing the impact, and smaller strategies are even seeing some degree of markup.
So, let me break this into two parts; one on the exist ing book and the other one on the new flows. So , starting with the existing book, for us the gross impact is about 3 to 4 basis points and our approach is to largely offset this through optimization of commission structures, along with prudent management o f both the direct as well as indirect costs. So overall, the targeted impact on our P&L should not be material.

I know the obvious question is around quantification of the same, but still early for us to give a precise number. Having said that, you would appreciate we have navigated similar changes in the past and I would point you to look at how we have managed outcomes over time.
Second part is coming on the flows. So , coming to flows, there are couple of changes here as well. Firstly, the earlier 5 bas is points available in lieu of exit load is now removed, which is a straight reduction. And secondly, there is a shift in the structure post April 1, 2026. So earlier it was TER which includ ed GST on distribution commission and other expenses, while GST on management fees was in addition to TER, whereas now we move to a base expense ratio framework with GST kept completely outside of TER. So yes, we will need to make suitable adjustments to ensure margins evolve in line with our expectations.
Mahek: Yes, thanks, sir. That answers the question. And secondly, on the unique investor market share increase, like what would be the kind of geographies driving would be the Tier 2, Tier 3 markets and what would be the channel

through which these customers are large ly coming in?
Navneet Munot: So, I mean, we get money from almost 98% or so of zip codes from the country. I mean, the share of new investors I think have been coming from like almost all geographies. The B30 towns i s the parlance in our industry, beyond t he top 30 towns, have been adding lot of new investors and we have been a beneficiary of that. And Yes, I mean, the Fintech is a channel where lot of new accounts on the SIP side getting opened up where we have a very decent share. And of course, all the o ther channels continue to see expansion of new unique investors.
Mahek: Okay. And are you planning out for any NFOs in the near future?
Navneet Munot: I mean, we look at some product gap, but overall, I mean if you look at our product bouquet, portfolio is fairly well -rounded. We are present across most of the key categories. So , there isn't a need to keep adding products for the sake of it. I think the bigger opportunity for us actually is within the existing lineup. So, there are funds which have delivere d steady consistent outcome for decades, but haven't necessarily been in the top bracket in terms of visibility

and the AUM that they have. So , lot of our effort is going into sharpening these and moving them up the curve.
On the new launches, we'll stay very selective. If we do something in the thematic or sector space or in the passive space, it will be backed by strong conviction from the investment team and a clear market opportunity. Otherwise, we are quite comfortable with the portfolio that we have. And beyond as I mentioned earlier, b

eyond mutual funds, from an overall platform perspective, we continue to expand on the PMS, AIF, international, GIFT City, all of those opportunities to cater to a wider set of client needs.
Mahek: Got it, sir. Thank yo u so much.
Navneet Munot: Thank you.
Moderator: Thank you. Next question is from the line of Shreyas from Nomura. Please go ahead.
Shreyas: Hi, thank you so much for the opportunity. I wanted to understand flow market share qualitatively. While I understan d we have a robust track record of investment performance, but our calculations suggest that in Q4, the flow market share has been lower than the flow market share that was in Q3. Can you help us understand the reasons behind it?
Simal Kanuga : No, I don't think so.
Navneet Munot : How are you arriving at that?
Simal Kanuga : No, actually, you would have missed the dividend payout. See, most of our schemes payout dividend in the last quarter, you would have taken dividend payouts as redemptions, IDCW in the way it is now called. For the investors who have subscribed for the IDCW scheme -- that would have led to your computation, but that's not the data point.
Shreyas: Okay, understood. And second question was in terms of the performance of schemes in one -year bucket. Actually, except mid cap and value category within the equity -oriented schemes, the scheme performance and the rank of HDFC AMC among the industry players has deteriorated. Can you help me understand how -- what was the reason behind i t and how are we trying to improve the performance?

Navneet Munot: No, not at all. In fact, we continue to be in top 2 quartiles across most of the categories, across like time periods including longer term performance. Large number of our funds are rated 4 and 5 stars by Value Research. As I said, flow market share remains better than the book market share. The team is clearly amongst the most experienced in the top tier. The investment philosophy or style has stood test of time since delivered, you know, delivered best-in-class performance over a long period of time. There is enough and more data now available on the flows and that does suggest continuing trend in our favor.

And finally, let me leave you with one thing. Investors as well as distributors, they don't look at fund performance over one or two quarters. As you move right on the timeline graph, we stand out clearly. And there is more and more appreciation of a long -term track record of alpha generation across our strategies. If I remember correc tly, 12 or 13 of our funds have got a track record over 15 years, and several of them going back 20 or 25 or 30 -year plus track record of alpha generation. And investors, distributors, they all appreciate the kind of long -term track record that we have got .

Shreyas: Understood. Thank you so much. Just the last clarifying question. You highlighted that the impact on yields on two fronts, existing book and new flows. Existing book you highlighted that there will not be any material impact. And on new flows yo u said that 5 basis point in lieu of exit load. So overall on new flows there will be 5 basis point impact is what?

Navneet Munot: No. So , the earlier 5 basis points available in lieu of exit load is now removed. So that will be a straight reduction from t he distribution commission, right, because this was paid out as the commission.

Shreyas: Okay.

Simal Kanuga : Yes. So, the new commissions that we have published factors that into account and thereby we have kind of come out with new commission structure, w hich is lower to that much an extent.

Shreyas: Understood. So , there is overall no material impact on P&L?

Simal Kanuga : That is what we are striving for.

Shreyas: Okay. Thank you so much, sir, for answering my questions.

Navneet Munot: Thank you.

Moderator: Thank you. Next question is from the line of Prayesh Jain from Motilal Oswal Financial Service. Please go ahead.

Prayesh Jain: Yes, hi. Just one question on the -- so if you look at the top three schemes as they account for a significant portion of our AUM on equity side, probably closer to above 50% of equity plus hybrid put together. So, you know, and given that the smaller schemes would have relative more advantage in the new TER structures, do you think that that can be a strategy for us wher e we kind of push these more the smaller category product, smaller sized schemes to kind of protect our yields as well and also from a diversification of AUM perspective?

Navneet Munot: Advantage to whom, Prayesh? I mean, it is advantageous to investors. W e exist for our investors. And as the scheme, given the telescopic pricing, as the scheme becomes bigger, you have a lower TER and that much of additional returns baked in for the investor and I feel very happy for them.

Over a period of time, I think peop le underappreciate this aspect. One, if you look at the long -term track record of larger schemes, I think that has been outstanding. And on the other side, as the TER has the impact from the telescopic pricing, investors tend to gain and ultimately, I mean the fate of our industry is decided by the investors and if they make better returns, good for us.

Prayesh Jain: Okay. The other question was on the yields on the AIF and the PMS book. If you could spell that out for us, so it's kind of easier for us to t hink about what kind of incremental revenue contribution that can come in from these two products over the next few years?

Navneet Munot: So, on the alternative business, marginal premium to our equity margins. On the PMS side, pure discretionary is in lin e with equity margins. The non - discretionary, particularly the EPFO and SPFO kind, these are Government of India mandates and among the most prestigious and very tightly contested opportunities. So , we are honored to have been selected. That said, this is a segment that operates under very, very tight economics.

Prayesh Jain: So, when you say this is, these are the net yields, right? X of distribution

commission s?
Navneet Munot: That's right.
Prayesh Jain: Right. Right. And just on the guidance on expense growth for FY27 and '28, anything that you can guide on what kind of expense growth we should look at on an absolute basis, that would be great.
Naozad Sirwalla: So, we don't give out guidance generally. And I think I said it in one of the previous questio ns that if you look at our last 5 years CAGR of employee cost and other expenses, it's been around the 13% mark. And we and I think you heard Navneet also say that we focus on cost. At the same time, we are mindful of the opportunity ahead of us in terms o f growth and we'll keep investing around it. But there is no specific guidance we generally give out on cost.
Prayesh Jain: Got that. And last question, any color that you want to give on how the SIP trajectory has now -- is there any change because obviou sly March data was good and probably was because of some rollover effect of February. But any color on how the SIP book has been progressing and also any difference between how the direct channel versus assisted channel is kind of seeing differential trend s between the SIPs that they are generating?
Navneet Munot: I mentioned earlier I gave the numbers in terms of the SIP contributing accounts. We started the year at 81 million in March '25 and closed the year at 97.2 million. So , an increase of 16 million accounts in a year where markets were down. And in the last quarter of the financial year where we saw significant volatility, particularly in the month of March, and we not only closed with high

est ever SIP monthly flow, but we also had relatively higher the overall flow into equity and equity -oriented funds.
I mean that just reflects the maturity of individual investors. I mean there is more stickiness of investor behaviour and really reinforces the long -term nature of SIP participation. And we are seeing that across both, I mean direct as well as distributor led. Over a longer period of time, I think AMFI has published this data some time back that the longevity of investors has been greater with those who have come through distributors because there is l ike more hand -holding versus the direct investors.

In last couple of years, we have seen very significant increase in investors who have invested directly. Last couple of quarters notwithstanding the volatility, numbers have been encouraging, but we have t o see that trend observe that trend over a longer period of time. We continue to, as a house and as an industry, as a large player in the industry, continue to focus a lot on investor awareness campaigns, both physically and digitally.
In fact, as a house, we have been very passionate about investor education campaigns across the country and keep highlighting to investors that rupee cost averaging works in your favor. Think long -term, don't get swayed by the volatility, stay true to your goals, focus on the goals rather than the short -term market movement. And I think, Yes, I mean those efforts are really paying off. And we hope that investors will continue to maintain this disciplined way of investing.
Prayesh Jain: Thank you so much.
Moderator: Thank you. Next question is from the line of Supratim Datta from Jefferies India. Please go ahead.
Supratim Datta: Thanks for the opportunity. Most of my questions have been answered. But it was very heartening to hear the feedback on how investors have behaved in March. Just wanted to understand, is there some color around with the lumpsum flows or the additional flows that came in during March or during the market correction, was it from new investors or existing investors putting in more money into the existing fol ios? If you could give some color there that would be helpful. Thank you.
Navneet Munot: Sure. In fact , interesting part is a larger part of flows into equity and equity - oriented funds are coming in the form of SIPs. And they are relatively more sticky. Pr edicting lumpsum flows have not been easy, but -- and there is some, I would say, variability in that.
But the interesting trend that I talked about earlier that two particular months where there was volatility and more FPI selling, I think it was month of July

last calendar year and the month of March in '26, both the months saw higher flows on a relative basis versus I think it was May last year where FPIs turned buyers and markets were volatile, but were better and we saw lower flows.

So maybe there is a contrarian behaviour among the investors who are investing in a lumpsum manner, trying to take advantage when market is down while waiting on the sidelines or booking little bit of profit when market is up.

Supratim Datta: Understood. That's very helpful. Thank you.

Navneet Munot: Thank you.

Moderator: Thank you. Next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Hi, good evening, sir. So just two questions from my side. First, you quantified the impact of this new base TER and other regulations on at a gross level and also the strategy in terms of distributor commission cuts that you might undertake going ahead. Just wanted to understand, that other non -distributed costs and other overheads also that you can manage .

So just wanted to understand, I mean, is there a thought process around your RTA payouts and when

do these renegotiations really happen and do you think that at least for the next two to three -year perspective, there is any scope or headroom available o n that side to curtail cost?

The second question was on the unique investor count. Obviously, your market share has expanded rapidly and it kind of showcases maybe a lot of new customers coming in through the fintech channels given that they are probably the largest originators of new customers. Now given this current market downturn and maybe the ongoing pain in the broader Indian equities over the last many quarters now, I mean two things: one is, how is the customer wallet really divided between differe nt players on these platforms?

I mean, have you guys done any study on that? And secondly is in terms of the customer behavior during this current downturn? I mean, any difference between the more assisted channels and let's say the DIY sort of channels o ut there? Yes, those were my questions.

Navneet Munot: So, couple of questions. First on the expenses on the fund side. So, I think I mentioned in the context of operating expenses of the AMC that we run a very tight ship, I can say the same about the fund expenses also. We try to optimize it for our investors across all the costs that we have while ensuring that they get best -in-class service. Won't comment more on that.

The second question was on the way we've been adding the unique investors and from th e presentation you can see that the penetration which was 17.6% in March '23 has gone up to 27% in March '26. Over the last three financial years, we would have added almost 10 million investors, 1 crore new unique investors in the fund house.

So, it's been a very interesting good journey for us, I think reflection of the investment performance, reflection of all the investments that we have been making in on the distribution side and of course the reflection of the brand and the franchise. And we contin ue to remain focused on that. Your other question was on fintech as a channel, right, our share in the fintech ?

Dipanjan Ghosh: Yes, so the question was more on, let's say the wallet share of a customer, how that would be divided between you and other players when they're deciding on let's say allocation through the fintech channel. And in that regard also how their behavior has been versus let's say the assisted channels during this downturn?

Navneet Munot: So, I mean as I said that our flow share thro ugh the fintech channel is also higher than the book share. So that reflects, I think a strong presence on their platforms. Our folios also, I think this year we have moved up from 2.3 crores folios to 3 crores folios, so 70 lakh folios have got added in l ast one year or so. And while we have added around 35 lakh new investors. So, investors are investing, I mean every investor is on an average investing in more than one product of ours.

Dipanjan Ghosh: And sorry but Navneet if you can give some color on th e customer behavior of this on these channels versus let's say the assisted channels in let's say the last two or three months?

Navneet Munot: Sure. I mean it will be really difficult. I mean we can only look at the data at our end and I think you should a sk some of these guys when you get an opportunity . But see they have added very large number of new investors to the industry in last four or five years.

I think in FY '20 the number of investors coming through the fintechs would have been less than a mil lion. And that number is now multiple of that in in the last year, I think probably more than 30 million or so. So, it has been an

exponential growth in last four or five years. And I think we have to give it a little bit of more time to really assess the behavior of all of these investors.

Dipanjan Ghosh: Got it, got it. Thank you and all the best.

Navneet Munot: Thank you.

Moderator: Thank you. Next question is from the line of Mohit Mangal from Centrum Broking. Please go ahead.

Mohit Mangal: Thanks for t he opportunity and good evening, everyone. My first question is is on the distribution mix. So, I was looking at your distribution mix and I was looking at the share of banks excluding the HDFC Bank. Now if I compare say over the last 12 months, this the s hare has been down, I mean the share is basically down by around 30 to 40 basis points both on an overall basis as well as on the equity AUM basis. So just wanted to know that you know is the flow market share higher than the book market share here as well and what are the strategies you know so that we can increase the share here as well?

Navneet Munot: You're talking about, I've answered about the HDFC Bank share, are you asking about banks other than HDFC Bank?

Mohit Mangal: Yes, sir, yes sir.

Navneet Mu not: Yes. So other than few banks like SBI which is almost a closed architecture and few other banks which are more guided, particularly on the retail distribution side where there would be a lesser share, but we have a very healthy relationship with almos t all the other banks, continue to work hard with them and won't be able to share like individual data but with all the other banks who operate under an open architecture, our share has been a decent, Yes, has been healthy.

Mohit Mangal: Okay. So, you woul d say the counter share is increasing with all these banks?

Navneet Munot: No, so I think what you are seeing is like the overall pie. But what happens that there is a broad -based growth across all distribution channels, right? So, banks are growing, natio nal distributors are growing, MFDs are growing, fintechs are growing and then of course the direct investors are growing.

So, it's like opportunity is expanding for all the channels. And then there could be periods where on a relative basis one channel has grown higher than the other. Endeavor at our end is to ensure that we optimize across all channels.

Mohit Mangal: Understood. My next question is on the market share bit. So , actually I was looking at your market share the last eight to nine quarters, you know, it's pretty much constant at around 12.8% -13-odd percent. Do you have any aspiration to increase your market share to say maybe a 14% or a 15% or do you have any vision or strategy, you know, to how you how one can achieve the same?

Navneet Munot : If I remember correctly, I think in the early part of last decade it would have been 20%, but of course the overall size of the market was small, incremental flows were like a small fraction of what we get now. In last two years, the net flows in the ind ustry are like over INR9 lakh crores. I mean this was the total equity AUM couple of years back what we have got in terms of flows.

So, I mean now the market share what you are seeing is on a much larger base of AUM and much, much larger base of flows. Ha ving said that, aspiration is always very high. As I said, 10 -15 years back we used to have a much larger share. Of course, the overall environment is different but our aspiration is always to grow more.

I'll put it this way. At our end and I genuinely ge t deeply driven by this and each and every everybody in HDFC AMC, our mission is to be the wealth creator for every Indian. To be the wealth creator for every Indian. So, while on this call I answer all the questions surrounding market share and margins and everything, but over a period of time we believe that in a country of 1.4 billion people, I mean industry has only got 60 million investors. And we have got 17 million. We take pride that every fourth investor has invested with us, but there are three in vestors in t

he industry out of those four who are yet to invest. And we have penetrated quite deeply in last couple of years and want to penetrate more over a period of time.

The other opportunity is if you compare the people who have invested in capital market versus the people who are in the mutual fund industry. So , my sense is at least 13 crore people have invested in capital market and there are 60 million in the mutual fund. So , there are another 60 -70 million investors who have invested directly.

And last couple of years would have given them, I mean looking at the market and you would have better data than me, last couple of years of experience would have taught them that it's better to invest through a professional fund manager like us than doing on their own. And of course, there is opportunity beyond that.

So, I think a very big opportunity on expanding the market, lot of efforts that we put in place and as I said that everybody at our end is passionate about investor education and we do many i nteresting things on the ground, digitally, virtually in many ways. Several of our campaigns have been extraordinarily popular and appreciated not only by the investors but even the other industry players.

And so , our focus as a large player is on growing the market as much as getting higher share in in the flows that that we are getting. In fact, the SIP flows that everybody talks about in last four or five years, there is huge contribution of HDFC AMC because like we were one of the earliest one to talk about importance of long -term investing, importance of investing through the SIPs, remaining disciplined, etcetera. And all the players who did that over the years, I mean overall as an industry we have been a beneficiary.

Mohit Mangal: Right, right. No th is is very helpful. Thanks , and wish you all the best.

Moderator: Thank you. Next question is from the line of Sourav Mondal from Artha Research . Please go ahead.

Sourav Mondal: So, you know, as retail investors as we see these days increasingly seeking personalized portfolios rather than generic mutual fund units, so how do you see the firm positioning its technology stack to offer, direct indexing kind of a thing at a scale. Over the next decade, how do you foresee this impacting the traditional active asset management?

Navneet Munot: I mentioned earlier that we have large number of products which have been in existence for a long period of time. I am a very big believer in active investing and our track record speaks about it. I also believe over the ne xt several years, given the opportunity in Indian market, I always call this as stock pickers' paradise. There is time arbitrage. If you think long term and ignore the short - term noise, there is research opportunity if you put in good resources with good people, a well -laid out philosophy, the processes in place, you can continue to

generate alpha and we continue to invest in those capabilities. We have one of the most experienced team in the industry and remain positive on that.

On the other side, there w ould be investors who would meet their certain needs

through the passive funds and we have the best -in-class product bouquet on
that, be it index fund or ETFs, be it market cap indices or the smart beta or
sector thematic passive, I mean the ETFs as well a s index fund. And of course,
the distribution capability to grow both sides of our business.
Sourav Mondal: Thank you. The next question I have is regarding the alternative, so alternative
needs kind of specialized talent and what kind of cost to AUM ratio do you see
on alternative division versus let's say the mutual fund?
Navneet Munot: I mean we don't give segment wise cost to income, but I mentioned earlier the
work that we have been

doing to grow our alternatives business and our PMS
business. As of no w, I mean we have hired high -quality investment resources,
putting in place client service capabilities, putting in place all the other
capabilities in place to grow it over a period of time. We don't give like
segmental cost.
Sourav Mondal: Okay. Thank yo u. That's all from my side.
Moderator: Thank you. The next question is from the line of Ansh Mehta from Value
Partners. Please go ahead.
Ansh Mehta: Thanks for the color so far and all the responses. Just one question from my
side, this is on the other inc ome component. You know, I am assuming this has
come from the dip in yields towards the end of March. But just want to
understand, because one of our, you know, one of the other AMCs reported a
loss in this quarter. So , was this driven because of a heavier tilt towards sort of
debt instruments as yields softened or was it more through active tactical
rotation? I mean, how should we think about that?
And also, you know, given the given the correction in Nifty in March because
of the crisis, how are we adjus ting our investment books, bond books duration
or equity sensitivity to ensure that other income continues to remain a
smoothed -in proportion of our total income?
Naozad Sirwalla: Okay, right. So , if you see page 34 of our investor presentation, we have gi ven
the breakdown of the investments across multiple asset classes. The equity

investment in mutual funds that we have on the balance sheet is largely due to
the skin in the game circular from SEBI. So that portion of the equity
investments saw a drawdown because of the market correction in the Q4, right.
The rest of the portfolio is largely in liquid and debt mutual funds and we of
course have invested in some of our own AIFs, those are early days of
investment.
On the liquid and debt side, we run a fairl y reasonable duration and we keep it
fairly passive there. We are not trying to do too much active management on
the mutual fund debt investments that we have on the balance sheet. And equity
is largely, almost all of the equity investment in the mutual fu nds are because
of skin in the game circular. So , this is an outcome of the market movements.
Ansh Mehta: Sure. And just going forward, I mean do you continue to do you plan to
continue this, comfortable duration on the debt side?
Naozad Sirwalla: Yes, we are we are not very long on the debt duration in any case.
Ansh Mehta: Okay. Sure. Thanks.
Moderator: Thank you very much. As there are no further questions, I would now like to
hand the conference over to Mr. Navneet Munot for closing comments.
Navneet Mu not: To sum up, despite a volatile year for markets, investors continued to invest in
a highly disciplined manner, as reflected in rising SIP flows. For us, it has been
a year of consistent progress across AUM, investor base and product
expansion, along wi th strengthening our presence across mutual funds,
alternatives and international business. We remain focused on disciplined
execution and delivering long -term value to all our stakeholders. Thank you
for your time today.
Moderator: Thank you very much. On behalf of HDFC Asset Management Company
Limited, that concludes this conference. Thank you for joining us and you may
now disconnect your lines. Thank you.